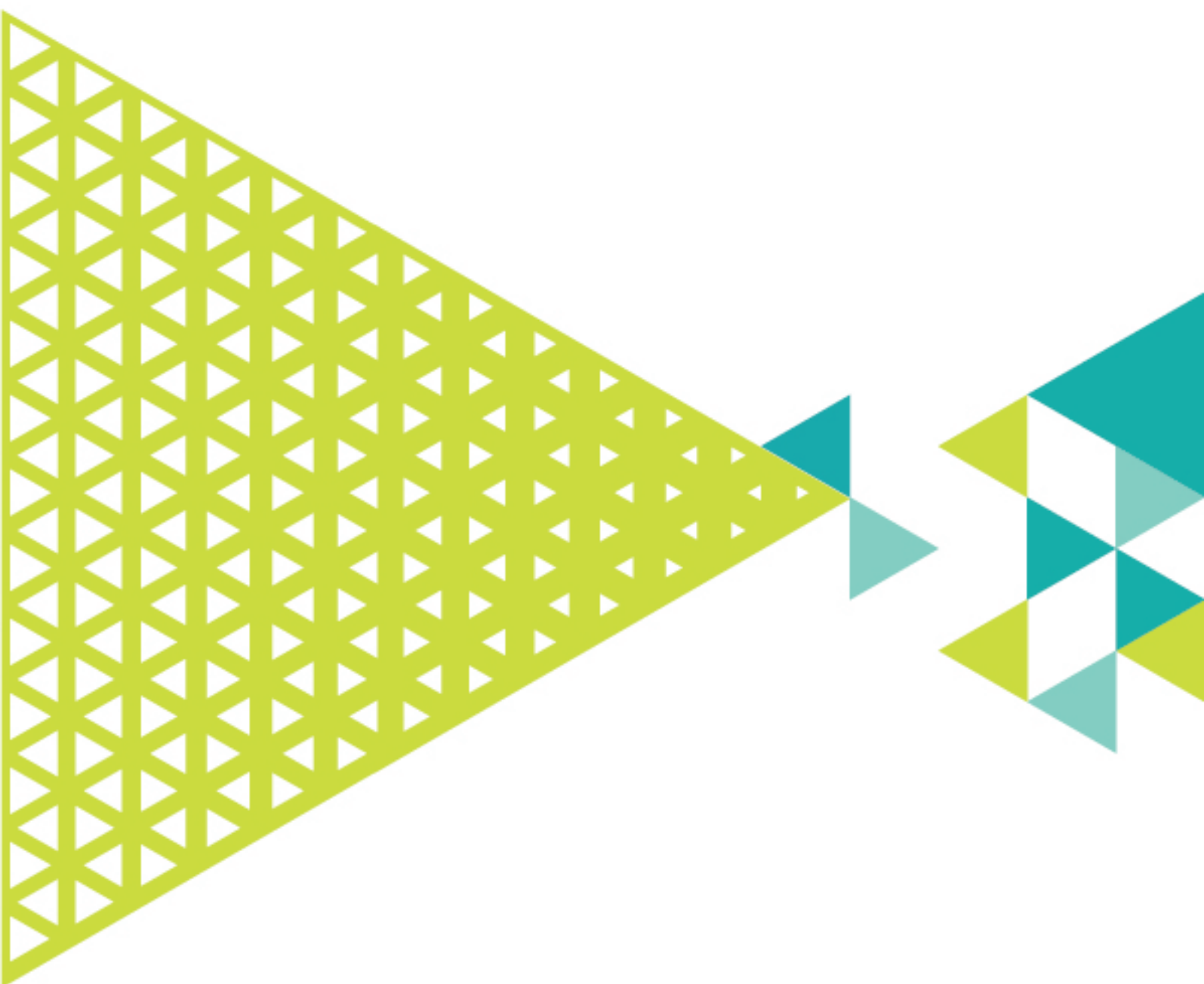


Annual Report 2021



**FINANCING THE
FUTURE**



ANNUAL REPORT 2021

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Annual Report



Table of Contents

Letter of Transmittal	4
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Leadership

Advisory Board	5
Message from the Chairman of the Advisory Board	6
Message from the Chairman of the Board of Directors	8
Board of Directors	10
Directors' Profile	11
CEO's Review	20

About the Report

Navigating through this Report	24
About Integrated Reporting	25

BIFFL

Awards and Recognition	27
Corporate Milestones	28
Vision, Mission, Goals, Objectives	30
Code of Conduct	32
Core Values	32
Corporate Information	33
Products and Services	34
Value Addition	35
Business Model	36
Management Committee	38
Corporate Social Responsibility	39
Event Highlights 2021	40

Strategic Plan

Macroeconomic Aspects Affecting BIFFL	43
Market Forces and Competitive Landscape	45
Entity Analysis	48
Stakeholder Engagement	50
Material Aspects for Stakeholders	54

Management Discussion and Performance Analysis

Review of Financial Performance	59
Statement on Contribution to Government Exchequer	75
BIFFL's Contribution to Achieving SDGs	76
Key Resources of BIFFL	78
Large Infrastructure	86
Report on Sustainable Finance & Green Banking	88
Women Entrepreneurship Development Unit	89
Treasury Operations	91
Empowering Business through IT	93
Statement on Financial Relations	94
Technical Unit	96
Human Resources	97
Environmental and Social Considerations	99
Strategy and Resource Allocation	102

Risk Management

Statement of Risk Management	106
Statement on NPL Management	117

Corporate Governance and Compliance

Directors' Report	122
Statement on Corporate Governance	131
CG Compliance Report on BSEC's Notification	137
Statement of Compliance (With the Requirements of Bangladesh Bank)	146
Ethics and Compliance	149
Report of the Audit Committee	151
Credit Rating Status	154
Responsibility Statement of CEO and CFO	155
Analysis of Going Concern Status	156
Disclosures on Capital Adequacy and Market Discipline	158

Notice, Reports & Financial Statements

Notice of the 11 th Annual General Meeting	167
Independent Auditor's Report to the Shareholders	168
Balance Sheet	172
Profit and Loss Account	174
Statement of Cash Flows	175
Statement of Changes in Equity	176
Liquidity Statement	177
Notes to the Financial Statements	178

Disclosures, Checklists and Other Pertinent Information

Glossary	211
Abbreviations	212

LETTER OF TRANSMITTAL

The Shareholders, BIFFL
Bangladesh Bank
Bangladesh Securities and Exchange Commission
Registrar of Joint Stock Companies and Firms
National Board of Revenue and other Stakeholders

Subject: Annual Report of BIFFL for the year ended 31 December 2021.

Dear Sir/Madam

We are pleased to enclose a copy of the Annual Report of Bangladesh Infrastructure Finance Fund Limited (BIFFL) along with the audit report and audited financial statements for the year ended 31 December 2021 for your kind information and record.

Best Regards.

Sincerely Yours,



Mohammad Monirul Islam Khan FCS
Company Secretary

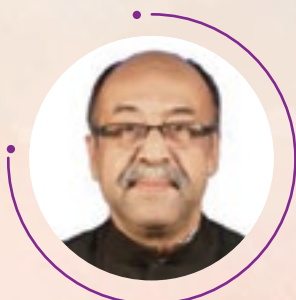
ADVISORY BOARD



A H M Mustafa Kamal, FCA, MP
Hon'ble Minister, Ministry of Finance, and
Chairman of the Advisory Board, BIFFL



Obaidul Quader, MP
Hon'ble Minister
Ministry of Road Transport and
Bridges



Adv. Nurul Majid Mahmud
Humayun, MP
Hon'ble Minister
Ministry of Industries



Tawfiq-e-Elahi Chowdhury,
BB, PhD
Hon'ble Energy Adviser to the
Hon'ble Prime Minister
The Prime Minister's Office



Khalid Mahmud Chowdhury,
MP
Hon'ble Minister of State
Ministry of Shipping



Fazle Kabir
Governor
Bangladesh Bank



Md. Sirazul Islam
Executive Chairman
Bangladesh Investment
Development Authority



Dr. Zaidi Sattar
Chairman
Policy Research Institute of
Bangladesh



Dr. Mohammed Farashuddin
Former Governor
Bangladesh Bank

**Not in order of Seniority*

MESSAGE FROM THE CHAIRMAN OF THE ADVISORY BOARD



A H M MUSTAFA KAMAL, FCA, MP

Hon'ble Minister,
Ministry of Finance,
Government of the People's Republic of Bangladesh, and
Chairman of the Advisory Board, Bangladesh Infrastructure Finance Fund Limited

BIFFL HAS BEEN ACTIVELY PURSUING ITS MANDATE
OF ACCELERATING THE ECONOMIC GROWTH OF THE
COUNTRY THROUGH FACILITATING DEVELOPMENT OF
MUCH NEEDED INFRASTRUCTURES.

আ হ ম মুস্তফা কামাল, এফসিএ, এমপি
মন্ত্রী
অর্থ মন্ত্রণালয়
গণপ্রজাতন্ত্রী বাংলাদেশ সরকার



A H M Mustafa Kamal, FCA, MP
Minister
Ministry of Finance
Government of the People's
Republic of Bangladesh

Message

I am glad to know that Bangladesh Infrastructure Finance Fund Limited (BIFFL) is going to hold its 11th Annual General Meeting. On behalf of the Advisory Board of this organization, I would like to express my gratitude to all Shareholders, Directors and Management for leading a sustainable path of growth in the last eleven years overcoming various challenges including worldwide pandemic and economic hurdles.

Guided by the vision and principles of the Father of the Nation Bangabandhu Sheikh Mujibur Rahman, under the dynamic leadership and prudent economic management of our Hon'ble Prime Minister Sheikh Hasina, Bangladesh is moving on the right direction towards achieving development milestones. Bangladesh has already achieved a significant milestone by graduating from Least Developed Countries (LDC) to a Developing Country. As Bangladesh is graduating to a developing country, we need to focus more on significant progress of overall competitiveness. We have set our mid-term mission to see a hunger and poverty free Bangladesh by 2031. Our long-term vision is to transform Bangladesh into a knowledge-based developed country by 2041, and a prosperous and resilient Delta by 2100.

Since the country is progressing, we need to focus more on infrastructure development than ever before. In view of that BIFFL has been actively pursuing its mandate of accelerating the economic growth of the country through facilitating development of much needed infrastructures. In order to ensure sustainable growth and to create an investment-friendly economic environment in Bangladesh, we have no option but to create effective and robust infrastructure facilities all over the country.

Finally, I would like to extend my sincere appreciation to the management and employees of BIFFL who are working relentlessly to take this organization to a new height. I wish every success of the 11th Annual General Meeting of BIFFL.

Thank you.

(AHM Mustafa Kamal, FCA, M. P.)

07 June, 2022

MESSAGE FROM THE CHAIRMAN OF THE BOARD OF DIRECTORS



ABDUR ROUF TALUKDER

Senior Secretary

Finance Division, Ministry of Finance, and

Chairman, Board of Directors, Bangladesh Infrastructure Finance Fund Limited

BIFFL WILL CONTINUE ITS CONTRIBUTIONS TO
SUSTAINABLE DEVELOPMENT OF THE COUNTRY THROUGH
LONG-TERM FINANCING TO THE INFRASTRUCTURES,
PPP PROJECTS AS WELL AS ENERGY EFFICIENT &
ENVIRONMENT FRIENDLY PROJECTS.



ABDUR ROUF TALUKDER
Senior Secretary
Finance Division, Ministry of Finance
&

Chairman, Bangladesh Infrastructure Finance Fund Ltd.

Message

On behalf of the Board, I am pleased to congratulate all concerned of Bangladesh Infrastructure Finance Fund Limited (BIFFL) on the occasion of the 11th Annual General Meeting. I would like to take opportunity to express heartiest gratitude to the Honorable Members of the Advisory Board, Shareholders and Management of this organization for extending guidance, support and active roles in the function.

The FY2021 is a significant year while the country has been significantly affected by COVID-19 pandemic during the last couple of years. Despite COVID-19 pandemic and various challenges, BIFFL has continued its operation in a sustained way and approved BDT7,161.00 crore up to 31st December, 2021 in different projects and it already has reached to BDT7,484 crore meanwhile.

Considering financial yield in 2021, the profit after tax of the company stood at BDT61.24 crore. Shareholder's equity increased by 1.51% from BDT2,613 crore to BDT2,653 crore. The capital adequacy ratio is 131.72% against the minimum requirement of 10% and the company is in the green zone as indicated in the 'stress test' conducted by Bangladesh Bank. The financial health of the company remains 'stable' as it holds a paid-up capital of BDT2,308.00 crore.

It cannot be denied that International Development Organizations like JICA, ADB, AFD, KfW etc., have been playing significant roles in the function of BIFFL particularly in financing Energy Efficient & Environment Friendly project, Food Value Chain Improvement projects and also Women Entrepreneurship projects. In 2021, the Government of Bangladesh signed an agreement with AFD providing a 15-year long credit line worth EUR50 million to BIFFL for re-lending to eligible sub-projects under energy efficiency, renewable energy and women entrepreneurship modalities.

It is assumed that BIFFL will continue its contributions to sustainable development of the country through long-term financing to the infrastructures, PPP projects as well as energy efficient & environment friendly projects.

Finally, I would like to thank our existing and prospective borrowers for their trust and confidence in BIFFL. My earnest thankfulness goes to all the regulatory bodies like the Ministry of Finance, Bangladesh Bank, Registrar of the Joint Stock Companies and Firms, Bangladesh Securities and Exchange Commission for their valuable guidance and timely support. I am convinced that BIFFL will overcome every upcoming challenge with dedication and sincerity. I wish BIFFL a successful future.


8.06.2022
(Abdur Rouf Talukder)

BOARD OF DIRECTORS



Abdur Rouf Talukder
Senior Secretary, Finance Division, Ministry of Finance, and
Chairman of the Board of Directors, BIFFL



Md. Mahbub Hossain
Senior Secretary, Energy &
Mineral Resources Division,
Ministry of Power, Energy &
Mineral Resources



M. Tofazzel Hossain Miah
Senior Secretary, The Prime
Minister's Office



Md. Nazrul Islam
Former Secretary, Road Transport
and Highways Division,
Ministry of Road Transport &
Bridges*



Fatima Yasmin
Secretary, Economic Relations
Division,
Ministry of Finance



Md. Habibur Rahman
Secretary, Power Division,
Ministry of Power, Energy &
Mineral Resources



Md. Monjur Hossain
Secretary, Bridges Division,
Ministry of Road Transport &
Bridges



Hasan Khaled Foisal
Joint Secretary, Finance
Division,
Ministry of Finance



S. M. Anisuzzaman
Chief Executive Officer,
Bangladesh Infrastructure
Finance Fund Limited

* Md. Nazrul Islam, Former Secretary, Road Transport and Highways Division, Ministry of Road Transport & Bridges will be replaced by the incumbent Secretary of the same division.

DIRECTORS' PROFILE



ABDUR ROUF TALUKDER

Chairman,
Bangladesh Infrastructure Finance Fund Limited, and
Senior Secretary,
Finance Division, Ministry of Finance

Mr. Abdur Rouf Talukder, the Senior Secretary, Finance Division, Ministry of Finance joined BIFFL as its 6th Chairman on 8 August 2018 in the 67th meeting of the Board of Directors. As the Chairman, Mr. Talukder has successfully conducted 37 meetings until May 2022. BIFFL as well as the country has benefitted immensely from his versatile professional experience, intelligence, prudence and pragmatic leadership.

Mr. Talukder joined Bangladesh Civil Service in 1988 and has been serving in a wide range of important positions in the government. He is the only civil servant in Bangladesh who has had the experience of working in Finance Division as Assistant Secretary, Senior Assistant Secretary, Deputy Secretary, Joint Secretary, Additional Secretary and Secretary before being elevated to the position of Senior Secretary.

In the Finance Division, he has contributed to budget reform, macroeconomic management and introduction of IT in PFM. He played a pivotal role in implementing Medium Term Budget Framework (MTBF) and new Budget and Accounting Classification System (BACS). He is the key contributor in payroll automation for the government employees, EFT for pensioners and automation of National Saving Certificates. Apart from his long career in the Finance Division, Mr. Talukder has worked in the Ministry of Industries, Ministry of Food and Ministry of Information. He also worked in the Bangladesh High Commission, Malaysia as First Secretary (Commercial).

As Senior Secretary of the Finance Division, he is a Member of the Board of Bangladesh Bank; Chairman of National Human Resource Development Fund (NHRDF); Deputy Chairman of Saudi Bangladesh Industrial & Agricultural Investment Company Limited (SABINCO); Vice-Chairman of the Committee of Mutawallis of Islamic Development Bank-Bangladesh Islamic Solidarity Educational Wakf (IDB-BISEW); Member of Bangladesh Institute of Development Studies (BIDS); Director of Biman Bangladesh Airlines Ltd.; Director of Infrastructure Development Company Ltd. (IDCOL); Member of Bangladesh Judicial Service Commission; Member of the Board of Governors of Bangladesh Public Administration Training Centre (BPATC); Bangladesh Institute of International and Strategic Studies (BISS) and National Defence College.

Mr. Talukder holds an M.Sc. in Development Management with major in Public Economic Management and Finance from the University of Birmingham, UK and an MBA from Institute of Business Administration (IBA) of the University of Dhaka.

In his long career, Mr. Talukder has attended many professional training courses at home and abroad. He has been adorned with the prestigious 'National Integrity Award for FY20-21' and under his able leadership, Finance Division has been awarded 'Public Administration Award 2022'.



MD. MAHBUB HOSSAIN

Director,
Bangladesh Infrastructure Finance Fund Limited, and
Senior Secretary,
Energy and Mineral Resources Division,
Ministry of Power, Energy & Mineral Resources

Mr. Md. Mahbub Hossain, the Senior Secretary, Energy and Mineral Resources Division, Ministry of Power, Energy and Mineral Resources joined BIFFL as Director on 20 February 2022 in the 101st meeting of the Board of Directors. As Director, Mr. Mahbub Hossain has attended 3 meetings of the Board until May 2022. He is also the Chairman of the Executive Committee of BIFFL.

In 1989 Mr. Md. Mahbub Hossain joined Bangladesh Civil Service as part of the 8th batch and served in various Ministries and Divisions such as Ministry of Commerce, Ministry of Science and Technology, Planning Commission, The Prime Minister's Office, Ministry of Health and Family Welfare and Local Government Division as Assistant Secretary, Senior Assistant Secretary, Deputy Secretary, Joint Secretary and Additional Secretary. In the process, he has acquired experience in planning, implementation and monitoring of public policy, strategy and development projects. In addition, he served as the Private Secretary to Prime Minister's Secretary and State Minister for Planning, Instructor of National Academy for Planning and Development, Deputy Chief (Gender) of Health Economics Unit, Secretary of Dhaka South City Corporation and Director (Planning and Development) of Bangladesh Climate Change Trust. As a member of Honorable Prime Minister's delegation, Mr. Md. Mahbub Hossain participated in the meeting of High-Level Panel on Water held in September 2016 at the United Nations, Water Conference held in

Budapest, Hungary and One Planet Summit, 2017 held in Paris. He has been part of different Bangladesh Delegations for negotiating bilateral trade and cooperation. He also took part in international negotiations related to climate change and meetings of the Conference of Parties (COP) held in 2013 (Warsaw, Poland) and 2014 (Lima, Peru). Moreover, in the Local Government Division, he led several inter-ministerial committees and task forces for improving water and sanitation system, modernization of urban waste management, development of urban primary health care system, updating of road cutting policy and improvement of urban governance.

Mr. Hossain completed his B.S.S. (Honours) and M.S.S. in Sociology from the University of Dhaka in 1984 and 1985 respectively. After joining the civil service, he obtained MBA from the University of North London, United Kingdom in 2001 and M.A. (Gender and Development) from the University of Melbourne, Australia in 2007. Besides, he completed certificate courses on Health Economics from the University of Dhaka and on Climate Change and Leadership from the Griffith University, Australia. He actively participated in various training courses on Planning, Development, Management and Gender at home and abroad. He trains as a senior trainer and resource person in various training institutions. He has keen interest in research and contributed in conducting and editing several research programmes and reports.



M. TOFAZZEL HOSSAIN MIAH

Director,
Bangladesh Infrastructure Finance Fund Limited, and
Senior Secretary,
The Prime Minister's Office

Mr. M. Tofazzel Hossain Miah, the Senior Secretary, The Prime Minister's Office joined BIFFL as Director on 27 February 2020 in the 86th meeting of the Board of Directors. As a Director, he has attended 16 meetings of the Board until May 2022. He is also a member of the Audit Committee.

Mr. Tofazzel started his career in Bangladesh Civil Service in 1991. He served in various capacities of the Government of Bangladesh including Private Secretary to the Hon'ble Prime Minister of Bangladesh; Director-General, The Prime Minister's Office; Director-General, Private Export Processing Zones; Private Secretary to the Principal Secretary, The Prime Minister's Office; Director, Board of Investment. Besides, he possesses a vast experience of working in field-level administration of Bangladesh. He was the Deputy Commissioner and District Magistrate in Dhaka, Cumilla, and Panchagarh Districts. Before that, he was Additional Deputy Commissioner (ADC) in Sylhet District and Upazila Nirbahi Officer, Monohardi in Narshingdi District. He also worked in different Ministries/Divisions/Directorates of the government including the Ministry of Public Administration, Local Government Division, Ministry of Primary and Mass Education, and Power Division. Mr. Tofazzel has been serving as the Senior Secretary at The Prime Minister's Office from

January 12, 2022. Before that, he had been working as the Secretary at The Prime Minister's Office since January 9, 2020.

He has had exposure to many training programs both at home and abroad. He had undergone training on Project Management and Governance in UK, Vietnam, and India. In Bangladesh, he underwent training on land management, office management, law and administration, good governance, rural development, poverty alleviation, etc. He was awarded certificates for Excellent Performance in Land Administration.

Mr. Tofazzel is a prolific writer. He has authored books and several articles on the reverent life and leadership of the Father of the nation of Bangladesh Bangabandhu Sheikh Mujibur Rahman and the inclusive socio-economic advancement of Bangladesh. Moreover, he edited the book titled "Sheikh Hasina: Selected Sayings" which comprises some of the significant, directing, and inspiring sayings by the Hon'ble Prime Minister of Bangladesh Sheikh Hasina.

Mr. Tofazzel completed both his Honours & Master's degree in English Literature from the University of Dhaka. Later, he obtained an MSC degree in Early Childhood Development (ECD) from BRAC University.



MD. NAZRUL ISLAM

Director,
Bangladesh Infrastructure Finance Fund Limited, and
Former Secretary,
Road Transport & Highways Division,
Ministry of Road Transport & Bridges*

Mr. Md. Nazrul Islam, the Secretary (Former), Road Transport and Highways Division, Ministry of Road Transport and Bridges joined BIFFL as Director on 07 November 2017 in the 58th meeting of the Board of Directors. As Director, Mr. Islam attended 24 meetings of the Board until May 2022. He was also performing as the Chairman of the Audit Committee of BIFFL.

Mr. Islam joined Bangladesh Civil Service in 1986 as part of the 1984 batch. In his long service life, he has served successfully in different levels of field administration. He worked as Upazila Nirbahi Officer (UNO) of Boda, Nabiganj, Bahubal, Habiganj Sadar, Deputy Director of Department of Youth Development of Mymensingh, Chief Executive Officer of Netrokona District, Zonal Settlement Officer of Mymensingh, Director General of National Primary Education Academy, Chief Executive Officer of Dhaka North City Corporation (DNCC), Administrator of

Dhaka South City Corporation (DSCC), Chairman of Bangladesh Road Transport Authority (BRTA) and Member of the Planning Commission.

In continuation of his illustrious service, he took the charge of Secretary, Road Transport and Highways Division on 15 October 2017. He continued his office as the Secretary of Road Transport and Highways Division under a contractual engagement after regular retirement from service. Very recently, on 2 June 2022, Mr. Islam successfully completed the tenure of the service contract at the Road Transport and Highways Division of the Ministry of Road Transport and Bridges.

Mr. Md. Nazrul Islam completed his Honours and Master's from the University of Dhaka. In his long career, he has attended many trainings both at home and abroad and visited many countries as part of official duty.

* Md. Nazrul Islam, Former Secretary, Road Transport and Highways Division, Ministry of Road Transport & Bridges will be replaced by the incumbent Secretary of the same division.



FATIMA YASMIN

Director,
Bangladesh Infrastructure Finance Fund Limited, and
Secretary,
Economic Relations Division,
Ministry of Finance

Ms. Fatima Yasmin, the Secretary, Economic Relations Division, Ministry of Finance joined BIFFL as Director on 04 June 2020 in the 87th meeting of the Board of Directors. As Director, Ms. Yasmin has attended 17 meetings of the Board until May 2022. She is also a member of the Audit Committee of BIFFL.

Ms. Fatima joined the Bangladesh Civil Service (Administration) cadre in 1991. In her long career, she worked at the Export Promotion Bureau as its Vice Chairman and served as the Director General of the Institute of Public Finance (IPF), Finance Division, Ministry of Finance. Prior to these she served in various capacities in the Ministries of Agriculture, Women and Children Affairs, Defense as well as Finance Division and Economic Relations Division of the Ministry of Finance. She also worked as Project Manager of the International Jute Organization in 2002, and subsequently, as Management Consultant for the Asian Development Bank in 2007 as well as

an Economic Adviser to the European Delegation in Dhaka in 2013 under lien (leave) from Government service. Ms. Fatima joined the Economic Relations Division, Ministry of Finance as the Secretary on 23 February 2020.

Ms. Fatima has obtained Master's in Business Administration (MBA) from the Institute of Business Administration (IBA), University of Dhaka. She is also a Hubert H. Humphrey Public Policy Fellow of the US State Department for the year 2004-5 at The Rutgers University, USA. She completed her Master's in Development Economics from Australian National University (ANU), Canberra in 1995. Moreover, she has successfully completed an executive program on Leading Successful Programs from John F. Kennedy School of Government at Harvard University.

In her long career, Ms. Fatima attended many professional training courses and visited different countries as part of official duty.



MD. HABIBUR RAHMAN

Director,
Bangladesh Infrastructure Finance Fund Limited, and
Secretary,
Power Division,
Ministry of Power, Energy & Mineral Resources

Mr. Md. Habibur Rahman, the Secretary, Power Division, Ministry of Power, Energy & Mineral Resources joined BIFFL as Director on 31 December 2020 in the 92nd meeting of the Board of Directors. As Director, Mr. Rahman has attended 10 meetings of the Board until May 2022. He is also a member of the Audit Committee of BIFFL.

Mr. Rahman joined the Bangladesh Civil Service (Administration) cadre in 1991 and belongs to the 10th batch. He started his career as an Assistant Commissioner in the Office of the Divisional Commissioner Rajshahi and was subsequently posted at the Office of the Deputy Commissioner, Natore and served there as an Assistant Commissioner until February'93. Then he served in the Refugee, Relief and Repatriation Commission at Cox's Bazar from March'93 to February'94. He was posted in the Office of the Deputy Commissioner Habiganj and went on to work as Assistant Commissioner (Land) in Habiganj Sadar from April'94 to September'96. Then he worked as Assistant Director in the Bureau of Anti-Corruption from October'96 to November'98. Afterwards he was appointed as Assignment Officer in The Prime Minister's Office and performed there until September'01. As Senior Assistant Secretary he worked at Finance Division from January'03 to September'05 and at Ministry of Education from February'06 to May'07.

The high point of his career has been more than eighteen years in the Finance Division. He was one of the early group of officers who steered the Finance Division during the transition period from traditional method of budget

preparation to the Medium-Term Budget Framework (MTBF). At the Finance Division, he worked as Deputy Secretary (Budget-1), Joint Secretary (Budget-1) and was promoted to the position of Additional Secretary and was the lynchpin of national budget preparation for more than a decade. He was also a Budget Specialist in the Financial Management Reform Programme and Deepening DMTBF and Strengthening Financial Accountability Project of the Finance Division. He has taught in all areas pertaining to Public Financial Management at the Institute of Public Finance as well as many other training institutes and has been an instrumental Civil Servants with expertise in Public Finance. Mr. Rahman joined the Power Division as Secretary on 15 November, 2020. At this position he also contributed to development in many contemporary policy areas to maintain steady growth and macroeconomic balance in the country.

Mr. Rahman earned his B.Sc. and M.Sc. in Applied Physics and Electronics from the University of Dhaka. He holds another Master's degree in Economic Development Policy and Research from the University of Birmingham, UK. He also received training on Government Budget Management, Public Financial Management, Professional Development and Performance Management from India, Singapore, USA, UK and New Zealand. In addition, he has attended numerous seminars, workshops, study tours and official visits at home and abroad. Mr. Rahman is a recipient of the prestigious Public Administration Award (PAA) of 2017 for his outstanding contribution in the public sector.



MD. MONJUR HOSSAIN

Director,
Bangladesh Infrastructure Finance Fund Limited, and
Secretary,
Bridges Division,
Ministry of Road Transport & Bridges

Mr. Md. Monjur Hossain, the Secretary, Bridges Division, Ministry of Road Transport & Bridges, joined BIFFL as Director on 20 February 2022 in the 101st meeting of the Board of Directors. As Director, Mr. Monjur Hossain has attended 3 meetings of Board of Directors until May 2022. He is also a Member of the Executive Committee of BIFFL.

Mr. Hossain belongs to Bangladesh Civil Service 10th batch. In his long service life, he has served successfully in different important positions of the Government at home and abroad. He has expertise in human resource management, strategic planning,

and policy formulation and implementation. He also has expertise in field administration and policy making activities.

In his long career he has worked in various levels of field administration including the President's Office, Ministry of Public Administration, Bangladesh Public Service Commission, Ministry of Health and Family Planning, Ministry of Education etc.

Mr. Hossain obtained post-graduation degree in International Relations under the University of Dhaka and completed Master's degree in Public Administration from the Lee Kuan Yew School of Public Policy, National University of Singapore.



HASAN KHALED FOISAL

Director,
Bangladesh Infrastructure Finance Fund Limited, and
Joint Secretary,
Finance Division,
Ministry of Finance

Mr. Hasan Khaled Foisal, Joint Secretary, Finance Division, Ministry of Finance joined BIFFL as Director on 18 November 2021 in the 99th meeting of the Board of Directors. As Director, Mr. Foisal has attended 5 meetings of the Board until May 2022. He is also a member of the Executive Committee of BIFFL.

Mr. Foisal joined Bangladesh Civil Service in 1999. He is a Joint Secretary to the Government of Bangladesh and is currently working in the Finance Division, Ministry of Finance. His work in and outside of the government has focused mainly on economic policy. He has worked in three major areas of the Finance Division: Macroeconomic Wing, Budget Wing, and presently, in Treasury and Debt Management Wing.

He was posted as the Counsellor (Commerce) in Myanmar from August '16 to November '20. During his tenure as a Counsellor, he was involved in the endeavour on the Bangladesh side to establish regular economic relations with Myanmar that befits

the two neighbours. However, his main contribution during this trying time was to assist the government of Bangladesh to tackle the Rohingya crisis.

Mr. Foisal has worked in the FTA Wing of the Ministry of Commerce. He has also worked as a Fellow at Bangladesh Foreign Trade Institute. Besides regular activities, he co-authored the first report on the Border Haat between India and Bangladesh that brought about the inception of the Border Haats on a pilot basis which later graduated to a regular arrangement.

Mr. Foisal is an ex-cadet of the Barisal Cadet College. He has completed his Bachelor's and Master's degree in Economics from the University of Dhaka. Later, as an Asian Development Bank Fellow, he completed his postgraduate degree in Economics (Master of International and Development Economics) from the Australian National University.



S. M. ANISUZZAMAN

Chief Executive Officer, and
Ex-officio member of the Board of Directors

Mr. S. M. Anisuzzaman, Chief Executive Officer, joined BIFFL on 4 May 2020. Before joining BIFFL, Mr. Anisuzzaman worked in National Housing Finance and Investments Limited as the Deputy Managing Director. He has attended 17 meetings of the Board until May 2022.

A dynamic and versatile management executive, Mr. Anisuzzaman has more than 27 years of extensive experience in the financial sector of Bangladesh. During his long career, he has held different senior positions in several banks and NBFIs. Mr. Zaman served as Senior Executive Vice President and Head of Operations in Industrial and Infrastructure

Development Finance Company (IIDFC) Limited. Prior to that he also worked as Head of Principal Branch of Jamuna Bank Limited. As recognition of his excellence in the banking profession he has received many accolades and achieved 'Best Manager' award several times.

Mr. Anisuzzaman completed his B.Sc. in Civil Engineering from BUET and MBA in Strategic and International Management from the University of Dhaka. In addition, he attended several training programs at reputed national and international institutions. He has travelled to many countries around the world.



CEO'S REVIEW

AS THE PANDEMIC LOOSENS ITS HOLD AND ALL RETURNS TO NORMAL, BIFFL IS POISED TO MAKE A SOFT LANDING AND GO FROM STRENGTH TO STRENGTH

S. M. ANISUZZAMAN
Chief Executive Officer, BIFFL

Distinguished Stakeholders,

After a tense and cautious year in 2020, the local and global economies have seen a resurgence in 2021. As a financier, BIFFL is closely observing the market and is buoyed by the revival in the year just past.

Loans and investment portfolio

Up until May 2022, BIFFL invested an aggregate amount of BDT4,215.8 crore. Out of that amount BDT3,519.3 crore was invested in infrastructure, BDT690.5 crore in sustainable finance and about BDT6 crore in Women Entrepreneurship Development projects. In spite of the global pandemic, the portfolio has remained steady in the year 2021.

Because of initiatives taken in the previous year, we have been able to utilize a significant portion of funds under the Energy Efficiency and Conservation Promotion Financing Project (EECPFP) funded by JICA. BIFFL has also made headway in utilizing its Investment Promotion Financing Facility (IPFF) II Project funds sponsored by the World Bank and administered by Bangladesh Bank. Involvement with this project has mitigated our limitation to extend foreign currency loan to eligible projects. We are also collaborating with development partners from home and abroad in ensuring sustainable growth and infrastructure development. BIFFL is always looking to diversify its portfolio. To this end, it selects the most promising projects to enhance its contribution towards the national economy.

Intending to support women in accessing affordable financial services, BIFFL established Women Entrepreneurship Development Unit (WEDU) and signed a participation agreement with the Bangladesh Bank for refinancing support. Thus far, BIFFL has financed about 300 SMEs under the portfolio with reasonable success. Additional support has been acquired in this sector from the Agence Française de Développement (AFD).

Financial position and performance

BIFFL's total assets increased by 11.3 percent to an amount of BDT4,352 crore in 2021 compared to BDT3,910 crore in 2020. In 2021, the net profit after tax increased by 13.08 percent to BDT61.24 crore from BDT54.16 crore in 2020.

In 2021, BIFFL has been awarded AAA credit rating as a Government supported entity, AA rating as a stand-alone financial institution in the long-term and ST-1 rating in the short-term, symbolizing its resilience.

Contribution to National Exchequer and dividend to shareholders

BIFFL has been making a consistent contribution to the National Exchequer. In 2021, it has contributed an amount of BDT68.56 crore income tax and declared BDT24.50 crore cash dividend to its shareholders.

BIFFL, in 2021, obtained the 2nd largest Taxpayer Award in the Non-Bank Financial Institution (NBFI) category.

Infrastructure development and sustainability

To ensure a safe and livable future for the next generation, sustainable growth is a must for Bangladesh. Infrastructure development is the key to spreading access to opportunities that the global village has to offer.

For us there is much room to grow in this sector, both in terms of physical and social infrastructure. In the Global Risks Report 2021, importance has been given to creating enabling environments in order to cope with and recover from the pandemic situation by the World Economic Forum. As such, ICT literacy, flexible work arrangements and digital legal framework have come to the fore as important prerequisites for economic resilience. BIFFL has acknowledged the need for adaptation and worked to sustain a safe, enabling work environment for its staff over the past year. This has led to increased productivity and profit for the organization.

In the infrastructure sector, with large-scale projects being developed all over the country like the Padma Bridge, Rooppur Nuclear Power Plant, Dhaka Metro Rail, Dhaka Elevated Expressway, Dhaka Bypass Expressway, Matarbari Deep Sea Port, Economic Zones, Dhaka-Chattogram Express Railway, Karnaphuli Tunnel, Expansion of Hazrat Shahjalal International Airport, Moheshkhali LNG Terminal etc., there is massive scope to work in the upcoming years in the infrastructure sector in Bangladesh. BIFFL hopes to partner in these and other large projects as per its obligation to create a developed Bangladesh.

Global economic outlook

In 2021, amid the rejuvenation from Covid-19 pandemic, the global economy has grown by 5.7 percent, according to the World Bank.

However, global growth is expected to slow down significantly in 2022 to 2.9 percent, reflecting

continued Covid-19 resurgence, dwindling fiscal support, Ukraine crisis and continuing supply tailbacks.

Although output and investment in advanced economies are projected to return to pre-pandemic trends next year, they will remain low in emerging market and developing economies, owing to lower vaccination rates, tighter fiscal and monetary policies, and more persistent scarring from the pandemic.

Various downside risks cloud the outlook, including simultaneous Covid-driven economic disruptions, further supply bottlenecks, a de-anchoring of inflation expectations, financial stress, climate-related disasters, and a weakening of long-term growth drivers. Because there is limited policy space to provide additional support if needed, these downside risks heighten the possibility of a hard landing.

This underscores the importance of strengthening global cooperation to foster rapid and equitable vaccine distribution, calibrate health and economic policies, enhance debt sustainability in the poorest countries, and tackle the mounting costs of climate change. While it is easy to be lulled into a false sense of security given the rally in GDP that quite a few economies are undergoing as various pandemic measures are lifted, prudence dictates that a variety of antagonistic outcomes be taken into account before reaching any favorable conclusions, given the unpredictability of the Covid-19 virus. Hence, the path to economic recovery will be long, arduous, disproportionate, and asynchronous across different parts of the world. However, it can be designed and managed proactively to ensure best possible results locally and globally.

Bangladesh economic review

Bangladesh's economy is turning around in the context of tackling the pandemic. The GDP growth in FY 2020-21 stood at 6.94%. Thanks to the relentless contribution of the migrant workers, remittance inflow was at an all-time high which played a major role in keeping the economy intact. Additionally, the Government announced further stimulus packages in 2021 which were effective in reducing the impact of the pandemic on the economy and the society. The initial anxiety in the industry stemming from the shutdown of businesses overdue to countrywide lockdowns was addressed swiftly thanks to prompt steps taken by the Bangladesh Bank allowing FIs to hold loan classification for due installments. However,

the upcoming year will be challenging as the global economy is facing different adverse situations. In 2022, it is expected that the economy will receive further momentum with the Covid-19 outbreak easing out due to booster vaccinations. However, to keep the increasing inflationary pressure at bay, the government needs to focus on expediting the implementation of large public sector projects and keeping enough reserve of food stocks as there are risks of new variants. Private sector investment is likely to receive momentum next year, so will its growth. With the restrictions relaxed along with vaccination boosters, there will be a surge in international travel. This coupled with higher import payments will see a slight depletion of foreign reserve next year.

In addition to the above, Padma Multipurpose Bridge is the most prioritized fast-track project among the ongoing mega projects in Bangladesh. This is a substantial infrastructure development which will boost the socio-economic development of millions of people in the south-western part of the country thus significantly improving the economy of the country's south-west region.

The success story of the Bangabandhu Bridge, an evident proof, around which an industrial revolution has taken place in north bengal and had a very positive impact on the GDP growth rate. And the launch of the Padma Multipurpose Bridge is expected to contribute significantly to the country's GDP.

Manufacturing businesses, RMG sector, assembling plants, and storage facilities are most likely to be driving forces. This will create new job opportunities and thus new employments that will serve the government's purpose. Mongla and Payra seaports will be more operational. By establishing strong connections to the two main seaports, exports are likely to grow and so are more export-import zones. This will create a new horizon of investment.

BIFFL would also like to be an active partner in infrastructural development in this respect.

Caring for society and the environment

Conservation of society and the environment is paramount to BIFFL. As a responsible organization, BIFFL has taken necessary measures to go further with sustainable development. Our safeguard policy is maintained and implemented through a panel of local and international experts with significant experience in their field.

We help our clients to comply with the national and global safeguard standards by advising them in various capacities through our Environmental and Social Cells. We have updated our environmental and social commitment recently to achieve long-term sustainability. We are strongly committed to complying with environmental and social best practices.

Financing the future

The global pandemic has changed the outlook of BIFFL in many ways. As recommended by the World Economic Forum, the key to adapting to the pandemic situation is creating an enabling environment within the organizational framework. BIFFL has proactively braced for the impact of the global pandemic. However, the protracted disruption of the pandemic has affected our assets to a certain extent. Nevertheless, our operation is continuing in full swing following all the health guidelines and safety measures stipulated by WHO and the Government of Bangladesh. We are working to improve our ICT backbone through the introduction of new Core Financial Software which is all but ready, and it will take over completely from the old system in 2022. Furthermore, BIFFL is working to review its policies and bring them up to date with the post-pandemic world.

As the pandemic loosens its hold and all returns to normal, BIFFL is poised to make a soft landing and go from strength to strength. We are actively working with our stakeholders and development partners to map out the future of infrastructure development in Bangladesh while keeping in consideration the new risks that have arisen out of the current state of affairs- especially the conflict in Europe.

In the meantime, our mandate for the development of infrastructure in Bangladesh remains steadfast. Considering the huge amount of work to be done, we are looking to leverage funds from the market as well as from our development partners, courtesy of reputation and goodwill. Our aim is not only to provide financing for the projects involved but also to provide

services as a complete financial solution package for the projects. Through all our actions, we are committed to maintaining the utmost transparency and depth in risk management and compliance. We assign due emphasis on accounts integrity, transparency and anti-money laundering safeguards, information security and resource development.

To ensure a sustainable future and attaining the SDGs, we are expanding and diversifying our portfolio in infrastructure, including energy efficiency, renewable energy, connectivity, hi-tech parks, economic zones, social development initiatives (e.g., social safeguards, gender equality, environmental considerations, CSR etc.) and so forth. We will continue to carry with pride our identity as one of the forces financing the future.

Note of thanks

With due honor, I voice gratitude from the core of my heart to the Hon'ble Prime Minister, Hon'ble Finance Minister, the Ministry of Finance, the PPP Authority, Bangladesh Bank, Bangladesh Securities and Exchange Commission and other regulators for precious guidance and support.

I am thankful to the valued development partners- JICA, The World Bank, ADB, KfW, AFD for their continuous cooperation and support. I also wish to convey my thanks to all of our shareholders, partners and clients who form an extensive business network. I appreciate the honorable directors, who are all top officials of important Ministries, with distinct skills and experiences. Under the active leadership of the Hon'ble Chairman, the Board has continuously provided proper guidance to the organization. Finally, I acknowledge the efforts and dedication of fellow colleagues in placing us where we stand today.



S. M. Anisuzzaman
Chief Executive Officer

NAVIGATING THROUGH THIS REPORT

This report is designed to give an overview of BIFFL's organizational strategy based on its vision, mission and present situation based on the resources at its disposal. The contents of this report are meant to answer key questions pertaining to the company's condition, as follows:

Core topic	Where to look	What is to be found
Identity	- Corporate Milestones - Our Philosophies - Code of Conduct - Core Values - Corporate Information - Advisory Board - Board of Directors - Our Products and Services - Corporate Social Responsibilities	BIFFL is the largest NBFi in the country in terms of capital base and is mandated to support sustainable infrastructure development
Standing in the industry and means of value creation	- Value Addition - Business Model - Awards and Recognition - Corporate Governance and Compliance - Statement on Contribution to Government Exchequer - Report on Sustainable Finance & Green Banking	- Position in the bigger picture - Means of conducting business - Organizational hierarchy for business model and performance optimization - Contribution to national economy
Reflections and deliberations of the leadership	- Message from the Chairman of the Advisory Board - Message from the Chairman of the Board of Directors - CEO's Review - Statement on Corporate Governance	- Broad overview of current standing and future trajectory - The key drivers of success and incisive analysis of business verticals. In-depth review of governance and control framework
Current market condition and competitive landscape	Operating Environment and Stakeholder Analysis	- Macroeconomic aspects that shape the industry - Market forces and the competitive landscape that shape BIFFL's business. Key competencies and scope of improvement
Risks and mitigation	- Statement on Risk Management - Statement on Non-Performing Loan (NPL) Management - Disclosure on Capital Adequacy and Market Discipline	- Risk identification and quantification - A look at risk distribution through heat maps - Risk mitigation tools and techniques - Stress testing
Review of financial performance	- Management Discussion and Performance Analysis - Notice, Reports & Financial Statements	- Review of financial performance - Independent Auditor's Report to the shareholders

ABOUT INTEGRATED REPORTING

BIFFL's Annual Report 2021 has been presented as an 'Integrated Report' with the goal of describing how BIFFL has effectively operated in consistence with its policies to add value for shareholders and customers. It covers BIFFL's activities in boosting infrastructure development, economic growth, inclusive prosperity as well as sustainability.

Content Overview



Scope of the Report

In presenting the integrated report, we have referred to the guidelines issued by the Institute of Chartered Accountants of Bangladesh (ICAB) in the form of 'Integrated Reporting Checklist', which is consistent with the integrated reporting framework issued by the International Integrated Reporting Council (IIRC). In communicating the company's operations and financial performance, financial information has been extracted from the audited financial statements for the FY2021 with relative comparative information. The financial statements consistently comply with the requirements of:

- International Accounting Standards (IASs) and International Financial Reporting Standards (IFRSs);
- The Companies Act, 1994;
- The Financial Institutions Act, 1993;
- The Securities and Exchange Commission Act, 1993;

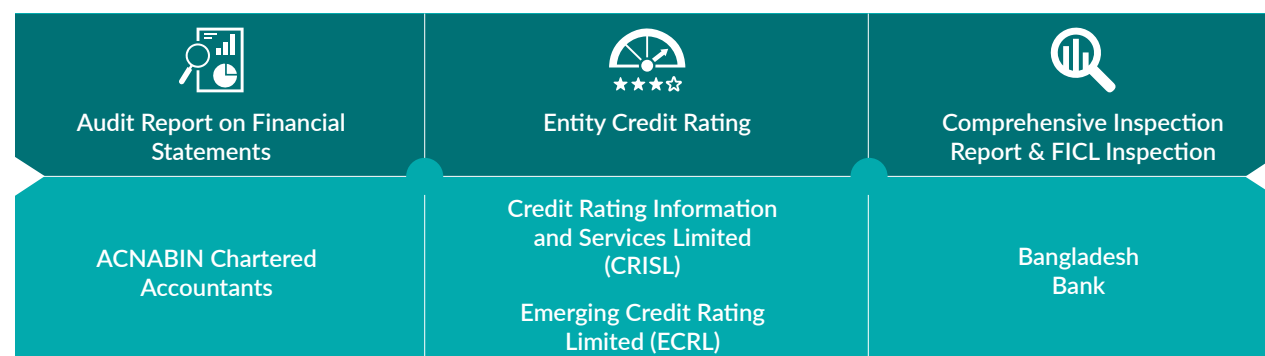
- Relevant rules and regulations of Bangladesh Bank and other regulators;
- Requirements of Development Partners; and
- Other applicable laws and regulations of the land.

The disclosure of non-financial information has been extracted from internally maintained records.

Our corporate governance practice has been disclosed in line with guidelines of the Corporate Governance Code (CGC) issued by BSEC in 2018. Moreover, there have not been any significant changes to the scope, boundary and reporting basis since the last reporting date as of 31 December 2020.

External Assurances

The company has obtained external assurance through the following reports in the reporting period under consideration:



Comparability and Materiality

The information disclosed in this report is on similar basis as in the 2020 report in terms of the entities covered and measurement procedures used. Ratios used are comparable across the industry. It entails all material topics relating to business strategy, risk and areas of critical importance to our stakeholders and is arranged in a coherent manner in order to express the company's agenda with clarity.

Availability of the Annual Report

The hard copy of the annual report is sent to all the shareholders, prior to holding the Annual General Meeting, serving due notice. Besides, for the benefit of all stakeholders, our report has been uploaded on our website, biffl.org.bd

Statement on Integrity of the Integrated Report

I acknowledge the responsibility to ensure the integrity of the disclosure contained in this Integrated Report, which comprises the discussion, analysis and disclosures pertaining to stewardship of the company, which should be read in conjunction with the audited financial statements. The annual report has been prepared in accordance with the IIRC's international reporting framework and addresses the material matters pertaining to the long-term sustainability of the company and presents, to the best of my knowledge, the integrated performance of BIFFL and the impacts thereof.



S. M. Anisuzzaman
Chief Executive Officer

AWARDS AND RECOGNITION

19TH ICAB
NATIONAL
AWARD FOR
BEST
PRESENTED
ANNUAL
REPORTS 2018
UNDER PUBLIC
SECTOR
CATEGORY (1ST
PRIZE)

SOUTH ASIAN
FEDERATION OF
ACCOUNTANTS
(SAFA) BEST
PRESENTED
ANNUAL
REPORTS
AWARDS AND
SAARC
ANNIVERSARY
AWARDS FOR
CORPORATE
GOVERNANCE
DISCLOSURES
2018 UNDER
PUBLIC SECTOR
ENTITIES (2ND
RUNNER UP)

2ND LARGEST
TAX PAYER
RECOGNITION
AWARD FOR
THE
ASSESSMENT
YEAR
2020-2021
UNDER NBFI
CATEGORY BY
NBR

18TH ICAB
NATIONAL
AWARD FOR
BEST
PRESENTED
ANNUAL
REPORTS
2017 UNDER
PUBLIC
SECTOR
CATEGORY
(2ND PRIZE)

3RD LARGEST
TAXPAYER
RECOGNITION
AWARD FOR
THE
ASSESSMENT
YEAR 2017-18
UNDER NBFI
CATEGORY BY
NBR

4TH LARGEST
TAXPAYER
RECOGNITION
AWARD FOR
THE
ASSESSMENT
YEAR 2018-19
UNDER NBFI
CATEGORY BY
NBR

3RD LARGEST
TAX PAYER
RECOGNITION
AWARD FOR
THE
ASSESSMENT
YEAR 2019-20
UNDER NBFI
CATEGORY BY
NBR



CORPORATE MILESTONES



29 July : Cabinet meeting approved the formation of BIFFL, its Memorandum of Association and Articles of Association



01 February : Mr. Md. Atiquzzaman joined as the first full-time Executive Director & CEO of BIFFL

10 October :

Signed participation agreement with Bangladesh Bank to participate in the "Refinance Scheme for Renewable Energy & Environment Friendly Financeable Sector"



03 June : Signed participation agreement with Bangladesh Bank to participate in the "Financing Brick Kiln Efficiency Improvement"



2010

2011

2012

2013

2014

2016

- **11 March :** Incorporation of the company with the highest paid-up capital in the business history of the country (BDT16.0 billion/USD200 million)
- **12 April :** Ministry of Finance approved the formation of the 7-member Board of Directors
- **20 April :** The first meeting of the Board of Director held at the Finance Division, Ministry of Finance
- **16 October :** Obtained license from Bangladesh Bank



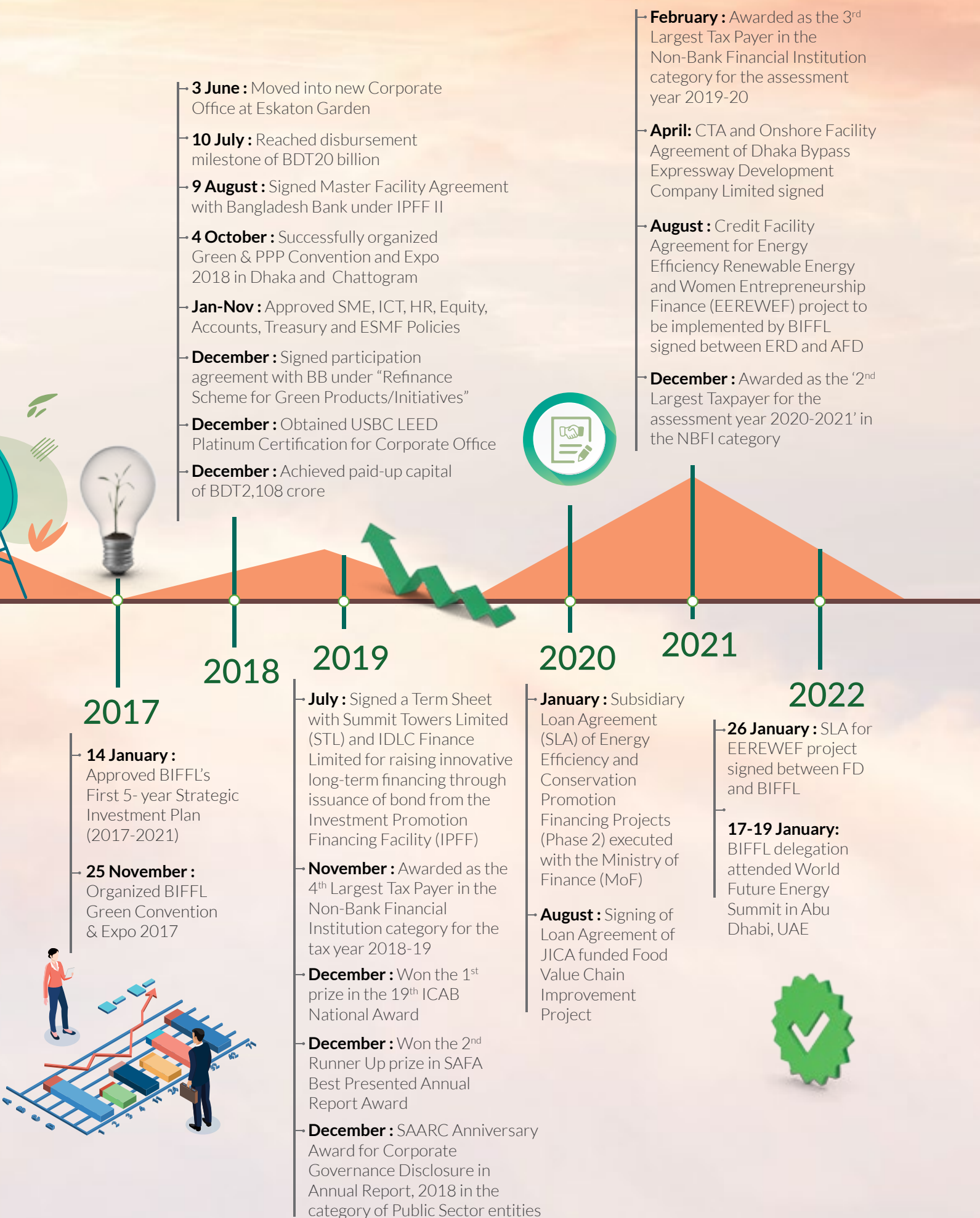
21 March :

Formed a Women Entrepreneur Development Unit (WEDU)

11 December :

Arranged Green Brick Convention 2016







Leading the process of national development by leveraging relative strengths of public and private sectors through financing infrastructure (including PPP) as well as sustainable development projects

- To perform as a highly skilled financial institution by adopting the best international practices and maintaining highest standard of integrity and ethics in financing infrastructure as well as sustainable development projects
- To encourage inclusive growth and protect the environment for sustainable development
- To act as a catalyst in developing physical and social infrastructure where private sector participants can contribute alongside the public sector
- To provide a vehicle for capital market development by exploring and utilizing different instruments to capture domestic and foreign investments in infrastructure sectors
- To support national initiative for achieving SDG 2030

VISION



MISSION



- To supplement achieving SDG 2030, Vision 2041, and Delta Plan 2100 of the Government through investment in infrastructure as well as sustainable development projects
- To ensure adequate infrastructure development of the country through promotion of PPP
- To cater to the requirements of critically important infrastructure projects through customized and structured financial solutions
- To bring in dynamism and necessary expertise in the financial industry for financing infrastructure projects

- Launching innovative financial products
- Introducing infrastructure bonds as a long-term source of financing
- Developing a vibrant infrastructure market from the perspective of both the investors and financiers
- Achieving development goals while conserving nature
- Attracting private investment in long-term infrastructure projects by addressing the asset liability mismatch of existing sources of finance

GOALS



OBJECTIVES





CODE OF CONDUCT

The Code of Conduct sets forth the rules and principles for the stakeholders i.e., Board of Directors, Board Committees, employees at all levels, business partners, service providers and customers of BIFFL to uphold and promote the interests of the company.

BIFFL adopted the Code of Conduct as circulated by the Bangladesh Bank through DFIM circular no. 04 dated 12 December 2017.

BIFFL employees should strictly adhere to the following:

- Display the highest standard of professionalism and commitment to ethics and integrity in their conduct;
- Behave in such a manner that will enrich the image, dignity and reputation of the company;
- Discharge duties efficiently and faithfully towards protecting the best interests of the company and its stakeholders;
- Refrain from disclosing confidential and sensitive information of the company to unauthorized persons; and
- Ensure compliance in every action.



CORE VALUES

- Ensure a working environment where the employees can perform to the best of their abilities and achieve their full potential;
- Maintain zero tolerance on corruption and sexual harassment;
- Ensure no discrimination against gender, race, religion, color and nationalities;
- Provide equal opportunities for all employees;
- Maintain non-smoking environment in the office;
- Act as a tax-abiding entity by contributing to the Government Exchequer;
- Act as a socially responsible entity by participating in CSR activities;
- Nurture a culture of accountability and transparency in its business operations;
- Conserve energy using best possible technologies and thorough management; and
- Prioritize social and environmental safeguards compliance.



CORPORATE INFORMATION

BOARD OF DIRECTORS

Chairman

Mr. Abdur Rouf Talukder

Senior Secretary, Finance Division,
Ministry of Finance

Directors

Mr. Md. Mahbub Hossain

Senior Secretary, Energy and Mineral Resources
Division,
Ministry of Power, Energy and Mineral Resources

Mr. M. Tofazzel Hossain Miah

Senior Secretary, The Prime Minister's Office

Mr. Md. Nazrul Islam

Former Secretary, Road Transport and Highways
Division,
Ministry of Road Transport and Bridges*

Ms. Fatima Yasmin

Secretary, Economic Relations Division,
Ministry of Finance

Mr. Md. Habibur Rahman

Secretary, Power Division,
Ministry of Power, Energy and Mineral Resources

Mr. Md. Monjur Hossain

Secretary, Bridges Division,
Ministry of Road Transport and Bridges

Mr. Hasan Khaled Foisal

Joint Secretary, Finance Division, Ministry of Finance

Mr. S. M. Anisuzzaman

Chief Executive Officer, BIFFL

EXECUTIVE COMMITTEE

Chairman

Mr. Md. Mahbub Hossain

Member

Mr. Md. Monjur Hossain
Mr. Hasan Khaled Foisal
Mr. S. M. Anisuzzaman

AUDIT COMMITTEE

Chairman

Mr. Md. Nazrul Islam

Member

Mr. M. Tofazzel Hossain Miah
Ms. Fatima Yasmin
Mr. Md. Habibur Rahman

CHIEF EXECUTIVE OFFICER

Mr. S. M. Anisuzzaman

COMPANY SECRETARY

Mr. Mohammad Monirul Islam Khan FCS

REGISTERED OFFICE

Unique Heights (Level-3)
117 Kazi Nazrul Islam Avenue,
Eskaton Garden, Dhaka- 1217, Bangladesh
IP Phone: +8809638124335
FAX: +880-2-222228518

Website

biffi.org.bd

INCORPORATION

Company Registration No-C91370/11
March 21, 2011

LICENSED BY BANGLADESH BANK

DFIM (L)-32
October 16, 2011

SHARE CAPITAL

Authorized Capital

BDT10,000 crore

Paid-up Capital

BDT2,308 crore

Value per Share

BDT100 each

Ownership

Government of Bangladesh

Represented By

Finance Division, Ministry of Finance

AUDITORS

ACNABIN Chartered Accountants

BDBL Bhaban (Level-13 & 15)
12 Kawran Bazar Commercial Area
Dhaka-1215

* Md. Nazrul Islam, Former Secretary, Road Transport and Highways Division, Ministry of Road Transport & Bridges will be replaced by the incumbent Secretary of the same division.

PRODUCTS AND SERVICES



SECTORS FOR INVESTMENT

A. Infrastructure

- Power & Energy
- Transportation & Connectivity
- Port, Container Depot & Terminal
- Economic Zone & Industrial Park
- IT & Telecom
- Tourism & Hospitality
- Healthcare & Education

B. Sustainable Finance

- Utility-scale Solar Power
- Green Building
- Energy Efficient Technologies
- Waste Treatment & Recycling
- Other Innovative Green projects



PRODUCTS AND SERVICES

1. Advisory Services

- Reviewing preliminary business plan/concept note prepared by project sponsors
- Conducting market research for the project
- Drawing full-fledged, sound business plan
- Devising an optimal financial structure/package
- Liaising and advising for necessary authority permissions

2. Financing Services

Considering needs and nature of the projects, BIFFL extends financing through several loan and equity products.

A. Debt Financing

- Term Loan
- Working Capital Loan
- Bridge Financing
- Factoring
- Take Over Financing
- Take Out Financing
- Lease Financing
- Bond Financing

B. Equity Investment

- Ordinary Share
- Preference Share
- Mezzanine Financing
- Convertible Debt



VALUE ADDITION



SHAREHOLDERS

At present, the Government of Bangladesh (GoB) holds 100 percent ownership of BIFFL. It is giving the highest importance to manage its assets and maximize profits by adopting sound governance practices as well as an effective risk management structure.



CUSTOMERS

BIFFL ensures quality investment by conducting thorough due diligence on every project and promotes innovative financing to support our clients in meeting their financing needs.



FUND PROVIDERS

GoB, Bangladesh Bank, Development Partners, Development Financial Institutions are our main fund providers. BIFFL ensures that the fund is used in the most efficient and productive ways for its stated purpose.



REGULATORS

Our regulators include Bangladesh Bank, Registrar of Joint Stock Companies and Firms (RJSC), Bangladesh Securities and Exchange Commission (BSEC), etc. BIFFL ensures compliance with all regulatory guidelines and directives through adopting best processes, practices, and controls to ensure compliance with all applicable rules and regulations.



EMPLOYEES

BIFFL is continuously developing its corporate culture in such a way that employees are trained, developed, and empowered to work and achieve their business objectives. BIFFL is committed to providing leadership and expertise which promotes excellence in work through competence, integrity, respect, and professionalism. It believes in achieving business objectives through focus on quality human resources. BIFFL values diversity and promotes equal treatment and opportunities in recruiting, remuneration, personnel development, and advancement regardless of race, religion, political views, gender, age, nationality, language, marital status, disability, etc.



COMMUNITIES

BIFFL commits to promoting inclusive growth of the society through sustainable infrastructure development as well as eco-friendly investment. It serves the smallest of entrepreneurs through its SME and WEDU and is committed to promote financial inclusion at the grassroots level.



ENVIRONMENTALLY INTERESTED GROUPS/NON-GOVERNMENT ORGANIZATIONS

While considering a project, BIFFL attaches high importance on its social and environmental impact to make the project sustainable in the long term. Green economy and eco-friendly measures are our foremost priority while considering any investment. BIFFL ensures that the provisions of its Environmental and Social Monitoring Framework (ESMF) and guidelines of Development Partners are followed along with the national guidelines provided by the Department of Environment. BIFFL's Corporate Head Office is Platinum certified under the LEED 2009 Commercial Interiors rating system of U.S. Green Building Council.

BUSINESS MODEL

Key Partners



Fund Providers

- Government
- Central Bank
- Development Partners
- Investors
- Development FIs



Other Stakeholders

- Shareholders
- Employees
- Customers
- Regulators
- Society
- Environmental Groups
- Media

Key Resources



Human Capital



Financial Capital



Intellectual Capital



IT Resources



Social Resources



Corporate Brand

Customer Relations

- Long-Term, Throughout the Project Life
- Site Visits
- Personal Assistance
- Guide Towards Proper Services
- Awards and Recognition
- Awareness and Training

Key Activities



Long-Term Project Financing



Advisory and Consultancy Services

Customer Segments



Public Sector Entities



Private Companies

FINANCING MECHANISM

In the course of financing infrastructure projects, BIFFL emphasizes on Government's priority sectors and projects which are more closely related to national development. We assist the project proponents during implementation phases and even after project implementation if needed. Our diverse fund sources and partnerships with local and global partners make it possible to cater to the needs of projects in their entirety.



Emphasize on cashflow and security	Fix tenor based on project need	Advisory services	Loan syndication	Blend different funds	Implementation monitoring

MANAGEMENT COMMITTEE (ManCom)



S. M. Anisuzzaman
Chief Executive Officer
Chairman, ManCom



Mohammad Sagir Hossain Khan
Chief Operating Officer
Member, ManCom



Mohammad Monirul Islam Khan FCS
Company Secretary
Member Secretary, ManCom



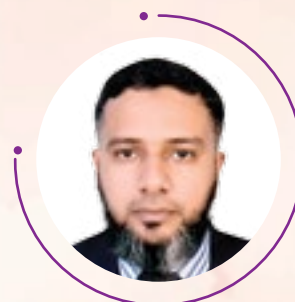
Md. Tanvir Warsi
Head of CRMD
Member, ManCom



Sheikh Anower Sadat
Head of CID
Member, ManCom



Md. Arifur Rahman
Head of SAMD
Member, ManCom



Shahariar Alam ACA
Chief Financial Officer
Member, ManCom



Sujit Basak
Head of ICCD
Member, ManCom



Muhammed Shahjahan
Head of HR and Admin.
Member, ManCom



Md. Afzal Hossain, CFA
Head of Treasury
Member, ManCom

CORPORATE SOCIAL RESPONSIBILITY



Honorable Chairman, BIFFL handing over keys to new homeowners.



BIFFL HAS DONATED BDT57,35,000 (TAKA FIFTY SEVEN LAC AND THIRTY FIVE THOUSAND ONLY) TO BUILD HOUSES FOR 31 HOMELESS FAMILIES AT DIFFERENT AREAS OF THE COUNTRY UNDER CORPORATE SOCIAL RESPONSIBILITY (CSR) ACTIVITIES AS OF MAY 2022.

EVENT HIGHLIGHTS 2021



BIFFL Management handed over Dividend of BDT21,66,29,645 to its Chairman, Honorable Senior Secretary, Finance Division, MoF for FY 2020



Celebration on 50th Victory Day of Bangladesh



Facility access agreement handover ceremony of IPFF II Project



Workshop on fire-fighting techniques, tools and fire-drill held at BIFFL premises. This is a regular event held to ensure safety of BIFFL employees.





Signing ceremony of syndicated term loan facility for an innovative electric vehicle manufacturing industry



CEO, BIFFL receiving 2nd Largest Taxpayer Recognition Award for the assessment year 2020-21 under NBFI Category from the Chairman of National Board of Revenue (NBR)



Workshop on Workplace Gender Policy and Gender Issues. BIFFL upholds equality and gender mainstreaming in the workplace.



STRATEGIC PLAN

MACROECONOMIC ASPECTS AFFECTING BIFFL

Factor and Aspect	Outcome	BIFFL's Approach
Covid-19 Pandemic	Impacts of outbreaking Covid-19 may raise risks in terms of continuation of BIFFL's operation, liquidity crisis, asset quality, composition of loan portfolio, growth of loan portfolio and others.	- Covid-19 has had little impact on BIFFL's business. Its operation resumed after a two-month 'general holiday' period from March-May 2020 following all the health guidelines and safety protocols declared by WHO and the Government of Bangladesh. - Covid-19 has naturally affected business and industries for a short span of time during the general holidays declared by the Government of Bangladesh. However, by now business activity has resumed and most of the clients have continued servicing their debt despite the choice given by the Central Bank to defer installments during the pandemic period. BIFFL is closely monitoring its clients. - BIFFL had to restructure a few loan accounts, where the project implementation had been delayed due to the pandemic. Besides, BIFFL also followed relevant regulatory guidelines for rescheduling or restructuring. - In 2021, BIFFL approved a number of new loan facilities. However, the number is quite low compared to previous years as most of the projects who aspired for BIFFL financing had been postponed for the time being in face of pandemic. Good news is that most of the postponed project are being revived now and we are expecting a sizable growth of our portfolio in 2022. - At this moment, BIFFL is in a strong liquidity position. Besides the Government, BIFFL is availing funds from Multilateral Development Agencies. Recently we have availed a new facility from AFD worth EUR50 million. We are also availing funds under the World Bank funded IPFF II project through the Central Bank of Bangladesh. With the increasing number of projects and programs, BIFFL's scope of funding is widening gradually.
Economic	- Investment-GDP ratio decreased to 29.92% in FY2020-21, from 31.75% in previous fiscal year. The Consumer Price Index (CPI) inflation rate in FY 2020-21 is 5.56%, which was 5.65% in FY2019-20. Satisfactory domestic production, favourable domestic business environment, low budget deficit and prudent monetary policy coupled with low fuel and commodity prices in the international markets contributed to subdue inflation level. - The government expenditure as percentage of GDP has been increased gradually in recent years. However, Government expenditure increased to 17.4% in the FY 2020-21 from 14.9% in the FY 2019-20. Currently, the larger portion of ADP is financed from domestic sources.	- BIFFL takes timely strategic action on interest rates, business volume, strategic shift on business focus etc. to adjust with the changing economic condition. - BIFFL pursues its core business growth in infrastructure and energy efficient industries. This enables BIFFL to be the support of the Government's SDGs 2030 and Vision-2041. - As a highly customer responsive organization, BIFFL continued to identify ways of expanding its product offerings and services to cater to wider customer needs.

Factor and Aspect	Outcome	BIFFL's Approach
	- Fiscal policy by government includes changes in different components of yearly budget like tax rates, interest waivers, refinancing facilities which affect the overall economic activities of the country as well as the performance of BIFFL. - The Government is taking initiatives to implement mega infrastructure projects on a priority basis to achieve the SDGs 2030 and Vision-2041.	BIFFL's strong and intelligent workforce monitors the infrastructure development trend on a regular basis to gather and disseminate economic and business information. This enables BIFFL to respond to the market trend in a prompt manner.
Political	Stable political environment has a positive impact on financial as well as economic development of a country.	- BIFFL adjusts its internal guidelines and projections as per the directives provided by Bangladesh Bank. - BIFFL also prioritizes sectors that the Government prioritized for economic development of the country.
Social	Growing GDP and per capita income driven by economic progress has paved the way for better social conditions and quality of life for society. However, Bangladesh has experienced lower economic growth due to Covid-19 like other countries.	- Numerous CSR initiatives were initiated for the betterment of society beyond commercial boundaries. Internally, BIFFL continued to adopt sound human resource practices to nurture our valued staff. - Being a people-oriented company, BIFFL remained receptive to people's needs as a socially responsible corporate and a caring employer. - BIFFL emphasized on the importance of creating customer awareness and building customer relationships. So, BIFFL is always looking to invest in areas with high potential but lower access to financial services. - Considering the shrinking economic growth due to Covid-19, BIFFL is pursuing CSR initiatives more actively along with various stimulus economic incentive-based packages of Bangladesh Government.
Technological	The role that ICT plays in creating operational efficiency and generating Management Information Systems (MIS) for effective decision making has become vital for BIFFL.	- Required updates were made to the core ICT system to make it more effective and meet user requirements and also to accommodate rapidly changing demands of the industry. - MIS reports are developed on a periodic basis to assemble information needed by key divisions, for decision-making. - BIFFL is at the final stage of installing Core Financial Solutions (CFS) using customized software to keep up with the market.
Environmental	- The green initiative in project financing has a long-term effect on both environment and economy of the country and helps in cost reduction as well. - A World Bank report says, the brick kiln sector consumes 3.5 million tonnes of coal and 1.9 million tonnes of firewood which emitting 9.8 million tonnes of greenhouse gas annually. During the dry season, 58% of the total air pollution in Dhaka city is caused by the brick-fields. - As per the seventh five-year plan, the government was to stop the use of topsoil in brick-fields by 2020. However, this has not come to pass. Under the 8th five-year plan, the GoB will enhance its focus on moving to greener bricks.	- BIFFL has a dedicated team working towards minimizing the impact of the highly polluting traditional brick industry in line with its green motto. - BIFFL has a full-fledged Environmental & Social Unit overseeing environmental & social due diligences of its projects to ensure sustainable economic growth of Bangladesh. - BIFFL is actively seeking projects in the field of energy efficiency, renewable energy, waste recycling and other environment friendly projects. For instance, BIFFL has already invested in a project which is using waste PET bottles as raw material and producing Polyester Staple Fibre (PSF) to be used in apparel industries.
Legal	BIFFL is regulated by the FI Act, 1993 and other periodic guidelines as issued by Bangladesh Bank from time to time.	Apart from FI Act, 1993 and other prescribed guidelines of Bangladesh Bank, BIFFL also complies with the applicable regulations of RJSC, BSEC and other regulatory bodies.

MARKET FORCES AND COMPETITIVE LANDSCAPE

Analysis of the various market forces provides a starting point for formulating strategy and understanding the competitive landscape in which a company operates. For the benefit of our stakeholders, the existing market forces are broken down to show their impact on BIFFL and our strategic actions in the near future as well as in the long run.

Industry Forces Analysis

Competitive Rivalry: Moderate

Influencing Factors

Number of competitors:

Financial services industry of Bangladesh is marked by high level of competition with 61 scheduled banks and 35 NBFIs operating in the country. However, most of these FIs are not direct competitors of BIFFL as most of them do not finance infrastructure projects. BIFFL also plays a significant role in financing sustainable and energy efficient projects.

Switching cost:

As there are many local and foreign service providers, the switching cost is low. In most cases, infrastructure financing involves larger amount of loan for a longer tenor. If a customer opts to switch in the middle of a long-term commitment, switching cost is significant as most Banks and FIs will demand compensation in the form of early settlement fees. However, switching cost is low for short term loans.

Quality of products and services:

Even though BIFFL provides specialized financial products and services, there are few local as well as foreign organizations comparable in terms of service quality.

BIFFL's Strategic Approach

Focus on relationship building among existing client base and channel resources towards finding new opportunities.

Develop and use innovative financing instruments that cater to the varying needs of infrastructure sector.

Explore different avenues to capture domestic and foreign investment.

Give emphasis on innovative value creation ideas to outplay the competitors.

Build capacity through training, exposure and adopting best market practices.

Supplier Power: Moderate

Influencing Factors

BIFFL is an NBFI and our major source of fund comprises the Government, different multi-lateral and bilateral financial institutions, institutional investors in bond etc.

A key factor in the determination of bargaining power is the control over interest rates and our cost of funds. Bangladesh Bank as well as the Government and development partners have significant control over the rates at which we can source our funds or invest.

Various other organizations operate as our vendors for several miscellaneous activities, such as arranging events, advertising and marketing. However, they are responsible only for a small part of our total cost structure.

BIFFL's Strategic Approach

Focus on a diversified pool of funds from local as well as foreign institutions.

Develop sustainable relationship with bilateral and multilateral agencies.

Offer competitive interest on bond and good relationship with investors for better negotiations of borrowing rates.

Proper selection of vendors to ensure smooth supply of materials.

Buyer Power: Moderate

Influencing Factors

Extending larger loan is becoming difficult due to liquidity crisis, tenor mismatch, higher risks etc. Consequently, buyer power is comparatively low for infrastructure financing.

However, for borrower with smaller funding needs, buyer power is increasing as the number of banks and FIs are increasing with different types of deposits and investment opportunities.

Increased competition has forced many organizations to adopt aggressive growth strategies for their loan portfolio and subsequently started a price war by reducing margin which increased borrower power.

BIFFL's Strategic Approach

BIFFL will be able to increase lending rates of the existing loan in case of a likely increase in interest rates portfolio. This is possible as the majority of the portfolio is of a floating nature.

Arrange sustainable and diversified sources of funds for future loan growth.

Strategic emphasis on diversifying the existing portfolio.

Deliver uncompromising services to retain customers and maintain sustainable relationship with borrowers and investment partners.

Threat of Substitute Products: Low

Influencing Factors

Infrastructure financing has very few alternatives due to larger fund commitment for longer tenor. For larger loan, BIFFL has little threat of substitute offerings from the competitors. However, many borrowers are now considering financing from foreign sources.

BIFFL is playing a leading role in sustainable and energy efficient project financing.

For small and SME products there exists a high threat of substitute products. As, BIFFL has very little exposure in SME financing, this sector is not a threat for us.

BIFFL's Strategic Approach

Continue to update the technological platform, embrace breakthrough technology and process upgrades to stay ahead of competition and be the first to address new opportunities offered through technology and policy incentives.

Analyse macro-economic environment to understand the financing requirements, price structure, product features, and performance of different sectors.

Ensure maximum satisfaction to retain the company's trusted customers.

Threat of New Entrants: Low

Influencing Factors

Even though the financial sector is crowded, there still is possibility of a few more contenders joining in the near future. However, the new local competitors' chances of entering the infrastructure financing sector is low. Involvement of different foreign financing agencies is also increasing day by day.

Threat of new entrants largely depends on decisions made by the Government, be it in terms of granting new licenses or varying the scope of services provided and/or operating procedures of financial and non-financial institutions.

In the long run however, the industry is assumed to see consolidation in the face of exceeding an optimum number of institutions.

BIFFL's Strategic Approach

Maintain strategic relationship with policy implementing agencies, other Government organizations, and multilateral development banks.

Continue efforts in the process of improvement to ensure long-term competitiveness and sustainability.

ENTITY ANALYSIS

Key Competencies	Reinforcing our Enterprise Further
The BIFFL Brand	
Ten years of impeccable track record as a diligent, proactive and customer centric financial service provider	Investment in fostering brand value of BIFFL is to continue
High prominence among local brands	Continue sustaining our image in the community by remaining as a caring, responsible, transparent and trust-worthy operator while supplementing the image by engaging in community services through our volunteer based community service platform “Manush Manusher Jonno” and other social welfare initiatives
Customer Centricity	
Customers’ need or aspiration-based products and quality service standards	Cornerstone is based on sustained revolution in products and services designed to cater to the latent needs and aspirations of the new niches developed through market study, customer survey and observing the trend
Swift decision-making (lowest loan TAT in the industry)	Retaining the upscale office management software and MIS to launching a centralized operations system; focusing to automate all manual processes to increase mobility of relationship managers through offering app-based platform to manage and document customer interactions
Transparent and ethical	Maintaining ZERO Tolerance for any unethical behaviour (Sexual Harassment and Corruption). Relentlessly providing training programs for new recruits on our code of ethics and values
Training, counselling and business facilitation services	Launch new non-financial services and expand the horizon for existing business facilitation services
Infrastructure	
World-class core office management software	Committed to have secured and efficient software to deliver effective customer services
USGBC LEED Platinum Certificate	BIFFL office space is PLATINUM certified under the LEED 2009 Commercial Interiors rating system with a total of 90 points. Continue to pursue environment friendly green infrastructure facilities
Corporate Governance and Compliance	
Stringent regulatory obedience	BIFFL abides by the law of the land in both letter and spirit
Participative and dynamic manner towards regulatory and industry reform initiatives	BIFFL continues to collaborate with regulators, peers and other industry participants and adopt best practices
Respectable, experienced and professional Board of Directors	
Quality Human Resources	
Dedicated, competent and empowered human resources	Continue investing in human resources as they are the key driving force of the company
Focused on continuous training and development	Continue arranging need-based training programs and promote capacity building and leadership quality of the employees

Key Competencies	Reinforcing our Enterprise Further
Highest levels of integrity	Educate and integrate new employees on BIFFL’s moral codes, values and ethics
A winning culture fostered through years of embracing best-in-class practices	Continue seeking for innovation and improvement; continue upholding the culture of trying new things without the fear of failure
Strong Financial Footing	
Solid capital base	Foster to utilize capital in an organized manner to provide maximum shareholder return as well as to assure sustainability of the profit
Professional & proper fund management	Committed to follow proper fund management practices, utilize bonding to minimize risk factors
Sound and steady ROA and ROE	Focusing on superior financial results and maintaining shareholder returns by leveraging financing sources
Scope For Improvement : Addressing our weaknesses	
Dependence on own capital; No private sector equity or debt (fully owned by Ministry of Finance, Government of Bangladesh)	Planning to issue bond to attract private sector funding and blend foreign and private sector fund to finance several development projects of the country to foster long-term economic growth Focus on Public Private Partnership (PPP) to collaborate with Government as well as private sector to become a major development partner of the country
Portfolio concentration in infrastructure development	BIFFL continues bringing innovation in the product suite and carefully finds new niche markets to enter into. To address country and customer needs properly, BIFFL invests in diverse sectors including Power and Energy, Connectivity and Economic Zone, Green and Renewable Energy, Tourism, Social Infrastructure, Small & Medium Enterprise (SME), Women Entrepreneur Development and other sectors of utmost importance for the sustainable development of Bangladesh. BIFFL participated in various environment friendly projects including Green Bricks and Waste Recycling to foster environment friendly infrastructure development. Through SME and Women Entrepreneur Development program, BIFFL is ensuring access to finance to marginal borrower and women entrepreneur, which in turn creating jobs for unskilled and semi-skilled worker. Bangladesh being an agricultural economy, BIFFL now a days is also focusing on addressing financing gap in agricultural sector and providing concessional loan to agro and food processing industries as well
Portfolio concentration in Dhaka (Limitation of having no branch outside Dhaka)	Conscious and strategic effort is in place to expand the geographic coverage and reduce portfolio concentration in Dhaka. A liaison office in Chattogram is under consideration

STAKEHOLDER ENGAGEMENT

Stakeholders are people/communities who may - directly or indirectly, positively or negatively - affect or be affected by the outcomes of BIFFL's initiatives and decisions. Multi-stakeholder consultation in policy and strategy development and review is vital to ensure that policies reflect international best practices and incorporate the opinions and needs of those they intend to support. The participation process builds understanding and ownership of the policies and eases implementation.

At BIFFL, we work in the belief that stakeholder relationships are critical for BIFFL to be able to play a positive role in the society. Engagement with our stakeholders enables us to gain insight, sharpen our decision-making process and improve our capacity to generate shared values. Identification of stakeholders is the key to understand their expectations out of the company and, as such, helps pave the way towards fulfilling those expectations and delivering consistent values. The stakeholder ecosystem of BIFFL can be broadly divided into two categories: the core stakeholder group comprising shareholders, borrowers, suppliers and employees and other stakeholders including regulators, the local community, environmental groups and the media.

STAKEHOLDER ENGAGEMENT MECHANISM

Shareholders

Management Philosophy: Ensuring long-term shareholder values, upholding the rights of the shareholders and supporting a broader shareholder constituency to ensure their wealth maximization.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Shareholder relations forums	P	- Shareholder satisfaction regarding BIFFL's financial position - Shareholder views on key governance and policy matters - Return on equity - Strategy and continuity - Financial performance	- Maintaining a consistent bottom line - Ensuring sustainable return on investment - Engaging in greater transparency and responsible stewardship - Maintaining BIFFL's reputation and credibility - Safeguarding asset quality - Ensuring steady growth
General meetings	A/P		
Annual report	A		
Interim financial statements	Q		
Disclosures and announcements	P		
Corporate website	24/7		
EC meeting, Audit Committee meeting and Board meeting	P		
Meetings and consultations	P		
CSR activities	R		

A – Annually I P – Periodically I Q – Quarterly I R – Regularly I 24/7 – 24 hours 7 days

Development Financial Institutions (Investors)

Management Philosophy: Engaging Development Financial Institutions (Investors) as partners of BIFFL rather than a mere creditor.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
General meetings	N/A	- Transparency - Building a responsible culture - Sustainable business performance and growth - Responsible lending and investment - Financial inclusion and access to products and services	- Green loan initiative launched to incentivize energy efficient and other sustainable projects - Engaging in greater transparency and responsible stewardship - Sharing project pipeline and project implementation status
Annual report	A		
Interim financial statements	P		
Investor presentation	P		
Meetings and consultations	P		
One-to-one discussions	P		
General correspondence	P		
Technical Assistant (TA)	P		
Corporate website	24/7		
Review meeting	P		
Exchange & exposure	P		

A – Annually I P – Periodically I Q – Quarterly I R – Regularly I 24/7 – 24 hours 7 days

This **Stakeholder Engagement Assessment Matrix** gives a brief overview of how BIFFL identifies and manages its stakeholders considering the impact of BIFFL on stakeholders and the impact of each stakeholder on its activities.

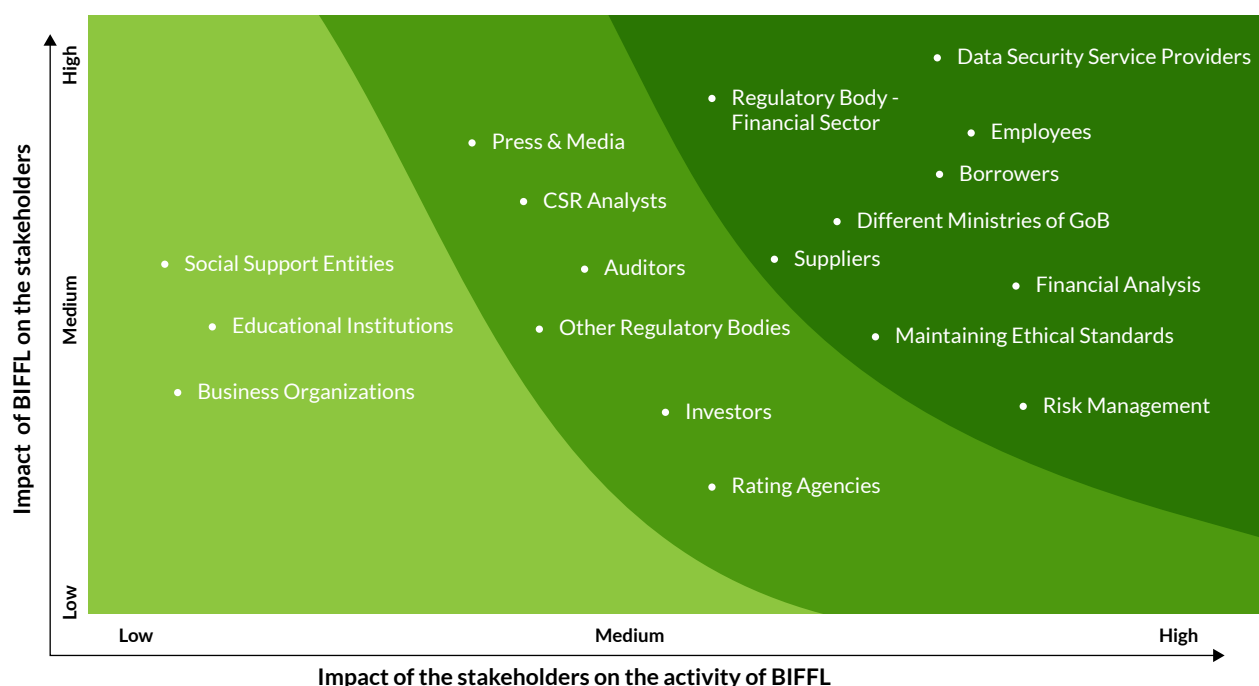


Figure: Stakeholder engagement assessment matrix

Employees

Management Philosophy: Commitment to create a conducive environment for the employees to develop and reach their potential, both professionally and personally.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Open-door policy	R	• Ethical employment practices	• Competitive rewards and benefits to attract best talent in the market
Grievance-handling procedure	R	• Career development opportunities	• Promote greater diversity and inclusion
Business unit level meetings	R	• Employee communications & feedback	• Develop from within through training & development
Corporate website	24/7	• Rewards / recognition	• Encourage greater engagement
Intranet	R	• Employee welfare	• Performance-based incentives
Memorandums / Directives	P	• Work-life balance	• Effective handling of grievance
Training	R	• Gender equality	• Maintain high standards of occupational health & safety
Internal circulars	R	• Non-discriminatory work place	• Ensure employees' welfare
Get-togethers / Events	P	• Non-smoking environment	• Foster a sense of belonging
CSR activities	R	• Child-care	
Online groups	24/7	• Prayer hall	
Retreat	A	• Gym	
Newsletters	A	• Subsidized lunch	
		• Health insurance	
		• Transportation facilities	
Huddle meetings	R	• Socialization	

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – 24 hours 7 days

Borrowers

Management Philosophy: Uphold the borrowers' right to demand a stable and progressive borrowing environment which provides a superior service platform and promotes their choice / convenience.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Open-door policy	R	- Customer service - Satisfaction on existing products - Need for innovations and customized solutions - Communication methods - Awareness promotions - Timely and relevant information on products and services - Customer benefits and rewards - Loyalty recognition	- Maintain service excellence - Effective complaint resolution - Continuous introduction of innovative products which promote greater customer convenience - Effective marketing and communication - Better market share - Regularly arrange conventions, expos, meetings, seminars etc. to engage stakeholders
One-on-one feedback from customers who visit BIFFL	R		
Customer surveys conducted via traditional or non-traditional research techniques	P		
Social media interactions	24/7		
Customer complaint handling mechanism	R		
Corporate website	24/7		
Correspondence	R		

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – 24 hours 7 days

Suppliers and Service Providers

Management Philosophy: Striking the right balance between cost and quality and promoting ethical and transparent sourcing practices.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Interactions through the purchasing policy	R	- Developing strategic partnerships - Promoting transparent and ethically responsible business practices - Continuous communication with suppliers & service providers - Regular reviews on quality of goods and services	- Engaging in fair and equitable procurement - Supplier risk assessment mechanism - Contractual agreements to promote sustainable procurement - Local sourcing, maintenance of suppliers & service provider register
Feedback evaluations	P		
Meetings	P		
Visits to supplier workshops / offices	R		
Written communications (letters & e-mails)	R		
Reviews & assessments	24/7		

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – 24 hours 7 days

Government Institutions

Management Philosophy: Ensure compliance with all legal and regulatory requirements.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Policy directives / circulars, guidelines and operating instructions	R	- Policy decisions affecting the financial sector - Submission of returns - Taxes paid to the Government	- Compliance with regulations - Rectification actions on supervisory concerns - On-time submission of statutory returns and statutory payments - Response and contribution at meetings / forums and to instructions of the regulators - Micro, Small & Medium Entrepreneurs (MSME) lending & Women Entrepreneurship Development - Support Energy Efficiency and Renewable Energy (RE) sectors - Support agro-processing and other sustainable projects - Help investors to make better investment decisions
Meetings and forums	P		
Press releases	R		
Periodic and one-off returns	P		
On-site and off-site supervision	R/AW		
Memorandums / Directives	R		
Training	R		

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – 24 hours 7 days | AW- As & When Required

Community

Management Philosophy: Working with global and local mandates which safeguard the environment and promote community empowerment.

Engagement Mechanism	Frequency	Matters Relevant to the Stakeholders	Our Strategic Response
Feedback forms / environment grievance handling mechanism	P	- Community capacity building - Community empowerment - Social welfare - Environmental protection - Preservation of local culture	- Socially-responsive transformative CSR model - Community engagement - Employee volunteerism - Become an agent for change
Discussions with local government representatives	P		
Discussion with other organizations, community and opinion leaders on community development efforts	P		
Media-based forums	R		
CSR activities	24/7		

A – Annually | P – Periodically | Q – Quarterly | R – Regularly | 24/7 – 24 hours 7 days

MATERIAL ASPECTS FOR STAKEHOLDERS

According to the Global Reporting Initiative (GRI) Standards, the materiality for reporting is identified by the engagement of the stakeholders throughout the countrywide economic and financial sphere. By using the GRI Guidelines, reporting organizations disclose their most critical impacts – be they positive or negative – on the environment, society and the economy. They can generate reliable, relevant and standardized information with which to assess opportunities and risks, and enable more informed decision-making – both within the business and among its stakeholders. As the guideline goes, the ‘Materiality’ recognizes the reportable subjects and the subjects itself that are identified is considered as the ‘Aspects’. At BIFFL, the culture is to value the issues raised by stakeholders during the engagement process. Through the process a number of material aspects were found which are detailed as follows:

Economy	Environment	Social
• Financial performance • Economic benefits • System efficiency	• Materials • Energy • Biodiversity • Emission • Waste • Compliance	• Equal rights • Labour • Child labour • Personal development • Grievance mechanism • Encouragement/ Training • Employment generation • Financial inclusion

Checklist Delineating the Sphere of the Material Aspects

The following checklist will detail out how BIFFL considers the material aspects and their influence on the performance of BIFFL from both the inner and outer spheres:

Category	Identified Material Aspect	Why is this Material?	Inside the Organization	Outside the Organization
Economy	Financial performance	Competitiveness, better customer relationship and well inspection of projects enable long-term profitable growth. A financially strong company can shoulder responsibility for the environment, take care of its employees, monitor its funds, meet customer expectations, and produce excellent value for its shareholders.	Yes	Yes
	Economic benefits	Besides the financial return to the company, the projects financed by BIFFL are serving the national interest fostering the growth of the national economy.	Yes	Yes
	System efficiency	Better energy efficiency reduces the use of primary energy and the environmental impacts of energy production and use. We encourage energy-efficient projects while evaluating projects.	Yes	Yes

Category	Identified Material Aspect	Why is this Material?	Inside the Organization	Outside the Organization
Environment	Materials	Many of our large infrastructure projects use large volumes of fuels in electricity and heat production and LP Gas processing.	Yes	Yes
	Energy	Many of our large infrastructure projects use large volumes of fuel and other energy sources, like hydropower, in electricity and heat production.	Yes	Yes
	Biodiversity	Land-use change due to site preparation for mega or large-scale project influences ecosystem and regional biota in several ways. Although, ecological characteristics are continually changed at different temporal scales, mega project may stimulate those changes by decreasing habitat of local biota. Operation of those large-scale projects may also accelerate degradation of biodiversity at a regional scale.	Yes	Yes
	Emission	Fuel combustion in electricity and heat production generates emissions into the air. Statutory limitations target emissions in Bangladesh.	Yes	Yes
	Waste	Projects we deal with are often of such nature that they create a huge amount of waste. This can pose a threat to our country.	Yes	Yes
	Compliance	Compliance with legislation in Bangladesh forms the foundation of our social operating license. Compliance of funding sources like, BB, JICA, WB, ADB, AFD etc. is also required.	Yes	Yes
Social	Equal Rights	We value diversity and we promote equal treatment and opportunities in recruiting, remuneration, personnel development and advancement, regardless of race, religion, political views, gender, age, nationality, language, sexual orientation, marital status, or disability. We happily and confidently declare "One Team, Big Dream; Be the Best!"	Yes	Yes
	Labour	Collaboration between the employees and the employer is based on local legislation, agreements and BIFFL's Code of Conduct.	Yes	Yes
	Child Labour	BIFFL has a higher level of vigilance on this issue ratified by the International Labour Organisation (ILO)'s Convention on the Minimum Age and the Worst Forms of Child Labour.	Yes	Yes
	Personal Development	We are one of the most attractive employers in Bangladesh. We aspire to be a desired employer that attracts and engages the best employees at all levels. That requires us to responsibly take care of our workforce to develop their personal skills.	Yes	N/A
	Grievance Mechanism	Our operations are guided by BIFFL's values, the Code of Conduct and the appropriate policy. A grievance mechanism offers stakeholders a channel for reporting possible misconduct and get redressed.	Yes	N/A
	Encouragement/ Training	We aim to create interesting career and development opportunities to continuously advance personal professional skills and know-how. It is important to us to secure the expertise required to implement the company's strategy.	Yes	N/A
	Employment Generation	BIFFL, through its lending activities is actively generating employments throughout the country.	Yes	Yes
	Financial Inclusion	BIFFL, within its capacity, is working for fostering financial inclusion in the society by providing financing to SME sector and by promoting women entrepreneurship.	N/A	Yes



BANGLADESH: 50 YEARS OF INDEPENDENCE

Father of the Nation Bangabandhu Sheikh Mujibur Rahman inspired the nation to battle stations through his historic speech on 7 March 1971.

Bangladeshis from all walks of life waged guerrilla warfare across all terrains against the much better equipped occupiers to establish the nation's independence.

Bangladesh was born as an independent nation on 16 December 1971 after a 9 month long war of liberation. 2021 marked 50 years of independence for Bangladesh.



The 7 'Bir Sreshthas' (Greatest of Heroes) are the national heroes of Bangladesh. They laid down their lives displaying exceptional courage in the face of certain death and helped secure Bangladesh's independence through glorious martyrdom.





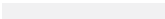
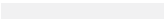
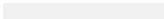
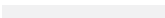
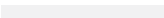
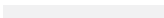
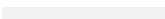
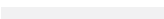
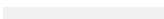
MANAGEMENT DISCUSSION & PERFORMANCE ANALYSIS

REVIEW OF FINANCIAL PERFORMANCE

Being a unique organization in terms of its vision, mission, objectives, area of operations, and funding mix, BIFFL continued to perform in a positive trend in 2021, supported by increasing trend of interest revenue from long-term loans. In achieving such revenue growth, BIFFL prioritize financing long-term infrastructural projects which are sustainable, energy efficient and overall environment friendly. Besides, being directly involved with implementation of PPP projects of the country, BIFFL also promotes sustainable private sector initiatives in collaboration with different development partners. Long-term nature of funding sources has put BIFFL in an advantageous position to finance such long-term projects.

- Notably, while explaining our key performance indicators and comparing those with industry benchmarks, we have considered our long-term nature of investments and sources of funding.
- BIFFL's strong performance in 2021 is evident by growth in total assets, interest revenue, net profit margin and earnings per share. BIFFL earned BDT61.24 crore net profit in 2021 and ROE was 2.31%.

BIFFL continued to create value to its shareholders by way of:

13.08% Growth in Net Profit 	26.05% Net Profit Margin 	23.72% Revenue Growth 
1.41% Return on Assets 	131.72% Capital Adequacy Ratio 	BDT25.90 NOCFPS 
BDT2.65 Earnings per Share 	BDT114.95 Net Asset Value per Share 	4.76% Market Share in terms of Total Assets 

BIFFL's Performance Compared to the Industry

BIFFL continued outperforming the industry in 2021 in terms of asset quality, earnings per share, net profit margin etc.

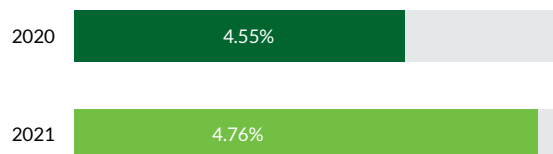
Total Assets

From the year 2017 to June 30, 2021, asset base of NBFi industry grew at a Cumulative Average Growth Rate (CAGR) of 1.71%. At the same time, BIFFL asset base grew at a CAGR of 11%. At the end of 2021,

Assets Growth



Market Share



BIFFL's total assets reached to BDT4,352.13 crore. BIFFL is sustainably maintaining its asset growth. Market share in terms of total assets is also growing. At the end of 2021, BIFFL holds 4.76% (Bangladesh Bank Annual Report- 2020-21) of the total Assets of NBFi industry, compared to 4.55% in 2020.

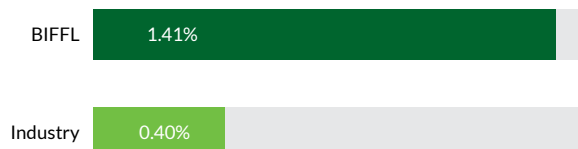
BIFFL's unique sources of funding compared to other entities operating in the industry. BIFFL's capital structure is heavily dominated by equity capital.

Key Developments in 2021

Return on Assets (ROA)

BIFFL's ROA at the end of 2021 was 1.41% compared to .40% of industry ROA. It outperformed the industry in terms of ROA. BIFFL maintained average ROA above the industry for the last five years.

ROA



BIFFL's financial results in 2021 reflect both the benefits of strategic actions taken over the past few years and the impact of strategic actions and restructuring which were continued in the reporting period.

Return on Equity (ROE)

BIFFL's ROE in 2021 was 2.31% against the industry ROE of 4.30%. This relatively low ROE is mainly due to low value of BIFFL's equity multiplier resulted from

ROE



Loans and advances to corporate sector and for national infrastructure development projects were BIFFL's strength for several years. Considering current business trends, risks, and profitability, BIFFL tends to focus more on long-term loan in different sectors. Considering adverse impact of Covid-19 pandemic, BIFFL remained cautious in selecting projects and disbursement thereon which results negative portfolio and disbursement growth by -11.82% and -59.23% respectively in 2021.

BIFFL focused meticulously on human resource as one of major strategies. Recruitment of quality resources continued in 2021. BIFFL invested a lot to improve the quality of the existing employees in the form of both local and foreign trainings and exposures. Employee motivation is visible in BIFFL by means of competitive

compensation package, increment and performance bonus, family gatherings, annual retreats, social events and so on. A well-defined succession plan has been introduced in BIFFL. A three-four level backup and career path has been introduced. BIFFL encourages leadership and provides for ample opportunities for its employees to march forward.

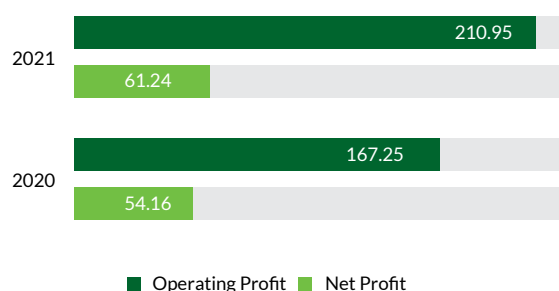
Analysis of Financial & Operational Performance

Profitability Position:

In 2021, the profitability indicators showed improvements posting net profit after tax of BDT61.24 crore compared to BDT54.16 crore in 2020 reflecting a year-to-year growth of 13.08%. That growth in profitability resulted mainly due to strong emphasis on portfolio management and asset quality. BIFFL focuses more on primary line of business and 2021's financials show the following results.

Particulars	BDT in crore		Y-Y Growth	
	2020	2021	Amount	%
Operating Profit	167.25	210.95	43.70	26.13%
Net Profit	54.16	61.24	7.08	13.08%

Operating Profit and Net Profit (BDT in crore)



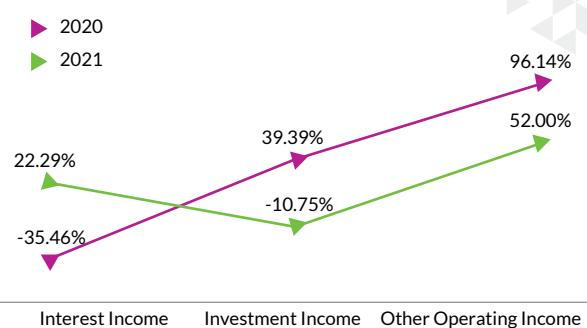
Revenue Position:

Where the industry is facing numerous challenges in growing up revenue lines, BIFFL has succeeded in earning BDT235.13 crore total revenue in 2021 with 13.08% growth in net profit. BIFFL is expecting a continued growth in revenue and profit in coming years with new PPP and energy efficient projects financing.

In total revenue mix, core contributor was interest revenue. In 2021, interest revenue contributed 58.28%, investment income 12.37% and other income 29.35%, respectively, in total revenue.

Particulars	Percentage (%)	
	2020	2021
Interest Income	58.96%	58.28%
Investment Income	17.15%	12.37%
Other Operating Income	23.89%	29.35%
Total (%)	100%	100%
Total (BDT in crore)	190.04	235.13

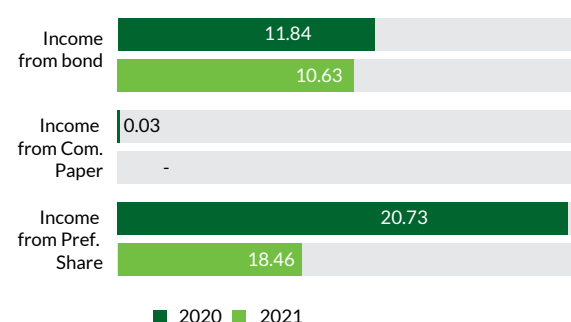
Y-Y growth in components of total revenue



In 2021, BIFFL's income from bonds preference shares decreased by 10.18%, 10.95% respectively which resulted overall, income from investment decreased by 10.75% in this year.

Particulars	BDT in crore		Y-Y growth	
	2020	2021	Amount	%
Income from bond	11.84	10.63	(1.21)	-10.18%
Income from Com. Paper	0.03	-	(0.03)	-100%
Income from Pref. Share	20.73	18.46	(2.27)	-10.95%
Total Investment Income	32.59	29.09	(3.50)	-10.75%

Investment Income (BDT in crore)



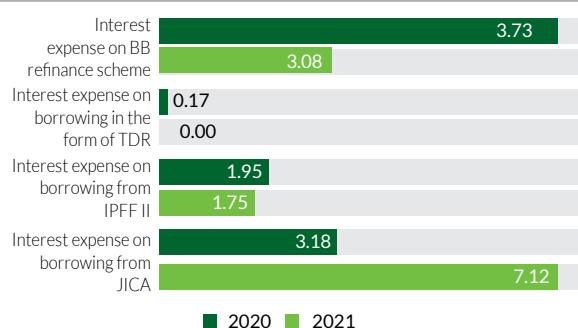
Interest Expenses:

In 2021, interest expenses increased by 32.39% to BDT11.95 crore from BDT9.03 crore of 2020.

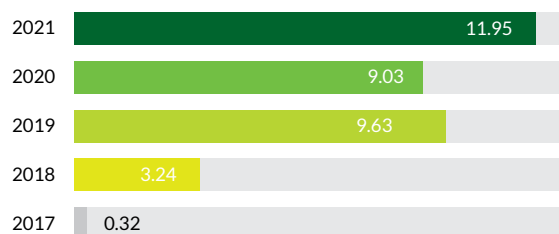
This rise of overall interest expenses is due to BIFFL stances to move to low-cost funding sources of development financial institutes.

Particulars	BDT in crore		Y-Y Growth	
	2020	2021	Amount	%
Interest expense on BB refinance scheme	3.73	3.08	-0.64	-17.30%
Interest expense on borrowing in the form of TDR	0.17	0.00	-0.17	-100.00%
Interest expense on borrowing from IPFF II	1.95	1.75	-0.20	-10.38%
Interest expense on borrowing from JICA	3.18	7.12	3.94	123.92%
Total interest expenses	9.03	11.95	2.92	32.39%

Breakdown of Interest Expenses (BDT in crore)



Financial Expenses (BDT in crore)



Financial expenses is in increasing trends as BIFFL's borrowings is increasing year to year marks the indication of utilizing large equity base to leverage the company.

Operating Expenses

Operating expenses was BDT12.22 crore in 2021 compared to BDT13.77 crore in 2020 which reflects 11.24% savings in operating expenses compared to previous year.

Particulars	BDT in crore		Y-Y Growth	
	2020	2021	Amount	%
Salary and allowances	6.14	6.53	0.40	6.44%
Rent, taxes, insurance, electricity etc.	0.17	0.21	0.04	22.53%
Legal expenses	0.02	0.04	0.02	79.87%
Postage, stamp, telecommunication etc.	0.17	0.23	0.07	39.45%
Stationery, printing, advertisement etc.	0.19	0.18	(0.00)	-1.04%
Managing Director's salary and allowances	0.70	0.92	0.23	32.26%
Directors' fees	0.09	0.10	0.00	4.84%
Auditors' fees	0.04	0.04	0.00	1.57%
Depreciation and repairs of company's assets	4.55	2.06	(2.49)	-54.74%
Other operating expenses	1.70	1.90	0.20	11.74%
Total operating expenses	13.77	12.22	(1.55)	-11.24%

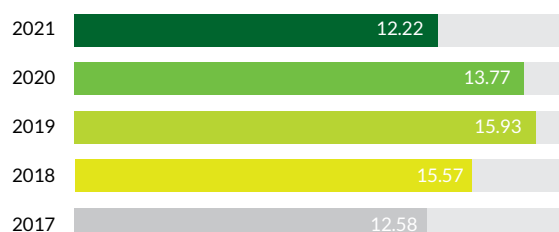
The main contributors to changes in operating expenses were:

- Staff related cost increased by 6.44%, comprising:
 - Growth in average number of employees in 2021 compared to 2020;
 - Incentives provided to employees in line with strong financial performance in 2021.
- Rent, insurance, and electricity expenses increased by 22.53% along with 54.74% decrease of depreciation and repairs of company's assets.
- Efficient business dealings with clients, effective cost management strategy during pandemic period reduced cost of stationery, printing, and advertisement by 1.04% and post Covid resumption of business activity caused legal expenses to increase by 79.87%.
- Other operating expenses increased by 11.74% in 2021 compared to 2020. Major contributors of other operating expenses were office maintenance, IT maintenance, training expenditure, CSR expenses, project site

supervision expenses, travelling allowance and conveyances.

- Auditor's fees increased by 1.57% in 2021 mainly due to selection of top ranked audit firm and appointment of additional compliance audit in addition to statutory audit fees.

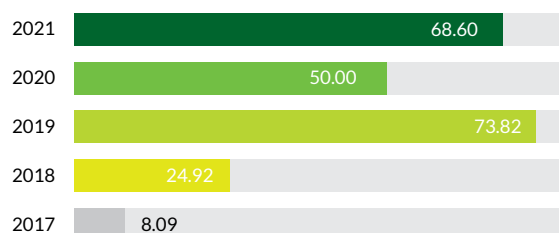
Operating Expenses (BDT in crore)



Provision for loans, leases and advances

Provision for loans, leases and advances increased over the last five years along with the growth in loan portfolio. Provision maintained in 2021 increased due to building-up resilience against volatile market and economic condition due to adverse situation resulted from Covid-19 pandemic.

Provision for Loan, Leases, Advances, and Others (BDT in crore)



Analysis of Financial Position

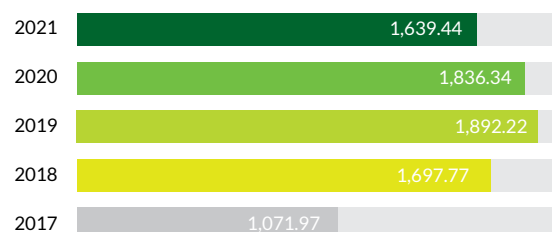
Loans, leases, and advances

In 2021, loans, leases and advances stood to BDT1,639.44 crore compared to BDT1,836.34 crore in the previous year reflecting year to year negative growth of 10.72%. Strong measures for recovery of due instalments and cautious selection of new projects for disbursement during post pandemic period resulted negative growth of loan portfolio. BIFFL was focusing on financing different sectors like textiles, garments and accessories, transport, steel and engineering, power and energy, electronics and electrical, plastic, food and beverage, glass and ceramics, services, and other sectors.

Particulars	BDT in crore		Y-Y Growth	
	2020	2021	Amount	%
Loan, leases, and advances	1,836.34	1,639.44	(196.90)	-10.72%

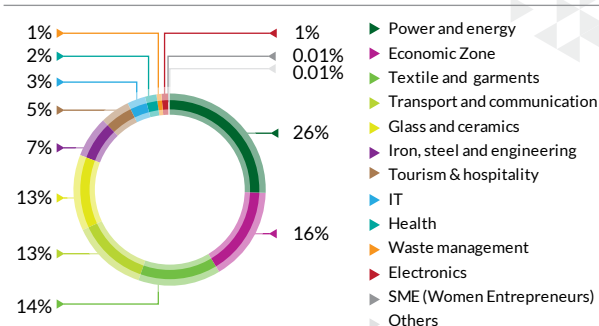
BIFFL loan, leases, and advances portfolio have experienced a steady growth over the last five years. In 2017, loan & leases portfolio was only BDT1,071.97 crore. However, within a span of 5 years, it reached to BDT1,639.44 crore.

Loans, Leases and Advances 2021 (BDT in crore)



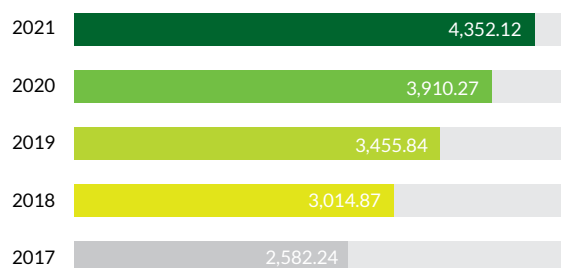
Major portion of share of the loans and advances portfolio has been invested in power & energy and garments & textile sectors in line with BIFFL's vision of financing energy efficient export sector to spur export earnings and infrastructure development. As a part of infrastructure development BIFFL also has mandate to invest in transport and communication sector. Other important sectors are services, economic zones, glass and ceramics, steel, and engineering etc.

Loan and Investment Portfolio 2021 (%)

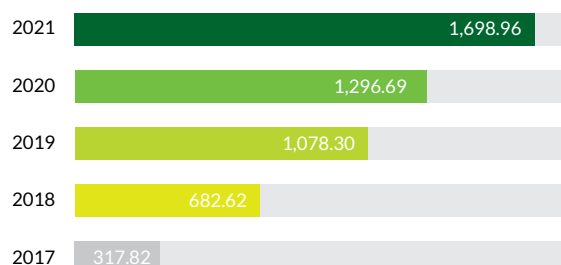


Total Assets

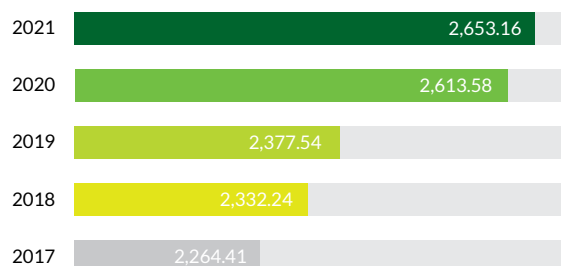
Total assets of BIFFL increased by 68.54% in last five years. Over the last five years BIFFL's asset base grew on average @11.30% per year. This increase in assets is mostly financed by sustainable earnings and low-cost borrowing from Development Financial Institutes.

Total Assets (BDT in crore)**Total Liabilities**

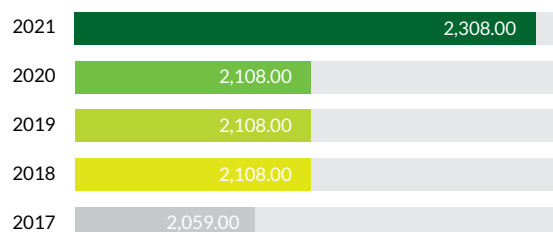
In 2021, total liabilities increased by 31% to BDT1,698.96 crores. The increase in total liabilities is mainly due to injection of fund from JICA under subsidiary loan agreement with Government of Bangladesh and fund from IPFF II of WB through Bangladesh Bank. However, liability portion is still quite low compared to equity capital. Before 2019, most part of this liability consisted of different operational liabilities and short-term fund arrangement with different banks and financial institutions.

Total Liabilities (BDT in crore)**Equity Capital**

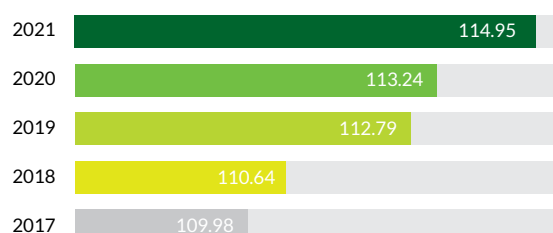
Over the last five years, the equity capital of BIFFL increased by around BDT400 crore. This increment is from additional equity injection of government amounting BDT200 crore and remaining part is from retained earnings over the last five years. At the end of 2021, the amount of common equity capital was BDT2,653.16 crore.

Total Equity (BDT in crore)

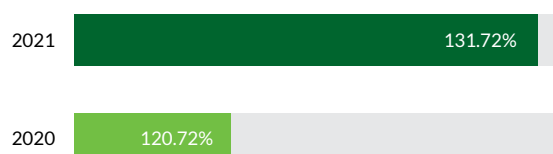
Paid up capital at the end of 2017 was BDT2,059 crore which stood at BDT2,308 crore at the end of 2021.

Paid-up Capital (BDT in crore)

Net assets value per share of BIFFL is in an increasing trend from 2017. At the end of 2021 NAV per share was BDT114.95, BDT1.71 higher than previous year.

Net Assets Value (NAV) per Share**Capital and Capital Adequacy**

BIFFL is operating with strong capital base with capital adequacy ratios (CAR) well above the Basel II minimum regulatory capital requirements. Required CAR is 10% where, in 2021 BIFFL had 131.72% compared to 120.72% in 2020. Rise in CAR by 11% is mainly due to increase in equity capital and downward movement of risk weighted assets in 2021 compared to previous year. Total capital increased by 1.34% in 2021 to BDT2,672.68 crore from BDT2,637.25 crore in 2020.

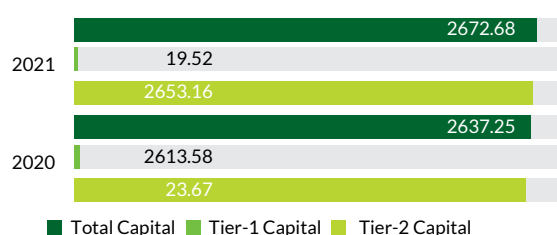
Capital Adequacy Ratio (CAR-%)

Balance sheet was well positioned with our Basel II CAR at 131.72%. CAR is substantially well above regulatory requirement of 10%.

Particulars	BDT in crore		Y-Y Growth	
	2020	2021	Amount	%
Tier-1 Capital	2613.58	2653.16	39.58	1.5%
Tier-2 Capital	23.67	19.52	-4.15	-17.5%
Total Capital	2637.25	2672.68	35.43	1.3%

Increase in Tier-1 eligible capital was mainly due to higher amount of shareholders equity compared to previous year supported by retained earnings and additional equity injection by the shareholders.

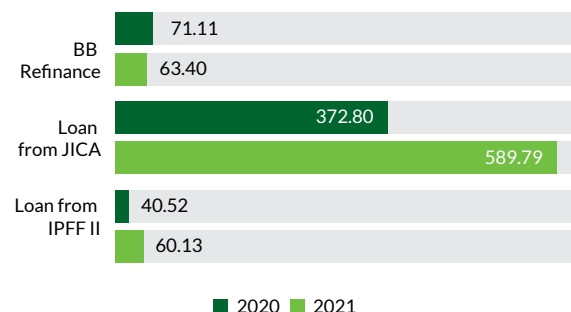
Eligible Capital



Fund from Bangladesh Bank refinancing scheme and Multilateral Agency

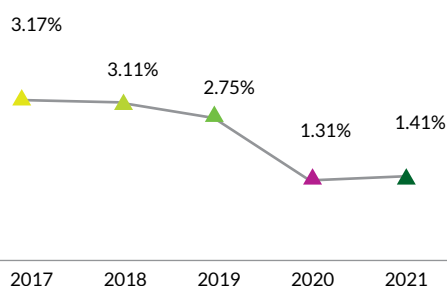
BIFFL received around BDT210 crore and BDT18 crore fresh disbursement of long-term loans from JICA and IPFF-II of WB in 2021.

Borrowing position

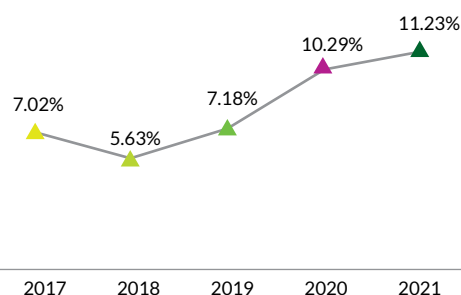


Other key ratios

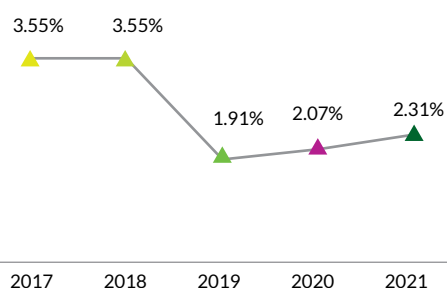
Return on Assets(%)



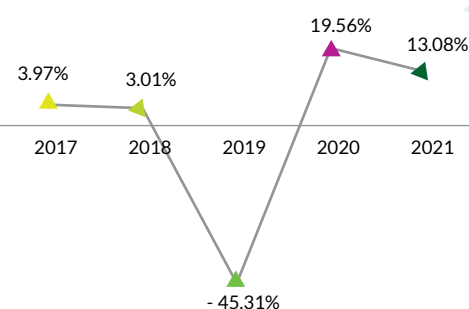
Return on Investment (%)

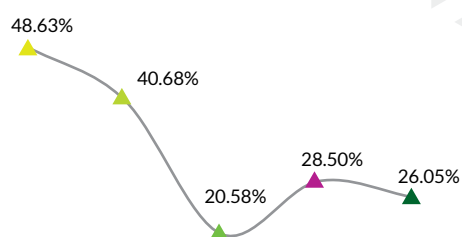


Return on Share Holders Equity (%)

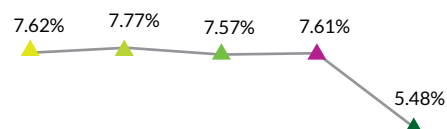


Y-Y growth of net profit (%)

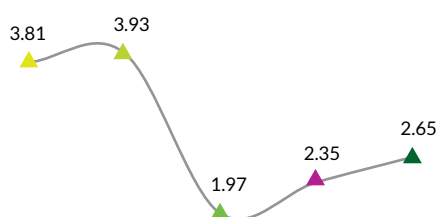


Profit Margin (%)

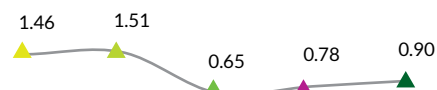
2017	2018	2019	2020	2021

Opex as % of Operating Income

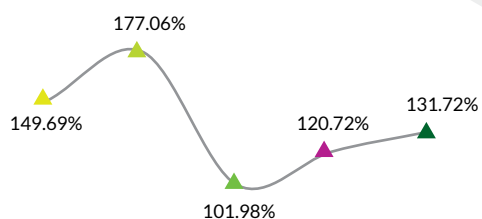
2017	2018	2019	2020	2021

Earnings Per Share (BDT)

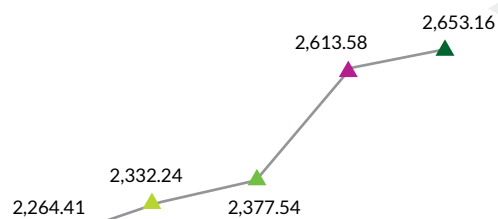
2017	2018	2019	2020	2021

Profit Per Employee (BDT in crore)

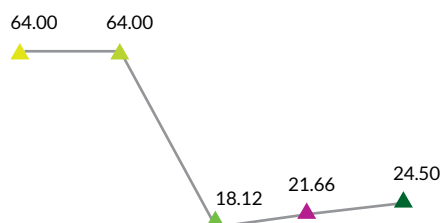
2017	2018	2019	2020	2021

Capital Adequacy Ratio (CAR-%)

2017	2018	2019	2020	2021

Share Holders Equity (BDT in crore)

2017	2018	2019	2020	2021

Dividend (BDT in crore)

2017	2018	2019	2020	2021

KEY OPERATING & FINANCIAL HIGHLIGHTS

Particulars	2017	2018	2019	2020	2021	Growth of 2021 over 2020	5-Year AVG(%)
Financial Performance (in million):							
Investment	2,498	1,563	3,256	3,169	2,591	-18%	1%
Loan Portfolio	10,720	16,978	18,922	18,363	16,394	-11%	9%
Power & Energy	245	1,177	2,497	3,133	2,516	-20%	59%
Transport & Communication Services	3,200	5,683	3,565	2,574	2,292	-11%	-6%
Glass and Ceramics	1,203	1,227	1,100	1,207	1,194	-1%	0%
Iron, Steel and Engineering	468	1,104	1,924	2,168	2,399	11%	39%
Textiles & Garments	800	737	1,189	1,561	1,395	-11%	14%
Others	664	1,445	2,809	3,058	2,650	-13%	13%
	4,140	5,606	5,838	4,662	3,948	-15%	-1%
Total Assets	25,822	30,149	34,558	39,103	43,521	11%	11%
Total Liabilities	3,178	6,826	10,783	12,967	16,990	31%	40%
Total Equity	22,644	23,322	23,775	26,136	26,532	2%	3%
Operational Performance (in million):							
Interest Income from Leases, Loans and Advances	748	1,132	1,736	1,121	1,370	22%	13%
Total Revenues	1,653	2,036	2,201	1,900	2,351	24%	7%
Operating Income	1,650	2,003	2,105	1,810	2,232	23%	6%
Operating Expenses	126	156	159	138	122	-11%	-1%
Financial Expenses	3	32	96	90	120	32%	106%
Provision for Loan, Lease, Advances, Investments, FDRs and other Assets	81	249	738	500	686	37%	53%
Profit Before Provision & Tax	1,524	1,848	1,946	1,672	2,110	26%	7%
Profit Before Tax	1,443	1,599	1,207	1,172	1,424	21%	0%
Net Profit After Tax	804	828	453	542	612	13%	-5%
EBITDA	1,564	1,919	1,349	1,307	1,563	20%	0%

Particulars	2017	2018	2019	2020	2021	Growth of 2021 over 2020	5-Year AVG(%)
Financial Ratios							
Return on Assets (%)	3.11%	2.75%	1.31%	1.39%	1.41%	2%	-15%
Return on Investment (%)	7.02%	5.63%	7.18%	10.29%	11.23%	9%	10%
Return on Share Holders Equity (%)	3.55%	3.55%	1.91%	2.07%	2.31%	11%	-8%
Profit Margin (%)	48.63%	40.68%	20.58%	28.50%	26.05%	-9%	-12%
Opex as % of Operating Income	7.62%	7.77%	7.57%	7.61%	5.48%	-28%	-6%
Earnings Per Share (BDT)	3.81	3.93	1.97	2.35	2.65	13%	-7%
Profit Per Employee (in million)	11.83	12.18	6.66	7.96	9.01	13%	-5%
Capital Adequacy Ratio (CAR) (%)	149.69%	177.06%	101.98%	120.72%	131.72%	9%	-3%
Equity Statistics							
Number of Shares (No.)	206	211	211	231	231	0%	2%
Paid Up Capital (BDT)	20,590	21,080	21,080	23,080	23,080	0%	2%
Share Holders Equity (in million)	22,644	23,322	23,775	26,136	26,532	2%	3%
Dividend (in million)	640	640	181	217	245	13%	-17%
Net Assets Value (NAV) per Share (BDT)	110	111	113	113	115	2%	1%

HORIZONTAL ANALYSIS

For the last 5 years
Balance Sheet

Particulars	2017	2018	2019	2020	2021
PROPERTY AND ASSETS					
Cash	100%	82%	75%	4%	37%
Cash in hand	100%	118%	138%	89%	94%
Balance with Bangladesh Bank	100%	82%	75%	4%	37%
Balance with others banks and financial institutions	100%	83%	85%	133%	200%
Inside Bangladesh	100%	83%	85%	133%	200%
Outside Bangladesh	-	-	-	-	-
Money at call and short notice	100%	0%	46%	45%	45%
Investment	100%	63%	130%	127%	104%
Government securities	-	-	-	-	-
Others investments	100%	63%	130%	127%	104%
Lease, loans and advances	100%	16%	18%	17%	15%
Lease portfolio, term finance, short term loan, etc.	-	-	-	-	-
Fixed assets including land, building, furniture and fixtures	100%	115%	100%	84%	76%
Other assets	100%	121%	144%	170%	192%
TOTAL PROPERTY AND ASSETS	100%	117%	134%	151%	169%
LIABILITY AND SHAREHOLDERS' EQUITY					
Liabilities					
Borrowings from Bangladesh Bank ,other banks and financial institutions	100%	70852%	119947%	139457%	205352%
Term deposits	-	-	100%	-	-
Other liabilities	100%	137%	193%	256%	310%
TOTAL LIABILITIES	100%	215%	339%	408%	535%
Share holders' Equity	100%	103%	105%	115%	117%
Paid up capital	100%	102%	102%	112%	112%
Share premium	-	-	-	-	-
Statutory reserve	100%	112%	118%	126%	135%
General reserve	-	-	100%	200%	300%
Fair value measurement reserve	-	-	-	-	-
Retained earnings	100%	103%	151%	182%	217%
Non controlling interest	-	-	-	-	-
TOTAL LIABILITY AND SHAREHOLDERS' EQUITY	100%	117%	134%	151%	169%

HORIZONTAL ANALYSIS

For the last 5 years

Profit and Loss Account

Particulars	2017	2018	2019	2020	2021
Operating income					
Net interest	100%	148%	220%	138%	168%
Interest income	100%	151%	232%	150%	183%
Less: Interest expenses on deposits & borrowings	100%	1003%	2981%	2793%	3698%
Income from investment	100%	50%	133%	186%	166%
Other operational income	100%	112%	32%	62%	95%
Total operating income	100%	121%	128%	110%	135%
Operating expenses					
Salary and allowances	100%	122%	151%	157%	167%
Rent, taxes, insurance, electricity etc.	100%	160%	95%	47%	57%
Legal and professional fees	100%	183%	96%	27%	48%
Postage, stamp, telecommunication etc	100%	110%	124%	107%	150%
Stationary, printing, advertisement	100%	295%	138%	38%	37%
Managing directors salary and allowances	100%	107%	71%	73%	97%
Director's fees and expenses	100%	107%	113%	72%	76%
Audit fees	100%	307%	222%	337%	342%
Repairs, maintenance and depreciation	100%	105%	120%	117%	53%
Other operating expenses	100%	122%	124%	65%	73%
Total operating expenses	100%	124%	127%	109%	97%
Net operating income	100%	121%	128%	110%	138%
Provision for loans, investment and other assets	100%	308%	913%	618%	848%
Provision for loans, investment and other assets	100%	308%	913%	618%	848%
Profit before tax and reserve	100%	111%	84%	81%	99%
Provision for tax made during the year	100%	120%	118%	99%	127%
Net profit after tax	100%	103%	56%	67%	76%
Earning per share (EPS)	100%	103%	52%	62%	70%

VERTICAL ANALYSIS

For the last 5 years

Balance Sheet

Particulars	2017	2018	2019	2020	2021
PROPERTY AND ASSETS					
Cash	0.16%	0.11%	0.09%	0.00%	0.04%
Cash in hand	0.00%	0.00%	0.00%	0.00%	0.00%
Balance with Bangladesh Bank	0.16%	0.11%	0.09%	0.00%	0.03%
Balance with others Banks and Financial Institutions	36.41%	25.98%	23.05%	32.00%	43.28%
Inside Bangladesh	36.41%	25.98%	23.05%	32.00%	43.28%
Outside Bangladesh	0.00%	0.00%	0.00%	0.00%	0.00%
Money at call and short notice	0.23%	0.00%	0.08%	0.07%	0.06%
Investment	9.67%	5.19%	9.42%	8.10%	5.95%
Government securities	0.00%	0.00%	0.00%	0.00%	0.00%
Others investments	9.67%	5.19%	9.42%	8.10%	5.95%
Lease, Loans and advances	41.51%	56.31%	54.75%	46.96%	37.67%
Fixed assets including land, building, furniture and fixtures	1.03%	1.02%	0.77%	0.57%	0.47%
Other assets	10.98%	11.40%	11.83%	12.30%	12.53%
TOTAL PROPERTY AND ASSETS	100%	100%	100%	100%	100%
LIABILITY AND SHAREHOLDERS' EQUITY					
Liabilities					
Borrowings from Bangladesh Bank ,other banks and financial institutions	0.01%	8.16%	12.06%	12.39%	16.39%
Term deposits	0.00%	0.00%	1.46%	0.00%	0.00%
Other liabilities	12.29%	14.48%	17.69%	20.77%	22.65%
TOTAL LIABILITIES	12.31%	22.64%	31.20%	33.16%	39.04%
Share holders' Equity	87.69%	77.36%	68.80%	66.84%	60.96%
Paid up capital	79.74%	69.92%	61.00%	59.02%	53.03%
Share premium	-	-	-	-	-
Statutory reserve	5.43%	5.20%	4.80%	4.52%	4.34%
General reserve	-	-	0.14%	0.26%	0.34%
Fair value measurement reserve	-	-	-	-	-
Retained earnings	2.52%	2.24%	2.85%	3.04%	3.24%
Non controlling interest	-	-	-	-	-
TOTAL LIABILITY AND SHAREHOLDERS' EQUITY	100%	100%	100%	100%	100%

VERTICAL ANALYSIS

For the last 5 years

Profit and Loss Account

Particulars	2017	2018	2019	2020	2021
Operating income					
Net interest	45.06%	54.02%	74.49%	54.21%	53.20%
Interest income	45.20%	55.61%	78.86%	58.96%	58.28%
Less: Interest expenses on borrowings	0.20%	1.59%	4.38%	4.75%	5.08%
Income from investment	10.60%	4.32%	10.62%	17.15%	12.37%
Commission, exchange and brokerage income	0.00%	0.00%	0.00%	0.00%	0.00%
Other operational income	44.15%	40.06%	10.51%	23.89%	29.35%
Total operating income	99.80%	98.41%	95.62%	95.25%	94.92%
Operating expenses					
Salary and allowances	2.36%	2.34%	2.68%	3.23%	2.78%
Rent, taxes, insurance, electricity etc.	0.22%	0.29%	0.16%	0.09%	0.09%
Legal and professional fees	0.04%	0.07%	0.03%	0.01%	0.01%
Postage, stamp, telecommunication etc	0.09%	0.08%	0.09%	0.09%	0.10%
Stationary, printing, advertisement	0.30%	0.72%	0.31%	0.10%	0.08%
Managing directors salary and allowances	0.58%	0.50%	0.31%	0.37%	0.39%
Director's fees and expenses	0.08%	0.07%	0.06%	0.05%	0.04%
Audit fees	0.01%	0.02%	0.01%	0.02%	0.02%
Repairs, maintenance and depreciation	0.02%	2.01%	2.11%	2.40%	0.88%
Other expenses	1.58%	1.56%	1.47%	0.90%	0.81%
Total operating expenses	7.61%	7.65%	7.24%	7.24%	5.20%
Net operating income	92.20%	90.76%	88.39%	88.00%	89.72%
Provision for loans, investments and others	4.89%	12.24%	33.54%	26.31%	29.18%
Provision for loans, investments and others	4.89%	12.24%	33.54%	26.31%	29.18%
Profit before tax	87.31%	78.52%	54.85%	61.69%	60.54%
Provision for tax made during the year	38.67%	37.83%	34.27%	33.20%	34.50%
Provision for tax made during the year	38.67%	37.83%	34.27%	33.20%	34.50%
Net profit after tax	48.63%	40.68%	20.58%	28.50%	26.05%

HIGHLIGHTS

(As per Bangladesh Bank guidelines)

Annexure -B

Sl No.	Key Indicators	Amount in Taka	
		31-Dec-21	31-Dec-20
1	Paid-up capital	23,080,000,000	23,080,000,000
2	Total capital	26,726,773,059	26,372,469,885
3	Capital surplus	24,697,690,085	24,017,976,903
4	Total assets	43,521,202,485	39,102,717,178
5	Total deposits	-	-
6	Total leases, loans, and advances	16,394,424,310	18,363,380,418
7	Total contingent liabilities and commitments	247,158,051	454,800,000
8	Credit deposit ratio	-	-
9	Percentage of classified loans against total leases, loans, and advances	15.00%	1.56%
10	Profit after tax and provision	612,394,582	541,574,113
11	Amount of classified loans during current period	2,458,735,277	23,838,714
12	Provision kept against classified loans	489,636,452	29,883,945
13	Interest earning assets	37,849,041,626	34,071,391,084
14	Non-interest earning assets	5,672,160,860	5,031,326,094
15	Return on Investment (ROI)	11.23%	10.29%
16	Return on Assets (ROA)	1.41%	1.39%
17	Income from investment	290,892,324	325,936,996
18	Earnings per Share (EPS)	2.65	2.35

VALUE ADDED STATEMENT

The value added statement appended below is the details of total value addition by Bangladesh Infrastructure Finance Fund Limited(BIFFL) and distribution thereof. The distribution of value reveals how the company contributed for socio-economic development by paying salaries and allowances to the employees, dividend to the shareholders (Government), taxes to the Government and retention of some amounts for growth and expansion.

Value addition	2021		2020		2019		2018		2017	
	Taka	%	Taka	%	Taka	%	Taka	%	Taka	%
Total income	2,351,251,794		1,900,439,685		2,201,351,617		2,035,884,783		1,653,372,411	
Cost of borrowing	(119,530,730)		(90,286,117)		(96,345,981)		(32,411,434)		(3,232,010)	
Provisions	(685,990,979)		(500,000,000)		(738,228,621)		(249,241,429)		(80,858,449)	
Operating expenses excluding salary expenses and depreciation	(27,998,843)		(31,723,688)		(48,293,934)		(59,517,228)		(40,416,710)	
	1,517,731,241		1,278,429,880		1,318,483,082		1,694,714,693		1,528,865,242	
Distribution of Value Addition										
To employees as salaries and allowances	74,579,065	5%	61,387,080	5%	65,842,767	5%	57,792,269	3%	48,590,300	3%
To Government as income tax	811,872,192	53%	638,629,481	50%	760,435,907	58%	768,477,974	45%	641,851,639	42%
To shareholders (Government) as dividend	244,957,833	16%	216,629,645	17%	181,196,112	14%	-	0%	640,000,000	42%
Value retained for expansion and future growth										
Value retained in business	367,436,750	24%	324,944,468	25%	271,775,498	21%	828,294,378	49%	164,107,298	11%
Deferred tax	(737,195)	-0.05%	(7,730,815)	-0.60%	(5,927,746)	-0.45%	1,752,485	0.10%	(2,478,381)	-0.16%
Depreciation	19,622,597	1%	44,570,022	3%	45,160,544	3%	38,397,587	2%	36,794,386	2%
Amount distributed	1,517,731,241	100%	1,278,429,880	100%	1,318,483,082	100%	1,694,714,693	100%	1,528,865,242	100%
Number of employees at the end of the year	68		69		70		85		55	
Value created per employee	22,319,577		18,527,969		18,835,473		19,937,820		27,797,550	
Number of shares	230,800,000		230,800,000		210,800,000		210,800,000		205,900,000	
Value created per share	6.58		5.54		6.25		8.04		7.43	

STATEMENT ON CONTRIBUTION TO GOVERNMENT EXCHEQUER

For the Year Ended on 31 Decemeber 2021

Government is one of the most important stakeholders and also play a critical role in economic and technological advancement of the country. As a concious and ethical government owned entity Bangladesh Infrastructure Finance Fund Limited (BIFFL) makes consistent contribution to the Goverment exchequer. For the year ended 31 December 2021, BIFFL contributed to the Government exchequer an amount of BDT90.81 crore compsoed of income tax, withholding tax & VAT and dividend.

Forms of Contribution	2021	2020	2019	2018	2017
Income Tax:	690,091,462	785,660,551	572,298,649	626,410,466	401,906,989
Payroll tax	3,991,535	2,626,944	3,555,045	3,501,643	3,228,043
Advance corporate tax	685,646,513	781,687,573	561,655,414	619,980,669	397,143,090
Tax on payment to suppliers, vendors, service providers etc.	453,414	1,346,034	7,088,190	2,928,155	1,535,856
Value Added Tax (VAT):	1,375,204	2,403,780	6,950,948	5,378,349	3,806,467
VAT on payment to suppliers, vendors, service providers etc.	1,375,204	2,403,780	6,950,948	5,378,349	3,806,467
Dividend:	216,629,645	181,196,112	-	150,000,000	150,000,000
Cash dividend	216,629,645	181,196,112	-	150,000,000	150,000,000
Total contribution to Government Exchequer	908,096,311	969,260,442	579,249,597	781,788,816	555,713,456

BIFFL'S CONTRIBUTION TO ACHIEVING SDGs



A resolution titled 'Transforming our World: the 2030 Agenda for Sustainable Development' was adopted by the UN General Assembly on 25 September 2015, heralding the commencement of yet another 15-year cycle of global development goal following the footsteps of Millennium Development Goals (MDGs) for 2000-15. This post-2015 global agenda contains 17 Sustainable Development Goals (SDGs) and 169 targets. The SDG agenda is a plan of action for the people, planet and collective prosperity by seeking to strengthen global peace and larger freedom at the same time eradicating poverty in all its forms and dimensions.

The 2030 Agenda comes at a time when Bangladesh has already kicked-off its journey towards an upper-middle income country by 2030 and a developed country by 2041. Bangladesh has incorporated priorities of SDGs in all its development policies. The Government has adopted an inclusive approach to development so that the poorest and the most vulnerable section of the society can be integrated into its national development efforts. As the country moves ahead, challenges in several areas, including in resource mobilization and data management, will have to be addressed. Bangladesh is confident to set the example of a leading SDG achiever.

BIFFL is a unique organization working for infrastructure development, environment and climate conservation as well as women empowerment which directly impacts poverty eradication, redressing gender disparity and sustainable development of the country in partnership between the private and public sector.



Infrastructure Development

BIFFL was formed to facilitate the long-term infrastructure projects which are crucial for the country's development towards achieving middle income status. For development of infrastructures in connectivity, power and energy, development of economic zones, BIFFL financed about BDT3,290.73 crore as of December 2021. Besides, a good number of projects are under consideration for financing. By financing infrastructure, BIFFL contributes to the achievement of SDG-8, SDG-9 and SDG-11 in particular.



Partnership for Capacity Development Program

BIFFL has been working with different multilateral and bilateral development partners such as JICA, the World Bank, ADB, KfW and AFD for capacity development (under Technical Assistance) for energy efficiency and conservation promotion, infrastructure development and food value chain improvement project which contributes towards the achievement of SDG-17 (partnership for the goal).



Sustainability Financing

BIFFL believes in sustainable development protecting the environment and nature. In line with this, the organization has been working to promote environment-friendly green construction materials in development works. The company has been organizing 'Green and PPP Convention and Expo' from 2016 with the aim of raising awareness among the populace, business entrepreneurs, media and the policy makers of the country about green technologies and energy efficiency. In addition to that, BIFFL is also promoting introducing renewable energy and energy efficiency by providing concessional financing. By extending concessional loans and technical assistance, BIFFL is also supporting agro based food processing industries thereby trying to ensure safe food for consumers.

BIFFL has financed about BDT568.63 crore sustainability-themed projects as of the end of 2021. Such green initiatives of BIFFL contributes the preservation of environment and climate which contributes towards achieving SDG-6, SDG-7, SDG-12, SDG-13, SDG-14 and SDG-15.



Women Empowerment

BIFFL has been working on women empowerment and redressing gender disparity. In this connection, BIFFL formed its Women Entrepreneurship Development Unit (WEDU) in 2017 and is financing women entrepreneurs for inclusive economic development and growth. Besides, it provided cluster-finance to women entrepreneurs in 'Jamdani Palli' at Rupganj, Narayanganj and crab farmers in Rampal, Bagerhat.

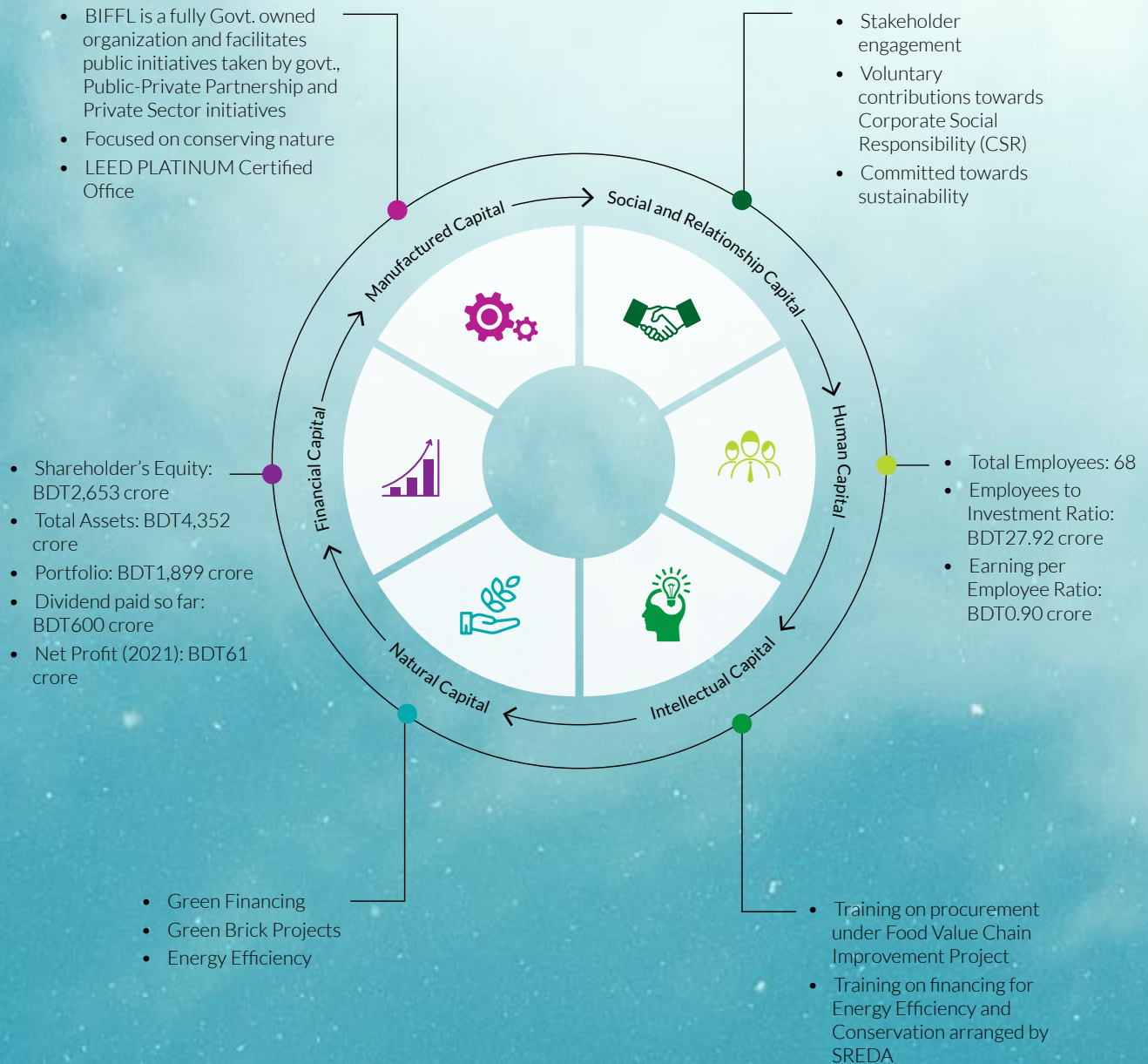
Through WEDU, BIFFL has been contributing a lot on the development of the poor women entrepreneurs, helping them to improve their economic status, promoting social empowerment and redressing gender disparity which reflects on achievement of SDG-5 (Gender Equality) and SDG-10 (Reduced Inequality).

BIFFL has been working for sustainable development of the country in line with the perspective plan 2010-2021 and the 7th & 8th five-year plans of Bangladesh. As such, BIFFL is fully committed to work together with all stakeholders towards the achievement of SDG 2030.

Reference:

1. World Bank, 2007. World Development Report 2008
2. Financial Express, Published: 06 Dec 2016, 21:50:36
3. Financial Express, Published: Mon, 10 July 2017
4. United Nations Framework Convention on Climate Change (UNFCCC), Paris. un, 2015b.
5. Global Sustainable Development Report, 2015 edition. UN, 2016,
6. Article on SDG, Bangladesh by Dr. Helal Uddin Ahmed, retired Additional Secretary and former Editor of Bangladesh Quarterly.
7. <https://sustainabledevelopment.un.org/?page=view&nr=164&type=230>

KEY RESOURCES OF BIFFL



FINANCIAL CAPITAL

BIFFL, owned by the Government of Bangladesh, is the largest NBFI in Bangladesh with authorized and paid-up capital of BDT10,000 crore and BDT2,308 crore, respectively. BIFFL receives funds from several development partners such as JICA, ADB, the World Bank etc. BIFFL has access to refinancing and on-lending funds from Bangladesh Bank to finance green projects. The fund is sourced to address the need of infrastructure development vis-à-vis insufficient investment in the particular sector, with a view to promoting an attractive environment for sustainable private investment.



Material Aspects

- Operating income growth of 23.29%
- Net profit of BDT61.24 crore
- Operating profit margin of 94.5%
- Cost to income ratio 5.48%



Highlights

- Operating profit of BDT210.95 crore
- Operating cash flow per share of BDT25.90
- Return on Investment (ROI) of 11.21%
- Total asset growth of 11.30%



Strengths and Opportunities

- Lower level of operational cost
- Talented and adept workforce
- Increasing exposure to the market
- Increasing exposure to the foreign funds



Challenges

- Covid-related effects- Caution amongst entrepreneurs, weakening of assets, supply chain disruption etc.
- Entry-exit barrier
- Local and global economic adversity
- Low regional exposure

Key Financial Highlights

Particulars	2020	2021	Growth
Financial Performance (BDT):			
Long Term Investment	2,919,028,755	2,341,151,513	-19.80%
Loans, Leases & Advances	18,363,380,418	16,394,424,310	-10.71%
Total Assets	39,102,717,178	43,521,202,485	11.30%
Total Liabilities	12,966,911,094	16,989,631,465	31.02%
Total Equity	26,135,806,084	26,531,571,021	1.51%
Operational Performance (BDT):			
Total Revenues	1,900,439,685	2,351,251,794	23.72%
Operating Income	1,810,153,567	2,231,721,063	23.29%
Operating Expenses	137,680,789	122,200,505	-11.24%
Financial Expenses	90,286,117	119,530,730	32.39%
Provision for Loans, Leases and Advances	-	435,395,758	-
Profit before Provision & Tax	1,672,472,778	2,109,520,558	26.13%
Net Profit before Tax	1,172,472,778	1,423,529,579	21.41%
Net Profit after Tax	541,574,113	612,394,582	13.08%

MANUFACTURED CAPITAL



Ownership

BIFFL is a fully Government-owned organization focusing on supporting infrastructure development, which can take place in three ways through:

- I. public initiatives taken by the Government agencies like BEZA and Roads & Highways department etc.
- II. PPP implemented by the private sector; and
- III. private sector initiatives.

BIFFL's policy is to support all three models of infrastructure developments.



Source of Funding

Another uniqueness of BIFFL is its source of funding. Its source of fund is mostly long-term that allows it to finance long-term infrastructure projects. In financing such long-term projects, we take calculated risks in investments like preference shares, bonds and commercial papers to ensure projects' ability to raise the required financing. Such risks are taken based on project's viability and higher ROI.



Steps for Conserving Nature

One requirement for ensuring sustainability is efficiency and conservation. We not only finance a development project but also ensure efficient use of the projects' output to reduce pollution and conserve the nature. BIFFL leverages the market for commercial banks by way of offering low rate of interest and thereby increasing borrower's repayment capacity. We believe that a project's outcome will not be environment-friendly if its construction materials are also not environment-friendly.



LEED Platinum Certified Office

BIFFL promotes a befitting environment for sustainable investment and upholds the true essence of green financing in every possible aspect. Alongside its commendable efforts towards environment-friendly investment policy, BIFFL is committed to contrive such a workspace for its employees which would be green and at the same time environmentally sound. In accordance with this resolution, BIFFL decided to go for USGBC LEED certification under the commercial interior category for its corporate office. BIFFL puts together a highly efficient team to execute the project incorporating an Integrated Project Delivery (IPD – Team Process) methodology. With the help of the collective efforts of Design Consultant (ARCHVISTA), Green Building Consultant (360 Degree Total Solutions) and Project Contractor (INSIGNIA Studio), it has been possible to execute the plan and BIFFL takes the pleasure in being the first Government-owned organization to bag the prestigious and highly coveted LEED PLATINUM (highest possible category) certificate.

NATURAL CAPITAL

EE&C: A Better Solution for Nature

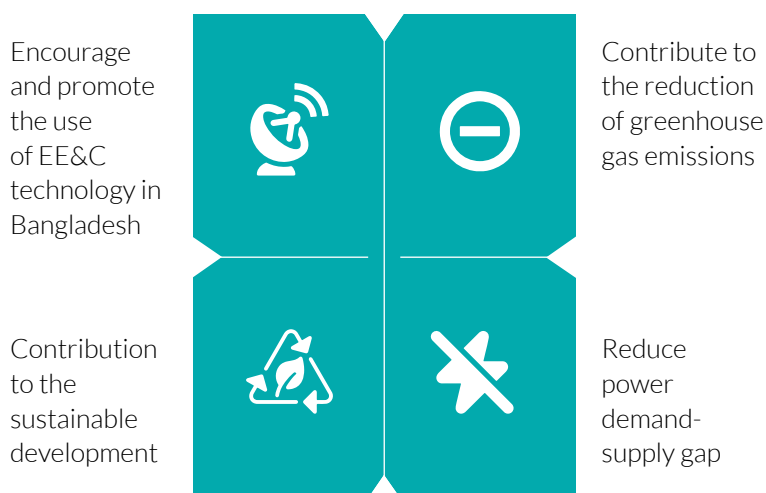
When applying for the loan to BIFFL, the proponents of EE&C submit energy consumption and production data for existing equipment and estimation figures for the new energy efficient equipment. Under some assumption provided by SREDA we calculate the theoretical energy conservation figures with those data. Theoretical energy saving data for the ongoing EE&C projects are listed in the following table:

			
Energy Savings	CO ₂ Reduction	11,344MWh/Year BDT9.70 crore/ Year	6743t CO ₂ /Year

Notes: 1 Unit = BDT8.55

The calculation shows that a total of 11,344 MWh will be saved by the EE&C projects funded by BIFFL in a year. In monetary terms, the value of the energy conservation will be BDT9.70 crore. Total CO₂ reduction per year will be 6,743 tons.

Objectives of EE&C Financing

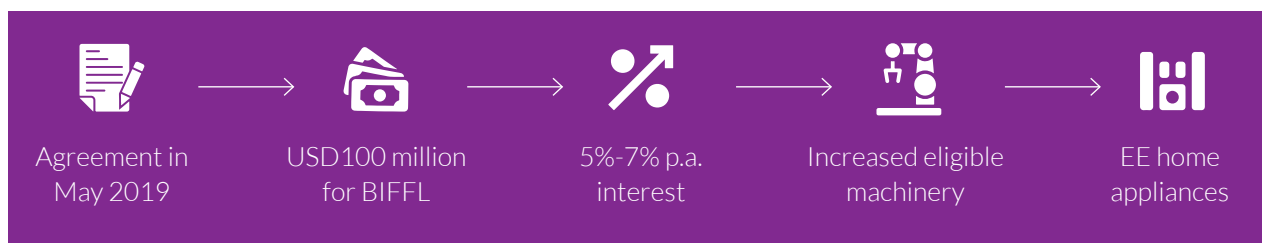


EECPFP Phase II

The EECPFP Phase II has started last year. In this regard, subsidiary loan agreement has been signed in January 2020. The major features of the fund are:

Features of the Loan

	Total Available Fund USD 50 million
	Amount Threshold Maximum BDT150 crore (USD17.30 million) Minimum BDT0.5 crore (USD56.7 thousand)
	Interest Rate 5% p.a. (standard minimum)
	Tenure of Loan Depending on project cash flow
	Grace Period Depending on project need
	Eligibility As set forth by SREDA from time to time



EECPFP Implementation Challenges for BIFFL



Activities to Overcome Challenges

Create awareness at both micro & macro level	Promote EE related programs	Design viable finance schemes for EE	Undertake technical capacity building	Enter into partnership with stakeholders
Arrange seminars & expos	Engage in sourcing fund mix	Engage consulting team	Strive to maintain cooperative relationship with regulators	Explore other sources

Investment in Green Construction Materials Contribution in Carbon Reduction

Brick making is one of the largest sources of greenhouse gas emissions in Bangladesh estimated to produce 6 million tons of CO₂ annually. 90% of existing brick kilns is based on 150-year-old technology that is highly energy intensive and emits huge carbon. A study conducted by BUET shows that a traditional brick kiln consumes 24 tons of coal a year and emits some 1500 tons of CO₂, making it one of the worst greenhouse gas emitters in the country. Most brick kilns in Bangladesh are highly polluting since they use crude technology and low-quality coal for fuel.

To replace these air polluting traditional brick kilns, BIFFL so far invested in 10 green brick projects based on environment friendly tunnel kiln technology which will contribute to the reduction of greenhouse gas emissions. In addition, the new technologies use the heat generated for drying of the bricks instead of letting them out, thereby reduce environmental impact. It is estimated that 1 modern kiln can replace about 8 conventional brick kilns. According to this calculation, BIFFL's investment is equivalent to replacing 80 conventional brick kilns which will reduce emission of 120,000 tons of CO₂ in a year.

HUMAN CAPITAL

At BIFFL, “Human Capital” is considered as a key element in improving the assets, since it is a sustainable competitive advantage and increases the employees’ efficiency to accelerate the achievement of the organization’s goals. BIFFL strongly believes that human capital plays an important role in people’s development, improving the life and income, increasing knowledge, skill, and production capacities, economic growth and reducing poverty which facilitates the achievement of SDG 2030. In this present world, where knowledge and communication with customers have gained increasing importance, human capital, which shows the volume of knowledge, technical skills, creativity, and experience of the organization, gains great importance, thus human resource is considered as productive assets not costly assets. BIFFL attracts, develops and retains employees by ensuring equal opportunity, training and development opportunities, attractive remunerations and fringe benefits etc. That is why BIFFL has become a great place to work where people can excel in their performance with joy and pride.

BIFFL’s Code of Conduct



Rigorous training and workshops

BIFFL always concentrates on continuous development of all the employees



Equal opportunity, career progression and diversity

All employees are treated equally and fairly, not disadvantaged by prejudices or bias



Employee engagement

Birthday celebrations, family day, Annual retreat, Iftar party, Children’s art competitions, Pahela Boishakh and Happy New Year celebration



Awards and recognition

Monetary/ Non-monetary; acknowledgement in company newsletter or team meetings



Work-life balance

Encouraged to leave work issues at work and home issues at home



Competitive remuneration and benefits

Attractive and competitive salary as well as other benefits to the employees



Human rights, and safety

Achieved LEED green building certification from USGBC



Succession planning

Managing resourcing strategy, HR demand/ supply analysis, HR planning and auditing, skills analysis

BIFFL’s Human Capital at a Glance (as on 31 May 2022)

69 Total Employee 	58 Permanent Employee 	11 Contractual Employee 	15 Female Employee
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INTELLECTUAL CAPITAL

BIFFL, as a learning organization, chooses the investment in individuals, because people are valuable human capital with different qualities. Over the last couple of years, BIFFL strengthens the knowledge and awareness of leadership through training programs and recognizes the contribution of training towards enhancing efficiency and profitability. It hires attitude and then trains them for skill. Accordingly, BIFFL always concentrates on continuous development of all the employees of the company so that they can develop new skills as well as sharpen their own skills. Every year, BIFFL's HRD facilitates good number of learning opportunities for the employees. As a result, profitability per employee has been one of the highest in the industry for years.



Human

- Employee excellency ensures employees with technical know-how;
- Excellent academic knowledge and past experience to deal in;
- Vast amalgamation of experienced people from different sectors in the business arena;



Structural

- Common spirit of the firm, 'One Team, Big Dream. Be the Best!';
- Entertain best-in-the-sector cultural practice to ensure an aesthetic work environment;
- Well adept internal database management system to ensure uninterrupted work experience;



Relational

- Well recognized brand among the banks and NBFIs available in this sector;
- Well maintained relation base among the other players in the sector;
- Strong relation with the regulatory bodies ensures higher compliance; and
- Good customer relationship ensures better performance of the portfolio.

SOCIAL AND RELATIONSHIP CAPITAL

Stakeholder Engagement

Social and relationship capital refer to the cooperative relationships with our customers, clients, capital providers, regulators and other stakeholders that we create, develop and maintain to remain commercially and socially relevant, and operate as a responsible corporate citizen. At BIFFL, this capital is the cooperative and supportive relationships we share with all concerned in our business ecosystem. BIFFL's social and relationship capital also enable it to create new business opportunities and contribute to the development of other forms of capital. In other words, it is social and relationship capital provides itself with the opportunity to operate as a leading NBF in the country.

Key Stakeholders Targeted	How we engage	BIFFL's Sustainable Business Objectives
Customers	- Website - Print media - Annual General Meeting - Faster service - Dedicated departments - Customer relationship teams	- Provide quality product/ service that meets absolute needs of customers - Careful management of operations so as to protect customer interest especially of depositors
Regulators	- Statutory reporting - Meetings as and when required - Emails - Letters - Verbal communication	Ensure compliance with all regulatory guidelines and directives
Employees	- Training programs - Employee days - Sports and recreational activities - Celebration of Women's Day - Annual retreat	- Continuously encouraging employees and working towards creating a healthy, ethical and supportive work environment - Nurturing human capital to ensure sustained collaboration with the company
Local Communities	- CSR initiatives - Website - Social media page - Marketing events - Seminars and workshops	- Adding value to the society - Conducting business without causing disruptions in the society
Environmentally Interested Groups/ Non- Government Organizations	- Green project financing - CSR initiatives - Training programs, seminars and workshops to involve more in environment friendly initiatives	Conducting business without harming the environment

LARGE INFRASTRUCTURE

Infrastructure is the lifeblood of any country's economic development. Keeping in line with that, it has become a core priority of the Government's ambitious strategy to boost the nation's economic progress.

BIFFL was established to expedite the country's economic growth by facilitating large-scale infrastructure and Public Private Partnership (PPP) projects. Turning this mandated goal into a reality is what the Large Infrastructure Unit is working for. This is the largest unit in BIFFL based on portfolio size and operations.

This unit deals primarily with Power and Energy, Transportation and Communication, Economic Zones, Tourism and Healthcare sectors. It works with not only PPP projects, but also other large-scale infrastructure projects. Due to the short to mid-term funds available in the local market and the extremely long-term requirements of large-scale infrastructure projects, there is often a mismatch between what a project needs and what financiers can provide. The large infrastructure unit seeks to bridge this gap by providing longer tenors for loans based on the cash flow generation of projects.

The unit also plans to incorporate new sectors in their portfolio in the upcoming years and offer more innovative financial products to cater to specific project needs. It currently has access to financing opportunities such as the IPFF-II fund from the World Bank and refinancing schemes from the ADB. It plans to establish new affiliations with other multilateral organizations for low-rate and long-term funds.

Financial Closure of Bangladesh Auto Industries Limited (BAIL)

The syndicated term loan closing ceremony of Bangladesh Auto Industries Limited, first ever eco-friendly electric vehicle assembling and manufacturing plant in Bangladesh, was held on 27 October 2021 at Dhaka Club Limited. The Plant of BAIL is at Bangabandhu Sheikh Mujib Shilpa Nagar (BSMSN), Mirershorai, Chattogram. Total project was BDT335 crore which was financed at 50:50 debt to equity ratio for 8 years. Fujiyan Taiyu Automobile Company Limited, China is the foreign partner of this investment. BAIL plans to manufacture and assembly all sorts of vehicles starting from two-wheelers, three-wheelers, sedan, hatchback, and sport utility vehicles (SUV), and gradually start manufacturing pickup trucks, mini trucks, and multipurpose vehicles.

Bangladesh Infrastructure Finance Fund Limited (BIFFL), a company owned by Ministry of Finance,

Government of Bangladesh, was the lead arranger for this syndicated financing facility. Financiers to this transaction include BIFFL, Agrani Bank Limited, Islami Bank Bangladesh Limited and First Security Islami Bank Limited and Bangladesh Development Bank Limited.

Technaf Solartech Energy Limited

BIFFL approved and disbursed a term loan facility of USD10 million for establishment of a Grid tied Solar Park of 27.9 MW capacity as an Independent Power Producer (IPP) namely Technaf Solartech Energy Limited at Alikhali, South Nhila, Teknaf, Cox's Bazar beside Arakan Road to supply contracted electricity of 20 MWAC on Build-Own-Operate (BOO) basis under PPA with BPDB for a period of 20 years. The estimated cost of the proposed power plant is approx. BDT301.65 crore.



M. M. Ispahani Ltd.

In 2021, M.M. Ispahani Ltd. initiated a BMRE (Replacement of existing machine and renovation of factory building) for Pahartali Textile & Hosiery Mills (PTHM) (Unit-3) by using latest energy efficient machines. BIFFL financed BDT38.20 crore for BMRE of Pahartali Textile & Hosiery Mills (PTHM) (Unit-3) under EE&CPFP of JICA and EEREWEFP of AFD.

The Ispahani Group is pioneer in many business fields and remains one of the most successful and reputed business houses in Bangladesh. It is one of the largest tea manufacturing and trading company in the country and dominates the domestic tea market. Pahartali Textile & Hosiery Mills (PTHM), a unit of M. M. Ispahani Ltd. is one of the pioneer spinning mills in Bangladesh.

Power Sector Contribution

BIFFL funded a total number of 16 projects in power sector of Bangladesh amounting BDT851.68 crore until December 2021. All power projects financed by BIFFL are currently producing and providing approximately 1818 MW power to the national grid of the country. Out of the total 16 power projects BIFFL has approved a solar project having 20 MW namely Technaf Solartech Energy Limited. We have several other projects in our pipeline.

Notable Projects



Privately operated dry dock financed through IPFF II project of the World Bank under PPP modality



First Dhaka Elevated Expressway



Cutting Edge Spinning Factory

REPORT ON SUSTAINABLE FINANCE & GREEN BANKING

A. Areas of Investment

- i. Energy efficient technologies
- ii. Green construction materials
- iii. Utility-scale solar power
- iv. Green buildings
- v. Waste recycling industry

B. Services

- i. Advisory services
- ii. Project finance/ refinance
- iii. Fund arrangement
- iv. Awareness and promotion

C. Refinancing Schemes

BIFFL is offering soft loans from 3 (three) different refinance schemes:

Energy Efficiency and Conservation Promotion Financing Project (Phase1&2)

- a. Source of Fund: JICA.
- b. Featured Areas: Fertilizer, Paper, RMG, Glass, Cement, Steel, Food, Telco Industry, Green Building and Home Appliance.

Food Value Chain Improvement Project

- a. Source of Fund: JICA.

b. Featured Areas:

- i) Fruit processing industry
- ii) Vegetable processing industry
- iii) Spice processing industry
- iv) Rice, wheat and bean processing industry
- v) Edible oil producing industry
- vi) Seed processing industry
- vii) Organic fertilizer producers / biological pesticide producers
- viii) Wholesalers and logistics industries, including warehouse and transport industries
- ix) Retail industries (including supermarkets)

Energy Efficiency Renewable Energy & Women Entrepreneurship Financing Project

- a. Source of Fund: Agence Française de Développement (AFD).
- b. Featured Areas: i) Energy Efficiency, ii) Renewable Energy, iii) Women Entrepreneurship.

D. Sector Specific Environmental Policies

Strategies have been formulated as per World Bank standards to design specific policies for different environmentally sensitive sectors.



Energy efficient automatic winder for spinning factory

WOMEN ENTREPRENEURSHIP DEVELOPMENT UNIT

BIFFL opened its WEDU in September 2017 with the goal of supporting, financing and developing women entrepreneurs in Bangladesh. The unit started financing with a product named “Shoilee”. It disbursed its first loan in January 2018 and has disbursed approximately BDT 6 crore until now.

Lending Policy

Product Name	Eligibility	Interest Rate	Collateral	Loan Limit
BIFFL Shoilee	Women entrepreneur having 51% or more shareholding	Bank rate + Maximum 4%	<=BDT25 lac-Personal Guarantee >BDT25 lac-Other suitable security collateral	BDT50 lac

Under this program, the women owning at least 51% shares in any business can apply for the loan from BIFFL. Interested women entrepreneurs can apply only with the reference of a personal guarantor. However, for the loan of more than BDT25 lac, the borrower will need to provide mortgage as collateral. The loan amount cannot be more than BDT50 lac per borrower.

Sector-wise Borrower Status

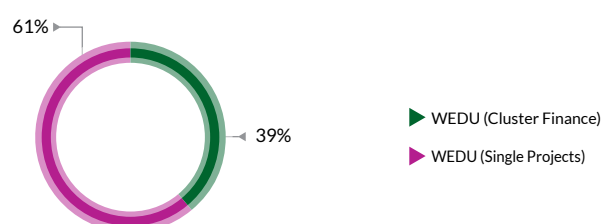
WEDU has clustered 157 borrowers in Rupganj and 85 borrowers in Bagerhat for the cluster financing in Jamdani and Crab farming sector, respectively. These two are the largest sectors sharing half of the investment under WEDU. Besides, WEDU has financed 35 single projects in total and a total number of 32 projects of WEDU and WEDU cluster financing had paid of their debt obligation until the end of 2021.

Sector wise Lending Status

In the loan portfolio of WEDU, the highest share of 61% of the total investment is held by WEDU single projects. The remaining 39% share is held by the WEDU cluster financing sector.

Sl No.	Particulars	Number of Projects	Total Disbursement	Total Outstanding	% of Disbursement
1.	WEDU (Single projects)	35	BDT3.68 crore	BDT2.39 crore	61
2.	WEDU (Cluster financing)	242	BDT2.32 crore	BDT1.24 crore	39
Total			BDT6.00 crore	BDT3.63 crore	100.00

Sector-wise Lending Status



Cluster Finance: An Innovative Financing Solution

Jamdani Palli

Jamdani Palli encompasses Noyapara, Kazipara, South Ruposhi, South Noyapara and East Borabo at Rugganj thana in Narayanganj district. The life of the people of this Palli is centered around weaving. Each borrower has at least one loom. If the wheels of loom do not turn, the wheels of stop as well. In the absence of cash, the weavers of this region could not hire workers. It was tough for them to manage two meals a day, the other daily necessities were even harder to come by. Even two years ago that was a general picture of this place.

In the meantime, BIFFL helped 157 women to become self-reliant through a loan with low interest rate. Our team visited the Jamdani Palli several times and discussed with women entrepreneurs about their difficulties in this sector and how to remove the problems they face. Most of them did not have their

own looms and required capital for smooth operation of their small business. So, BIFFL decided to finance them for establishing their own loom and removing other financial problems they face; like hiring assistants (skilled & semi-skilled), for purchasing thread etc. BIFFL made a cluster of this Jamdani Palli and extended an amount of BDT1,00,000 as loan to each borrower.

So far, Jamdani Palli has been one of the most successful projects of WEDU cluster financing. Within a few years, the image of this place has radically changed. Today, every house in this Palli spends busy time in weaving Jamdani Sarees. As the income has increased, the living standard of the people of this area is also increasing every day. Earlier, where all the hard work was done by themselves, the weavers now can hire workers to help them. They no longer have any liability to 'Mahajans' (loan sharks) or any need to sell their products through any third party at a lower price.



Crab Farming

BIFFL is also financing in crab farming for developing our economic growth. The WEDU team visited different villages in Khulna and Bagerhat districts like as Bhaga, Malidangha, Rampal several times. The team talked with the women who are working directly

in crab farming and know their problems. Then BIFFL made a cluster of 34 people in first phase and 51 people in second phase for crab farming.

In continuity of women development, BIFFL also contributes in boutiques, parlor, farming and many other sectors. BIFFL has also been approached by many from the service sector for loans.



TREASURY OPERATIONS

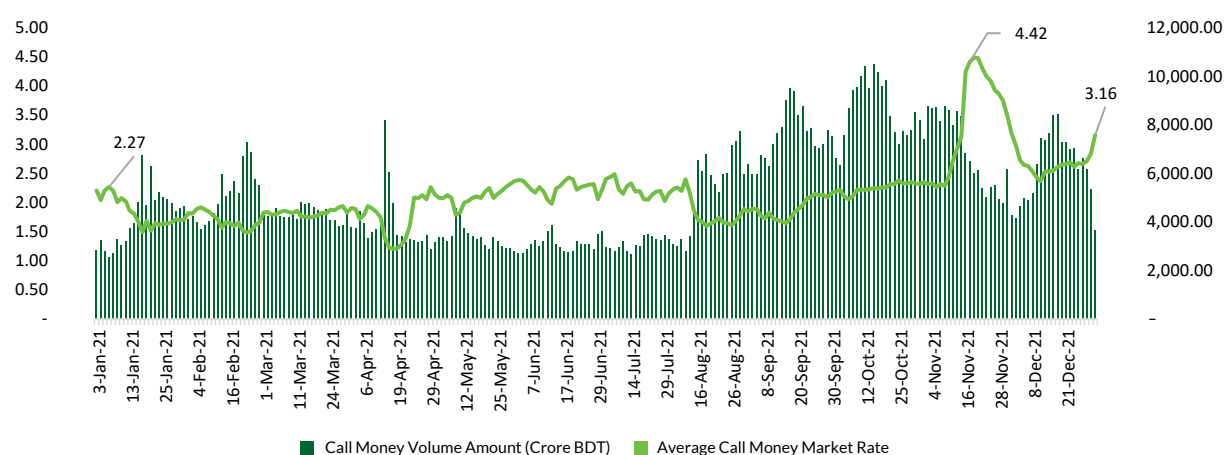
Treasury activities in the financial arena have got more dynamism throughout the last year despite unprecedented turmoil and uncertainties over economic and financial stability caused by the Covid-19 pandemic. It has already become a full-fledged multidimensional profit center from its origination point of efficient fund management. The treasury activities of BIFFL have also experienced a different dimension. During the year, the treasury team identified different critical risk issues for the management of the balance sheet and mitigated those factors efficiently and prudently by applying best industry practices. It also introduced the FX operation for the first time to provide loan in foreign currency. To maximize profit from the treasury functions with minimum risk, we carefully negotiated deals with every counter party and executed the best possible options for every investment decision. Apart from

the dealing part, treasury department continuously monitored liquidity condition, capital adequacy, base rates and resilience of the balance sheet and acted timely and accordingly.

Money Market & Fixed Income

The money market remained liquid until mid of August 2021, but at the end of the year, it becomes a little tight. In January, call money rate was 2.21%, in June, it was 2.03% and at end of December 2021, it became 3.16%. From January to August 2021, the daily volume of call money transactions was around BDT2000 to BDT4,000 crore. From August 2021 to the end of December 2021, the call money volume surpassed BDT10,000 crore per day. This time the market was quite illiquid due to the post-Covid-19 recovery accompanied by higher import payments and private sector credit growth.

Call Money Market Rate (%) & Volume (Crore BDT)



During the year, BIFFL treasury department did very well in fund management and minimizing the liquidity mismatch. Due to efficient fund management, BIFFL did not face any scarcity of funds and need not borrow or lend any funds from the market through call money transactions.

In 2021 Bangladesh Bank held primary auctions of Treasury Bill and Bond of a total of BDT15,711 billion, where BDT9,361 billion through T-Bill and BDT6,350 billion through T-Bond.

T-Bill & T-Bond rate trend 2021:

T-Bill/ T-Bond	High rate	Low rate
91 Days T-Bill	3.50%	0.35 %
182 Days T-Bill	3.89%	0.58%
364 Days T-Bill	4.00 %	1.07 %
2 Year T-Bond	4.80%	2.33%
5 Year T-Bond	6.50%	3.88%
10 Year T-Bond	7.44%	3.88%
15 Year T-Bond	7.97%	5.80%
20 Year T-Bond	7.88%	5.90%

During the year, BIFFL did not invest in any eligible security but the treasury department was keen to follow up on the auctions held in Bangladesh Bank. BIFFL is interested to invest in any suitable security in near future by matching the fund requirement.

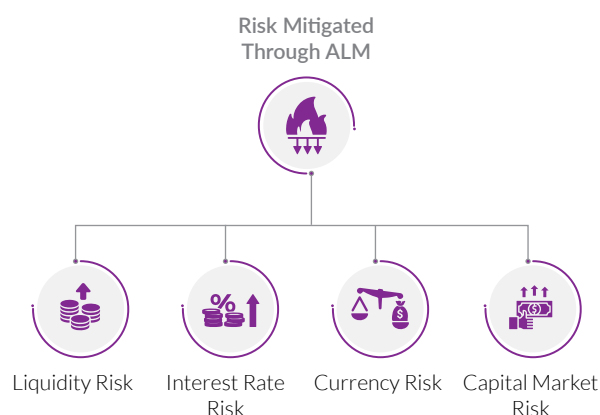
Asset Liability Management



Asset and Liability Management

Mitigating Risks Associated with a Mismatch of Assets and Liabilities

BIFFL successfully maintained all ALM regulatory requirements within limits. Throughout the year, changes in market liquidity and interest rates exposed the FIs to the risk of losing money. ALM has therefore become a key financial and risk management discipline that managed both on/off-balance sheet positions to maintain a risk-reward profile for creating stakeholders' value. Treasury's primary objective was to mitigate the balance sheet gap in a cost-effective manner, maximizing Net Interest Income (NII), and managing Basel II liquidity standards of Liquidity Coverage Ratio (LCR), Net Stable Funding Ratio (NSFR), and leverage which have also become a key concern of management and regulators around the world. Throughout the year, the treasury took a proactive approach and remained a strong hand of ALCO for the asset-liability position, the commitment of FI, market liquidity, raising issues surrounding risk, potential interest rate fluctuations and transfer pricing rate for-profit centers. ALCO can help investors properly assess the risks they take with their financial institutions and determine their investment portfolio. BIFFL's balance sheet is now in a sustainably strong position and ready for an excellent take-off.



KEY STRENGTHS

- Highest Paid-up capital among all NBFIs
- Strong management focus and support for growth of the treasury business
- Trading culture anchored on rigorous regulatory compliance and risk management based dealing discipline
- Adapting to the changing regulations and compliance requirements and structuring the products
- Strong relationship with customers and regulators

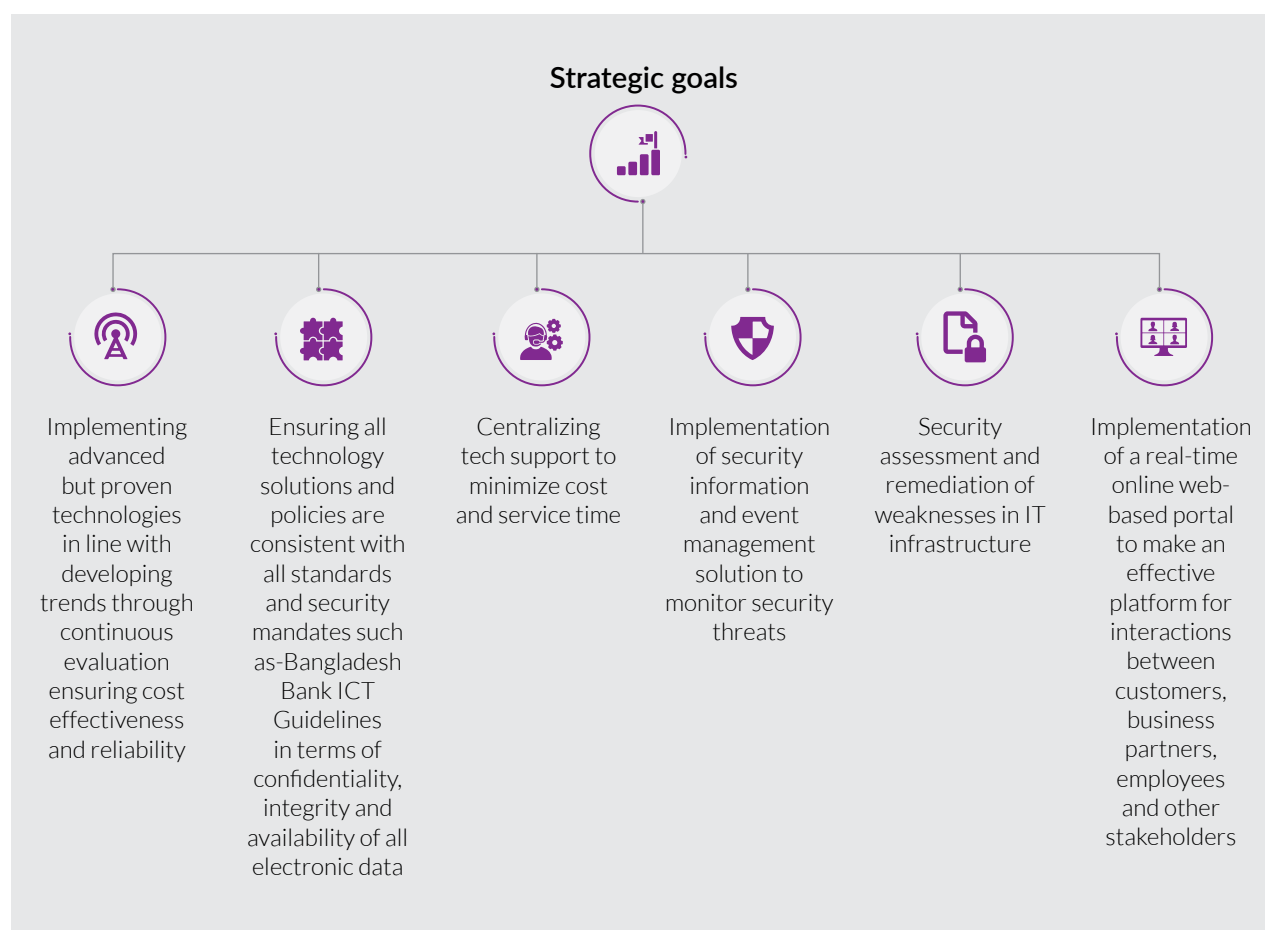
Treasury Priorities for 2022

In the context of the current market scenario with cautious movement of regulators and narrowing market liquidity along with wider scope of openness of Bangladesh economy, treasury is prepared for big leap forward for risk addressed expansion of its business horizon in a holistic approach through combined efforts of treasury and other business units. Accordingly, the necessary actions have been sorted out to accomplish the company's vision:

- efficient management of assets and liabilities
- increase operation in money market dealings & identify suitable investment opportunities in govt. securities
- focus on the growth of the diversified treasury business
- ensure the highest levels of compliance to mitigate risks
- implementation & operation of EDSMoney platform

EMPOWERING BUSINESS THROUGH IT

We believe in empowering business through information technology. Thus, we are able to adapt the idea of smarting everything through technology. Over the years, BIFFL re-engineered its technical infrastructure to be modern, resilient and scalable. We are continuously transforming our platform through scalable IT infrastructure and application of programming interfaces that enable us to automate business and ensure better performance.



THE WAY FORWARD

A scalable automated MIS environment

A fully augmented MIS and business automation system will be implemented for future business growth across the enterprise. When automation is implemented, it streamlines document management completely, making it effortless. Data organization and retrieval is simplified. Confidential data can be secured with role-based access. Accurate information moves smoothly between processes, increasing employee productivity by leaps and bounds.

Cyber security initiatives

Data theft is a trending phenomenon primarily caused by system administrators and office workers with access to technology such as database servers, desktop computers and a growing list of hand-held devices capable of storing digital information, such as USB flash drives, iPods and even digital cameras. The dynamic management of BIFFL has realized the importance of network and cyber security and has approved an ICT Security Policy which complies with all the requirements of Bangladesh Bank.

STATEMENT ON FINANCIAL RELATIONS

Financial Relations Unit liaises with other banks/ financial institutions, Government, and development partners in order to arrange funds for its borrowers under syndication, club financing, co-financing, refinancing, bridge financing etc. as required for various projects. In addition, BIFFL regularly engages with development partners to leverage its portfolio by making sustainable and long-term financial solutions available in the backdrop of Bangladesh's long-term financing gap and national infrastructure development goals.

Syndication

Loan syndication has always been an important part of the financial landscape of Bangladesh to diversify risks by sharing, as well as to tackle capital and/or exposure limit constraints while financing large projects. BIFFL partners with peer banks/FIs for the projects of its borrowers in most of the cases becoming either the lead arranger or participating lender. In 2021, BIFFL successfully completed a number of milestone transactions ADB, AFD, JICA and World Bank funded projects.

Development Partners

Bangladesh Government's 8th Five Year Plan addresses the need for financing to develop country's infrastructure. Although the Government has been encouraging private sector participation keeping PPP at the core of its infrastructure development strategy, Bangladesh is facing about USD9-10 billion long-term financing gap every year. The nature of financing requirement for large scale infrastructure projects demands alternative financing solutions from development partners i.e., JICA, the World Bank, ADB, KfW, AFD etc. BIFFL is in the process of having/ has access to the following development partners' loans:

JICA

EECPFP

Under the 37th Japanese ODA loan package, GoB and Government of Japan have signed an agreement on Energy Efficiency and Conservation Promotion Financing Project (BD-P90) of JPY11,988 million. Out of this amount JPY4,989 million was made available to BIFFL for on-lending to the eligible energy efficient projects. Besides, BIFFL received JPY574 million as

TA for 6 years as grant. SREDA as an agent for GoB is providing technical support for implementation of the project. To date, BIFFL has approved a number of projects amounting BDT4,106.60 million. Out of the approved amount, BDT2,986.80 million has already been disbursed and remaining amount is waiting for disbursement.

EECPFP Phase 2

Considering the unprecedented success of EECPFP and huge market demand for the loan, JICA extended the 2nd phase of the project named "Energy Efficiency and Conservation Promotion Financing Project Phase -2" under the 40th Japanese ODA Loan Package. Out of the total fund of JPY20,076 million, BIFFL received JPY9,500 million for on-lending to the eligible projects. This allocated fund is almost double that of the phase-1 fund and is now available with BIFFL.

FVCIP

JICA extended a loan facility to the People's Republic of Bangladesh under the 41st Japanese ODA Loan Package through initiating "Food Value Chain Improvement Project (FVCIP)" with an amount not exceeding JPY11,218 million. The objective of the Project is to improve financial access for agribusiness and food processing industries and to enhance their capacity in business development, food processing, and food safety by providing concessional financing and technical assistance. A part of the loan proceeds will be used for appointing consulting firm for assistance in implementation of the project. Ministry of Industries is the sponsoring ministry of the project while Bangladesh Infrastructure Finance Fund Limited (BIFFL) is the sole implementing agency. The fund is now available with BIFFL for on-lending.

The World Bank (IPFF-II)

Bangladesh Bank has been implementing Investment Promotion and Financing Facility II (IPFF-II) Project, a project of Finance Division, Ministry of Finance (MoF) supported by the World Bank (WB), with five years tenure from July 2017 to June 2022. IPFF-II Project has two components: (i) Long-Term Infrastructure Financing component of USD403.70 million and (ii) Technical Assistance (TA) component of USD13.00 million. The project is established with a view to increasing long-term financing for infrastructure and

to build the capacity of the local financial institutions for promoting private sector-led infrastructure financing in Bangladesh.

As an eligible participating financial institution, BIFFL has access to long-term Infrastructure Financing Component (USD403.7 million) under IPFF-II of the World Bank for on-lending and investment in support of long-term infrastructure projects by private sector investors. In addition to conventional debt, this component supports leveraging the market through innovative and diverse financial instruments. BIFFL is entrusted with the responsibility for creating, promoting and developing innovative infrastructure finance instruments utilizing the tentative allocation of USD1.9 million under TA component. BIFFL received refinance for on-site development of a hi-tech city and for a dry dock project to the extent loan disbursed. Currently, BIFFL has obtained refinance for a PET recycling project and a grid-tied solar power project through conventional debt segment of IPFF-II. There is high probability that this project may be extended beyond 30 June 2022.

ADB

In 2020, Government of Bangladesh signed an agreement with the Asian Development Bank (ADB), which would be providing a 25-year long credit line worth USD50 million to BIFFL for re-lending to eligible sub-projects structured through PPP modality. BIFFL is receiving technical assistance of USD0.65 million as per the agreement. The project will support the Government of Bangladesh's efforts in strengthening BIFFL's institutional capacity to develop public-private partnership (PPP) infrastructure projects. The support will help to restart infrastructure development, spur economic growth, and generate jobs during the recovery from the Covid-19. It will

help ease Bangladesh's infrastructure financing constraint, alleviate poverty by creating jobs during both the construction and operation phases of the infrastructure projects.

Utilizing the above credit facility, BIFFL has signed the common terms agreement for providing BDT1,075 crore loan to Dhaka Bypass Expressway development PPP project. Successful execution of this project may lead to further lending in this area from ADB.

Besides, BIFFL and ERD are in discussion with ADB for a credit facility for the "Scaling Up Energy Efficiency Project".

AFD

With a view to financing investments in the fields of energy efficiency, renewable energy and women entrepreneurship projects of BIFFL, the GoB, represented by ERD and Agence Française de Développement (AFD) have executed a Credit Facility Agreement of EUR 50 million along with a Technical Assistance grant of EUR0.56 million. This loan is intended to be on-lent to BIFFL for its implementation at the level of private or public-private investors. The loan agreement was signed in August 2021 and is projected to support target sectors.

KfW

BIFFL is also in discussion with Kreditanstalt für Wiederaufbau (KfW), the German state-owned development bank, for credit facility in energy efficiency sector. IPC, a KfW appointed consultancy firm, conducted a design study to promote energy efficiency in the industry in Bangladesh. IPC also conducted due diligence on BIFFL for assessing BIFFL's capacity and experience.



TECHNICAL UNIT

BIFFL, being a specialized financial institution, invests in various power plants, expressways, railways, dry docks and energy efficient technologies. Often these projects are complex in nature and involve sophisticated technologies. Besides, BIFFL also provides consultancy services that involve technical feasibility studies. Furthermore, BIFFL receives funds from various development partners (such as JICA, ADB etc) which have specific technical requirements to be met. Realizing the importance, BIFFL management established a full-fledged Technical Unit from the very beginning. Currently, the technical unit consists of an electrical engineer and a civil engineer. The unit conducts project appraisal and due diligence of the upcoming projects. It also monitors the implementation status of the existing projects on a regular basis. The unit collects and prepares necessary technical documents for any regulatory approval as well.

Several training sessions were arranged last year by BIFFL to increase the technical knowledge of its staff. Some of the workshops attended include: Online German Training Week Solar (GTWS) by GIZ, Workshop on Energy Audit Findings by SREDA, Energy Efficiency and Conservation in the Ice Cream Industries arranged by SREDA etc. An Operational

Manual for the AFD funded 'Energy Efficiency, Renewable Energy and Women Entrepreneurship Financing (EEREWEF)' project was also developed. Besides, The technical unit engaged with KfW to develop technical appraisal process for the upcoming energy efficiency credit line by KfW. This will also help the unit manage technical issues in future energy efficiency financing projects.

Through financing in energy efficient technologies, BIFFL helped reduce generation load by 1.855 MW which contributed to reduction of carbon emission by 7,534 tons.

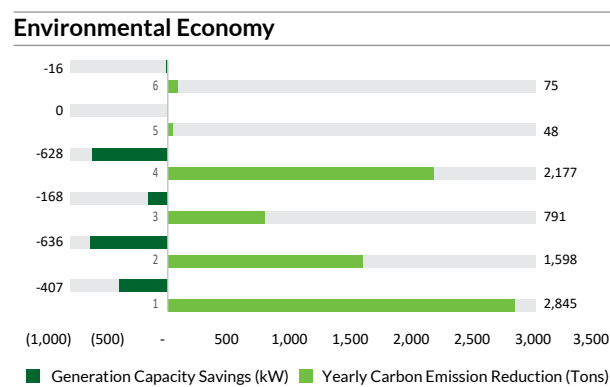


Fig. Environmental economy achieved through EECPP project so far

HUMAN RESOURCES

At BIFFL, “Human Capital” is considered as a key element indicating the overall health of the company. It ensures sustainable competitive advantage and increases the employees’ efficiency to accelerate the achievement of the organization’s goals. BIFFL strongly believes that human capital plays a key role in employee’s development; improving the life and income; increasing knowledge, skill, and capacities, economic growth; and reducing poverty which facilitates the achievement of SDG 2030. In this present world where knowledge and communication with customers have gained increasing importance, human capital, which represents the volume of knowledge, technical skills, creativity, and experience of the organization, gains foremost importance; thus, human resource is considered as a productive asset. BIFFL attracts, develops, and retains employees by ensuring equal opportunity, training and development opportunities, attractive remunerations, and fringe benefits etc. As a result, BIFFL has become a wonderful place to work where people do not just excel at their jobs, but also enjoy it.

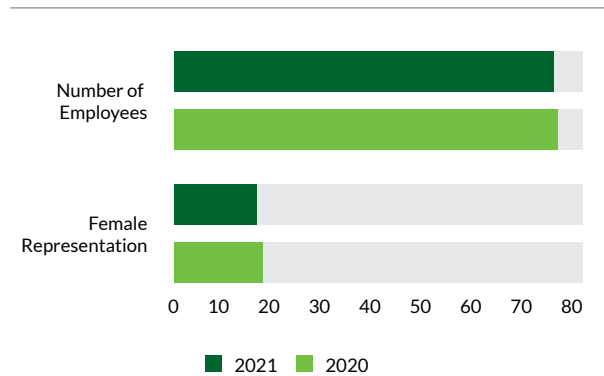
Human Resource Analysis

Head Count		
Employee	2021	2020
Permanent Employee	57	58
Contractual Employee	11	11
Total	68	69

Female representation and percentage

Particulars	2021	2020
Number of Employees	68	69
Female Representation	15	16
In percentage (%)	22	23

Gender Distribution of Employees



Code of Conduct and Ethical Guidelines

BIFFL has an Employees’ Service Rules adopted by the Board in line with the guidelines of the Bangladesh Bank. The rules provide for a Code of Conduct and Ethical Guidelines for the employees. As per the ‘Code of Conduct and Ethical Guidelines’ for BIFFL employees, all have to maintain the Code of Conduct and demonstrate the highest ethical standards. These are the core values of BIFFL that employees must follow and nurture. Ethical guidelines, behavioural patterns of the employees and what the employees should do and what they should not, are elaborately incorporated in the rules. BIFFL manages its employees putting into practice its Employees’ Service Rules. BIFFL’s core behaviours encourage employees to speak up and have open conversations. BIFFL’s Code of Conduct, compliance standards, and Policies guide our day-to-day decisions, actions and behaviours and govern our business. Any known or suspected incidents of illegal, unacceptable, undesirable conduct such as harassment, corruption, and forgery etc are viewed with zero tolerance.

Training & Development

BIFFL, as a learning organization, chooses the investment in individuals, because people are valuable human capital with different qualities. Over the last couple of years, BIFFL strengthened the knowledge and awareness of leadership through training programs and recognizes the contribution of training towards enhancing efficiency and profitability. It hires attitude then trains for skill. Accordingly, BIFFL always concentrates on continuous development of all the employees of the company, so that they can develop new skills as well as sharpen their available skill sets. Every year BIFFL human resources facilitates good number of learning opportunities for the employees. As a result, the employee profitability has been one of the highest in the industry for years.

Table: Training at Home and Abroad

Particulars	No. of participants in 2021	Num. of training in 2021
Home	16	6
Abroad (Online)	4	4

Equal Opportunity, Career Progression and Diversity

BIFFL ensures equal opportunity for all employees. They are treated equally and fairly. They are not disadvantaged by any prejudices or bias. We do not have discrimination on the grounds of gender, age, racial origin, religious affiliation, disability, or marital status. Employment decisions are taken on the basis of an individual's ability to do a particular job. BIFFL evaluates performance of the potential employees on the ground of their capacity, experience, and potential.

Work Life Balance

BIFFL believes work life balance can play a vital role for a positive employee- employer relationship. When employees feel a greater sense of control and ownership over their own lives, they tend to have better relationships with management and are able to leave work issues at work and home issues at home. Balanced employees tend to feel more motivated and less stressed out at work. Thereby, it increases BIFFL's productivity and reduces the number of conflicts among co-workers and management.

Remuneration and Benefits

In terms of facilitating employees with the competitive package to maintain the centre of excellence we are fully compliant with regulatory bodies. We have market driven salary package which includes fringes benefits as short term benefits and provident funds, gratuity as long-term benefits. In addition, we also offer soft loans to employees like Employee Home Loan, Car Loan and Loan against Provident

Fund. BIFFL offers satisfactory financial and non-financial benefits for the employees to ensure a better lifestyle, such as-

- Attractive compensation package;
- Festival and incentive bonus;
- Fair promotion policy;
- Annual increment;
- Career growth opportunities;
- Training and workshops (home and abroad);
- Employee friendly work environment;
- Healthcare facilities;
- Loan facilities at a privileged rate;
- Retirement benefits, e.g., provident fund, gratuity fund; and
- Leave fare assistance.

Human Rights and Safety

Healthy employees are productive and sustainably engaged in their workplace. We always comply with internal workplace health and safety policies. Our office is the first Government owned entity which has recently achieved LEED Platinum certification from USGBC. We encourage mothers to give more time to their children and maintain proper maternity leave. We have a day care centre for the employees.

Our people are at the core of everything we do. Our highest goal as an employer is for everyone at BIFFL to feel engaged, included, respected, safe, and empowered to perform at their best. We propel their success and ours by cultivating knowledge-based workplace, leadership development and performance-oriented culture. This will accelerate equipping and developing our next generation of leaders.

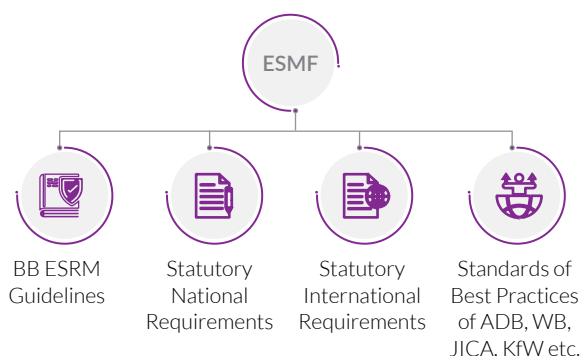
ENVIRONMENTAL AND SOCIAL CONSIDERATIONS

Environmental pollution and economic development are inextricably linked. Economic production can cause environmental damage and accelerate climate change if proper mitigation measures are not in place. Here, financial institutions as an integral part of an economy can play crucial role to tackle climate change and reduce environmental pollution. BIFFL as a financial institution has started to take a wider view of environmental factors in its credit assessment and loan approval.

BIFFL believes in environmentally and socially responsible investment and has been promoting clean technology with lower Carbon dioxide (CO₂) emission, which in turn will help Bangladesh to meet the target of emission reduction under the Nationally Determined Contributions (NDCs) article of Paris Agreement. BIFFL carefully assesses environmental footprint of all of its portfolios and pipelines. BIFFL is committed to stimulate the economic growth of Bangladesh through its various loan products by ensuring job creation, women empowerment, gender equality, zero child- labour, safe work environment, workers safety and so on. Sustainable agriculture is one of the key SME areas where BIFFL is working, in order to enhance the resilience of climate vulnerable people of Bangladesh.

Our Approach towards Environmental and Social Compliance

BIFFL is committed to protect the environment as well as the community through adopting eco-friendly measures in all aspects while considering any investment projects. For this purpose, BIFFL adopted its Environmental & Social Monitoring Framework (ESMF) in 2014 that details the agreed policies, guidelines, and procedures to be integrated into the implementation of BIFFL's projects. Besides, BIFFL has also endorsed and recognised various multilateral development partner's Environmental & Social safeguard policies including but not limited to 'Environmental & Social Management System, 2019' as per ADB's safeguard policy statement, Environmental and Social Policy and Procedures (ESPP) of IPFF II Project, Environmental & Social Framework of the World Bank.



BIFFL recognizes the significance of environmental health & safety and social safeguards and primarily focuses on the following environmental and social aspects during project financing:

Environmental aspects

Air pollution	Water pollution	Soil contamination	Impact on biodiversity	Waste management	Noise generation

Social aspects

Involuntary resettlement	Impacts on indigenous people	Impacts on cultural heritage	Occupational health and safety measures	Disturbance to community movement	Child labour

BIFFL has also established a full-fledged Environmental and Social Unit (ESU) comprising three full-time professional employees and several consultants.

Practice of BIFFL to ensure the environmental and social safeguards includes but not limited to the followings:

- Conducting environmental & social due diligence;
- Assessing environmental & social risk;
- Promoting sustainable and environment-friendly technologies;
- Complying with the BB ESRM Guidelines for Banks and Financial Institutions as well as guidelines of development partners;
- Adopting ethical and sustainable measures for a safer and greener tomorrow;
- Ensuring proper mitigation measures taken by borrower to reduce environmental and social impacts;
- Encouraging clients to implement environmentally friendly processes and enthusiastically manage E&S risk arising from the client's business operations;
- Initiating the awareness building activities for leaving an exemplary environment and society for the future generations; and
- Participating in different CSR activities.

Our business model is one that looks beyond the “short-term economic value” to one of “long-term social and environmental value.” Some of the practices of BIFFL towards environment and society are given below:

	Participated in 17 th National Renewable Energy & Green Expo 2017
	BIFFL and Ministry of Finance signed an agreement for implementing “Energy Efficiency Conservation Promotion Financing Project” under JICA financing on April 10, 2017
	On 08 January 2019 Bangladesh Infrastructure Finance Fund Limited (BIFFL) & Bangladesh Bank signed a participation agreement between the two organizations under the BB's “Refinance Scheme for Green Products/Initiatives”
	BIFFL organized Green Brick Workshop 2017 for the Banking Officials on 27 April 2017
	BIFFL arranged a seminar on Energy Project Finance on 28 January 2019
	BIFFL signed a ‘Letter of Collaboration’ with Future Carbon Energy Services (FCES), working in Energy Efficiency and Carbon Management program under the UNFCCC Kyoto Protocol Agreement in 2017 to include the Brick Kilns projects financed by BIFFL in the Clean Development Mechanism (CDM) project of FCES titled ‘National Programme for Energy Efficiency Improvement in the Brick Manufacturing Sector in Bangladesh’
	On 31 January 2019 BIFFL, in response to the Sustainable Finance Department of Bangladesh Bank, handed over 800 blankets for the cold suffered poor people in 5 social organisations in the country as a part of its CSR activities
	In 2021 BIFFL has thoroughly updated its ES management system and monitoring framework along the lines of the World Bank's standards

Green Office Management

Beside the project's environmental & social risk management, BIFFL is also conscious about the indoor environment of the office and ensures provision for a safe, healthy and green working environment for its employees. For this purpose, the management of BIFFL has adopted the following green initiatives:

- use of energy saving LED lights;
- high efficiency VRF system;
- installation of daylight sensor;
- separate energy metering;
- individual task light;
- installation of low flow water fixture;
- use of green materials;
- double low e-glass to reduce heat and noise;
- indoor gardens; and
- segregation of waste for recycling purpose.



By the above means we have reduced energy consumption by 38.19% compared to conventional office and achieved water saving of 44%. Our office space is designed to have more than 85% daylight and more than 30% fresh air to contribute to health and wellbeing of the employees. Now, our office is USGBC LEED Platinum certified.

STRATEGY AND RESOURCE ALLOCATION

SWOT ANALYSIS OF BIFFL



STRENGTH

- Government ownership
- Strong Board of Directors
- Visionary management
- Target oriented employees
- Large capital base
- Diverse and long-term sources of fund
- Cost leader in the market
- Close relations with Government bodies and development partners
- Niche market intervention



WEAKNESS

- Lowly leveraged capital structure
- Limited treasury functions
- Low geographical coverage
- Less familiar brand among the potential stakeholders



OPPORTUNITY

- Government plan to implement PPP Projects throughout the country
- Sourcing funds for sustainable projects from development agencies
- 8th 5 years plan for infrastructure projects and its implementation
- Raising fund from capital market through issuance of Share and Bond
- Investment in economic zones & connectivity projects
- Investment in health and tourism industry
- Technical and financial support of the development partners
- Innovation of new instruments and expansion of new technology



THREAT

- Slow awarding and implementation of PPP Projects
- Increase of interest rate in the financial markets
- Sponsor's inability to implement projects on schedule
- Contagion effect of national or international financial crisis
- Saturation of power sector

Strategic Response to Potential Threats

Based on the potential threats that have been indicated above, BIFFL has the following strategic responses against each threat:

- The company is committed to work with PPPA to address issues related to delayed implementation of PPP projects. BIFFL is actively engaged in providing innovative financial solutions for complex and lengthy projects.
- In the presence of higher market interest rates, BIFFL can switch its focus towards high-risk with high-return projects since it has such a high risk-appetite which few banks or financial institutions have at the moment.

- From time to time, BIFFL will arrange workshops and discussions which will bring together policymakers, project sponsors, suppliers, financiers, and other stakeholders, so that they can have open platforms to raise and address issues related to implementation of projects.

- BIFFL has a strong equity capital base and is not listed in the stock exchange; hence it will be less exposed to volatility in capital market. BIFFL is rather focusing on securing foreign funds from international development agencies.

Short-term objectives

- Establish BIFFL as a full-fledged financial institution;

- Establish brand image and nurture a good corporate culture;
- Build trust among different stakeholders of the financial market;
- Optimize operational procedures and strengthen corporate governance; and
- Engage experienced professionals and development partners.

Implementation of short-term objectives

- Arrange necessary support from Government and multilateral agencies to establish BIFFL as a full-fledged financial institute;
- Ensure quality investment by conducting thorough due diligence on every project and promote innovative financing to support our clients in meeting their financing needs;
- Implement CFS to conduct real time transactions. Commit to have secured and efficient software to deliver effective customer services;
- Put the highest importance on managing its assets and maximize profits by adopting sound governance practices as well as effective risk management structure;
- Ensure compliance with all regulatory guidelines and directives through adopting best processes, practices and controls;
- Continue participating in CSR activities, e.g., blood donation program, contribution to the Honorable Prime Minister's relief fund, distribution of relief to flood victims etc; and
- Provide advisory services to its clients to make the projects viable and ultimately successful.

Mid-term objectives

- Increase institutional capacity;
- Support adequate infrastructure development to meet up the growing demand of the economy;
- Ensure long-term financing sources from capital market within the next 5 years;
- Become a regional financial power;
- Enhance exposure in the financial market by financing diverse sectors and become the leader in infrastructure financing by 2025; and

- Develop a vibrant infrastructure market from the perspective of both the investors and financiers.

Implementation of mid-term objectives

- Raise funds of BDT1,500 crore issuance of infrastructure bonds, debentures and shares etc. and help build a dynamic capital market;
- Recruit the best talents of the country by ensuring competitive recruitment process and providing them adequate training facilities and a conducive workplace;
- Disburse more than BDT1,100 crore in Green & renewable energy sector by 2025 supporting environment-friendly and innovative projects like ETP, polyester staple fibre projects, green building & construction and food processing projects etc.;
- Create a new unit focusing only on PPP projects and collaborate with Government as well as private sectors to become a major development partner of the country; and
- Build a loan portfolio of BDT9,000 crore by 2025 prioritizing the sectors that expedite the growth of the economy like power & energy, transportation & communication, economic zone and green & renewable energy etc.

Long-term objectives

- Become a brand in infrastructure financing;
- Help in achieving SDG (Sustainable Development Goals) while conserving nature;
- Help build a sound financial market to foster long-term stability of the economy;
- Become a partner of choice, an employer of choice and a center of excellence;
- Integrate with global financial market and become a global financial power;
- Ensure implementation and operations of PPP projects;
- Attract private investments in long-term infrastructure projects by addressing the asset liability mismatch of existing bank finance; and
- Maintain a healthy relationship among existing client base and channel resources towards finding new opportunities.

Implementation of long-term objectives

- Prioritize the sectors that trigger the growth of the economy and contribute to poverty alleviation;
- Build up institutional capacity, ensure professional excellence, adopt most advanced technology and global best practices.
- Penetrate in the global market by issuing bonds and shares in the international market;
- Increase geographical coverage to serve maximum population of the country;
- Focus on arranging long-term and sustainable funding sources by collaborating with local and foreign development partners;
- Develop and use innovative financing instruments and explore different avenues of money market and capital market to ensure proper mobilization and utilization;
- Put emphasis on developing the industrial sectors and help attract domestic and foreign investment;
- Attach high importance on its social and environmental impact to make the project sustainable in the long-run. Green economy and eco-friendly measures are our foremost priority while considering any investment deal; and
- Arrange seminars, conventions & expos to exhibit the prospects and necessity of environment-friendly construction and engage development partners for long-term funding sources.



RISK MANAGEMENT

STATEMENT OF RISK MANAGEMENT

The importance of infrastructure for ensuring sustainable economic development and thereby, the amelioration of the socio-economic conditions of millions of people cannot be overemphasized. The country has been failing to realize its full growth potential due to high transaction costs, mainly, arising from inadequate and inefficient infrastructure. One of the main reasons for such infrastructure-related shortcomings has been insufficient investment. In order to create an enabling environment for attracting private investments on a sustainable basis, the Government of Bangladesh (GoB) has established BIFFL and attached priority to materialize Public-Private Partnership (PPP) concept in right earnest for delivering its multipronged benefits to the national economy. Conceptually, Public-Private Partnership (PPP) project is a contract between the public sector and private sector, which requires new investments by the private partners, i.e., money or technology or expertise /time or reputation, which transfers some key risks to the private sector (design/ technology, construction/ installation, availability, demand etc., in which payments are made in exchange of performance for the purpose of delivering a service traditionally provided by the public sector.

With a continued average economic growth above 7% in the last ten years (2010-2020), Bangladesh now proudly stands as an emerging trade and investment destination. The steady growth in export business, hard-working labor force and committed entrepreneurs supported by the pro-business, pro-investment policies of the Government are leading Bangladesh towards the line of global business competency. The country's unequivocal position for peace and harmony, regional stability, cooperation, economic development through international and regional trade with its trade partners and an increasing flow of remittance by expatriate Bangladeshis living across the world have helped the country achieve and retain the impressive economic status. In FY 2018-19, GDP growth was 8.15%. Despite the impact of coronavirus pandemic, GDP growth rate reached to 3.51 % in FY2019-20 and to 6.94% in FY2020-21. A strong

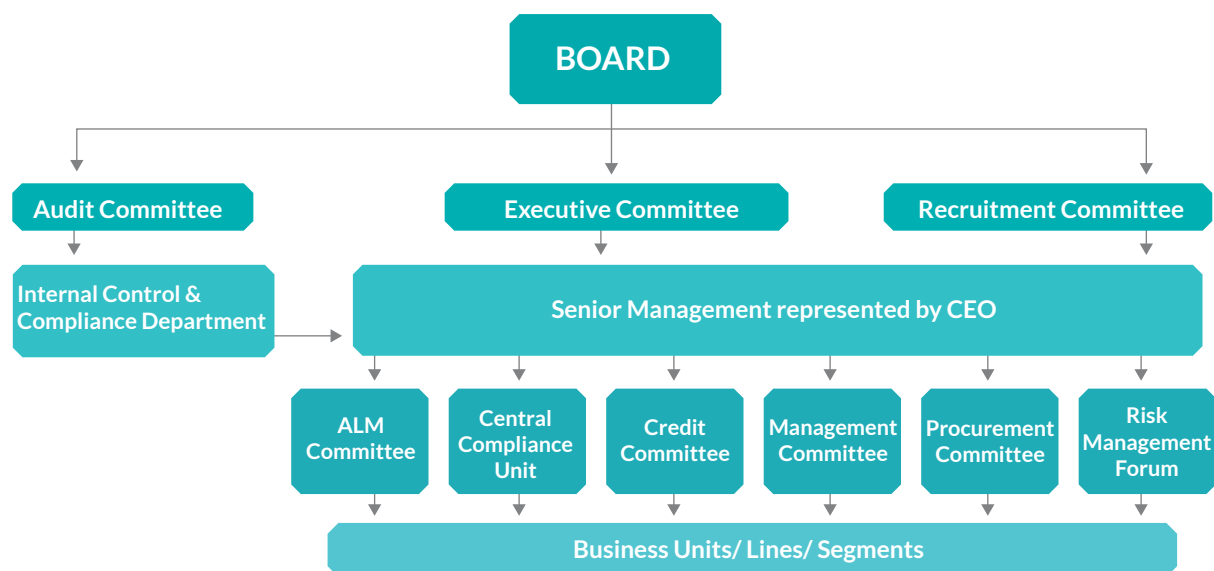
domestic demand, high export growth and continued expansion of infrastructural facilities attributed to the accomplishment of accelerated growth. Bangladesh will continue to engage its efforts to achieve the SDG goals which will hinge on several factors such as accelerated resource mobilization, higher investment, efficiency in infrastructure implementation, skilled human resources and strong institutional set up.

Risk Management of BIFFL

BIFFL believes that effective risk management is of primary importance to its overall operations. Accordingly, BIFFL's risk management process has been designed to monitor, evaluate and manage the principal risks it assumes in conducting its activities. Specifically, the activities that BIFFL engages in and the risks those activities generate-must be consistent with BIFFL's underlying commitment to the principles of and in line with BIFFL's risk appetite. BIFFL's risk appetite framework includes principle-based qualitative boundaries to guide behavior and quantitative boundaries within which the firm will operate, including capital strength and earnings power. In BIFFL, only calculated risks are taken while conducting business to strike a balance between risk and return. Risk is clearly identified, mitigated or minimized and if possible, eliminated to protect capital and to maximize value for the shareholders. BIFFL selectively takes risks in support of its underlying customer-centric business strategy. BIFFL evaluates and rewards employees with specific consideration to their risk behaviors, including transparency, communication and escalation of concerns.

BIFFL Risk Management Structure

Risk management procedures are approved, monitored, and mitigated at various stages of BIFFL with a combination of Board, its committees, management committees, management units, Internal Control & Compliance Department and Credit Risk Management Department. The hierarchy of BIFFL risk management infrastructure is as under:



Board of Directors

The Board oversees and approves all major risk management policies and parameters considering market conditions, regulatory requirements and lessons learned in the past. While setting forth policies and parameters for credit, operational and market risks, a balance is maintained for ensuring smooth operations but protecting against down-side risk from potential loss or foregone income and to protect interest of shareholders.

Executive Committee (EC) of the Board

EC of the Board is responsible to oversee that the management and its committees are operating within approved limits and authorities and that all major risks are managed and mitigated effectively while potential and actual losses arising from risks are within the acceptable limits. EC also approves all credit proposals except the large loan proposals,

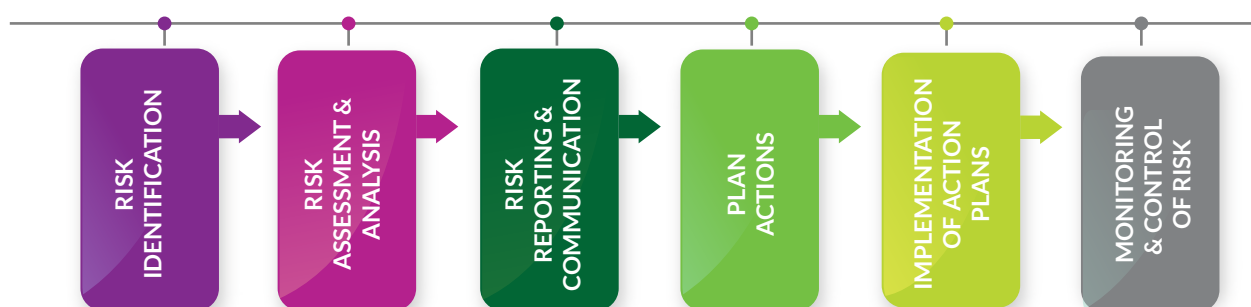
administrative proposals and major purchases as recommended by the credit committee, management committee and procurement committee respectively.

Audit Committee of the Board

AC independently monitors all activities of operations involving credit risks, operational risks and market risks through ICCD. AC ensures that all risk factors are adequately addressed and any deviation is quickly corrected for sustainable operation of BIFFL.

Risk Management Framework

BIFFL is a highly dedicated financial institution of Bangladesh conducting business in a professional manner by adopting the internationally accepted best practices upholding the ethical values and maintaining transparency in all activities. BIFFL believes in sustainable growth which is ensured through appropriate trade-off between risk and return.



Risk Identification, Assessment and Analysis

Risk analysis unit identifies and analyses all prevailing and probable risk of BIFFL appropriately and timely. This unit collects all relevant data related to the risk indicators from different models and information system at the earliest. They assess the quality, completeness and correctness of those data. They identify and quantify the risks and their exposures to material loss. They prepare Risk Management Paper on quarterly basis and conduct periodic stress testing as per instructions of Bangladesh Bank.

In addition, the Credit Committee (CC) regularly meets to review the market and credit risk related to lending and recommend and implement appropriate measures to mitigate associated risks. CC reviews the due diligence of the individual project considering its technical, commercial, financial, management, economic and social & environmental aspect. They also review the probable impacts of local and global economic condition on the projects.

An independent CRMD is in place at BIFFL to check all compliances of regulatory body, credit norms and policy of BIFFL in order to create a high quality and efficient credit portfolio and maximize shareholders' return. Credit Risk Grading (CRG) technique helps a Financial Institution to understand and quantify the risks involved in financing individual project. This is done at BIFFL at pre-sanction and post sanction stage of loan. This assists management to monitor changes and trend in risk levels. The process also allows the management to manage risk and optimize return.

To mitigate credit risk, BIFFL obtains credit report from Credit Information Bureau (CIB) of Bangladesh Bank and Credit Rating Report of the individual customer/project from external Credit Rating Agency approved by Bangladesh Bank. This report is scrutinized by CRMD to understand the liability condition, repayment behavior of the customer and business and market condition of the project. BIFFL has an ICCD to address operational risk and to ensure that an appropriate framework exists to identify, assess and manage operation risk. However, internal control measures are in place at BIFFL to mitigate operational risks under Board Audit Committee.

The Asset Liability Management Committee (ALCO) of the company regularly meets to assess the

prevailing market risk. ALCO members analyze the changes in interest rate, market conditions, re-pricing of products and thereby takes effective measures to monitor and control risk related to interest and mismatch of assets and liabilities.

Risk Reporting and Communication

After assessment of risks inherent at different divisions of BIFFL, those risks are reported by Risk Analysis Unit to Risk Management Forum-RMF (consisting of the top management of BIFFL).

Plan Actions

RMF recommends some specific action plans for mitigating the identified risks to be implemented by the head of different divisions with a given timeline. Furthermore, risks are properly communicated to the Board of Directors by Board Audit Committee.

Implementation of Plan Action

In line with guideline of Bangladesh Bank for comprehensive risk management of the Bank, the CRMD and RMF has been carrying out the following activities:

- a) All regulatory compliances related to Basel II;
- b) All regulatory compliances related to Stress Testing;
- c) All regulatory compliances related to CAMELS rating of Bangladesh Bank; and
- d) All regulatory compliances related to comprehensive risk management rating including preparation of Risk Management Paper (RMP) in line with the Bangladesh Bank's reporting format and informing the Board/ RMF about major findings of RMP for ensuring the regulatory compliances as per requirement.

Monitoring and Controlling of Risk

BIFFL risk management process requires that risks are effectively identified and assessed, and that appropriate controls and responses are in place. Board Audit Committee and ICCD are to carry out regular audits of policy and standards, compliance and standard performance are reviewed to identify opportunities for improvement. The monitoring process provides assurance that there are appropriate controls in place for the organization's activities and the procedures are understood and followed.

BIFFL Risk Management Process

A well-structured and proactive risk management system is in place at BIFFL to address the risk relating to credit, market, liquidity, and operation. BIFFL has different committees for risk management and internal control. The governance of risk management starts with our Board which plays an important role in reviewing and approving risk management policies and practices. In addition, as part of the industry's best practices for assessing, identifying, and measuring risk, BIFFL's Board has approved core risk policies as per guideline of managing core risk of financial institutions issued by Bangladesh Bank time to time. Through our risk management framework, we manage enterprise-wide risk, with the objective of maximizing risk-adjusted returns while remaining within our tolerance. As a part of this framework, the Board has approved a set of principles that describe the risk management culture we wish to sustain:

Balancing risk and return

- We manage our risks to build a sustainable franchise, in the interests of all our stakeholders.
- We only take risks within our risk tolerances and risk appetite, and where consistent with our approved strategy.
- We manage our risk profile to maintain a low probability of an unexpected loss event that would materially undermine the confidence of our investors.

Conduct of business

- We demonstrate that we are here for good through our conduct and are mindful of the reputational consequences of inappropriate conduct.
- We seek to achieve good outcomes for clients, investors and the markets in which we operate while abiding by the spirit of laws and regulations.
- We treat our colleagues fairly and with respect.

Responsibility and accountability

- We take individual responsibility to ensure risk-taking is disciplined and focused, particularly within our area of authority.
- We make sure risk-taking is transparent, controlled and reported in line with the risk management framework, within risk appetite and

risk tolerance boundaries and only where there is appropriate infrastructure and resource.

Anticipation

- We seek to anticipate material future risks, learn lessons from events that have produced adverse outcomes and ensure awareness of known risks.

Competitive advantage

- We seek to achieve competitive advantage through efficient and effective risk management and control.

We have identified a comprehensive suite of risk factors which covers the broad range of risks our businesses are exposed to. Several risk factors have the potential to affect the results of our operations or financial condition but may not necessarily be deemed as top or emerging risks. However, they inform the ongoing assessment of our top and emerging risks which may result in our risk appetite being revised. The principal risks associated with business and ways of mitigations are described in the below:

Credit Risk Management

Credit risk is one of the most significant risks that BIFFL faces as an institution. As a result, BIFFL has a well-established framework in place for managing credit risk across all businesses. This includes a defined risk appetite, credit limits and credit policies, both at the business level as well as at the company level. BIFFL's credit risk management also includes processes and policies with respect to problem recognition, including 'watch lists', portfolio review, updated risk ratings and classification triggers. Credit risk management, as one of the core risks, is designed and regularly updated to identify, measure, manage and mitigate credit risk to maintain and improve quality of loan portfolio and reduce actual loan losses and to ensure that approved processes are followed, and appropriate due diligence are carried out in appraisal and subsequent approval of new credit facilities. CRG is an important tool for credit risk management as it helps the BIFFL to understand various dimensions of risks involved in different credit transaction. The aggregate score of CRG can provide better assessment of the quality of credit portfolio of BIFFL. Another tool of minimizing credit risk is to obtain and review credit rating of a company before extending credit facilities.

Credit risk for counterparty arises from an aggregation of the following:

- Financial Risk
- Business/Industry Risk
- Management Risk
- Security Risk
- Relationship Risk

Each of the above mentioned key risk areas need to be evaluated and aggregated to arrive at an overall risk grading measure.

a) Evaluation of financial risk

Risk that counterparties will fail to meet obligation due to financial distress. This typically entails analysis of financials i.e. analysis of leverage, liquidity, profitability & interest coverage ratios. To conclude, this capitalizes on the risk of high leverage, poor liquidity, low profitability & insufficient cash flow.

b) Evaluation of business/industry risk

Risk that adverse industry situation or unfavorable business condition will impact borrowers' capacity to meet obligation. The evaluation of this category of risk looks at parameters such as business outlook, size of business, industry growth, market competition & barriers to entry/exit. To conclude, this capitalizes on the risk of failure due to low market share & poor industry growth.

c) Evaluation of management risk

Risk that counterparties may default as a result of poor managerial ability including experience of the management, its succession plan and team work.

d) Evaluation of security risk

Risk that the bank might be exposed due to poor quality or strength of the security in case of default. This may entail strength of security & collateral, location of collateral and support.

e) Evaluation of relationship risk

These risk areas cover evaluation of limits utilization, account performance, conditions/covenants compliance by the borrower and deposit relationship.

Credit Strategy

A sound credit strategy is crucial for improving an organization's investment capacity as well as maximizing its profitability. The following general policy governs the credit strategy of BIFFL:

- a) BIFFL will finance projects within the geographic boundary of the People's Republic of Bangladesh as well as overseas, subject to prior approval of the Board and following due process as required by the concerned authorities;
- b) BIFFL will comply with all applicable laws and regulations;
- c) Projects processed through PPP Authority under the PPP Act 2015 will be given preference for financing;
- d) BIFFL will approve credit facilities primarily to clients who are involved in business activities having successful track record of profitable business growth;
- e) At all times, the policy of "Know Your Customer (KYC)" and his/her credit standing will be considered as the foremost requirement in processing loan applications;
- f) BIFFL's investment/lending decisions shall primarily be based on merit of individual proposals analyzed from legal, financial, technical, marketing, social, environmental, economic, and management points of view. Prime consideration will be the debt service capability of the proposal out of fund generated from business operations. Security coverage shall depend on the factors like financial viability, past history of profitable operations, business goodwill, credit worthiness etc. of the proposal/promoters. Additional security in the form of mortgage of land, building, machinery and other fixed assets, lien of FDR, sponsor's existing business cash flow etc. may be obtained in appropriate cases; In addition to the project cash flows, BIFFL should explore the possibility of creating a security structure of the sponsor's existing business' cash flows;
- g) BIFFL shall also support projects/investments related to innovative ideas, social, community and infrastructure development;
- h) BIFFL shall give priorities to projects wherein the developer has been identified through a competitive bidding process. Projects where

there hasn't been a competitive process for selection of the developer, necessary statutory/ administrative approvals and clearances from relevant Government agency/ authority would be required for considering the same;

- i) BIFFL will not engage in name lending based only on the general reputation of the borrower; and
- j) BIFFL will render total satisfaction to the customers through high standard of prompt customer services.

Eligibility Criteria

Infrastructure Projects

In order to be eligible for funding from BIFFL, a project shall meet the following eligibility criteria:

- a) BIFFL shall consider only those projects for financing which will withstand the viability test from the commercial and socio-economic viewpoints. Viable projects may also include those projects that will become viable after receiving "Viability Gap Financing (VGF)" from the Ministry of Finance, Government of the People's Republic of Bangladesh, as per approved "Guidelines of Viability Gap Financing for PPP Projects";
- b) Any "For-Profit" or "Not-For-Profit" entity legally registered in Bangladesh or abroad at the time of submission of proposal(s) in response to Request for Qualification (RFQ) or Unsolicited Proposal(s) will be eligible to apply for BIFFL financing. However, at the time of contract signing, the foreign entity is required to be registered as a legal entity in Bangladesh;
- c) The project shall be implemented (i.e. developed, financed and operated for the project term) by a:
 - i. **Public Sector Company**, with 51 percent or more of the subscribed and paid-up equity owned and controlled by the GoB, jointly or severally;
 - ii. **Private Sector Company**, with 51 percent or more of the subscribed and paid-up equity owned and controlled by the private sector.
- d) A private sector company not selected through a competitive bidding process would be eligible for direct lending by BIFFL only after the necessary

statutory/ administrative approvals and clearances from relevant Government agency/ authority have been obtained provided that-

- The service to be provided by the infrastructure project is regulated and non-monopolistic in nature;
- The project is being set up under an agreement with the Government or a public sector undertaking; and
- Total lending for such private projects does not exceed 25 percent of the lending program of BIFFL in any Fiscal Year (FY).

- e) Projects should be an integral part of the GOB's priority plan for the relevant sector/sub-sectors;
- f) Projects should meet GOB and BIFFL's Environmental and Social Assessment Criteria; and
- g) The economic rate of return of the project should be at least 12 percent.

Other Projects

- a) Any entity who is duly registered in Bangladesh and fit into the eligible sector mentioned in Credit Policy of BIFFL;
- b) Any entity who is duly registered in Bangladesh and match the eligibility criteria of donor funded projects;
- c) Debt-equity ratio of the entity or project should be minimum 80:20; and
- d) The economic rate of return should substantially cover cost of capital of the project.

In case BIFFL management needs any clarification regarding eligibility of a project, the same may be referred to the Board for appropriate directions.

Credit Approval Process

BIFFL Board of Directors has the overall authority and responsibility for management of risks. The Board decides the risk management policies of BIFFL. The CC is a subcommittee including senior management of BIFFL. In general, all credit proposals are originated from the Credit and Investment Department (CID) of BIFFL. The credit risk

management team conducts a thorough credit and risk assessment prior to forwarding any proposal to the CC. Nevertheless, the credit proposal is clearly stated that all instructions and guidelines of the credit policy have been complied with. To ensure prompt and accurate service and mitigation of credit risk, the credit approval process is now two stages depending on the size of the loan which are Executive

Committee and/or BIFFL Board. The Executive Committee (EC) is a committee including CEO and members of the Board of Directors. EC approves the credit proposal within their delegated authority after recommendation/review of CC. Credit proposal which is beyond delegated authority of EC is submitted to the Board of Directors for approval.



Flow Chart: Credit Approval Process

BIFFL believes in diversification in terms of products and sectors. Sector allocation has already been passed by the BIFFL Board of Directors to overcome any adverse impact on the BIFFL's return. According to risk-return criteria, a risk based pricing model is followed at BIFFL. This automatically provides asking price for a particular customer/project depending on the project type, repayment capability, tenure of the Loan, risk grading of the project and prevailing market/ economic condition of the country vis-a-vis the world.

Internal Credit Risk Rating (ICRR)

BIFFL follows Internal Credit Risk Rating System (ICRRS), a credit risk assessment framework developed by Bangladesh Bank for banks operating in Bangladesh. ICRRS refers to the system to analyze a borrower's repayment ability based on information about a customer's financial condition including their liquidity, cash flow, profitability, debt profile, market indicators, industry and operational background, management capabilities, and other indicators. The system comprises with 20 (twenty) different rating templates for 20 (twenty) industries/sectors. The summary indicator derived from the system will be called ICRR, a key reference for credit risk assessment and decision making.

ICRRS will be an integral part of credit risk management for BIFFL:

- to provide a granular, objective, transparent,

consistent framework for the measurement and assessment of borrowers' credit risk.

- to facilitate the portfolio management activities.
- to assess the quality of individual borrower and determine the quality of the credit portfolio of BIFFL as a whole.
- to be used for individual credit selection, credit pricing, and setting credit limit and terms and conditions.

Functions of Internal Credit Risk Rating (ICRR)

- ICRRS is a fully automated credit risk scoring system that calibrates the characteristics of different sectors and industries in one single model;
- To get the appropriate rating and score, the analyst shall select the appropriate sector or industry from the dropdown list provided in the top page of the template; If the right sector or industry is not selected; the rating will not reflect the unique characteristics of the particular sector or industry.;
- If the borrower is in multiple lines of business, the sector should be used assessing the line of business generating the highest portion of the revenue &/or profit. If there is no particular line

of businesses can be singled out- the ICRRS should be conducted using "other industry- if manufacturing" or "other service-if service".

Use of ICRR

- A. ICRR shall be an integral part of the credit approval process. The guidelines and rating system issued by Bangladesh Bank will be strictly followed without making any change, extension, modification or deletion.
- B. The ICRR shall be applicable for all exposures (irrespective of amount) except consumer loans, small enterprises having total loans exposures less than BDT50 (fifty) lac, short-term agri loans, micro-credit and lending to banks, NBFIs and insurance companies.
- C. The quantitative part of the ICRR exercise shall be conducted by a credit officer/ an analyst. The relationship manager/ branch manager shall complete the qualitative assessment part to generate the total scores.
- D. The CRM team will be responsible for the accuracy and integrity of the rating as the second line of defense.
- E. The executive summary report of the ICRR of the borrower shall be approved and signed by the Chief Risk Officer (CRO).
- F. Latest audited financial statements of the borrower will be used for generating the quantitative rating under ICRR.
- G. All credit proposals whether new, renewal or enhancement shall go through the ICRR process and a set of the ICRR report shall be retained in the loan file.
- H. The relationship manager shall pass the approved ICRR report to the related department for updating their MIS/record.
- I. Conduct routine internal audit to check whether the ICRRS is functioning as per the instructions laid down in the guidelines.
- J. ICRR shall be conducted for all credit proposals including new, renewal and enhancement of the existing proposal.
- K. For existing credit relationship, the ICRR shall be reviewed at least annually at the time of annual/ regular credit review.

Credit Risk Ratings Scores

The ICRR consists of 4-notched rating system covering the Quantitative and Qualitative parameters. The ratings and scores are mentioned below:

Rating	Scores Aggregate
Excellent	≥80%
Good	≥70% to <80%
Marginal	≥60% to <70%
Unacceptable	<60%

The features of different categories of Credit Risk Ratings are given below:

Risk Rating	Definition
Excellent	- Aggregate score of 80 or greater in ICRR - Strong repayment capacity of the borrower evident by the high liquidity, low leverage, strong earnings, and cash flow - Borrower has well established strong market share - Very good management skill & expertise
Good	- Aggregate score of 70 or greater but less than 80 and the quantitative score of at least 30 - These borrowers are not as strong as "Excellent" borrowers, but still demonstrate consistent earnings, cash flow and have a good track record - Borrower is well established and has strong market share - Very good management skill & expertise
Marginal	- Aggregate score of 60 or greater but less than 70 and the quantitative score of at least 30 - This grade has potential weaknesses that deserve management's close attention. If left uncorrected, these weaknesses may result in a deterioration of the repayment prospects of the borrower

Risk Rating	Definition
Unacceptable	- Aggregate score of less than 60 - Financial condition is weak and no capacity or inclination to repay - Severe management problems exist - Facilities should be downgraded to this grade if sustained deterioration in financial condition is noted (consecutive losses, negative net worth, excessive leverage)

Management Action Triggers

- A. BIFFL will lend to a borrower if the borrower's ICRR is "Excellent" or "Good". For the "Marginal" cases, BIFFL shall take cautionary measures in renewing the facilities or lending new money to the customers. While assessing credit proposals, BIFFL must satisfy itself on the future prospect of the business, additional collateral coverage etc. BIFFL shall take heightened measures for monitoring these accounts including but not limited to regular client visits, monitoring of the improvement plans, close monitoring of the repayment performances, timely review of the facilities, oversight on the improvement areas etc.
- B. No loan shall be sanctioned to borrowers whose ICRR is "Unacceptable" unless the loan is 100% cash covered or fully guaranteed by the Government or Multilateral Development Banks (MDBs) or the loan is for any state-owned organization or state-owned project.
- C. For the quantitative and qualitative risk analysis, if the ICRR falls under "Marginal" or "Unacceptable" for any risk criteria (among 16 quantitative and 18 qualitative); whatever the aggregate score is, the relationship manager shall evaluate what would be the impacts of such on loan repayment and justify how those risks are mitigated; and in loan proposal the approval authority should review those justifications thoroughly and make necessary evaluations on it and should be documented in the loan file.
- D. In deriving ICRR, whatever score a borrower gets in the qualitative analysis if the score in the quantitative part is less than 50%, the borrower's ICRR shall be "Unacceptable".

- E. BIFFL can make renewal and enhancement of existing loans for maximum 2 (two) times if the borrower's ICRR is "Unacceptable".
- F. In conducting qualitative analysis, justifications for all criteria are required to be documented.
- G. BIFFL must maintain portfolio level database for the assets with "Excellent", "Good" "Marginal" and "Unacceptable" category and maintain risk appetite/tolerance level for portfolio.

Market Risk Management

Market risk encompasses funding and liquidity risk, interest rate risk and price risk, each of which arises in the normal course of business of a financial intermediary such as BIFFL. Market risk is actively monitored by the Treasury department of BIFFL. The objective of market risk management is to manage and control market risk exposure within acceptable parameters.

Funding and Liquidity Risk Management

Adequate liquidity and sources of funding are essential to BIFFL's businesses. Funding and liquidity risks arise from several factors, many of which BIFFL cannot control, such as disruptions in the financial markets, changes in key funding sources, credit spreads, changes in credit ratings and political and economic conditions.

BIFFL has no exposure in capital market yet and therefore it is not exposed to any market risk related to securities but exposed to interest rate risk. The Treasury department in collaboration with Accounts and Finance department manage interest rate risk with oversight of Asset-Liability Management Committee (ALCO) comprising senior management of BIFFL. Since BIFFL does not take any deposits from the market there is no adverse maturity gap in terms of its assets and liabilities. But it exposes liquidity risk of converting its fixed deposit into cash at reasonable price on time. The Treasury department manages the liquidity risk with oversight of ALCO comprising senior management of BIFFL.

Operational Risk Management

Operational risk is the potential loss arising from the failure of company's systems, people and procedures, internal control, compliance requirements or corporate governance practices that result in human error, fraud, failure, damage of reputations, delay in performance of the works. Operational risk is the

risk of loss, whether direct or indirect, to which the Bank is exposed due to inadequate or failed internal processes or systems, human error, or external events. Operational risk includes legal and regulatory risk, business process and change risk, fiduciary or disclosure breaches, technology failure, financial crime and environmental risk. It exists in some form in every organization business and function. Operational risk can not only result in pecuniary loss, but also regulatory sanctions and damage to the reputation. BIFFL is very successful at managing operational risk with a view to safeguarding client assets and preserving shareholder value.

Reputational Risk

Reputational risk is the risk that negative publicity regarding BIFFL's conduct, business practices or associations, whether true or not, will adversely affect its revenues, operations or customer base, or require costly litigation or other defensive measures. BIFFL finances projects that enhance our economic activities that bring change in the people's lives. BIFFL does not involve in any controversial business venture that may damage the reputation of the company.

Environmental Risk

Environmental risk is a facilitating element of credit risk arising from environmental issues. These can be due to environmental impacts caused by and / or due to the prevailing environmental conditions. These increase risks as they bring an element of uncertainty or possibility of loss in the context of a financing transaction. The overall purpose of Environmental Risk Management is to understand and manage risks that arise from environmental concerns. This brings a focus on planning and implementing policies and procedures to mitigate environmental risks.

The specific purposes are –

- To examine the environmental issues and concerns associated with potential business activities proposed for financing;
- To identify, evaluate and manage the environmental risks and the associated financial implications arising from these issues and concerns; and
- To enhance the credit risk appraisal process.

Compliance Risk Management

Compliance risk is defined as the current or prospective risk of legal sanction and/or material

financial loss that an organization may suffer as a result of its failure to comply with laws, its own regulations, code of conduct, and standards of the best practice as well as from the possibility of incorrect interpretation of laws or regulations. The guidelines articulate the respective roles of the board, senior management and compliance function units in managing compliance risks and also require formulation of a written compliance risk management policy.

BIFFL has always fostered a compliance oriented culture. Senior management has constantly stressed the need to do business in a compliant manner. In general, compliance risk management is embedded in the day to day to business processes and practices of the company.

Potential Risks

- a. Potential financial loss;
- b. Serious regulatory implications (revocation of license, imprisonment, possibility of fines/penalties from regulators);
- c. Potential/actual damage to reputation;
- d. Major corporate governance failure;
- e. Customer dissatisfaction; and
- f. Loss of business opportunities.

Plan of action to mitigate potential compliance risks

- a. Understand applicable rules and regulations and keep up to date;
- b. Communicate new rules and regulations to concerned departments and help them in adoption of the same;
- c. Communicate the required reports/statements to regulators within the stipulated time period;
- d. Maintain cordial relations with the regulators, customers and other stakeholders;
- e. Act as a liaison between management and regulators;
- f. Arrange for in-house trainings and attend out-of-house trainings on new developments in the financial sector; and
- g. Develop checklists for applicable rules and regulations and ensure compliance of the concerned departments, like through DCFCLs.

The ICCD is monitoring the reporting of various departments to Bangladesh Bank and other regulatory authorities. The department also ensure the compliance of relevant laws, regulations, directives of different regulators and its own policies.

Financial Reporting

BIFFL maintains proper accounting practices in recording transactions. Adequate books of accounts e.g. account statements, loan register etc. are maintained and updated regularly. The financial statements are also prepared following the International Financial Reporting Standards (IFRSs) and relevant circulars of the Bangladesh Bank. BIFFL maintains transparency in the conduct of business and protects the confidential information at the same time.

BIFFL regularly reports to Bangladesh Bank following the regulatory requirements and submits the financial

reports in due time. Bangladesh Bank and BIFFL Risk Management Forum recommend action plans to concerned department for mitigating identified risk areas and follow-up the implementation of previous recommendations. Some of the major reports are –

Name of the Report	Frequency
Risk Management Report	Quarterly
Loan/Lease Reschedule Statement	Monthly
Interest Rate for Deposit & Lending	Quarterly
Loan/Lease Write off Statement	Quarterly
Sector Wise Loan/Lease	Quarterly
CP Reporting	Quarterly
Loan Lease Classification	Quarterly
Recovery of Loan/Lease/Business Activity	Quarterly
NBFI-3	Quarterly
Industrial Loan and Advances	Quarterly
Collateral- Security Database	Quarterly

STATEMENT ON NON-PERFORMING LOAN (NPL) MANAGEMENT

Managing Non-Performing Loan (NPL)

Effective flow of investment is the precondition of the economic development of any country. As a developing country, Bangladesh faces several obstacles such as increasing trend of NPL as well as underdeveloped capital market which mostly depend on the mobilization of the savings and granting credit facilities to the investors by the financial institutions. Increase in NPL affects the financial health by reducing the asset quality and might put a financial institution in difficult situations.

It is known that –

- NPL shrinks the profitability of financial institution. NBFIs do not earn interest income from the classified loans.
- NPL decreases the loanable funds, and when the problem becomes prevalent in the financial sector, financial institutions become unable to provide credit to the productive sectors of the economy. Decrease in credit disbursement also leads to lower return on assets and return on equity which might affect liquidity and solvency of the institution.

As such, to maintain sound financial health, BIFFL has put NPL management as topmost priority. BIFFL believes that firm specific variables are more important in explaining NPL than macroeconomic variables. That means, irregularity in loan management is responsible for increase in NPL. BIFFL has always engaged its efforts towards reduction and prudent management of NPL through systematic, proactive, and focused approach.

Industry Overview and Current Position of BIFFL

At present, there are 35 NBFIs operating in Bangladesh (including Peoples Leasing & Financial Services Limited, which is under liquidation). Among the NBFIs, 3 are Government-owned, 13 are joint ventures with foreign participation, and the rest 19 are private sector companies.

At the end of June 2021, the NPL for NBFIs was 15.40 percent. In the total asset composition of all NBFIs, the amount of loans, lease and advances was 73.41 percent.

in Billion BDT								
Particulars	2014	2015	2016	2017	2018	2019	2020	2021
Loan/ Lease	372.80	448.50	530.70	580.40	641.90	678.10	669.54	671.2
Classified Loan/ Lease	19.70	40.00	38.70	52.10	59.20	80.40	88.98	103.3
% of Classified Loan/ Lease	5.28%	8.92%	7.29%	8.98%	9.22%	11.86%	13.29%	15.40%

Table: Trends in Total Loan/Lease and Classified Loan/Lease of NBFIs (source: BB)

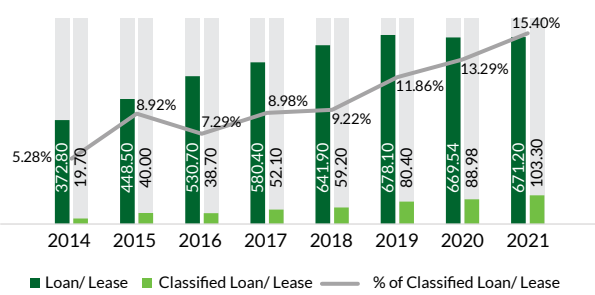
Non-performing loans in NBFIs are showing an increasing trend over the past 8 years. At the end of June 2020, the NPL ratio was 13.29 percent while it was 15.40 percent at the end of 2021 which shows a 15.88 percent increase on year-to-year basis.

The asset of NBFIs increased by 6.28 percent at the end of June 2021 compared to the asset at the end of June 2020. Total asset of NBFIs at the end of June 2021 was BDT914.3 billion, which was BDT860.3 billion at the end of June 2020. This indicates that the economy has started to recover after the slowdown

of Covid-19 pandemic as the credit disbursement increased in 2021.

NBFIs have invested in different sectors of the economy, but their investments are mostly concentrated in industrial sector. Sector wise composition of NBFIs' investment at the end of June 2021 was as follows: industry 47.24 percent, real estate 18.96 percent, margin loan 1.15 percent, trade and commerce 13.90 percent, merchant banking 3.09 percent, agriculture 2.46 percent and other sectors 13.20 percent.

Trends in Total Loan/Lease, Classified Loan/Lease (in billion) and NPL Ratio



Total deposits of the NBFIs at the end of June 2021 increased by 0.95 percent to BDT445.4 billion (53.73 percent of total liabilities) from BDT441.2 billion (57.39 percent of total liabilities). Total liability of the industry increased to BDT828.8 billion at the end of June 2021 from BDT768.7 billion that of June 2020. At the end of June 2021, total equity stood at BDT85.5 billion.

Although credit disbursement increased in 2021 compared to that in 2020, Covid-19 has slowed down the economy and the investment made by the NBFIs experienced slowed repayment. Few industries are still struggling in project implementation and in resuming their operations.

NPL at BIFFL

The total non-performing loans and investments of the institution stood at BDT270.87 crore. As on 31 May 2022, the outstanding balance of loans and investment was BDT2,150 crore. The NPL has increased mainly because of the setbacks faced by some industries due to Covid-19 pandemic.

Although the economy has started to recover, some businesses are still struggling to overcome due to some macro-economic and industry specific factors. A sudden increase in coal price, delay in shipment due to Covid-19, increase in the price of raw materials, increase in cost of civil constructions, closure of business for prolonged time were some of the factors responsible for delay in project implementation and stagnancy of few industries which was the major factor behind the increase in NPL of BIFFL in 2021.

Written Off Loans

BIFFL hasn't written off any loan so far. However, BIFFL will write-off loans that consistently remain as bad/loss category (subject to approval of the Board of Directors).

BIFFL's Strategies to Manage NPL

BIFFL has been very successful in managing NPLs, and it has been possible through the concerted efforts of BIFFL officials of all departments. Close supervision of the top management and effective oversight of the Board of Directors towards containing NPL also played a crucial role. BIFFL emphasizes on the following aspects in its NPL management strategy:

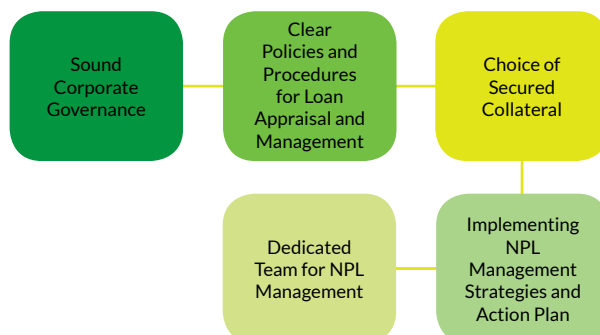
Sound corporate governance: To ensure that loans do not become non-performing in the first place, BIFFL conducts a comprehensive due diligence on the clients and their business before disbursement. Loan facility is provided on commercial consideration as per the merit of the businesses and risk exposure, devoid of political or external influences.

Elaborate credit monitoring policies and procedures: BIFFL's NPL management is governed by comprehensive Credit Policy and its application in selection in probable borrowers. Credit Policy of BIFFL has been formulated incorporating the guidelines of Bangladesh Bank and industry best practices.

Choice of collaterals: BIFFL ensures that the security kept against the loan is adequate to recover the loan if it defaults. Comprehensive inspection of the project site and valuation of the proposed collaterals (e.g., mortgage of land) is conducted by a reputed surveyor to estimate the value of the security and risk exposure in the loan appraisal stage.

Setting up of a dedicated unit: BIFFL has established a dedicated unit, Special Asset Management Department (SAMD), for management of the NPLs. SAMD regularly evaluated the performance of the client and prepared the strategy to keep the NPL at minimum.

Early alert system: The main goal of early alert system is to identify problematic borrowers for immediate attention and remediation, with the goal of preventing those loans to become NPL.



Incentive Program for NPL Recovery

BIFFL has introduced incentive programme to encourage recovery of loans and to bring down the Non-Performing Loans (NPLs). The table below shows an indicative incentive plan:

Recovery as a % of Principal plus Interest	Recommended incentive as % of net recovery amount	
	If CRG 7-8	if written off
76% to 100%	1.00%	2.00%
51% to 75%	0.50%	1.00%
20% to 50%	0.25%	0.50%

Reporting and Provisioning

BIFFL strictly follows the Prudential Regulations for Financial Institution formulated by Bangladesh Bank and DFIM circular no. 04, Master Circular: Loan/Lease Classification and Provisioning dated 26 July 2021 for loan classification, loan rescheduling, CIB reporting, provisioning and write-off and suspension of interest. Loan rescheduling, provisioning, write-offs, or release

of provisions/ upgrade of a loan account are subject to approval of the Board of Directors based on the recommendations of the management of BIFFL.

Provisions are made against the expected losses following the guidelines of Bangladesh Bank at the time they are estimated, regardless of the time when the actual losses incur. Depending on situation, BIFFL management, in order to increase shock absorbing capacity, follows more stringent policy on keeping provision against loans.

Forced sales value of the securities are determined by the valuation conducted by the surveyor. Forced sale value is generally the amount that is expected to be realized through the liquidation of collateral held as security or through the available operating cash flows of the business, net of any realization costs. As per DFIM circular no. 04, Master Circular: Loan/Lease Classification and Provisioning dated 26 July 2021, general provision and specific provision are calculated keeping in consideration the salvage value of eligible securities of the loans.

Following formula is applied in determining the required amount of provision:

1	Gross Outstanding	XXX
	Less:	(XXX)
	(i) Cash margin held or Fixed Deposits/SP under lien (as per the eligibility criterion) (ii) Interest in Suspense Account	(XXX)
2	Facility Value (For which provision is to be created before considering estimated realizable value of other security/collateral held)	XXX
	Less: Estimated salvage value of security/collateral held	(XXX)
3	Net Facility Value	XXX

Special Asset Management Department

Special Asset Management Department (SAMD) is devoted to managing the classified loans and reducing the existing NPLs adopting advanced, specialized tools and mechanism. SAMD analyses the profile of the classified loans, ensures constant follow-up and close monitoring of the classified loan accounts and prepares the strategy and action plan for recovery / regularization of classified loans engaging officials of all relevant departments. SAMD initiates legal actions with the help of Legal Unit of BIFFL in consultation with the panel lawyers. SAMD also take initiatives to bring mortgaged assets/property under BIFFL's control and take actions to sell out the property to recover NPL.

SAMD reports to the management about the overall asset quality of the organisation on a regular basis and recommends the management of BIFFL for appropriate course of action (e.g., rescheduling of loan) in order to keep the NPL at minimum level. Recovery meeting is held in every month to ensure follow-up, set up action plans and expedite the recovery progress.

Strategic Outlook in 2022

At BIFFL, NPL management starts with the very beginning of the loan appraisal process i.e., through conducting comprehensive due diligence on customer and screening loan applicants. Although increase of NPL in the financial sector in 2021 has been mostly

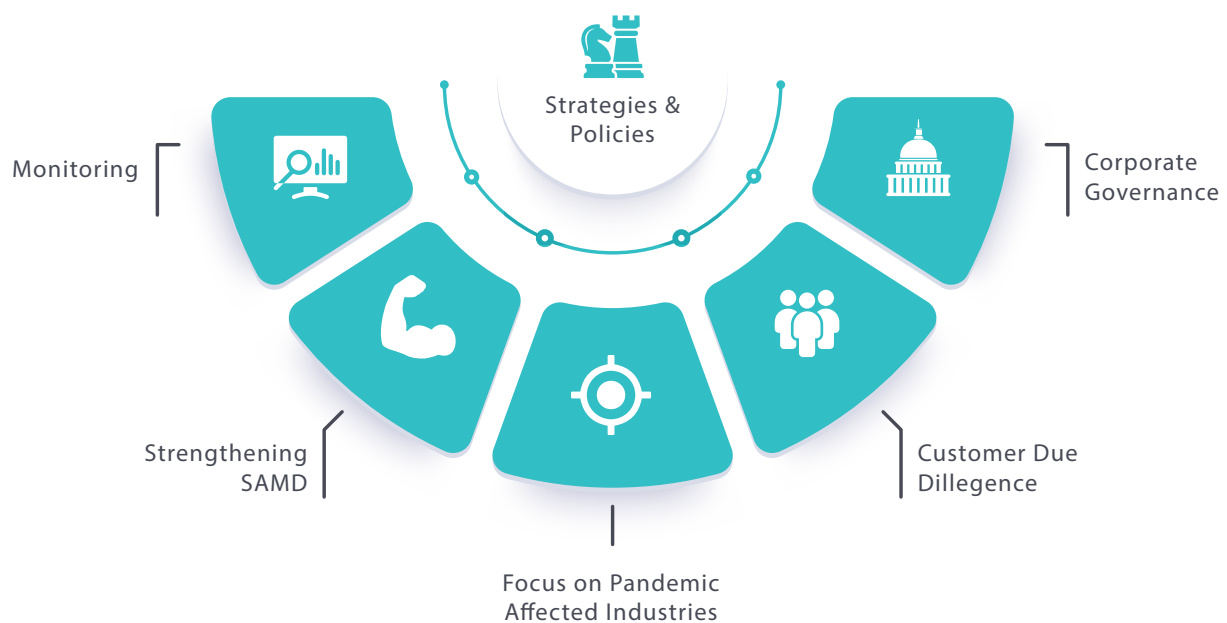
due to Covid-19 pandemic, BIFFL believes that efficient loan management is key to keeping the NPL at minimum level.

Businesses were shut down due to lockdown and few industries e.g., tourism, environment-friendly auto bricks industry were heavily impacted. Small and Medium Enterprises (SMEs) were the worst sufferers of this pandemic, and this sector will get our special attention. Since businesses of a few industries has faced difficulties in resuming their operation and implementation of few projects got delayed, BIFFL will have enhanced focus on project implementation and regularizing the early-stage irregular loans.

Moreover, running recovery campaigns by the SAMD from time to time will continue to be one of the strategies of BIFFL to reduce the NPLs. In addition, continuation of the litigation process against the classified loan accounts shall be crucial to speed up recovery.

Strategic outlook in 2022 can be summed up as follows:

- Close monitoring of the projects that suffered due to Covid-19 pandemic;
- Focusing on implementation and commencement of operation of the project that got delayed due to macroeconomic and industry-specific factors;
- Special focus on the SME sector;
- Emphasis on rigorous due diligence;
- Running recovery campaigns regularly;
- Strengthening SAMD;
- Regularizing the early-stage irregular loans; and
- Continuation of litigation process with the help of Legal Unit.





CORPORATE GOVERNANCE & COMPLIANCE

DIRECTORS' REPORT

With the reporting year ended on 31 December 2021, the Board of Directors of Bangladesh Infrastructure Finance Fund Limited (BIFFL) has the pleasure of presenting the Annual Report of the company together with the Audited Financial Statements (AFS) for 2021. The AFS is prepared in compliance with section 184 of the Companies Act, 1994 and guidelines of Bangladesh Bank as well as other regulators.

Despite the Covid-19 situation worldwide and its impact on overall economic conditions of the country, BIFFL has completed another successful year with steady progress. Simultaneously, the company continues efforts to establish compliant and resilient business operation under its mandated course of business.

Current World Economy

The world economy is experiencing a strong but highly uneven recovery post-covid. Although economic growth has returned to the positive domain for most economies, it remains fragile due to underlying factors as the risk of Covid is still present along with the impact of conflict in Europe that gave rise to economic fragmentation. Increasing commodity prices as a result of the disruption in the supply chain on top of a weakened global economy are making the recovery more difficult with the possibility of a recession in advanced economies. Policymakers in emerging and developing countries face a difficult balancing act between food price inflation, dwindling fiscal space and supporting the economic recovery. Countries are adjusting their policies as they go along and therein lies the risk of over (under)-doing.

International Monetary Fund projects that the global economic growth will sharply reduce from 6.1 per cent in 2021 to 3.6 per cent in 2022¹. The negative impact of the slowdown will most likely be felt in the emerging and developing countries than the advanced economies. In low-income countries, the effects of the pandemic have reversed pre-pandemic gains in poverty reduction and food security and other long-standing challenges. While about 90 per cent of advanced economies are expected to regain their pre-pandemic per capita income levels by 2022, only about one-third of EMDEs is expected to do so.

South Asia's recovery will remain strong, thanks to the resilient domestic demand in 2022. However, the rate of recovery will vary in countries. The recovery will remain fragile, though, as the region is increasingly connected globally, therefore, will be influenced by the rest of the world's performance².

Bangladesh: Current Economic Growth and Key Challenges

Bangladesh has been among the fastest-growing economies in the world, maintaining an average 6 per cent GDP growth for over a decade. The underlying resilience and dynamism of the economy were demonstrated during the pandemic. While global economic growth was teetering between zero and negative, Bangladesh maintained a positive growth rate. Economic stimulus, wide vaccination coverage and remittances enabled the economy to stay on the right course. Challenges remain: inflation, weak remittance growth and volatility in the energy market. Most of these challenges are exogenous, however, policies need to be in place so as to address the fallout when and where necessary.

In the financial sector, contingent liabilities from non-performing loans combined with weak capital buffers could necessitate recapitalizations of state-owned banks and depress credit growth. External risks remain elevated. While demand for RMGs appears to be stabilizing, the recovery is fragile. Demand for Bangladesh's overseas workforce in the Gulf region may also be impacted by the ongoing recession in that region, impairing future remittance inflows.

Facing the overall situation and to achieve its vision of attaining upper-middle-income status by 2031, Bangladesh needs to ensure optimum utilization of its internal resources and production capacities, create employment opportunities through a competitive business environment, increase human capital and skilled labour-force, efficient infrastructure, and a policy environment that attracts private investments. Coordinated fiscal-monetary policy action is needed to anchor inflation expectations and continue the growth momentum in the near and medium-term.

Reference:

1. *World Economic Outlook, April 2022, International Monetary fund (IMF)*
2. *Asian Development Outlook, April 2022*

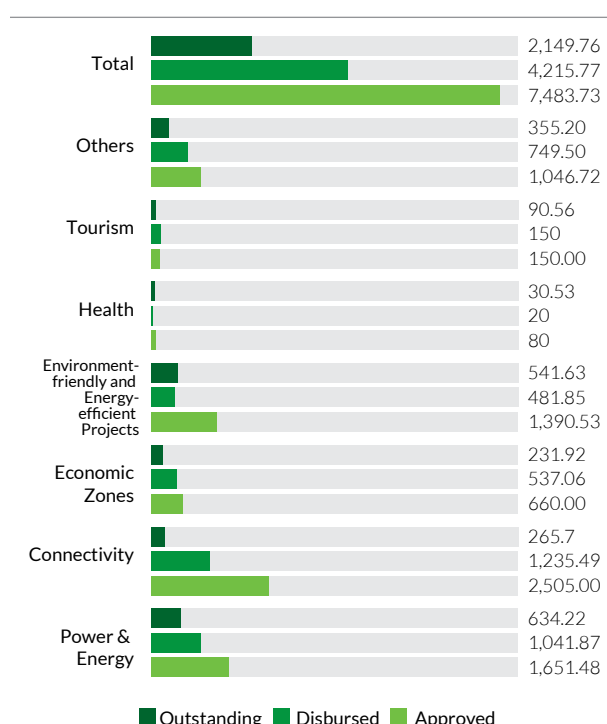
BIFFL: Performance 2021

Being established in 2011 to contribute to the development of the country's infrastructures and growth, BIFFL has been offering long-term financing to numerous infrastructure projects of the country including Public Private Partnership (PPP) project. Also, it has been channeling development partners' fund in promoting energy efficient and environmentally friendly projects, food value chain improvement projects as well as women entrepreneurship projects in the country.

As of 31 May 2022, the institution approved one hundred and one (101) financing proposals for BDT7,483.73 crore in various sectors and disbursed BDT4,215.77 crore.

Sector	Approved	Disbursed	Outstanding
Power & Energy	1,651.48	1,041.87	634.22
Connectivity	2,505.00	1,235.49	265.70
Economic Zones	660.00	537.06	231.92
Environment-friendly and Energy-efficient Projects	1,390.53	481.85	541.63
Health	80.00	20.00	30.53
Tourism	150.00	150.00	90.56
Others	1,046.72	749.50	355.20
Total	7,483.73	4,215.77	2,149.76

* Figures above are BDT in crore.



Financing Proposals Underway

A number of projects amounting BDT877 crore in different sectors are under consideration, as follows:

Sectors	BDT in crore
Power and Energy	245.00
Connectivity	50.00
Energy Efficiency	469.00
Others	113.00
Total	877.00

BIFFL & SDGs

Bangladesh has incorporated priorities of Sustainable Development Goals (SDGs) in all its development policies. BIFFL is working as a unique organization for the development of infrastructure, conservation of environment and climate as well as women empowerment with poverty eradication, redressing gender disparity and sustainable development of the country in partnership between the private and public sector.

For the establishment of infrastructures in Road Transport and Connectivity, Power and Energy, Development of Economic Zones BIFFL approved financing BDT4,816.48 crore and disbursed BDT2,814.42 crore. Besides, a good number of projects are under consideration for financing.

BIFFL has been working with different bilateral and multilateral development partners such as World Bank, JICA, ADB, KfW and AFD for capacity development (Technical Assistance) for energy efficiency and conservation promotion, infrastructure development and food value chain improvement projects.

BIFFL has been working to promote environment friendly green construction materials in development works. It has organized nationwide expos from 2016 to 2018 which created a huge impact on awareness of the mass people, business entrepreneurs and even the policy makers of the country about green technology and energy efficiency. BIFFL approved financing BDT1,390.53 crore and disbursed BDT481.85 crore in this area.

BIFFL has been contributing on the development of insolvent women entrepreneurs which impacts their economic status, social empowerment, and

redressing gender disparity. It financed 35 individual women entrepreneurs for the development of their businesses. Besides, it also provided cluster finance to almost 250 women entrepreneurs in 'Jamdani Palli' at Rupganj, Narayanganj and 'Kakra Gher' at Bagerhat of Khulna district.

Financial Outcome

The company finalized its annual financial statements for the year ended on 31-12-2021 and ACNABIN, Chartered Accountants, audited the accounts accordingly. The key financial indicators are as follows:

Particulars	BDT in crore			%
	2021	2020	Changes	Changes
Balance Sheet Highlights				
Leases, Loans and Advances	1,639.44	1,836.34	(196.90)	-10.72%
Investment	259.12	316.90	(57.79)	-18.24%
Leases, Loans, Advances and Investments	1,898.56	2,153.24	(254.68)	-11.83%
Assets	4,352.12	3,910.27	441.85	11.30%
Liabilities	1,698.96	1,296.69	402.27	31.02%
Equity	2,653.16	2,613.58	39.58	1.51%
Operational Performance				
Revenue	235.13	190.04	45.08	23.72%
Interest Expenses	11.95	9.03	2.92	32.39%
Operating Income	223.17	181.02	42.16	23.29%
Operating Expenses	12.22	13.77	(1.55)	-11.24%
Profit before Provision	210.95	167.25	43.70	26.13%
Provision	68.60	50.00	18.60	37.20%
Profit before Tax	142.35	117.25	25.11	21.41%
Provision for Income Tax	81.11	63.09	18.02	28.57%
Profit after Tax and Provision	61.24	54.16	7.08	13.08%
Key Ratios (BDT)				
Earnings Per Share (EPS)	Tk.2.65	Tk.2.35	Tk.0.31	13.08%
Net Asset Value (NAV) Per Share	Tk.114.95	Tk.113.24	Tk.1.71	1.51%

Sources of Fund

Other than equity, i.e., paid-up capital, BIFFL channels funds from other sources to enhance its leverage and cater to a larger range of clients. BIFFL has already completed one on-lending project and is in the process of implementing several others sponsored by Japan International Cooperation Agency (JICA) and the Government of Bangladesh (GoB) to promote financing in energy efficiency and conservation, food value chain improvement etc. Besides, BIFFL has also secured soft loans from World Bank and Asian

Development Bank to leverage some mega projects where financing from traditional bank loans would not have been possible. In 2021, BIFFL has also secured another concessional credit line from the French Development Agency- AFD and is also nearing to the financial closure of several new concessional credit lines from KfW and ADB in different areas of development financing. Apart from the bigger figures, financing the underprivileged woman entrepreneurs with limited access to formal finance under the central bank's refinancing scheme has been another development initiative of BIFFL.

EECPFP

From the “Energy Efficiency and Conservation Promotion Financing Project” (EECPFP) under the Loan Agreement No. BD-P90 included in the 37th Japanese ODA loan package, dated June 2016 between Japan and Bangladesh, a total loan of JPY9,978 million (USD95 million approximately) is available for BIFFL, shared with IDCOL. In addition, BIFFL has also received JPY574 million (approximately USD5.50 million) as technical assistance. This facility can be used for 9 years.

EECPFP PHASE-II

Based on the success of EECFP, JICA extended the project as the EECFP Phase-II, Loan Agreement No. BD-P109 dated May 2019 under the 40th ODA Loan Package of the Japan Government. BIFFL will also receive half of the extended fund of JPY20,076 million for on-lending and technical assistance.

FVCIP

The “Food Value Chain Improvement Project” (FVCIP) is another JICA funded project under the Loan Agreement No. BD-P115 included in the 41st ODA Loan package of Japan Government. BIFFL is the sole implementing agency of this project. This project aims to facilitate access to credit for agribusiness and food processing industries to in turn enhance the quality and productivity of end products by providing concessional loans (total loan amount JPY11,218 million). Like other projects of JICA, this project also includes technical assistance for capacity development of BIFFL as well as the food processing and value chain sector.

IPFF-II

The loan under “Investment Promotion and Financing Facility” (IPFF)-II, is USD416.70 million, comprising USD100 million from IDA and USD256.70 million in the form of Special Drawing Rights (SDR) and USD60 million from GoB. BIFFL is a participating financial institution (PFI) to implement the project having a unique allocation of USD30 million for financing through innovative financial instruments.

SBIFFLP

In 2020, the GOB signed an agreement with ADB for providing a 25-year long credit line worth USD50 million to BIFFL for re-lending to

the eligible subprojects structured in the PPP modality. The project aims to strengthen BIFFL's institutional capacity to develop and facilitate infrastructure projects. BIFFL is also receiving technical assistance of USD0.65 million as per the agreement. Meanwhile, BIFFL has signed the Common Terms Agreement and onshore facility agreement for providing loan of BDT1,075 crore to the subproject implementing SPV “Dhaka Bypass Expressway Development Company Ltd.”

EEREWEF Project

On 12 August 2021, The GoB and AFD signed a loan agreement under which BIFFL is receiving EUR50 million for 15 years to finance energy efficiency, renewable energy and women entrepreneurship development-related areas. This amount is also supplemented with a technical assistance fund. Under this project, BIFFL will provide long term concessional loans to the stated areas. The project is currently under implementation.

Classification Status of Loans and Investments

The classification status of loans and investments of BIFFL (as of 31.12.2021) is as follows:

Classification Status	BDT in crore
Standard (STD)	1,494.26
Special Mention Account (SMA)	133.43
Sub-Standard (SS)	169.69
Doubtful (DF)	59.53
Bad and Loss (BL)	41.65
Total	1,898.56

Proposal of Dividend for 2021

As per the audited financial statements, 2021 of BIFFL, the ‘Total Operating Income’ is BDT223,17,21,063 and ‘Net Profit after Tax and Provision’ (NPAT&P) is BDT61,23,94,582. BIFFL Board in its 103rd meeting recommended a dividend of BDT24,49,57,833 (50% of NPAT&P less Statutory Reserve) for the FY2021 in favor of the Government (Finance Division, Ministry of Finance) as the shareholder of the company. Until 2020, BIFFL paid a total of BDT599.78 crore to GoB as dividends:

Year	Dividend		Total
	Stock	Cash	
2014	340.00	10.00	350
2015	70.00	12.00	82
2016	49.00	15.00	64
2017	49.00	15.00	64
2018	-	-	-
2019	-	18.12	18.12
2020	-	21.66	21.66
Total	508.00	91.78	599.78

Total Contribution to the National Exchequer (BDT in crore)

Up to May 2022 since inception of BIFFL	Income Tax and VAT	655.88
	Dividend	599.78
	Total	1,255.66

Corporate Governance

Corporate governance and compliance is a priority issue for BIFFL, as it is a Government-owned organization working to facilitate the country's infrastructure development and promote energy-efficient and environment-friendly projects by liaising with the international development agencies. The company practices corporate governance principles in its operations and strives to maintain compliance in all aspects.

The Board of Directors emphasizes transparency and accountability of the operations and transactions of the organization comprehensively and the management reports to the Board accordingly. The management also tries to standardize the management information system and periodic reports as and when required by the Board.

A separate report on the corporate governance of BIFFL is included in this report.

Change of Share Capital

Shareholders	Shares position during the last 8 years							
	2014	2015	2016	2017	2018	2019	2020	2021
Finance Division, MoF	159,999,984	193,999,984	200,999,984	205,899,984	210,799,984	210,799,984	230,799,984	230,799,984
Secretary, Finance Division, MoF	10	10	10	9	9	9	9	9
Secretary, Prime Minister's Office	1	1	1	1	1	1	1	1
Secretary, Power Division, MoPE&MR	1	1	1	1	1	1	1	1
Secretary, E&MRD, MoPE&MR	1	1	1	1	1	1	1	1
Secretary, Road Transport and Highways Division, MoRT&B	1	1	1	1	1	1	1	1
Secretary, Bridges Division, MoRT&B	1	1	1	1	1	1	1	1
Secretary, ERD, MoF	0	0	0	1	1	1	1	1
Additional Secretary, Finance Division, MoF	1	1	1	1	1	1	1	1
Total	160,000,000	194,000,000	201,000,000	205,900,000	210,800,000	210,800,000	230,800,000	230,800,000

MoF= Ministry of Finance

E&MRD= Energy and Mineral Resources Division

MoPE&MR= Ministry of Power, Energy and Mineral Resources

MoRT&B= Ministry of Road Transport and Bridges

ERD= Economic Relations Division

Board of Directors

BIFFL is an organization with 100% ownership of the Government of Bangladesh represented by the Finance Division as the sponsoring Division/Ministry. All Directors represent their concerned Divisions/Ministries of the Government by virtue of their official positions only. According to BIFFL's Articles of Association, the Board comprised of 8 members including Senior Secretary/Secretary of different Divisions/ Ministries. The Board is the highest authority to make/approve the policy and guidelines of the organization pertinent to its operation and approves of the loan/financing and business functions. The Chief Executive Officer, as an ex-officio member of the Board, conducts the day-to-day business affairs of the company under the supervision and guidance of the Board.

Existing Board of Directors

Sl.	Name	Designation	First Appointment	Re-appointment
1	Mr. Abdur Rouf Talukder Senior Secretary, Finance Division, MoF	Chairman	8-Aug-18	30- Sept -2020 (9 th AGM)
2	Mr. Md. Mahbub Hossain Senior Secretary, Energy and Mineral Resources Division, MoPE&MR	Director	20-Feb-22	-
3	Mr. M. Tofazzel Hossain Miah Senior Secretary, The Prime Minister's Office	Director	27-Feb-20	30-Sept-2021 (10 th AGM)
4	Mr. Md. Nazrul Islam Former Secretary, Road Transport and Highways Division, MoRT&B	Director	7-Nov-17	30- Sept -2020 (9 th AGM)
5	Ms. Fatima Yasmin Secretary, Economic Relations Division, MoF	Director	04-Jun-20	30-Sept-2021 (10 th AGM)
6	Mr. Md. Habibur Rahman Secretary, Power Division, Ministry of Power, Energy and Mineral Resources	Director	31-Dec-20	-
7	Mr. Md. Monjur Hossain Secretary, Bridges Division, Ministry of Road Transport and Bridges	Director	20-Feb-22	-
8	Mr. Hasan Khaled Foisal Joint Secretary, Finance Division, MoF	Director	18-Nov-21	-

Change of Directors in 2021 and up to May 2022

In order of the date of appointment/ reappointment

Sl	Name	Designation	Appointment	Continuation/ Cessation
1	Mr. Abdur Rouf Talukder	Chairman	8-Aug-18	Continuing
2	Mr. Md. Anisur Rahman	Director	27-Feb-20	20-Feb-22
3	Mr. M. Tofazzel Hossain Miah	Director	27-Feb-20	Continuing
4	Mr. Md. Mahbub Hossain	Director	20-Feb-22	Continuing
5	Mr. Md. Nazrul Islam	Director	7-Nov-17	Continuing
6	Mr. Mohammed Belayet Hossain	Director	20-Nov-19	19-Jul-21
7	Ms. Fatima Yasmin	Director	04-Jun-20	Continuing
8	Mr. Md. Abu Bakr Siddique	Director	19-July-21	20-Feb-22
9	Mr. Md. Habibur Rahman	Director	31-Dec-20	Continuing
10	Mr. Md. Monjur Hossain	Director	20-Feb-22	Continuing
11	Mr. Md. Ekhlaur Rahman	Director	6-Feb-18	18-Nov-21
12	Mr. Hasan Khaled Foisal	Director	18-Nov-21	Continuing

Board Meeting and Attendance

In 2021, eight (8) Board meetings were held. The meetings were arranged on virtual/online platform due to pandemic situation. As per the guidelines of Bangladesh Bank and Bangladesh Securities and Exchange Commission (BSEC), the proceedings of the meetings were recorded and preserved for future reference. A status of meeting attendances during the year 2021 and up to May 2022 is as follows:

Directors	No of Meeting	No of attendance	% of presence
Mr. Abdur Rouf Talukder	11	11	100%
Mr. Md. Anisur Rahman	8	8	100%
Mr. Md. Mahbub Hossain	3	3	100%
Mr. M. Tofazzel Hossain Miah	11	9	82%
Mr. Md. Nazrul Islam	8	7	88%
Mr. Mohammed Belayet Hossain	3	3	100%
Ms. Fatima Yasmin	11	11	100%
Mr. Md. Abu Bakr Siddique	5	5	100%
Mr. Md. Habibur Rahman	11	9	82%
Mr. Md. Monjur Hossain	3	3	100%
Mr. Md. Ekhlasur Rahman	6	6	100%
Mr. Hasan Khaled Foisal	5	5	100%

Directors Proposed for Re-Election

Pursuant to provisions stipulated in the Companies Act, 1994 (1st schedule, regulation-79 & 80), one third (1/3) of directors (senior-most in order of appointment/re-appointment) of BIFFL will retire in the 11th AGM. The retiring Directors are eligible for re-election (regulation-81). The retiring Directors are as follows:

Name	Designation	First Appointment	Reappointment
Mr. Abdur Rouf Talukder	Chairman	08-Aug-18	30-Sept-20
Mr. Md. Nazrul Islam	Director	07-Nov-17	30-Sept-20
Mr. Md. Habibur Rahman	Director	31-Dec-20	-

In case of early cessation of any directorship among the retiring director(s) before the AGM, the immediate senior-most Director(s) would be eligible for retirement as per law.

Board Committees

The Board formed two Board Committees named the 'Executive Committee' and 'Audit Committee' consisting of Directors vide Board meeting dated 19.08.2014. Later, the committees were reconstructed in the 86th Board meeting held on 27.02.2021. In the year 2021 and until May 2022, five (5) meetings of the Executive Committee and four (4) meetings of the Audit Committee were held.

Going Concern

The Directors of BIFFL assessed that the company is a going concern entity. It is recognized through appropriate inquiries and analysis that the company's resources are adequate to support its operations and that sufficient business opportunities exist to justify the company as a going concern. Accordingly, the financial statements are prepared on a going concern basis and there is no doubt on the company's ability to continue as a going concern.

Related Party Transactions

Transactions with related parties are made on a commercial basis on the principle of arm's length and are done in the ordinary course of business. Details of related parties and related party transactions are described in notes to the financial statements in this annual report as per requirements of relevant International Financial Reporting Standards (IFRSs).

Human Resources

BIFFL recruits and engages talented officials and proactive support staff to keep the organization growing towards its purpose. As of May 2022, the number of employees is 69, as follows:

Organizational Affairs	No. of Employee
Chief Executive Officer	1
CEO's Secretariat	2
Chief Operating Officer	1
Credit and Investment Department	6
Credit Risk Management Department	7
Credit Administration Department	5
Treasury Department	4
Special Assets Management Department	8
Corporate Affairs Department	1
Internal Control and Compliance Department	2
Accounts and Finance Department	4
Technical and IT Departments	3
HR and Administration	5
Support staff	20
Total	69

Currently, the gender ratio of male to female employees in BIFFL is approximately 3:1. The employee turnover is about 11.68%. As of 31 December 2021, the net income per employee is BDT 90,05,803.

The company has a plan to increase its employee strength to match its objective and investment plan. BIFFL Board and management also emphasize on continuous development of professional skills, knowledge, and expertise of employees through training, exposure, and exchange programs.

Audit of the Financial Statements for FY2021

The shareholders in the 10th AGM approved the appointment of ACNABIN, Chartered Accountants for the FY2021.

The auditor, ACNABIN, Chartered Accountants audited the financial statements for the FY2021 and submitted the audited financial statements with 'unqualified opinion'. The financial statements of BIFFL provided a true and fair view of the financial position as of 31 December 2021, and of its financial performance and cash flows for the year then ended per International Financial Reporting Standards (IFRSs) and comply with the Financial Institutions Act, 1993, the rules and regulations issued by Bangladesh Bank, the Companies Act, 1994, the Securities and Exchange Rules, 1987 and other applicable laws and regulations. The audited financial statements and independent auditor's report are attached to the annual report.

Regulatory Compliance

BIFFL has complied with the provisions of the Companies Act, 1994, Financial Institutions Act, 1993 and other rules and regulations of Registrar of Joint Stock Companies and Firms, Bangladesh Bank, Bangladesh Securities and Exchange Commission etc. during the FY2021. Under section 184 of the Companies Act, 1994 and BSEC's Corporate Governance Guidelines, Condition-1.5, we report that:

1. The financial statements of the company presents the financial position, cash flows and changes in equity.
2. Proper books of accounts of the company are maintained.
3. Appropriate accounting policies have been consistently applied in preparation of the financial statements and the accounting estimates are based on the reasonable and prudent judgment. International Accounting Standards (IASs) have been followed in preparation of the financial statements and any departure from the same has been adequately disclosed.

4. The system of financial control is sound in design and has been effectively implemented and monitored.
5. There is no doubt upon the company's ability to continue as a going concern. The key operating and financial data for the last 5 years at-a-glance is furnished.
6. The Board has recommended a dividend for the year 2021.
7. In 2021, 8 Board meetings were held, and Directors served the Board in their position.
8. BIFFL is fully Government-owned as on 31 December 2021.

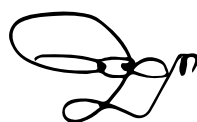
Acknowledgment

The Board takes the opportunity to express its appreciation and gratitude to the shareholders, borrowers and other stakeholders for their continued support and cooperation towards the success of the

company. The Board also expresses its gratitude to Bangladesh Bank, Bangladesh Securities and Exchange Commission, Registrar of Joint Stock Companies and Firms, National Board of Revenue and other regulatory bodies for their guidance and advice. The Board also thanks ACNABIN, Chartered Accountants- the auditors of the company- for their effort.

The Board believes that the contribution of BIFFL to the national economy will increase day by day through financing infrastructure and environment-friendly projects in the country.

For and on behalf of the Board of Directors,



Abdur Rouf Talukder
Chairman

STATEMENT ON CORPORATE GOVERNANCE

Corporate Governance is the system/practice through which a company is functioned, controlled and managed. This is done through a collection of procedures that are aligned with recognized standards that respond to the interests of shareholders and other stakeholders. It ensures transparency, accountability and fairness in the corporate sector and safeguards the interest of all stakeholders.

In pursuance of corporate objective, BIFFL is committed to establish its corporate governance framework by adopting, reviewing and complying with all the policies and practices to ensure a balanced corporate environment within the organization with maximum accountability and transparency.

Confirming to this, the Board reviews and improves the systems and policies from time to time to ensure the best practices in the industry.

BIFFL has incorporated the guidelines of Corporate Governance issued by the Bangladesh Securities and Exchange Commission (BSEC) and the Bangladesh Bank as follows. The extent of compliance by BIFFL for the year ended 31 December 2021 with the above rules and directive principles and best practices are given in:

Annexure-I

Corporate governance code of best practice issued by the Bangladesh Securities and Exchange Commission (BSEC) vide notification no. BSEC/CMRRCD/2006-158/207/Admin/80, dated 3 June 2018.

Annexure-II

Status report on compliance with the good governance guidelines issued by Bangladesh Bank through DFIM Circular No. 07, dated 25 September 2007.

Corporate Governance Framework

BIFFL's corporate governance framework is based on the principles of accountability, transparency, ethical management and fairness. A philosophy of sound governance is entrenched across the business. BIFFL is operated within a comprehensive governance framework, which is outlined below:

- BIFFL's Board comprises of 9 members including 8 senior govt. officers from different ministries of the state and the CEO as an ex-officio member of the Board. The appointment of Independent Director is in the process;
- Board Committee i.e. Audit Committee and Executive Committee comprises of the Directors are working as per term of reference prescribed by Bangladesh Bank;
- Formation of Risk Management Forum and Risk Analysis Unit;
- Formation of different committees/units to strengthen the process of business operation through segregation of duties;
- Approval of the Finance and Accounts Manual and Treasury Policy;
- Approval of the Human Resource Policy;
- Approval of the Credit Policy;
- Approval of Environmental and Social Monitoring Framework following guidelines of Bangladesh Bank;
- Approval of ICT Policy;
- Approval of ALM Policy;
- Approval of Anti-Money Laundering Policy;
- Approval of Green Banking Policy and Green Office Guide;
- Approval of ICC Policy and ICC Systems Guidelines- Policy and Procedure;
- Strengthening the process of identification, recording and disclosure of related party transactions; and
- Expansion of geographical presence.

(i) Board and Board Committees

Board of Directors

The Board of Directors is the highest authority of BIFFL which is collectively responsible for setting out the company's strategic aims, providing the necessary leadership to implement such aims, supervising the management and reporting to shareholders on their stewardship. The Board is also responsible to

the shareholders for the overall management and performance of the company.

From 1 January 2021 to 31 May 2022, a total of 11 Board meetings were held with more than 90% attendance of the members.

Executive Committee (EC)

The EC consists of 4 members. Matters related to ordinary business operations of the company and those the Board authorizes from time to time are vested on the EC. The committee ensures proper and timely implementation of policies and guidelines through the management. Company secretary acts as the secretary of EC.

From 1 January 2021 to 31 May 2022, a total of 5 EC meetings were held with more than 90% attendance of the members.

Audit Committee (AC)

The AC consists of 4 members and is responsible to examine any matter relating to the financial affairs of the company and to review all audit and inspection reports, internal control systems and procedures, accounting policies and adherence to compliance requirements, among others. The committee also performs an annual assessment of the effectiveness of the company's internal audit functions and ensures that internal audit has adequate resources to fulfill its mandate. Company secretary acts as the secretary of AC as per regulation of Bangladesh Bank.

From 1 January 2021 to 31 May 2022, 4 meetings of the AC were held with more than 90% attendance of the members.

(ii) Management Committees

Management Committee (MANCOM)

The MANCOM is responsible for all aspects of day-to-day operations in line with the policies and guidelines adopted by the Board. The committee is also responsible for implementing the decisions made by the Board. The committee comprises of:

01	Mr. S. M. Anisuzzaman Chief Executive Officer	Chairman
02	Mr. Md. Sagir Hossain Khan Chief Operating Officer	Member

03	Mr. Mohammad Monirul Islam Khan, FCS Company Secretary	Member Secretary
04	Mr. Md. Tanvir Warsi Head, Credit Risk Management Department	Member
05	Mr. Sheikh Anower Sadat Head, Credit & Investment Department	Member
06	Mr. Md. Arifur Rahman Head, Special Asset Management Department	Member
07	Mr. Shahariar Alam, ACA Chief Financial Officer	Member
08	Mr. Sujit Basak Head, Internal Control & Compliance Department	Member
09	Mr. Muhammed Shahjahan In-charge, HR & Administration Department	Member
10	Mr. Md. Afzal Hossain, CFA Head of Treasury Department	Member

The committee sits at least once each month to make decisions and supervise the regular functions and operations of the organization. From 1 January 2021 to 31 May 2022, a total of 15 meetings were held with the presence of most of the members.

Credit Committee (CC)

To maintain proper discipline in the loan/investment approval process and to ensure better assessment of quality of credit/investment portfolio of BIFFL, CC is formed comprising following officials:

01	Mr. Md. Sagir Hossain Khan Chief Operating Officer	Chairman
02	Mr. Mohammad Monirul Islam Khan, FCS Company Secretary	Member
03	Mr. Md. Tanvir Warsi Head, Credit Risk Management Department	Member Secretary
04	Mr. Sheikh Anower Sadat Head, Credit & Investment Department	Member

05	Mr. Shahariar Alam, ACA Chief Financial Officer	Member
06	Mr. Md. Afzal Hossain, CFA Head, Treasury Department	Member

The Credit Committee:

- Reviews the risks and upcoming challenges (technical, economic, social & environmental, and/or legislative) that may adversely affect the proposed project.
- Review the compliance of applicable policies (internal and external) and rules & regulations / circulars/directives/guidelines of the regulators in the project appraisal process.
- Considers the observation and recommendation of the Credit Risk Management Department on the proposal and reviews the mitigation scopes of the observations.
- Places specific recommendation based on the information, analysis and appraisal report placed by the Credit & Investment Department and the viability, risks & challenges of the project sorted out by the Credit Risk Management Department including the mitigation scope to overcome the risks and challenges.

Asset Liability Management Committee (ALCO)

In order to manage the balance sheet risk especially for mitigating liquidity and interest rate risks and to assist MANCOM in the decision-making process, BIFFL management formed an ALCO. The committee is also responsible for creating an optimal structure of the company's balance sheet to provide the maximum profitability, limiting the possible risk level, monitoring capital adequacy and risk diversification. The ALCO convenes periodical meetings and regularly reviews the decisions of the meeting. The members of the ALCO are:

01	Mr. S. M. Anisuzzaman Chief Executive Officer	Chairman
02	Mr. Md. Sagir Hossain Khan Chief Operating Officer	Member
03	Mr. Mohammad Monirul Islam Khan, FCS Company Secretary	Member

04	Mr. Md. Tanvir Warsi Head, Credit Risk Management Department	Member
05	Mr. Sheikh Anower Sadat Head, Credit & Investment Department	Member
06	Mr. Md. Arifur Rahman Head, Special Asset Management Department	Member
07	Mr. Shahariar Alam, ACA Chief Financial Officer	Member
08	Mr. Sujit Basak Head, Internal Control & Compliance Department	Member
09	Mr. Md. Afzal Hossain, CFA Head, Treasury Department	Member Secretary
10	Mr. Khandokar Riazul Hoque Senior Officer, Credit Administration Department	Member

Risk Management Forum (RMF)

The RMF was formed in accordance with the Bangladesh Bank's DFIM Circular no. 01 dated April 07, 2013 to introduce proactive risk management procedures in line with the international best practices. The RMF:

- Reviews management's plans for mitigation of the material risks faced by BIFFL, evaluating their potential impact and implementing appropriate strategies to manage those risks;
- Promotes awareness of a risk-based culture and achievement of a balance between risk minimization and reward for mitigation of risks;
- Reviews the sufficiency of personnel, systems, procedures and other risk management issues;
- Reviews and assesses the integrity and adequacy of the risk management function, including process and organizational structure.

The forum consists of the following members:

01	Mr. Md. Sagir Hossain Khan Chief Operating Officer	Chief Risk Officer
02	Mr. Mohammad Monirul Islam Khan, FCS Company Secretary	Member

03	Mr. Md. Tanvir Warsi Head, Credit Risk Management Department	Member
04	Mr. Sheikh Anower Sadat Head, Credit & Investment Department	Member
05	Mr. Md. Arifur Rahman Head, Special Asset Management Department	Member
06	Mr. Shahariar Alam, ACA Chief Financial Officer	Member
07	Mr. Sujit Basak Head, Internal Control & Compliance Department	Member
08	Mr. Kazi Md. Iftekhar Head, IT & MISD	Member
09	Mr. Md. Afzal Hossain, CFA Head, Treasury Department	Member
10	Ms. Mehnaz Hossain Principal Officer, Credit Administration Department	Member Secretary
11	Mr. Khandokar Riazul Hoque Senior Officer, Credit Administration Department	Member

Risk Analysis Unit (RAU)

The RAU is formed to act as the secretariat of the Risk Management Forum with the responsibility for identifying and analyzing various types of risks appropriately and in a timely manner. The RAU comprises:

01	Mr. Md. Tanvir Warsi Head, Credit Risk Management Department	Unit Head
02	Mr. Sheikh Anower Sadat Head, Credit & Investment Department	Member
03	Mr. Shahariar Alam, ACA Chief Financial Officer	Member
04	Mr. Muhammed Shahjahan In-charge, HR & Administration Department	Member
05	Mr. Md. Afzal Hossain, CFA Head, Treasury Department	Member

06	Mr. Md. Shahriar Kamal Chowdhury Principal Officer, Credit Administration Department	Member
07	Ms. Mehnaz Hossain Principal Officer, Credit Administration Department	Member Secretary
08	Mr. Md. Amir Hossain Nadim Senior Officer, Credit Risk Management Department	Member

Central Compliance Unit (CCU)

Pursuant to the directions and guidelines of the “Guidance Notes on Prevention of Money Laundering and Terrorist Financing” issued by Bangladesh Financial Intelligence Unit, Bangladesh Bank, BIFFL formed the Central Compliance Unit (CCU). The unit is responsible to monitor, supervise and follow up the entire compliance issues of the organizations including the compliance with Anti-Money Laundering (AML) and Combating Financing of Terrorism (CFT) under the policy on AML, as approved by the Board. The CCU comprises:

01	Mr. Mohammad Monirul Islam Khan, FCS Company Secretary	Head of CCU & CAMLCO
02	Mr. Tanvir Warsi Head, Credit Risk Management Department	Member
03	Mr. Md. Shahriar Kamal Chowdhury Principal Officer, Credit Administration Department	Member
04	Ms. Mehnaz Hossain Principal Officer, Credit Administration Department	DCAMLCO & Member Secretary

Integrity and Ethics Committee

BIFFL has formed an Integrity and Ethics Committee as per the directions and guidelines of Bangladesh Bank to abide by the code of integrity and good governance in line with the National Integrity Strategy of Bangladesh. The committee is responsible for the development of the integrity and ethical standards among the employees of the organization. The committee comprises:

01	Mr. Md. Sagir Hossain Khan Chief Operating Officer	Chairman
02	Mr. Mohammad Monirul Islam Khan, FCS Company Secretary	Focal Point
03	Mr. Shahariar Alam, ACA Chief Financial Officer	Member
04	Mr. Sujit Basak Head, Internal Control & Compliance Department	Member Secretary
05	Mr. Muhammed Shahjahan In-charge, HR & Administration Department	Member

Sustainable Finance Committee

Pursuant to the directions of SFD Circular no. 02, dated 01 December 2016 issued by Bangladesh Bank, BIFFL formed the Sustainable Finance Committee. The committee is responsible for supervising the activities of the Sustainable Finance Unit of BIFFL. The committee was formed as follows:

01	Mr. Md. Sagir Hossain Khan Chief Operating Officer	Chairman
02	Mr. Mohammad Monirul Islam Khan, FCS Company Secretary	Member
03	Mr. Md. Tanvir Warsi Head, Credit Risk Management Department	Member
04	Mr. Sheikh Anower Sadat Head, Credit & Investment Department	Member
05	Mr. Sujit Basak Head, Internal Control & Compliance Department	Member
06	Mr. Salah Uddin Kader Chy Principal Officer, Accounts & Finance Department	Member
07	Mr. Md. Amir Hossain Nadim Senior Officer, Credit Risk Management Department	Member Secretary

ICT Steering Committee

The ICT Steering Committee is responsible for-

- monitoring management methods to determine and achieve strategic goals;
- recommendations about exposure to ICT risks and controls;
- providing guidance related to risk, funding, or sourcing;
- ensuring project priorities and assessing feasibility for ICT proposals;
- advising on the selection of technology within standards;
- assessing vulnerability of new system and technology; and
- ensuring compliance with regulatory and statutory requirements.

The committee comprised as follows:

01	Mr. Md. Sagir Hossain Khan Chief Operating Officer	Chairman
02	Mr. Md. Tanvir Warsi Head, Credit Risk Management Department	Member
03	Mr. Sujit Basak Head, Internal Control & Compliance Department	Member
04	Mr. Asif Ahmed Khan Principal Officer, Technical & CEOS	Member
05	Muhammed Shahjahan In-charge, HR & Administration Department	Member Secretary
06	Mr. Kazi Md. Iftekhar Head, IT & MISD	Member
07	Mr. Md. Shahriar Kamal Chowdhury Principal Officer, Credit Administration Department	Member

Customer Service and Complaints Management Cell

With a view to strengthening the corporate governance structure and to bring improvement in the quality of customer services, BIFFL formed a Customer Service & Complaints Management Cell including the following officials:

01	Mr. Md. Tanvir Warsi	Head
	Head, Credit Risk Management Department	
02	Mr. Sujit Basak	Member
	Head, Internal Control & Compliance Department	

03	Muhammed Shahjahan	Member Secretary
	In-charge, HR & Administration Department	
04	Mr. Salah Uddin Kader Chy	Member
	Principal Officer, Accounts & Finance Department	
05	Mr. Kazi Md. Iftekhar	Member
	Head, IT & MISD	
06	Mr. Md. Shahriar Kamal Chowdhury	Member
	Principal Officer, Credit Administration Department	

CORPORATE GOVERNANCE

Annexure-I

COMPLIANCE REPORT ON BSEC'S NOTIFICATION

Status of compliance with the conditions imposed by the Securities and Exchange Commission's notification no BSEC/CMRRCD/2006-158/207/Admin/80 dated 03 June 2018, issued under section 2CC of the Securities and Exchange Ordinance 1969. The status report on compliance with those conditions is furnished below:

Condition No.	Title	Compliance Status		Remarks (if any)
		Complied	Not complied	
1	Board of Directors			
1.1	Size of the Board of Directors:	✓		
1.2	Independent Directors:			Appointment of Independent Director is under process
1.2(a)	At least one fifth (1/5) of the total number of directors	-	-	"
1.2(b)(i)	Does not hold any share or holds less than 1% share of the total paid-up shares	-	-	"
1.2(b)(ii)	Not connected with any sponsor/director/shareholder who holds 1% or more shares of the total paid-up shares on the basis of family relationship	-	-	"
1.2(b)(iii)	Not been an executive of the company in immediately preceding 2 (two) financial years	-	-	"
1.2(b)(iv)	Does not have any other relationship, whether pecuniary or otherwise, with the company or its subsidiary/associated companies	-	-	"
1.2(b)(v)	Not a member, director or officer of any stock exchange	-	-	"
1.2(b)(vi)	Not a shareholder, director or officer of any member of stock exchange or an intermediary of the capital market	-	-	"
1.2(b)(vii)	Not a partner or an executive or was not a partner or an executive during the preceding 3 (three) years of any statutory audit firm	-	-	"
1.2(b)(viii)	Not be an independent director in more than 5 (five) listed companies	-	-	"
1.2(b)(ix)	Not been convicted by a court of competent jurisdiction as a defaulter in payment of any loan to a bank or a NBFIs	-	-	"
1.2(b)(x)	Not been convicted for a criminal offence involving moral turpitude	-	-	"
1.2(c)	Appointed by the Board and approved by the shareholders in the AGM	-	-	"
1.2(d)	Not remain vacant for more than 90 (ninety) days	-	-	"

Condition No.	Title	Compliance Status		Remarks (if any)
		Complied	Not complied	
1.2(e)	Tenure of office of an independent director shall be for a period of 3 (three) years, which may be extended for 1 (one) term only	-	-	"
1.3	Qualification of Independent Directors:			Not applicable
1.3(a)	Knowledge of Independent Director	-	-	"
1.3(b)	Qualifications of Independent Director:			
1.3(b)(i)	Who is or was a promoter or Director of an unlisted company or any listed company or a member of any national or international chamber of commerce or business association	-	-	"
1.3(b)(ii)	Who is or was a top-level executive not lower than CEO or MD or DMD or CFO or Head of F&A or CS or Head of IAC or Head of Legal of an unlisted company	-	-	"
1.3(b)(iii)	Former official of govt. or statutory or autonomous or regulatory body in the position not below 5 th Grade of national pay scale having at least educational background of bachelor's degree in economics or Commerce or Business or Law	-	-	"
1.3(b)(iv)	University teacher who has educational background in Economics or Commerce or Business Studies or Law	-	-	"
1.3(b)(v)	Professional who is or was an advocate practicing at least in the High Court Division of Bangladesh Supreme Court or a CA or a CMA or a CFA or a CCA or CPA or CMA or CS or equivalent qualification	-	-	"
1.3(c)	Shall have at least 10 (ten) years of experience in any field mentioned in clause (b)	-	-	"
1.3(d)	The qualifications or experiences in clause (b) may be relaxed subject to prior approval of the commission	-	-	"
1.4	Quality of Chairperson of the Board of Directors and Managing Director or CEO:			
1.4(a)	The position of Chairperson of the Board of Directors and the MD or CEO of the company shall be filled by different individuals	✓		
1.4(b)	The MD or CEO of a listed company shall not hold the same position in another listed company	✓		
1.4(c)	The Chairperson of the Board shall be elected from among non-executive directors of the company	✓		
1.4(d)	The roles and responsibilities of the Chairperson and MD or CEO shall be clearly defined by the Board	✓		
1.4(e)	In the absence of Chairman, the remaining members may select one of themselves from non-executive directors as Chairperson for the particular Board meeting but the reason of absence of the regular chairperson shall be duly recorded in the minutes			The Chairman was present in all Board meeting

Condition No.	Title	Compliance Status		Remarks (if any)
		Complied	Not complied	
1.5	The Directors Report to Shareholders:			
1.5(i)	Industry outlook and possible future developments in the industry	✓		
1.5(ii)	Segment-wise or product-wise performance	✓		
1.5(iii)	Risks and concerns	✓		
1.5(iv)	Discussion on Cost of Goods sold, Gross Profit Margin and Net Profit Margin	✓		
1.5(v)	Discussion on continuity of any extra-ordinary gain or loss	✓		
1.5(vi)	Discussion on related party transactions along with a statement	✓		
1.5(vii)	Utilization of proceeds from public issues, rights issues and/or through any others	-	-	Not applicable
1.5(viii)	Explanation if the financial results deteriorate after the company goes for IPO, RPO, Rights Offer, Direct Listing	-	-	Not applicable
1.5(ix)	Explanation on any significant variance occurs between quarterly financial performance and annual financial statements	-	-	No such event occurred
1.5(x)	Remuneration to directors including independent directors	✓		
1.5(xi)	Fairness of financial statements	✓		
1.5(xii)	Proper books of accounts maintained	✓		
1.5(xiii)	Application of appropriate accounting policies and estimates	✓		
1.5(xiv)	Followed IAS/IFRS in preparation financial statements	✓		
1.5(xv)	The system of internal control sound in design & effectively implemented & monitored	✓		
1.5(xvi)	Minority shareholders have been protected from abusive actions	✓		
1.5(xvii)	No significant doubt upon its ability to continue as a going concern	✓		
1.5(xviii)	Reporting of significant deviations from the last year's in operating results	✓		
1.5(xix)	Key operating and financial data of at least preceding 5 (five) years	✓		
1.5(xx)	Reasons of declaration of de no dividend (if any)	✓		
1.5(xxi)	Statement that no bonus share or stock dividend declared as interim dividend	-	-	No such event occurred
1.5(xxii)	Total number of board meeting held & attendance report	✓		

Condition No.	Title	Compliance Status		Remarks (if any)
		Complied	Not complied	
1.5(xxiii)(a)	Parent/Subsidiary/Associated Companies and other related parties	-	-	No such relationship
1.5(xxiii)(b)	Directors, CEO, CS, CFO, HIA and their spouses and minor children	✓		
1.5(xxiii)(c)	Executives	✓		
1.5(xxiii)(d)	10% or more voting interest	-	-	Not applicable
1.5(xxiv)(a)	Brief resume of the Director	✓		
1.5(xxiv)(b)	His/her expertise in functional areas	✓		
1.5(xxiv)(c)	Companies in which the person holds the directorship and the membership of committees of the Board	✓		
1.5(xxv)	Management's discussion and analysis signed by CEO or MD on company's position and operations	✓		
1.5(xxv)(a)	Accounting policies and estimation	✓		
1.5(xxv)(b)	Changes in accounting policies and estimation, if any	✓		
1.5(xxv)(c)	Comparative analysis	✓		
1.5(xxv)(d)	Compare financial performance and position with peer industry	✓		
1.5(xxv)(e)	Explain the financial and economic scenario	✓		
1.5(xxv)(f)	Risks and concerns to the financial statements and the mitigation plan	✓		
1.5(xxv)(g)	Future plan or projection or forecast for company's operation, performance and financial position	✓		
1.5(xxvi)	Certification by the CEO and the CFO to the Board under condition no. 3(3)	✓		
1.5(xxvii)	The report and certificate for compliance of conditions of this Code as required under condition no. 9	✓		
1.6	Meeting of the Board of Directors: Conduct its Board meetings and records the minutes of the meetings	✓		
1.7	Code of Conduct for the Chairperson, other Board members and CEO:			
1.7(a)	Lay down a code of conduct, based on the recommendation of the NRC at condition no. 6			BIFFL adopted code of conduct as circulated by BB
1.7(b)	The Code of Conduct shall be posted on the website	✓		
2	Governance of Board of Directors of Subsidiary Company			BIFFL has no subsidiary
2(a)	Composition of the Board of Directors	-	-	"
2(b)	At least 1 (one) independent director to the subsidiary company	-	-	"
2(c)	Submission of Minutes to the holding company	-	-	"

Condition No.	Title	Compliance Status		Remarks (if any)
		Complied	Not complied	
2(d)	Review of Minutes by the holding company	-	-	"
2(e)	Review of Financial Statement by the holding company	-	-	"
3	Managing Director (MD) or Chief Executive Officer (CEO), Chief Financial Officer (CFO), Head of Internal Audit and Compliance (HIAC) and Company Secretary (CS)			
3.1	Appointment:			
3.1(a)	Board shall appoint MD or CEO, CS, CFO, and HIAC	✓		
3.1(b)	Position of MD or CEO, CS, CFO, and HIAC shall be filled by different individuals	✓		
3.1(c)	MD or CEO, CS, CFO, and HIAC shall not hold any executive position in any other company	✓		
3.1(d)	Board shall clearly define roles, responsibilities and duties of CS, CFO, and HIAC shall be filled by different individuals	✓		
3.1(e)	MD or CEO, CS, CFO, and HIAC shall not be removed from their position without approval of the Board	✓		No such event occurred in the year
3.2	Requirement to attend Board of Director's Meetings: The MD or CEO, CS, CFO, and HIAC shall attend the meetings of the Board	✓		
3.3	Duties of Managing Director (MD) or Chief Executive Director (CEO) and Chief Financial Officer (CFO):			
3.3(a)	MD or CEO and CFO shall certify to the Board that they have reviewed financial statements	✓		
3.3(a)(i)	The statements do not contain any materially untrue statement that might be misleading	✓		
3.3(a)(ii)	The statement presents a true and fair view of the company's affairs and compliance with existing standards and laws	✓		
3.3(b)	Certify that no transactions entered which are fraudulent, illegal or violation of the code of conduct for the Company's Board	✓		
3.3(c)	The certification shall be disclosed in the annual report	✓		
4	Board of Director's Committee			
4(i)	Audit Committee (AC)	✓		
4(ii)	Nomination and Remuneration Committee (NRC)	-	-	Complied as per the prudential guidelines given by Bangladesh Bank
5	Audit Committee			

Condition No.	Title	Compliance Status		Remarks (if any)
		Complied	Not complied	
5.1	Responsibility to the Board of Directors:			
5.1(a)	Have an Audit Committee as a sub-committee of the Board	✓		
5.1(b)	Assist the Board in ensuring true and fair view of the state of affairs and monitoring system	✓		
5.1(c)	Audit Committee shall be responsible to the Board	✓		
5.2	Constitution of Audit Committee:	✓		
5.2(a)	At least 3 (three) members	✓		
5.2(b)	Appointment of members of the Audit Committee	✓		
5.2(c)	Qualification of Audit Committee members	✓		
5.2(d)	Term of service of Audit Committee members	✓		
5.2(e)	Secretary of the Audit Committee	✓		
5.2(f)	Quorum of the Audit Committee shall not constitute without 1 (one) Independent Director	-	-	No Independent Director
5.3	Chairperson of the Audit Committee:			
5.3(a)	Board shall select the Chairperson of the AC, who shall be an Independent Director	-	-	No Independent Director
5.3(b)	In the absence of Chairman, the remaining members may select one of themselves as Chairperson for the particular meeting for quorum as required under condition no. 5.4 (b) but the reason of absence of the regular chairperson shall be duly recorded in the minutes	✓		
5.3(c)	Chairperson of the Audit Committee shall remain present in the AGM	✓		
5.4	Meeting of the Audit Committee:			
5.4(a)	At least 4 (four) meeting in a financial year	✓		3 meetings in 2021
5.4(b)	Quorum of the meeting of the AC	✓		
5.5	Role of Audit Committee:	✓		
5.5(a)	Oversee the financial reporting process	✓		
5.5(b)	Monitor choice of accounting policies and principles	✓		
5.5(c)	Monitor internal audit and compliance process	✓		
5.5(d)	Oversee hiring and performance of external auditors	✓		
5.5(e)	Hold meeting with the external or statutory auditors for review of the financial statements	✓		
5.5(f)	Review the annual financial statements before submission to the Board for approval	✓		
5.5(g)	Review the quarterly and half yearly financial tatements before submission to the Board for approval	✓		

Condition No.	Title	Compliance Status		Remarks (if any)
		Complied	Not complied	
5.5(h)	Review the adequacy of internal audit function	✓		
5.5(i)	Review of management's discussion and analysis	✓		
5.5(j)	Review statement of all related party transactions	✓		
5.5(k)	Review Management Letters/ Letter of Internal Control weakness issued by statutory auditors	✓		
5.5(l)	Oversee the determination of audit fees based on scope and magnitude	✓		
5.5(m)	Disclosure to the AC about the uses/applications of funds raised by IPO/RPO/Right issue	-	-	Not applicable
5.6	Reporting of the Audit Committee:			
5.6(a)	Reporting to the Board of Directors:			
5.6(a)(i)	Report on activities of Audit Committee to the Board	✓		
5.6(a)(ii)	Immediately report to the Board:			
5.6(a)(ii)(a)	Conflicts of interest	✓		
5.6(a)(ii)(b)	Material defect identified in the internal audit and compliance process	✓		
5.6(a)(ii)(c)	Infringement of laws, rules and regulations	✓		
5.6(a)(ii)(d)	Any other matter which deems necessary to be disclosed	✓		
5.6(b)	Reporting to the Authorities	✓		
5.7	Reporting to the Shareholders & General Investors:	✓		
6	Nomination and Remuneration Committee (NRC)			Complied as per the prudential guidelines given by the Bangladesh Bank
6.1	Responsibility to the Board of Directors:			
6.1(a)	Have a Nomination and Remuneration Committee (NRC) as a sub-committee of the Board	-	-	"
6.1(b)	The NRC shall assist the Board	-	-	"
6.1(c)	The ToR of the NRC in writing as stated at the condition no. 6 (5) (b)	-	-	"
6.2	Constitution of the NRC:			
6.2(a)	At least 3 (three) members	-	-	"
6.2(b)	All members are non-executive directors	-	-	"
6.2(c)	Members of the committee are nominated and appointed by the Board	-	-	"
6.2(d)	Board has the authority to remove and appoint any members	-	-	"
6.2(e)	Fill the vacancy for death, resignation, disqualification or removal	-	-	"

Condition No.	Title	Compliance Status		Remarks (if any)
		Complied	Not complied	
6.2(f)	Appoint or co-opt any external expert as advisor	-	-	"
6.2(g)	Secretary of the Committee	-	-	"
6.2(h)	Quorum of the Audit Committee shall not constitute without 1 (one) Independent Director	-	-	"
6.2(i)	No remuneration other than Director's fee	-	-	"
6.3	Chairperson of the NRC:			
6.3(a)	Board shall select the Chairperson of the committee, who shall be an Independent Director	-	-	"
6.3(b)	In the absence of Chairman, the remaining members may select one of themselves as Chairperson for the particular meeting but the reason of absence of the regular chairperson shall be duly recorded in the minutes	-	-	"
6.3(c)	Chairperson of the Audit Committee shall remain present in the AGM	-	-	"
6.4	Meeting of the NRC:			
6.4(a)	At least 1 (one) meeting in a financial year	-	-	"
6.4(b)	Convene emergency meeting	-	-	"
6.4(c)	Quorum of the meeting	-	-	"
6.4(d)	The proceedings of each meeting be recorded in the minutes	-	-	"
6.5	Role of the NRC:			
6.5(a)	Be independent and responsible to the Board	-	-	"
6.5(b)	Oversee and make report with recommendations	-	-	"
6.5(b)(i)	Formulating policy for remuneration of the Directors and top-level executive	-	-	"
6.5(b)(i)(a)	The level and composition of remuneration	-	-	"
6.5(b)(i)(b)	The relationship of remuneration to performance	-	-	"
6.5(b)(i)(c)	Remuneration involves a balance between fixed and incentive pay	-	-	"
6.5(b)(ii)	Policy on Board's diversity	-	-	"
6.5(b)(iii)	Identifying process for qualification of Directors and top-level executive	-	-	"
6.5(b)(iv)	Criteria for evaluation of performance of ID	-	-	"
6.5(b)(v)	Identifying the company's needs for employees and determine the employment process	-	-	"
6.5(b)(vi)	Developing, recommending and reviewing the company's human resource and training policies	-	-	"
6.5(c)	Disclose the nomination and remuneration policy and the activities of NRC in its annual report	-	-	"
7	External/Statutory Auditors			

Condition No.	Title	Compliance Status		Remarks (if any)
		Complied	Not complied	
7.1	Shall not engage external/statutory:			
7.1(i)	Appraisal or valuation services or fairness opinions	✓		
7.1(ii)	Financial information systems design and implementation	✓		
7.1(iii)	Book-keeping	✓		
7.1(iv)	Broker-dealer services	✓		
7.1(v)	Actuarial services	✓		
7.1(vi)	Internal audit services	✓		
7.1(vii)	Services that the Audit Committee determines	✓		
7.1(viii)	Audit services on compliance of corporate governance under condition no. 9(1)	✓		
7.1(ix)	Other services that create conflict of interest	✓		
7.2	Audit firms shall not hold any share of the company they audit	✓		
7.3	Audit firm shall not certify on compliance of corporate governance	✓		
8	Maintaining a website by the Company			
8.1	Have an official website	✓		
8.2	Keep the website functional	✓		
8.3	Available the detailed disclosures on its website	✓		
9	Reporting and Compliance of Corporate Governance			
9.1	Obtain certificate regarding compliance of conditions of Corporate Governance Guidelines	-	-	Not applicable
9.2	The professional for the certificate appointed by the shareholders in the AGM	-	-	Not applicable
9.3	Annexure-C attached, in the directors' report whether the company has complied these conditions or not	✓		

STATEMENT OF COMPLIANCE

WITH THE REQUIREMENTS OF BANGLADESH BANK

Annexure-II

Bangladesh Bank vide, DFIM Circular no. 7, dated 25 September 2007, issued a policy on role and responsibility of the Board of Directors, Chairman, Chief Executive Officer of financial institution. The company has implemented those guidelines as per the directives of Bangladesh Bank.

A status report on compliance with those guidelines is stated below:

Sl. no.	Particulars	Status of Compliance	Remarks (if any)
01	Responsibilities and authorities of Board of Directors The responsibilities of the Board of Directors are mainly related to and developing strategy. Those are as-		
	A. Work Planning and Strategic Management		
	i. The Board shall determine the vision/ mission of the company. Board shall also determine the strategy and work plan for enhancement of institutional efficiency and other policy matters on annual basis. The Board shall make necessary amendments on the strategy on quarterly basis.	Complied	
	ii. The Board shall have its analytical review to be incorporated in the Annual Report as regard to the success or failure in achieving the target as set out in the annual work plan and inform the same to the shareholders in the Annual General Meeting (AGM).	Complied	
	iii. The Board shall determine the Key Performance Indicators for chief executive along with other top-level executives and re-assess on half yearly basis.	Complied	
	B. Formation of Sub-committee		
	To expedite the process of decision making, the Board may form Executive Committee and Audit Committee with the Directors (excluding any alternate director).	Complied	
	C. Financial Management		
	i. Annual budget and statutory financial statements shall be approved by the Board of Directors.	Complied	
	ii. The Board shall review company's statement of income and expense, statement of loan/lease, liquidity requirement, capital adequacy of provision, action taken for legal cases and recovery of default loan.	Complied	
	iii. The Board shall approve the procurement policy and shall accordingly approve the delegation of power for making such expenditure. The maximum delegation of power shall rest on the CEO and top management. However, decision relating to purchase of land, building, and vehicle shall remain with the Board.	Complied	

Sl. no.	Particulars	Status of Compliance	Remarks (if any)
	iv. Bank account of the company shall be operated by a group constituted from amongst the Management which must be approved by the Board and having dual signatures (As amended through Circular no. 09, dated October 08, 2007).	Complied	
	D. Loan/Lease/Investment Management		
	i. The policies, strategies, procedures etc. in respect of loan appraisal of loan/ lease/investment proposal sanction, disbursement, recovery, rescheduling, and write-off shall be made with the Board's approval under the purview of the existing laws, rules and regulations. The Board shall specifically delegate the power of sanction of loan/lease/ investment and such delegate should desirably be made among the CEO and other top management of the company.	Complied	
	ii. No Director shall interfere directly or indirectly in the process of loan approval.	Complied	
	iii. Core Risk Management Guidelines shall be approved by the Board of Directors of the company.	Complied	
	E. Risk Management		
	Approval shall be taken from Board of Directors for syndicate loan/lease/ investment and large loan, lease or investment.	Complied	
	F. Internal Control & Compliance		
	Audit Committee shall be formed for effective implementation of an integrated internal control system of the company and for keeping loan/ lease/investment quality at a desired level. Board Audit Committee shall review the report provided by the Internal Control & Compliance Department, the external auditor and the Bangladesh Bank shall make comments thereon.	Complied	
	G. Human Resources Management (HRM)		
	Board shall approve the policy on Human Resources Management and Service Rule. Chairman and Director of the Board shall not interfere on the administrative job in line with the approved Service Rule. No member of the Board shall be included in the selection committees for recruitment and promotion of different levels except the position MD, DMD and GM or equivalent.	Complied	
	H. Appointment of Managing Director/CEO and Increase of Salaries & Allowances		
	The Board shall appoint a competent CEO for the company with the approval of the Bangladesh Bank and shall approve any increment of his salary and allowances.	Complied	
	I. Benefit to the Chairman		
	Chairman may be offered an office room, a personal secretary, a telephone at the office, a vehicle in the business-interest of the company subject to the approval of the Board.	Complied	

Sl. no.	Particulars	Status of Compliance	Remarks (if any)
02	Responsibilities and Duties of Chairman		
	i. Chairman shall not personally possess the jurisdiction to apply policy making or executive or operational and routine affairs of the company.	Complied	
	ii. The minutes of the Board meetings shall be signed by the Chairman.	Complied	
	iii. Chairman shall sign-off the proposal for appointment of Managing Director and revision of his salaries & allowances.	Complied	
03	Responsibilities of Managing Director/CEO		
	The Managing Director or Chief Executive officer of the company or whatsoever be called, shall work under the following area:		
	i. Managing Director shall discharge his responsibilities on matters relating to financial, business and administration vested by the Board upon him. He is also accountable for achievement of financial and other business targets by means of business plan, efficient implementation of administration and financial management.	Complied	
	ii. Managing Director shall ensure compliance of Financial Institution Act 1993 and other relevant circulars of Bangladesh Bank and other regulatory authorities.	Complied	
	iii. All recruitment /promotion /training, except recruitment/promotion/ training of DMG & GM (as equivalent to EVP) shall be vested upon the Managing Director. He shall act such in accordance with the approve HR policy of the company.	Complied	
	iv. Managing Director may re-schedule job responsibilities of employees.	Complied	
	v. Managing Director shall sign all the letters/statements/ relating to compliance of policies and guidelines. However, Departmental/ unit heads may sign daily letters/ statements as set out in DFIM circular no.2 dated 06 January 2009 if so, authorized by the Managing Director.	Complied	

ETHICS AND COMPLIANCE

BIFFL pays highest priority to the moral concerns in order to make best ethical practice on a day-to-day basis over and above observing the law, as one of the basic professional requirements for the NBFIs. It is also committed to upholding the highest standards of ethics and compliance by its employees. This commitment is reflected in its Code of Conduct that covers, among other issues, the following areas:

- a) Their relationship with and responsibilities to BIFFL;
- b) Their relationship with and responsibilities to customers;
- c) Compliance with laws and regulations;
- d) Acting in a professional and ethical manner;
- e) Protection of business assets;
- f) Disclosure of conflicts of interest; and
- g) Prohibition of any conduct involving dishonesty, fraud, deceit, or misrepresentation including insider trading.

Code of Ethics and Conduct at BIFFL

Key areas of our efforts are:

- Fair Treatment of Customers: BIFFL ensures to treat customers fairly and without any prejudice that fosters good support and helps to build a long-term sustainable business relationship.
- Privacy and Security of Client Information: As per our 'Code of Conduct', all information gathered from customers/clients during the course of providing service is to be considered confidential unless it is clearly stated otherwise.
- Transparency and Accuracy of Financial, Taxation, and Other Reporting: Concerned employees related to mentioned job must ensure that information/reporting relating to their customer is readily available, accurate and transparent.
- Interaction in Print, Electronic, and Social Media: All media (print, electronic, and social) inquiries are forwarded to authorized personnel only to represent BIFFL on behalf of the organization.
- Ethics against Discriminatory Harassment: BIFFL management ensures strict compliance with anti-

discrimination and harassment policy whereby the wrongdoer may be subjected to the full range of disciplinary actions up to and including termination of his /her employment as well as may be tied by the prevailing laws of the country.

- Kickback and Secret Commission: At BIFFL, it is strictly maintained that employees must not receive payment or compensation of any kind, except as authorized under the organization's business. In particular, BIFFL strictly prohibits the acceptance of secret commission from suppliers and clients.
- Personal Investment and Insider Trading: It is also prohibited for BIFFL employees to take part in the trading of publicly traded securities and investments for personal gain if they possess material non-public information about the security or the issuer.
- Conduct towards Female Colleagues: Any harassment or discriminatory behavior directed at female employees in the form of derogatory or provocative comments, physical violence, horseplay/inappropriate jokes, unwanted physical contact, use of the epithet, comments or innuendo, obscene or harassing telephone calls, e-mails, letters, notes, or other forms of communication, and any other conduct that may create a hostile working environment is strictly prohibited. In some cases, it can lead to termination of employment.
- Workplace Security and Safety: One of the primary concerns of BIFFL is to maintain a healthy and productive work environment by ensuring the safety and security of office premises.

Monitoring Compliance

At BIFFL, compliance with our Code of Conduct and Ethics is embedded in our employment contracts, recruitment, and performance management activities. All new employees joining BIFFL as well as existing employees are required to read the Code of Conduct and duly sign a statement of compliance attesting that they have read and understood the aforementioned and provide their commitment to comply with the applicable laws, regulations, and corporate ethics, be held accountable for carrying

out the compliance responsibilities, and acknowledge that ignorance of the rules and regulations outlined in the code cannot be an excuse for non-compliance. We also arrange a session on the Code of Conduct during the orientation program for the new joiners. All the employees of BIFFL are required to comply with the Code of Conduct. Any breach of this code may lead to disciplinary action. Moreover, BIFFL practices a reward and recognition program which is designed to reward employees who demonstrate ethical principles and uphold the core values of integrity and morality in the Code of Conduct. This type of recognition serves to validate the ethical actions of the concerned employee, encourages repeat behavior, and thus helps sustain a culture of transparency, accountability, and integrity.

Communication of the Statement of Ethics and Business Practices

At the time of joining, all BIFFL employees are required to sign an annual declaration confirming that they have read and understood the Code of Conduct. It is the responsibility of the Human Resource department to circulate the required declaration and ensure the sign of the employee. The Internal Control and Compliance Department (ICCD) ensures whether an employee has breached the Code of Conduct.

Board's Commitment

The BIFFL Board acknowledges its responsibility for ensuring that the company's business activities are

conducted in accordance with the highest standards of ethics and compliance.

The Board views adherence to ethical standards and compliance as an integral part of the broader corporate governance framework and seeks to adopt a holistic approach in ensuring its implementation. As part of this, it has instituted several approaches to underline its commitment to high standards of ethical behavior:

- Setting down standards of expected behavior through the formulation and communication of a Code of Conduct;
- Installing a system of internal controls, which is reviewed, evaluated, and updated continuously;
- Positioning company policies and procedures on ethical foundations to ensure that ethical considerations are integrated into day-to-day decision-making, activities, and processes;
- Establishing a clearly defined organizational structure that assigns responsibility and authority for the conduct of organizational functions while at the same time ensuring accountability for individual actions; and
- Establishing a variety of monitoring mechanisms including the creation and empowerment of an operationally independent internal audit team with reporting responsibilities to the AC.

REPORT OF THE AUDIT COMMITTEE

Role of Audit Committee

The Audit Committee (AC) on behalf of the Board attempts to ensure effective implementation of the processes set out in the business plan and policies. The main role of the AC is to monitor and review the effectiveness of internal control systems. The AC is also responsible for ensuring the integrity of the financial statements so that it provides a true and fair view of the states of affairs of the company. In addition to that, the committee reviews and when appropriate, makes recommendations to the board on business risks, internal control, and compliance.

Structure of the Audit Committee

The AC of the company has been formed pursuant to the Bangladesh Bank guideline on internal control and compliance framework vide DFIM Circular no.13, dated 26 October 2011 and the corporate governance code issued by Bangladesh Securities and Exchange Commission (BSEC). The AC of the company comprises of the following members:

Name & Designation	Status with the committee
Mr. Md. Nazrul Islam Secretary, Road Transport and Highways Division, Ministry of Road Transport and Bridges	Chairman
Mr. M. Tofazzel Hossain Miah Senior Secretary, The Prime Minister's Office	Member
Ms. Fatima Yasmin Secretary, Economics Relations Division, Ministry of Finance	Member
Mr. Md. Habibur Rahman Secretary, Power Division, Ministry of Power, Energy & Mineral Resources	Member

The Company secretary acts as the member secretary of the committee.

The Terms of Reference

The Terms of Reference (ToR) of the AC, defines its roles and responsibilities clearly. The ToR is reviewed and revised with the concurrence of the Board of

Directors. The AC is responsible to and reports to the Board on its activities regularly. The role and functions of the committee are further regulated by the rules governing the AC as specified by the 'Conditions on Corporate Governance' issued by the BSEC for listed companies and the 'Corporate Governance for NBFIs in Bangladesh' issued by Bangladesh Bank even though BIFFL is yet to be listed.

Scope of Work

The committee is authorized to monitor and review the effectiveness of the company's internal audit and compliance function in the context of the company's overall risk management system. The committee performs its activities within the ToR of the committee and is empowered to seek information from any director or employee of the company from time to time as it thinks fit. The committee presents a summary of its activities to shareholders and other interested parties by means of this report.

Purpose of the Audit Committee

The AC is a sub-committee formed by the Board of Directors of the company. The AC on behalf of the Board attempts to ensure effective implementation of the processes set out in the business plan and policies. The committee will consider the internal control and effectiveness within the organization. The main purpose of the AC is to assist the Board of Directors on the following matters:

- Evaluates performance of the company's internal control functions;
- Ensures compliance of the company with legal and regulatory requirements;
- Makes recommendations on the reporting, control and compliance aspects of the company;
- Provides independent monitoring, guidance and if necessary, to challenge executive management;
- Performs independent review to ensure control over financial reporting and all other operational matters; and
- Evaluates whether the Financial Statements reflect a true and fair view of the affairs of the company and have been prepared as per the regulatory guidelines.

Meetings

Generally, the meeting of the committee held on quarterly basis. In 2021, 3 (three) meetings were held as per organizational requirement. The members of the senior management of the company were invited to participate at meetings as and when required. The proceedings of the AC meetings are regularly reported to the Board of Directors. The committee continued guiding the management with the selection of new accounting policies and implementing the same.

Duties and Responsibilities

The duties and responsibilities of the AC are:

Financial Reporting

The committee supports the Board to discharge their responsibility for the preparation of financial statements that reflect a true and fair view of the financial performance and financial position based on the company's accounting records and in terms of the Bangladesh Financial Reporting Standards (BFRSs), by:

- Reviewing the systems and procedures to ensure that all transactions are completely and accurately recorded in the books of account;
- Reviewing the effectiveness of the financial reporting system in place to ensure the reliability of the information provided to the stakeholders;
- Reviewing the accounting policies and determining the most appropriate accounting policies;
- Strict adherence to and compliance with the BFRSs and the best accounting practices; and
- Reviewing the annual report and accounts prepared for publication, prior to submission to the Board.

Regulatory Compliance

The company's procedures in place to ensure compliance with Bangladesh Bank's instructions and other statutory requirements were under close scrutiny. The committee monitored the compliance of all requirements through various statements/reports submitted by different departments. The committee also monitored the compliance with all relevant laws and regulations.

Internal Control

As part of internal control, the committee:

- Evaluated whether management is setting the appropriate compliance culture by communicating the importance of internal control and the management of risk and ensuring that all employees have understanding of their roles and responsibilities;
- Reviewed the arrangements made by the management for building a suitable Management Information System (MIS) and its applications;
- Considered whether internal control strategies recommended by internal and external auditors have been implemented by the management;
- Reviewed the existing risk management procedures for ensuring an effective internal check and control system; and
- Reviewed the corrective measures taken by the management as regards to reports relating to non-compliance, deficiencies in internal control or other similar issues detected by internal and external auditors and inspectors of the regulatory authority and inform the board on a regular basis.

Internal Audit

The committee:

- Reviewed the activities and organizational structure of the internal audit function and ensured that no unjustified restrictions or limitations were made;
- Reviewed the efficiency and effectiveness of internal audit function;
- Reviewed those findings and recommendations made by the internal auditors for removing the irregularities detected and also running the affairs of the institution were duly considered by the management; and
- Recommended the Board in case of a change of the accounting policies.

External Audit

The committee:

- Reviewed the auditing works of the external auditors and their audit reports;
- Reviewed whether the external auditor's findings

were addressed by the management through appropriate action;

- Reviewed the non-audit services provided by the auditors to ensure that such services do not fall within the restricted scopes and provision of such services does not impair the external auditors' independence and objectivity; and
- Made recommendations to the board regarding the appointment of the external auditors.

Ethics and Good Governance

The highest standards in good corporate governance and strict adherence to the requirements of BIFFL's

Code of Ethics are ensured through close monitoring. Through the Code of Ethics all levels of staff have been educated and encouraged to resort to whistle blowing, when they suspect wrongdoing or other improprieties. The committee also ensures that appropriate procedures are in place to conduct independent investigations into all such incidents.

BIFFL's AC was sincere enough to take the internal control and compliance procedure and practice of the organization according to the guidelines of regulators and best practices in the industry to ensure good corporate governance. The committee also takes care of continuous capacity enhancement and development of the internal audit team of BIFFL.

CREDIT RATING STATUS

Bangladesh Infrastructure Finance Fund Limited (BIFFL) has been awarded as AAA (pronounced as Triple A) as a Government Supported Entity (GSE) in the long-term and ST-1 in the short-term credit rating. As a Stand-alone Financial Institution (SFI), BIFFL has been awarded as AA (pronounced as Double A) in the long-term and ST-1 in the short-term credit rating by Credit Rating Information and Services Limited (CRISL) and Emerging Credit Rating Limited (ECRL) based on financial and other available information up to the date of rating declaration. The outlook of the rating is “Stable” in the last four consecutive years.

Normally the rating company considers financial performance, capital base, asset quality, liquidity position, management experience, prospect of the industry and other parameters while assigning the rating. The assigned ratings reflect the strengths of the company which is backed by a strong team of management, growth in the non-interest income, deposits and investments, adequate capital coverage with high Tier-1 capital, improved asset quality and well controlled liquidity position.

Date of Issue	Long-Term Rating		Short-Term Rating		Outlook	Date of Validity	Credit Rating Agency
	GSE	SFI	GSE	SFI			
31-Oct- 2021	AAA	AA	ST-1	ST-1	Stable	30-Oct- 2022	ECRL
26-Nov-2021	AAA	AA	ST-1	ST-1	Stable	25-Nov-2022	CRISL
26-Nov-2020	AAA	AA-	ST-1	ST-1	Stable	25-Nov-2021	CRISL
26-Aug-2019	AAA	AA-	ST-1	ST-1	Stable	25-Aug-2020	CRISL
20-Aug-2018	AAA	AA-	ST-1	ST-1	Stable	19-Aug-2019	CRISL

CRISL rating scales for Financial Institutions:	ECRL rating scales for Financial Institutions:
Long-Term: AAA (Triple A) An institution rated in this category is adjudged to be best quality, offer highest safety and have highest credit quality. Risk factors are negligible and risk free, nearest to risk free Government bonds and securities. Changing economic circumstances are unlikely to have any serious impact on this category of financial institutions.	Long-Term: AAA (Triple A) An institution rated AAA has an exceptionally strong capacity to meet its financial commitments and exhibits a high degree of resilience to adverse developments in the economy, and in business and other external conditions. These institutions typically possess a strong balance sheet and superior earnings record.
Long-Term: AA (Double A) An institution rated in this category is adjudged to be of high quality, offer higher safety and have high credit quality. This level of rating indicates a corporate entity with a sound credit profile and without significant problems. Risks are modest and may vary slightly from time to time because of economic conditions.	Long-Term: AA (Double A) An institution rated AA has a very strong capacity to meet its financial commitments, and is generally in a position to withstand adverse developments in the economy, and in business and other external conditions. These institutions typically possess a good track record and have no readily apparent weakness.
Short-Term: ST-1 Highest certainty of timely payment. short-term liquidity including internal fund generation is very strong and access to alternative sources of funds is outstanding, safety is almost like risk free Government short-term obligations.	Short-Term: ST-1 An institution rated ST-1 has a superior capacity to meet its financial commitments in a timely manner. Adverse developments in the economy and in business and other external conditions are likely to have a negligible impact on the institution's capacity to meet its financial obligations.
Outlook: Stable Indicates that a rating is likely to remain unchanged.	Outlook: Stable Indicates that a rating is likely to remain unchanged.

RESPONSIBILITY STATEMENT OF CEO AND CFO

We have reviewed the financial statements of BIFFL which contain balance sheet as on 31 December 2021, profit & loss account, statement of changes in equity, statement of cash flows for the year ended 31 December 2021 and a summary of significant accounting policies and other explanatory notes.

These financial statements have been prepared and presented fairly in accordance with:

1. International Accounting Standards (IASs) and International Financial Reporting Standard (IFRSs) adopted by the Institute of Chartered Accountants of Bangladesh (ICAB);
2. Bangladesh Bank guidelines;
3. Companies Act 1994;
4. Income Tax Ordinance 1984;
5. Financial Institution Act 1993;
6. Bangladesh Securities and Exchange Rules 1987; and
7. Other applicable laws and regulations.

The company has taken proper and sufficient care in installing a system of internal control, which is reviewed, evaluated and updated on an ongoing basis. The internal control and compliance department conducts periodic audits to provide reasonable assurance that the established policies and procedures of the company are consistently followed.

Based on the internal control system of the company and our review of these financial statements, we certify to the best of our knowledge and belief that:

- i) The statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;
- ii) The statements together present a true and fair view of the company's affairs and follow existing accounting standards and applicable laws;
- iii) No transactions entered into the accounting systems by the company during the year are fraudulent, illegal or violation of the company's code of conduct;
- iv) Proper books of accounts as required by the law have been kept by the company;
- v) The expenditures incurred were for the company's business;
- vi) Adequate provisions have been made for leases/loans, advances, investments and other assets which in our opinion are doubtful to be recovered.



Chief Financial Officer
Shahariar Alam ACA



Chief Executive Officer
S. M. Anisuzzaman

ANALYSIS OF GOING CONCERN STATUS

Going concern is one of the fundamental accounting assumptions that underlies the preparation of financial statements of the companies. Under the going concern assumption, an entity is normally viewed as continuing in business for the foreseeable future and there is neither the intent nor the need to liquidate it or cease its operation. The purpose of this going concern statement is to bring together the requirements of International Accounting Standards, Companies Act, Listing Rules and Bangladesh Securities & Exchange Commission on going concern

in the preparation of the financial statements. The management and directors of BIFFL have done annual assessment based on the accounting period ended on 31 December 2021 of whether the company is a going concern involves making appropriate inquiries including review of budget and future outcome of inherent risks involved in the business.

BIFFL's management and directors are satisfied from the following factors that the financial statement for the year ended 31 December 2021 is prepared based on the going concern assumption.

The following indicators underline the company's ability to continue as a going concern:

Less reliance on borrowings and debt	As at 31/12/2021, BIFFL has no significant dependence on borrowings and debt. Considering the present liquidity position, it can be said that the company may not need to borrow on an emergency basis.
Sound interest coverage ratio	During the year 2021, the interest coverage ratio stood at 12.91 times, which means the company has strong debt servicing capacity.
Favorable key financial ratios	The company's financial ratios (please see the Key Operating and Financial Highlights at pg. 67) revealed the sound financial strength and prospects.
Consistent payment of dividend	BIFFL has been paying dividends to its shareholders consistently, which reflects the company's long-term viability in operational existence.
Credibility in settling of obligation	The company has strong credibility in terms of settlement of obligation to the creditors and relevant authorities. It has no default payment history for settlement of its obligations.
Consistency in making operating profit	The company has been making operating profit consistently from the beginning of its operation.
Qualityful portfolio	At the end of 2021, BIFFL had loans and investment in diversified sectors with experience of lower classified loans and investment ratio. Considering the industry scenario, this represents a positive indication of sustainability of the company.
Employee satisfaction and working environment	BIFFL is an employee-friendly organization with good corporate environment. It pays a very competitive compensation package with fringe benefits like car facilities, provident fund, performance bonus, gratuity fund, group insurance, hospitalization insurance, rewards and recognition etc.
Maintenance of Capital Adequacy Ratio (CAR)	As per DFIM circular no. 14, dated 28 December 2011 of Bangladesh Bank regarding Capital Adequacy and Market Discipline for FIs, each Financial Institution is required to maintain CAR at least 10% of the total risk weighted assets. As on 31 December 2021, CAR of BIFFL was 132%.

Strong equity base	BIFFL is one of the highest equity-based companies among the FIs. As on 31 December 2021, total equity of BIFFL stands at BDT26,531.57 million (BDT26,135.81 million in 31 December 2020), representing an increase of 1.51% over last year.
Ability to pay operational expenses	The company has not faced any difficulties in meeting its day to day operational expenses and has continued its reputation of paying vendors on time. The company generates sufficient operating cash flow to meet its operational expenses.
Borrowing facilities from multilateral agencies	The solidity of financial position and the reputation allows the company to negotiate or renew borrowing facilities at favorable rates and flexible terms and conditions from different development partners i.e. JICA, ADB, the World Bank, KfW and others.
Strong credit rating	During 2021, BIFFL has been awarded AAA as a Govt. Supported Entity, AA as a stand-alone financial institution in the long-term rating and ST-1 in the short-term rating by CRISL and ECRL that indicates corporate entity with a sound credit profile. Risks are modest and may vary slightly from time to time.
Off-balance sheet exposures	The company keeps very low exposure to off-balance sheet liabilities and the company has sufficient financial strength to pay the obligations should these materialize.
Changes in Government's policy	The Board and management of BIFFL anticipate no significant changes in legislation or Government's policy which may materially affect the business of the company.

Considering the above major indicators, the management and directors of the company are of the belief that the preparation of the financial statements of the company for the year ended 31 December 2021 on the basis of "going concern assumption" is appropriate.

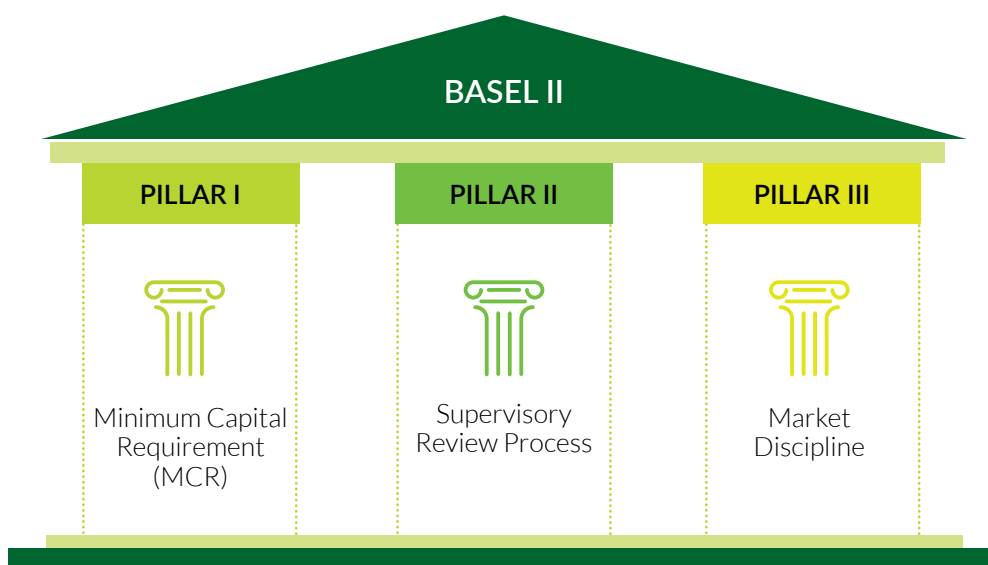
DISCLOSURES ON

CAPITAL ADEQUACY AND MARKET DISCIPLINE

(CAMD)-PILLAR III

The following detailed qualitative and quantitative disclosures are provided in accordance with Prudential Guidelines on Capital Adequacy and Market Discipline for Financial Institutions which has been published on December 28, 2011. The purpose of these requirements is to complement the capital adequacy requirements and the Pillar III – Market Discipline. These disclosures are intended for market participants to assess key information about

the FI's exposure to various risks and to provide a consistent and understandable disclosure framework as per regulatory requirements. The FI has an approved disclosure policy to observe the disclosure requirements set out by the Bangladesh Bank and International Financial Reporting Standards (IFRSs) and International Accounting Standards (IASs) as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB) that were applicable to the FI



Consistency and Validation: The quantitative disclosures are made based on audited financial statements of BIFFL for the year ended 31 December 2021. Financial statements are prepared under relevant International Financial Reporting Standards (IFRSs) and International Accounting Standards (IASs) as adopted by the Institute of Chartered Accountants of Bangladesh (ICAB) and related circulars/instructions issued by Bangladesh Bank (BB) from time to time.

A. Scope of Application

Qualitative Disclosures	
a. The name of the entity to which this guideline applies	These guidelines apply to Bangladesh Infrastructure Finance Fund Limited (BIFFL)
b. An outline of differences on the basis of consolidation for accounting and regulatory purposes, with a brief description of the entities within the group: (i) that are fully consolidated (ii) that are given a deduction treatment; and (iii) that are neither consolidated nor deducted (e.g. where the investment is risk - weighted)	BIFFL has no subsidiary
c. Any restrictions, or other major impediments, on transfer of funds or regulatory capital within the group	Not applicable for BIFFL

Quantitative Disclosures

a. The aggregate amount of capital deficiencies in all subsidiaries not included in the consolidation that are deducted and the name(s) of such subsidiaries	Not applicable for BIFFL
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B. Capital Structure

Qualitative Disclosure

Summary information on the terms and conditions of the main features of all capital instruments, especially in case of capital instruments eligible for inclusion in Tier-1 and Tier-2.

As per Basel II guidelines, regulatory capital consists of Tier-1 and Tier-2 capital.

Tier-1 Capital consists of:

- Fully Paid-up capital/ capital line with BB;
- Statutory reserve non repayable;
- Share premium account;
- General reserve;
- Retained earnings;
- Minority interest in subsidiaries;
- Non-cumulative irredeemable preference shares;
- Dividend equalization account; and
- Others (if any item approve by Bangladesh Bank).

Tier-2 Capital consists of:

- General provision (UC loans up to specified amount + SMA + off balance sheet exposure);
- Assets revaluation reserves up to 50%;
- Revaluation reserve for securities up to 45%;
- Revaluation reserve for equity instruments up to 10%;
- All other preference shares;
- Others (if any item approve by Bangladesh Bank); and
- Applicable deductions, if any.

Conditions for maintaining regulatory capital: The calculation of Tier-1 capital, and Tier-2 capital, shall be subject to the following conditions:

- The amount of Tier-2 Capital will be limited to 100% of the amount of Tier-1 capital.
- 50% of revaluation reserves for fixed assets, 45% of revaluation reserves for securities and 10 % revaluation reserve for equity instruments are eligible for Tier-2 capital.

Quantitative Disclosures

The amount of eligible capital, with separate disclosure of:

Particulars	Amount in BDT crore
Paid up capital	2,308.00
Non-repayable share premium account	-
Statutory reserve	188.99
General reserve	15.00
Retained earnings	141.17
Minority interest in subsidiaries	-
Non-cumulative irredeemable preference shares	-
Dividend equalization account	-
a. Total Tier 1 Capital	2,653.16
b. The total amount of Tier 2 Capital	19.52
c. Other deductions from capital	-
d. Total eligible capital (a+b+c)	2,672.68

C. Capital Adequacy

Qualitative Disclosures

A summary discussion of BIFFL's approach to assessing the adequacy of its capital to support current and future activities.

- Risk Weighted Assets (RWA) and Capital Adequacy Ratio (CAR) BIFFL has applied Standard Approach for computation of capital charge for credit risk and market risk while Basic Indicator Approach for operational risk. Total

Risk Weighted Assets (RWA) of the company is determined by multiplying capital charge for market risk and operational risk by reciprocal of the minimum capital adequacy ratio and adding the resulted figures to the sum of risk weighted assets for credit risk. Total eligible capital is divided by total RWA to derive Capital Adequacy Ratio.

- Strategy to achieve the required capital adequacy:

Operational level

Immediate measures:

- Asking unrated clients to have credit rating from External Credit Assessment Institutions (ECAIs) recognized by Bangladesh Bank;
- Rigorous monitoring of overdue contracts to bring those under 90 days overdue;
- Assessing incremental effect of capital charge over the expected net income from financing before sanctioning any proposal, which could be one of the criteria for taking financing decision.

Continuous measures:

- Financing clients having good credit rating;
- Using benefit of credit risk mitigation by taking easily liquid-able financial collaterals against lending;
- Focusing more on attracting high spread earning assets, controlling operating expenses and thus increasing retained earnings.

Strategic level

Injecting fresh capital by issuing new shares. As such BIFFL has capital above industry average.

Quantitative Disclosures

Particulars	BDT in crore
Capital requirement for credit Risk	170.64
Capital requirement for market Risk	-
Capital requirement for operational Risk	32.26
Minimum capital requirement (MCR)	202.91
Total eligible capital	2,672.68
Risk-weighted assets	2,029.08

Capital to Risk-Weighted Asset Ratio	131.72 %
CAR on Tier-1	130.76%
CAR on Tier-2	0.96%
Capital Conservation Buffer (1.25% of RWA) (BDT in crore)	25.36

D. Credit Risk

Qualitative Disclosures

Credit risk is defined as the probability of failure of the counter party to meet its obligation as per agreed terms and condition. FIs are very much prone to credit risk due to its core activities i.e. lending to corporate, consumer, SME and another Bank/FI. The main objective of credit risk management is to minimize negative impact through adopting proper mitigants and to limit credit risk exposures within the acceptable limits. Credit risk management has been independent of the origination from business functions to establish better control and to reduce conflicts of interest. The Head of CRMD has well defined responsibility for the management of credit risk. The authority and responsibility for all activities that expose the FI to credit risk rest with the Board of Directors (BoD). However, the Board, delegated authority to the management of the company, CEO or other officers of the CRMD.

Board sets forth credit policies and delegates authority to the management for setting procedures, which together has structured the credit risk management framework in the FI. The credit policy contains the core principles for identifying, measuring, approving, and managing credit risk in the FI and is designed to meet the organizational requirements that exist today as well as to provide flexibility for the future. These policies represent the minimum standards for credit extension by the FI and are not a substitute to experience and good judgment.

Definitions of past due and impaired credit: To define past due and impairment through classification and provisioning, BIFFL follows Bangladesh Bank circulars and guidelines. The summary of some objective criteria for loan classification and provisioning requirement is as below:

As per Bangladesh Bank's Prudential Guidelines on Capital Adequacy and Market Discipline for FIs, the unsecured portion of any claim or exposure (other than claims secured by residential property) that is

past due for 90 days or more, net of specific provisions (including partial write-off) will be risk-weighted as per risk weights of respective balance sheet exposure. For defining the net exposure of the past-due loan, eligible financial collateral (if any) may be considered for credit risk mitigation.

To encounter and mitigate credit risk, the following control measures are in place at BIFFL:

- Continuous monitoring and follow up by fully dedicated recovery and collection team;
- Strong follow up of compliance of credit policies by appraiser and CRMD;
- Taking collateral, performing valuation and legal vetting on the proposed collateral by members of BIFFL's own dedicated technical and legal department;
- Seeking legal opinion from external lawyers for any legal issues if required;
- Monthly review of the market situation and industry exposures through Risk Management Forum;
- Insurance coverage for funded assets if needed; and
- In addition to the best industry practices for assessing, identifying, and measuring risks, BIFFL also considers the Guideline for Managing Core Risks of Financial Institutions issued by BB for the management of risks.

Approved Credit Policy by the Board of Directors:

The Board has approved the credit policy for the company where these policy guidelines provide the details on fundamental credit risk management, outline general principles that are designed to govern the implementation of lending procedures and risk analysis/risk grading systems. The guidelines have been established and will continue to be developed from time to time taking market requirements into consideration.

Separate Credit Risk Management Department (CRMD):

An independent CRMD is in place, at BIFFL, to scrutinize projects from a risk-weighted point of view and assist the management in creating a high-quality credit portfolio and maximize returns with minimum risk. CRMD has been segregated from the Credit Administration Department (CAD) in line with Central Bank's guidelines. CRMD evaluates credit risks and suggests mitigating measures before recommendation of every credit proposal for final

approval to the Board, while CAD confirms that adequate security documents are in place before disbursement.

Monitoring and recovery team: A strong recovery team monitors the performance of the loans and advances, identifies early signs of delinquencies in the portfolio, and takes corrective measures to mitigate risks, improve loan quality, and ensure recovery of loans promptly including legal actions.

Independent Internal Control & Compliance

Department: Appropriate internal control measures are in place at BIFFL. An ICCD has been established to ensure compliance with all internal guidelines, BB guidelines, operational procedures, and adequacy of internal control and documentation procedures.

Credit evaluation by Credit Committee: The Credit Committee (CC) regularly meets to review the market and credit risk related to lending, and recommends appropriate measures to counter associated risks. The CC rationally reviews projects considering the current global financial crisis and its probable impact on the project. The decisions/recommendations of the credit committee shall be based on sound fundamentals, supported by thorough analysis and reasoning-focusing on the following factors:

- Cash flow generations,
- Capacity /capability of repayment,
- Net worth,
- Credit worthiness,
- Security coverage,
- Management capacity/capability and sponsors/successors,
- Industry risk and market condition,
- Business condition/risk,
- Due diligence and compliance, etc.

After reviewing the risks and upcoming challenges that may adversely affect the proposed project and compliance of applicable policies, rules, and regulations, the Credit Committee provides its observations and recommendations. After complying with the specific recommendations based on the information, analysis and appraisal report placed by the CID and the viability, risks & challenges of the project are sorted out by the CRMD including the mitigation scope to overcome the risk and challenges.

Credit approval process: To ensure both speedy service and mitigation of credit risk, the approval process is maintained through a multilayer system. Depending on the size of the loan, a multilayer approval system is designed. As the smaller loan is very frequent and comparatively less risky, lower sanctioning authority is set to improve processing time and minimize associated risk. Larger loans require more scrutiny as the associated risk is higher. Hence sanctioning authority is higher as well.

Early warning system: The performance of loans is regularly monitored to trigger an early warning system to address the loans and advances whose performance shows any deteriorating trend. It helps the company to grow its credit portfolio with the ultimate objective of protecting the interest of the stakeholders.

Methods used to measure credit risk: As per the directives of BB, 'The Standardize Approach' is applied by the company to measure its risk.

Quantitative Disclosures

Total gross credit risk exposures (by major types) of 31-12-21:

Geographical distribution of credit exposures:

Inside Bangladesh	Amount in BDT crore
Urban	
Dhaka Division	309.16
Chattogram Division	30.03
Khulna Division	-
Rajshahi Division	-
Barishal Division	-
Sylhet Division	-
Rangpur Division	-
Mymensingh Division	-
Sub-total	339.19
Rural	
Dhaka Division	502.46
Chattogram Division	584.27
Khulna Division	0.25
Rajshahi Division	14.39
Barishal Division	11.13
Sylhet Division	159.32

Inside Bangladesh	Amount in BDT crore
Rangpur Division	3.62
Mymensingh Division	24.81
Sub-total	1,300.25
Outside Bangladesh	-
Total	1,639.44

Sectoral allocation of leases, loans, and advances:

Name of the Sectors	Amount in BDT crore
i) Textiles	99.12
ii) Garments and accessories	165.90
iii) Transport (including marine transport)	229.17
iv) Chemicals and pharmaceuticals	-
v) Iron, steel and engineering	139.49
vi) Agricultural equipment and agro industries	0.26
vii) Power and energy	251.58
viii) Electronics and electrical	20.71
ix) Information Technology (IT)	30.19
x) Paper printing and packaging	-
xi) Plastic	25.06
xii) Real estate and housing	-
xiii) Food and beverage	0.03
xiv) Glass and ceramics	239.95
xv) Services	119.42
xvi) Others	318.58
Total	1,639.44

E. Equities: Disclosures for Banking Book Positions

Qualitative Disclosures

The general qualitative disclosures requirement to equity risk, includes:

- Differentiation between holdings on which capital gains are expected and those taken under other objectives including for relationship and strategic reasons.
- Discussion of important policies covering the valuation and accounting of equity holdings in the banking book. This includes the accounting techniques and valuation methodologies used, including key assumptions and practices affecting

valuation as well as significant changes in these practices.

Quantitative Disclosures

BIFFL is yet to make any investment in the Share Market.

F. Interest Rate Risk in the Banking Book

Qualitative Disclosures

Interest rate risk is the risk that affects the FI's financial condition due to changes in market interest rates. Changes in interest rates affect both the current earnings (earnings perspective) and the net worth of FI (economic value perspective). FI assesses the interest rate risk both in earning and economic value perspective. The process of interest rate risk management by the FI involves the determination of the business objectives, expectation about future macro-economic variables, and understanding the money markets and debt market in which it operates. Interest rate risk management also includes quantifying the appetite for market risk to which FI is comfortable. The FI uses the following approach to manage interest rate risk inherent in the Balance sheet:

Simple GAP analysis: Traditional Gap analysis of on-balance sheet Asset Liability Management (ALM) involves careful allocations of assets and liabilities according to re-pricing/maturity buckets. This approach quantifies the potential change in net interest income using a specified shift in interest rates, e.g. 100 or 200 basis points, or a simulated future path of interest rates.

Assumptions for gap analysis FIs considers the following:

- For fixed-rate contracts, remaining maturity is considered;
- For contracts with the provision of re-pricing, the time remaining for the next re-pricing is considered;
- Re-pricing of assets and liabilities takes place in the midpoint of the time bucket;
- The expectation that loan payment will occur on schedule;
- No early encashment is considered in term and recurring deposit;
- Non-maturity deposit withdrawal is considered based on past withdrawal behavior;

- Interest paid on liabilities tends to move faster than interest rates earned on assets;
- Interest rate attached to FI's assets and liabilities does not move at the same speed as market interest rates;
- Point at which some assets and liabilities are re-priced is not easy to identify.

Quantitative Disclosures

Funding gap analysis: Funding gap analysis attempts to determine the potential impact on Net Interest Income (NII) due to changes in interest rate. Result of interest rate risk (increase in interest rate).

Interest Rate Risk			
Magnitude of Shock	Minor	Moderate	Major
	2%	4%	6%
Change in the Value of Bond Portfolio (BDT in crore)	0.00	0.00	0.00
Net Interest Income (BDT in crore)	48.08	96.17	144.25
Revised Regulatory Capital (BDT in crore)	2,720.76	2,768.85	2,816.93
Risk Weighted Assets (BDT in crore)	2,029.08	2,029.08	2,029.08
Revised CAR (%)	134.09%	136.46%	138.83%

Duration gap analysis: The focus of the duration analysis is to measure the level of FI's exposure to interest rate risk in terms of sensitivity of Market Value of FI's Equity (MVE) due to changes in market value of assets and liabilities caused by interest rate movements. Duration Gap can be used to evaluate the impact on the MVE of the FI under different interest rate scenarios. ALCO monitors the leveraged liability duration and duration gap of the total FI balance sheet every quarter to assess the impact of the parallel shift of the assumed yield curve.

G. Market Risk

Qualitative Disclosures

Views of Board of Directors on trading or investment activities: In BIFFL all the market risk related policies/guidelines are duly approved by the Board of Directors. The BoD reviews and updates the compliance on regular basis aiming to mitigate the market risk.

Methods used to measure market risk: The probability of losing assets in balance sheet and off- balance sheet position arising out of volatility in market variables is called Market Risk. The methods are –

- Interest Risk Management;
- Market Analysis;
- Gap Analysis;
- Continuous Monitoring;
- Equity Risk Management.

Market risk management system: To manage the interest rate risk, BIFFL regularly monitors various ratios and parameters. ALCO also regularly monitors gap between the rate sensitive assets (RSA) and rate sensitive liabilities (RSL) and duration gap of the total portfolio. To manage equity price risk if any, the ALCO of the FI takes prudent decisions complying sectorial preferences as per the investment policy of the FI and capital market investment limit set by BB.

Quantitative Disclosures

Market Risk: Market risk is defined as the possibility of loss due to changes in the market variables. It is the risk that the value of on/off balance sheet positions will be adversely affected by movements in equity price, interest rate, and currency exchange rates. The objective of our market risk policies and processes is to obtain the best balance of risk and return whilst meeting customers' requirements. The primary categories of market risk for the FI are:

- **Interest rate risk** arising from changes in yield curves, credit spreads, and implied volatilities on interest rate options.
- **Currency exchange rate** risk is arising from changes in exchange rates and implied volatilities on foreign exchange options.
- **Equity price risk** is arising from changes in the prices of equities, equity indices, equity baskets, and implied volatilities on related options.

BIFFL has a comprehensive Treasury Policy and Asset-Liability Management Policy approved by the Board of Directors to assess, monitor, and manage all the market risks. Various internal limits have been set

to monitor market risk and the capital requirement is assessed as per the standardized approach of Basel II.

H. Operational Risk

Qualitative Disclosures

Operational Risk: Operational risk is the risk of loss arising from fraud, unauthorized activities, error, omission, inefficiency, systems failure, or external events. It is inherent in every business organization and covers a wide spectrum of issues. We seek to minimize exposure to operational risk, subject to cost-benefit trade-offs. BIFFL captures some identified risk events associated with all functional departments of the FI through a standard reporting format.

Views of Board on the system to reduce operational risk:

The policy for measuring and managing operational risks is approved by the Board in line with the relevant guidelines of BB. The Audit Committee of the Board directly oversees the activities of the ICCD to protect against all operational risks. As a part of continued surveillance, the MANCOM, RMF, and CRMD regularly review different aspects of operational risks and suggest formulating appropriate policies, tools, and techniques for the mitigation of operational risk.

Performance gap of executives and staff:

BIFFL is an equal opportunity employer. It recognizes the importance of having the right people in the right positions to achieve organizational goals. Our recruitment and selection are governed by the philosophy of fairness, transparency, and diversity. Understanding what is working well and what requires further improvement is essential to our performance management system. The performance management process aims to clarify what is expected from employees as well as how it is to be achieved. Our learning and development strategy puts special focus on continuous professional development to strengthen individuals' skill set by removing weaknesses to perform the assigned job with perfection. We have a wide range of internal and external training programs to enhance capabilities as well as minimize the performance gap that will contribute more to the bottom line. Peoples' performance is assessed on the basis of performance objectives and key performance indicators (KPI) set at the beginning of each year. Decisions related to rewards and recognitions for

the employees are taken on the basis of how well the assigned KPIs are met.

Potential external events: The overall environment within which an FI operates creates certain externalities which could affect business performance directly such as:

- **Fraud risk** is the risk of incurring losses because of an intentional act or omission by a third-party involving dishonesty, for personal and/or business gain, to avoid personal and/or business loss, or to conceal the improper or unauthorized activity. This includes facilitation, misrepresentation, money laundering, terrorist financing, theft, forgery, and cyber-crime.
- **Business continuity risk** is the risk of incurring losses resulting from the interruption of normal business activities, i.e. interruptions to our infrastructure as well as to the infrastructure that supports our businesses.
- **Information security risk** is the risk of an event that could result in the compromise of organizational assets, including, but not limited to, unauthorized use, loss, damage, disclosure, or modification of organization assets. It includes the risk of cyber threats on the organization.
- **Regulatory compliance risk** is the risk of incurring regulatory sanctions (including restrictions on business activities, fines, or enhanced reporting requirements), financial and/or reputational damage arising from our failure to comply with applicable laws, rules, and regulations.
- **Vendor risk** arises from adverse events and risk concentrations due to failures in vendor selection,

insufficient controls, and oversight over a vendor and/or services provided by a vendor and other impacts to the vendor itself.

Policies and processes to mitigate operational risk:

Risk analysis unit is primarily responsible for risk identification, measurement, monitoring, control, and reporting of operational risk. This unit identifies risk issues primarily through a review of the Departmental Control Function Check List (DCFCL) and reports to the Head of ICCD. DCFCL is a self-assessment process for detecting 'high' risk areas and finding mitigation of those risks. The forum titled 'Risk Management Forum (RMF)' also oversees the operational risk issues. RMF analyzes 'high' and 'moderate' risk indicators and sets responsibility for specific people to resolve the issue.

Approach for calculating the capital charge for operational risk:

BIFFL applies the 'Basic Indicator Approach'. Under this approach, FIs must calculate the average annual gross income (GI) of the last three years and multiply the result by 15% to determine the required capital charge. Gross Income is the sum of 'Interest Income' and 'Non-interest Income' of a year or 'Total Operating Income' of the FI with some adjustments as noted below. GI shall:

- Be gross of any provision (e.g. for unpaid interest);
- Be gross of operating expenses, including fees paid to outsource service providers;
- Include lost interest i.e. interest suspense on classified loans (SS, DF, BL).

Quantitative Disclosures

Particulars	BDT in crore
Capital requirement for operational risk	32.26



NOTICE, REPORTS & FINANCIAL STATEMENTS



Bangladesh Infrastructure Finance Fund Limited

Borak Unique Heights (Level-3), 117 Kazi Nazrul Islam Avenue, Eskaton Garden, Dhaka-1217
e-mail: info@biffl.org.bd; Website: www.biffl.org.bd

Ref: BIFFL/CS-2.2.1/2022

Date: 01 June 2022

NOTICE OF THE 11TH ANNUAL GENERAL MEETING

The 11th Annual General Meeting of Bangladesh Infrastructure Finance Fund Limited (BIFFL) for the year ended on 31.12.2021 will be held on 26.06.2022, Sunday at 7:45 p.m. at BIFFL's Office at Borak Unique Heights (Level-3), 117 Kazi Nazrul Islam Avenue, Eskaton Garden, Dhaka-1217 to transact the following business:

AGENDA:

1. To receive, consider and adopt the Audited Financial Statements of BIFFL for the year ended on 31.12. 2021 along with Independent Auditor's Report and the Director's Report 2021 thereon.
2. To approve the Dividend for the FY2021.
3. To re-elect the Director(s).
4. To re-appoint the external auditors and fix their remuneration for the FY2022.
5. Miscellaneous, if any.

The Shareholders, Directors and Auditors are requested to attend the meeting.

By the order of the Board,

Company Secretary

Bangladesh Infrastructure Finance Fund Limited

Cell: 01841655302, e-mail: mohammad.khan@biffl.org.bd

Independent Auditor's Report

To the Shareholders of Bangladesh Infrastructure Finance Fund Limited

Opinion

We have audited the financial statements of Bangladesh Infrastructure Finance Fund Limited (the Company), which comprise the Balance Sheet as at December 31, 2021, and Profit and Loss Account and Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2021, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) as explained in note # 2 to the financial statements.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) and Bangladesh Bank and we have fulfilled our other ethical responsibilities in accordance with IESBA Code and the Institute of Chartered Accountants of Bangladesh (ICAB) Bye-Laws. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matters

Without modifying our opinion, we are drawing attention to the following matters:

- In note # 47 (b) (1) to the financial statements, the Company disclosed the status of compliance of the Financial Reporting Council (FRC) notification # 179/FRC/FRN/notification/2020/2 dated 07 July 2020.
- In note # 04 to the financial statements, the Company disclosed amounting to BDT 18,836,570,703 as 'Balance with other banks and financial institutions', which inter- alia includes, Fixed deposit accounts (FDRs) amounting to BDT 6,229,629,824. FDRs amounting to BDT 4,687,301,219 (75.24% of total FDRs) were deposited into banking and Non- banking Financial Institutions. However, the bank and NBFIs neither pay the principal amount nor the interest for long (except for some immaterial amount of interest). It is a clear indication of impairment of those FDRs. However, the Company did not keep adequate provisions for those FDRs. The Company kept provisions amounting to BDT 1,405,533,938 (22.56% of the total balance of FDR).
- In note # 8.2 to the financial statements, the Company disclosed 'Capital work in progress' amounting to BDT 8,800,000 against the implementation of Core Financial Solution/Core Banking Solution since 2019.
- In note # 13.6 to the financial statements, the Company disclosed the reasons for transferring 'Interest on short-term investment (FDRs)' and 'Interest on loans and advances to 'Interest suspense account'.
- In note # 2.11.02 to the financial statements, among others the Company disclosed the reason for not making any provision for workers' profit participation fund.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of 2021. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Risk	Our response to the risk
Measurement of provision for loans and advances	
The process for estimating the provision for loans and advances portfolio associated with credit risk is significant and complex. For the individual (party-wise) analysis, these provisions consider the estimates of future business performance and the market value of the collateral provided for credit transactions. At year end the Company reported total gross loans and advances of BDT 16,394,424,310 (2020: BDT 18,363,380,418) and provision for loans and advances and others at the year-end BDT 2,357,837,443 (2020: BDT 1,671,846,464). We have focused on the following significant judgments and estimates which could give rise to a material misstatement or management bias:	We tested the design and operating effectiveness of key controls focusing on the following: - Tested the credit appraisal, loan disbursement procedures, monitoring and provisioning process; - Reviewed the process of identification of loss events, including early warning and default warning indicators and - Reviewed quarterly Classification of Loans (CL); - Our substantive procedures in relation to the provision for loans and advances portfolio comprised the following: - Reviewed the adequacy of the Company's general and specific provisions;

Risk	Our response to the risk
- Completeness and timing of recognition of loss events in accordance with criteria set out in FID circular no 08, dated 03 August 2002, FID circular no.03, dated 03 May 2006, FID circular no.03 dated 29 April 2013 and DFIM circular no.04 dated 26 July 2021; - For assessed provisions, the measurement of the provision may be dependent on the valuation of collateral, estimates of exit values and the timing of cash flows; and - Provision measurement is primarily dependent upon key assumptions relating to the probability of default, the ability to repossess collateral, and recovery rates.	- Assessed the methodologies on which the provision amounts based, recalculated the provisions and tested the completeness and accuracy of the underlying information; and - Finally assessed the appropriateness and presentation of disclosures against relevant accounting standards and Bangladesh Bank guidelines.
See note # 7 and 13.5 to the financial statements.	
Borrowing from other banks and other financial institutions	
We focused on this area because the Company receives loans from different donor agencies through GoB to implement infrastructure development projects in Bangladesh. Such an arrangement should be guided by strict internal control. Any non-compliance of the financing agreements with the donor agencies may create major credit risk for the Company.	In responding to the identified key audit matter, we have performed the following procedures: - Checked the drawdowns of borrowings from donor agency's server on a sample basis; - Reviewed the repayments made to the agencies as required on a sample basis; - Recalculated repayment schedule of the loans from donor agencies on a sample basis and - Reviewed the agreements with the donor agencies and checked whether the Company has complied with the requirements of the agreements on a sample basis.
See note # 11 to the financial statements.	
IT systems and controls	
Our audit procedures have a focus on IT systems and controls due to the pervasive nature and complexity of the IT environment, the large volume of transactions processed in numerous locations daily and the reliance on automated and IT- dependent manual controls.	We tested the design and operating effectiveness of the Company's IT access controls over the information systems that are critical to financial reporting. We tested IT general controls (logical access, changes management and aspects of IT operational controls). This included testing that requests for access to systems were appropriately reviewed and authorized. We tested the Company's periodic review of access rights and reviewed requests of changes to systems for appropriate approval and authorization. We considered the control environment relating to various interfaces, configuration and other application-layer controls identified as key to our audit.
See note # 2.25 to the financial statements.	

Other Information

Management is responsible for the other information. The other information comprises all of the information in the Annual Report other than the financial statements and our auditor's report thereon. The Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs as explained on note # 2 and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing,

as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Company's financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other Legal and Regulatory Requirements

In accordance with the Companies Act 1994, the Financial Institutions Act, 1993 and the rules and regulations issued by Bangladesh Bank, we also report the following:

- a) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and made due verification thereof;
- b) in our opinion, proper books of accounts as required by law have been kept by the Company so far as it appeared from our examination of those books;
- c) the balance sheet and profit and loss account together with the annexed notes dealt with by the report are in agreement with the books of accounts and returns;
- d) the expenditure incurred was for the purposes of the Company's business for the year;

- e) The financial statements of the Company have been drawn up in conformity with Financial Institutions Act, 1993 and in accordance with International Financial Reporting Standards as explained in notes as well as with related guidance, circulars issued by Bangladesh Bank;
- f) adequate provisions have been made for loans, leases, investment, advances and other assets which are, in our opinion, doubtful of recovery and Bangladesh Bank's instructions in this regard have been followed properly;
- g) the financial statements of the Company conform to the prescribed standards set in the accounting regulations which were issued by Bangladesh Bank after consultation with the professional accounting bodies of Bangladesh;
- h) statements sent to Bangladesh Bank have been checked on a sample basis and no inaccuracy has come to our attention;
- i) taxes and other duties were collected and deposited in the Government treasury by the Company as per Government instructions found satisfactory based on test checking;
- j) nothing has come to our attention that the Company has adopted any unethical means i.e. 'window dressing' to inflate the profit and mismatch between the maturities of assets and liabilities;
- k) proper measures have been taken to eliminate the irregularities mentioned in the inspection report of Bangladesh Bank and the instructions which were issued by Bangladesh Bank and other regulatory authorities have been complied properly as disclosed to us by management;
- l) based on our work as mentioned above under the auditor's responsibility section, the internal control and the compliance of the Company is satisfactory, and effective measures have been taken to prevent possible material fraud, forgery and internal policies are being followed appropriately;
- m) the Company has complied with relevant laws pertaining to capital, reserve and net worth, cash and liquid assets and procedure for sanctioning and disbursing loans/leases found satisfactory;
- n) We have reviewed over 80% of the risk-weighted assets of the Company, and we have spent around 2680 person-hours for the audit of the books and accounts of the Company;
- o) the Company has complied with relevant instructions which were issued by Bangladesh Bank relevant to classification, provisioning and calculation of interest suspense;
- p) the Company has complied with the "First Schedule" of the Financial Institutions Act, 1993 in preparing these financial statements; and
- q) all other issues which in our opinion are important for the stakeholders of the Company have been adequately disclosed in the audit report.

Dated, Dhaka
31 May 2022



Muhammad Aminul Hoque FCA
Partner
ICAB Enrolment Number # 1129
DVC: 2205311129AS213918

Bangladesh Infrastructure Finance Fund Limited

Balance Sheet

As at 31 December 2021

Particulars	Notes	Amount in Taka	
		31-Dec-21	31-Dec-20
Property and Assets			
Cash	3	15,293,480	1,686,760
In hand (including foreign currencies)		94,713	89,501
Balance with Bangladesh Bank and its agent bank(s) (including foreign currencies)		15,198,767	1,597,259
Balance with banks and other financial institutions	4	18,836,570,703	12,512,084,193
Inside Bangladesh		18,836,570,703	12,512,084,193
Outside Bangladesh		-	-
Money at call and on short notice	5	26,900,000	26,900,000
Investments:	6	2,591,151,513	3,169,028,755
Government		-	-
Others		2,591,151,513	3,169,028,755
Loans and advances	7	16,394,424,310	18,363,380,418
Loans, cash credits, overdrafts etc.		16,394,424,310	18,363,380,418
Bills purchased and discounted		-	-
Fixed assets including premises, furniture and fixtures	8	203,647,232	223,092,676
Other assets	9	5,453,215,247	4,806,544,377
Non-banking assets	10	-	-
Total Property and Assets		43,521,202,485	39,102,717,178
Liabilities and Shareholders' Equity			
Liabilities			
Borrowing from other banks, financial institutions and agents	11	7,133,286,673	4,844,313,906
Deposits and other accounts	12	-	-
Current accounts and other accounts etc.		-	-
Bills payable		-	-
Savings bank deposits		-	-
Term deposits		-	-
Bearer certificate of deposits		-	-
Other deposits		-	-
Other liabilities	13	9,856,344,792	8,122,597,188
Total Liabilities		16,989,631,465	12,966,911,094
Capital/Shareholders' Equity		26,531,571,021	26,135,806,084
Paid up capital	14	23,080,000,000	23,080,000,000
Statutory reserve	15	1,889,879,355	1,767,400,439
General reserve	16	150,000,000	100,000,000
Retained earnings	17	1,411,691,666	1,188,405,645
Total Liabilities and Shareholders' Equity		43,521,202,485	39,102,717,178

Particulars	Notes	Amount in Taka	
		31-Dec-21	31-Dec-20
OFF-BALANCE SHEET ITEMS :			
Contingent liabilities	18	247,158,051	454,800,000
Acceptances and endorsements		-	-
Letter of comfort	18.1	247,158,051	454,800,000
Irrevocable letter of credit		-	-
Bills for collection		-	-
Other contingent liabilities		-	-
Other commitments		-	-
Documentary credits and short term trade-related transactions		-	-
Forward assets purchased and forward deposits placed		-	-
Undrawn note issuance and revolving underwriting facilities		-	-
Undrawn formal standby facilities, credit lines		-	-
Others		-	-
Total Off-Balance Sheet Items including contingent liabilities		247,158,051	454,800,000
Net Asset Value (NAV) per share	38	114.95	113.24

Annexed notes form an integral part of these financial statements.


Company Secretary


Chief Executive Officer


Director


Chairman

Signed as per our report on same date

ACNABIN Chartered Accountants

Dated, Dhaka
30 May 2022


Muhammad Aminul Hoque FCA
Partner
ICAB Enrolment Number # 1129
DVC: 2205311129AS213918

Bangladesh Infrastructure Finance Fund Limited

Profit and Loss Account

For the year ended 31 December 2021

Particulars	Notes	Amount in Taka	
		31-Dec-21	31-Dec-20
Operating Income			
Interest income from leases, loans and advances	20	1,370,359,895	1,120,550,039
Less: Interest expenses on deposits & borrowings etc.	21	119,530,730	90,286,117
Net interest income		1,250,829,165	1,030,263,922
Investment income	22	290,892,324	325,936,996
Commission, exchange and brokerage		-	-
Other operating income	23	689,999,574	453,952,651
Total operating income		2,231,721,063	1,810,153,567
Operating Expenses			
Salary and allowances	24	65,342,353	61,387,080
Rent, taxes, insurance, electricity etc.	25	2,101,236	1,714,828
Legal expenses	26	351,094	195,188
Postage, stamp, telecommunication etc.	27	2,323,655	1,666,318
Stationery, printing, advertisement etc.	28	1,846,658	1,866,053
Managing Director's salary and allowances	29	9,236,712	6,983,548
Directors' fees	30	953,316	909,318
Auditors' fees	31	410,350	404,000
Charges on loan losses		-	-
Depreciation and repairs of company's assets	32	20,605,411	45,523,680
Other operating expenses	33	19,029,721	17,030,777
Total operating expenses		122,200,505	137,680,789
Profit before provision		2,109,520,558	1,672,472,778
Provision for investment, leases, loans and advances	34	435,395,758	-
Provision for diminution in value of investments		-	-
Other provision	35	250,595,221	500,000,000
Total provision		685,990,979	500,000,000
Total profit before income tax		1,423,529,579	1,172,472,778
Provision for income tax	36	811,134,997	630,898,665
Net profit after tax & provision		612,394,582	541,574,113
Appropriations to:		172,478,916	158,314,823
Statutory reserve	15	122,478,916	108,314,823
General reserve	16	50,000,000	50,000,000
Retained surplus		439,915,666	383,259,290
Earnings per share (EPS)	37	2.65	2.35

Annexed notes form an integral part of these financial statements.


 Company Secretary


 Chief Executive Officer


 Director


 Chairman

Signed as per our report on same date

ACNABIN Chartered Accountants

Dated, Dhaka
30 May 2022

 Muhammad Aminul Hoque FCA
 Partner
 ICAB Enrolment Number # 1129
 DVC: 2205311129AS213918

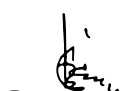
Bangladesh Infrastructure Finance Fund Limited

Statement of Cash Flows

For the year ended 31 December 2021

Particulars	Notes	Amount in Taka	
		31-Dec-21	31-Dec-20
A. Cash flow from operating activities:			
Interest received		1,570,158,881	999,632,315
Interest paid		(52,836,810)	(18,667,353)
Dividend received		206,358,126	210,054,728
Interest received from commercial paper & bond		116,000,080	180,302,899
Cash paid to employees		(67,982,148)	(58,693,789)
Cash paid to suppliers		(6,185,445)	(8,252,674)
Income taxes paid		(685,646,513)	(781,687,573)
Received from other operating activities		692,611,852	461,089,667
Paid for other operating activities		(20,068,591)	(17,854,541)
Cash generated from operating activities		1,752,409,431	965,923,679
Increase/(decrease) in operating assets and liabilities, statutory deposits			
Loans and advances to other banks		-	-
Investment		-	-
Loans and advances to other customers		1,827,118,467	1,330,595,828
Other assets		(3,945)	(1,547,642)
Borrowings from banks, financial institutions and agents		2,200,270,214	626,430,404
Deposits from other banks /institutions		-	(504,618,055)
Other liabilities		196,792,621	194,847,509
		4,224,177,358	1,645,708,043
Net cash flow from/(used in) operating activities		5,976,586,789	2,611,631,723
B. Cash flow from investing activities:			
Purchase of property, plant and equipment net of disposal proceeds		(177,154)	(351,408)
Proceed from investment in securities		577,877,242	286,833,431
Investment made during the period		-	(200,000,000)
Proceeds from disposal of fixed assets		436,000	18,500
Net cash flow from/(used in) investing activities		578,136,088	86,500,523
C. Cash flow from financing activities:			
Dividend paid		(216,629,645)	(181,196,112)
Issuance of shares		-	2,000,000,000
Net cash used in financing activities		(216,629,645)	1,818,803,888
D. Net increase/(decrease) in cash and cash equivalents (A+B+C)		6,338,093,231	4,516,936,134
E. Effects of exchange rate changes on cash and cash equivalents		-	-
F. Cash and cash equivalents at the beginning of the year		12,540,670,953	8,023,734,820
G. Cash and cash equivalents at the end of the year (D+E+F)		18,878,764,183	12,540,670,953
Cash and cash equivalents at the end of the year			
Cash in hand	3.1	94,713	89,501
Balance with Bangladesh Bank and its agent bank(s)	3.2	15,198,767	1,597,259
Balance with other banks and financial institutions	4	18,836,570,703	12,512,084,193
Money at call and short notice	5	26,900,000	26,900,000
		18,878,764,183	12,540,670,953
Net operating cash flow per share (NOCFPS)	39	25.90	11.32

Annexed notes form an integral part of these financial statements.


 Company Secretary


 Chief Executive Officer


 Director


 Chairman

 Dated, Dhaka
 30 May 2022

Bangladesh Infrastructure Finance Fund Limited

Statement of Changes in Equity

For the year ended 31 December 2021

Particulars	Paid-up capital	Statutory reserve	General Reserve	Retained earnings	Amount in Taka Total
Balance as on 1 January 2020	21,080,000,000	1,659,085,617	50,000,000	986,342,467	23,775,428,084
Net profit for the year	-	-	-	541,574,113	541,574,113
Cash dividend	-	-	-	(181,196,112)	(181,196,112)
Share issue	2,000,000,000,000	-	-	-	2,000,000,000
Stock dividend	-	-	-	-	-
Appropriations made during the year	-	108,314,823	50,000,000	(158,314,823)	-
Balance as on 31 December 2020	23,080,000,000	1,767,400,440	100,000,000	1,188,405,645	26,135,806,084
Balance as on 1 January 2021	23,080,000,000	1,767,400,439	100,000,000	1,188,405,645	26,135,806,084
Net profit for the year	-	-	-	612,394,582	612,394,582
Share issue	-	-	-	-	-
Cash dividend	-	-	-	(216,629,645)	(216,629,645)
Stock dividend	-	-	-	-	-
Appropriations made during the year	-	122,478,916	50,000,000	(172,478,916)	-
Balance as on 31 December 2021	23,080,000,000	1,889,879,356	150,000,000	1,411,691,665	26,531,571,021

Annexed notes form an integral part of these financial statements.


Company Secretary


Chief Executive Officer


Director


Chairman

Dated, Dhaka
30 May 2022

Bangladesh Infrastructure Finance Fund Limited

Liquidity Statement

Asset and Liability Maturity Analysis

As at 31 December 2021

Particulars	Not more than 1 month term	1 to 3 months	3 to 12 months	1 to 5 years	More than 5 years	Total
Assets						
Cash in hand and balance with Bangladesh Bank and its agent bank(s)	15,293,480	-	-	-	-	15,293,480
Balance with banks and other financial institutions	12,991,940,879	1,580,780,073	973,317,534	3,290,532,217	-	18,836,570,703
Money at call and short notice	26,900,000	-	-	-	-	26,900,000
Investments	-	47,989,041	558,056,880	1,650,000,000	335,105,593	2,591,151,513
Loans and advances	35,794,301	1,206,066,934	3,348,214,077	9,801,687,724	2,002,661,274	16,394,424,310
Fixed assets including land, buildings, furniture and fixtures	-	-	-	-	203,647,232	203,647,232
Other assets	17,643,703	43,048,502	38,480,575	34,745,716	5,319,296,752	5,453,215,247
Non-banking assets	-	-	-	-	-	-
Total Assets (A)	13,087,572,363	2,877,884,550	4,918,069,065	14,776,965,656	7,860,710,850	43,521,202,485
Liabilities						
Borrowing from other banks, financial institutions and agents	924,974	1,145,026	155,280,616	2,994,379,820	3,981,556,237	7,133,286,673
Deposits	-	-	-	-	-	-
Other accounts	-	-	-	-	-	-
Provision and other liabilities	1,018,181	3,769,297	28,795,097	-	9,822,762,217	9,856,344,792
Total Liabilities (B)	1,943,155	4,914,323	184,075,713	2,994,379,820	13,804,318,454	16,989,631,465
Net liquidity gap (A-B)	13,085,629,208	2,872,970,227	4,733,993,352	11,782,585,836	(5,943,607,603)	26,531,571,021

Annexed notes form an integral part of these financial statements.



Company Secretary



Chief Executive Officer



Director



Chairman

Dated, Dhaka
30 May 2022

Bangladesh Infrastructure Finance Fund Limited

Notes to the Financial Statements

For the year ended 31 December 2021

1 Reporting entity

1.01 Company profile

Bangladesh Infrastructure Finance Fund Limited hereinafter also referred to as 'BIFFL' started its journey as a Public Limited Company on 21 March 2011, registered under Company's Act 1994 (ACT XVIII of 1994). The authorized share capital of the Company is BDT100 (one hundred) billion divided into 1 (one) billion shares of BDT100 each and the subscribed share capital or paid-up capital is BDT23.08 billion. Certificate of Incorporation was issued by the Registrar of Joint Stock Companies and Firms (RJSC). The business of the Company had commenced from the same date and the Certificate of Commencement of business was also issued by RJSC. BIFFL has also received license from Bangladesh Bank on 16 October 2011 to operate as a Non-Bank Financial Institution under the Financial Institutions Act 1993.

Presently, the Company has an 8-member Board of Directors. The overall policy decisions of the Company are vested with the Board of Directors. The Board of Directors of BIFFL includes: Senior Secretary, Finance Division, MoF; Secretary, Power Division, MoPEMR; Secretary, Road Transport and Highways' Division, MoRT&B; Secretary, Bridges Division, MoRT&B; Senior Secretary, Energy & Mineral Resources Division, MoPEMR; Senior Secretary, The Prime Minister's Office; Secretary, Economic Relations Divisions, MoF; and Joint Secretary, Finance Division, MoF. The Senior Secretary, Finance Division, Ministry of Finance is the Chairman of the Board. The CEO is an ex-officio member of the Board.

1.02 Nature of business

The Government of Bangladesh (GoB) has prioritized PPP program as a key initiative for increasing the investment in infrastructure. In order to create an enabling environment for attracting private investments on a sustainable basis, the GoB has also provided keen interest and attention to promote PPP in the country and also taken a series of important measures. As part of it, GoB has established BIFFL under Ministry of Finance (MoF) as a Special Purpose Vehicle (SPV) for financing infrastructure projects in Bangladesh. BIFFL has been designed to serve as channel for mobilizing domestic and foreign private resources along with the public fund through Private-Public Partnership, popularly known in its short form as 'PPP'.

The main objective of BIFFL is to provide predominantly long-term financing for infrastructure projects through issuance of bonds and debt instruments and equity offerings. BIFFL envisages attracting private investments from local & foreign investors and to invest in companies that are implementing infrastructure projects in Bangladesh.

The main goals of the company are to supplement in achieving Vision 2021, SDG 2030 and Vision 2041 of the Government through investment in infrastructure as well as sustainable development projects; to ensure adequate infrastructure development of the country through promotion of PPP; to cater to the requirements of critically important infrastructure projects through customized and structured financial solutions; and to bring in dynamism and necessary expertise in the financial industry for financing infrastructure projects.

BIFFL promotes, encourages and finance private sector investment in all critical infrastructure sectors, but not limited to the Power and Energy, Natural Resource Development, Fertilizer, Transportation System, Port Development, Air & Railway Transportation Projects, Tourism Infrastructure, Telecommunication System, Utility & Environment Management, Green & Renewable Energy Efficient Projects, Social and Industrial Infrastructure Projects, Poverty Alleviation Projects, and Urban & Rural Development Projects.

2 Significant accounting policies and basis of preparation of financial statements

2.01 Statement of compliance and basis of preparation

The Financial Reporting Act, 2015 (FRA) has been enacted during the year 2015. Under the FRA, the Financial Reporting Council (FRC) is to be formed and it is empowered to issue financial reporting standards for public interest entities such as Financial Institutions (FIs). The Financial Institutions Act, 1993 has been amended as required to comply for the preparation of their financial statements under such financial reporting standards. The FRC has been formed but yet to issue any financial reporting standards as per the provisions of the FRA and hence International Financial Reporting Standards (IFRSs) as adopted in Bangladesh are still applicable.

Accordingly, the financial statements of the Company continue to be prepared in accordance with International Financial Reporting Standards (IFRSs) and the requirements of the Financial Institutions Act, 1993, the rules and regulations issued by Bangladesh Bank, the Companies Act, 1994, the Securities and Exchange Rules, 1987. In case of any requirement of the Financial Institutions Act, 1993, and circulars issued by Bangladesh Bank, which differ with those of IFRSs, the requirements of the Financial Institutions Act, 1993, and circulars issued by Bangladesh Bank shall prevail. The financial statements have been prepared on historical cost basis.

2.02 Disclosure of departure from few requirements of IASs/IFRSs due to mandatory compliance of Bangladesh Bank's requirements

The Bangladesh Bank is the prime regulatory body for Non-Banking Financial Institutions (NBFI) in Bangladesh. Some requirements of Bangladesh Bank's rules and regulations differ with the requirements of IASs/IFRSs. As such the Company has departed from those contradictory requirements of IASs/IFRSs in order to comply with the rules and regulations of Bangladesh Bank which are disclosed below:

2.02.01 Valuation of Investments in quoted and unquoted shares and securities**IFRS:**

As per requirements of IFRS 9, classification and measurement of investment in shares and securities will depend on how these are managed (the entity's business model) and their contractual cash flow characteristics. Based on these factors it would generally fall either under "at fair value through profit or loss account" or under "at fair value through other comprehensive income" where any change in the fair value (as measured in accordance with IFRS 13) at the year-end is taken to profit and loss account or other comprehensive income respectively.

Bangladesh Bank:

As per FID circular No. 08, dated 03 August 2002 investments in quoted shares and unquoted shares are revalued at the year end at market price and as per book value of last audited balance sheet respectively. Provision should be made as per Bangladesh Bank DFIM circular No. 02 dated January 31, 2012 for investments in marketable securities and as per Bangladesh Bank DFIM circular No. 05 dated May 11, 2015 for Mutual funds.

There is no financial impact during the year.

2.02.02 Provision on loans and advances**IFRS:**

As per IFRS 9 an entity shall recognise an impairment allowance on loans and advances based on expected credit losses. At each reporting date, an entity shall measure the impairment allowance for loans and advances at an amount equal to the lifetime expected credit losses if the credit risk on these loans and advances has increased significantly since initial recognition whether assessed on an individual or collective basis considering all reasonable information, including that which is forward-looking. For those loans and advances for which the credit risk has not increased significantly since initial recognition, at each reporting date, an entity shall measure the impairment allowance at an amount equal to 12 month expected credit losses that may result from default events on such loans and advances that are possible within 12 months after reporting date.

Bangladesh Bank:

As per FID circular No. 08, dated 03 August 2002, FID circular No. 03, dated 03 May 2006 and FID circular No. 03, dated 29 April 2013, a general provision at 0.25% to 5% under different categories of unclassified loans (good/ standard loans) has to be maintained irrespective of objective evidence of impairment on loans and advances. Also provision for sub-standard loans, doubtful loans and bad losses has to be provided at 20%, 50% and 100% respectively for loans depending on the duration of overdue.

2.02.03 Financial instruments - presentation and disclosure

In several cases Bangladesh Bank guidelines categories, recognise, measure and present financial instruments differently from those prescribed in IFRS 9. As such some disclosure and presentation requirements of IFRS 7 'Financial Instruments: Disclosures' and IAS 32 'Financial Instruments: Presentation' cannot be made in the accounts.

Presentation of financial statements is not fully aligned with all the requirements of IAS/IFRS.

2.02.04 Financial guarantees**IFRS:**

As per requirements of IFRS 9, financial guarantees are contracts that require an entity to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. Financial guarantee liabilities are recognised initially at their fair value, and the initial fair value is amortised over the life of the financial guarantee. The financial guarantee liability is subsequently carried at the higher of this amortised amount and the present value of any expected payment when a payment under the guarantee has become probable. Financial guarantees are included within other liabilities.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, financial guarantees such as L/C, L/G will be treated as off balance sheet items. No liability is recognised for the guarantee except the cash margin.

There will be no financial changes due to departure

2.02.05 Cash and cash equivalents**IFRS:**

Cash equivalents are short term, highly liquid investments that are readily convertible to known amounts of cash and only include those investments which are for a short tenure like: 3 months or less period. In the light of above, balance with Bangladesh Bank and fixed term deposits should be treated as investment asset rather than cash equivalents as it is illiquid asset and not available for use in day to day operations.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements vide DFIM circular No. 11, dated 23 December 2009 which will strictly be followed by all NBFIs. The templates of financial statements provided detail presentation for statement of cash flows.

Presentation of financial statements is not fully aligned with the requirement of IAS.

2.02.06 Non-banking assets**IFRS:**

There is no particular/specific guideline about non-banking assets in IFRSs.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, there must exist a face item named non-banking asset.

This is a presentation issue and there is no financial impact

2.02.07 Statement of cash flows**IFRS:**

Cash flow statement can be prepared either in direct method or in indirect method. The presentation is selected to present these cash flows in a manner that is most appropriate for the business or industry. The method selected is applied consistently.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, statement of cash flows is a mixture of direct and indirect method.

Presentation of statement of cash flows is not fully aligned with the requirement of IAS and there is no financial impact.

2.02.08 Balance with Bangladesh Bank**IFRS:**

Balance with Bangladesh Bank should be not be treated as cash and cash equivalents as it is not available for use in day to day operations as per IAS 7 'Statement of Cash Flows'.

Bangladesh Bank:

Balance with Bangladesh Bank is treated as cash and cash equivalents.

This is a presentation issue and there is no financial impact

2.02.09 Off balance sheet items**IFRS:**

As per IFRS, there is no mandatory requirement for disclosure of off-balance sheet items on the face of the balance sheet.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, off balance sheet items e.g. Letter of Credit, Letter of Guarantee, Acceptance must be disclosed separately on the face of balance sheet.

This is a presentation issue and there is no financial impact

2.02.10 Disclosure of appropriation of profit**IFRS:**

There is no mandatory requirement to show appropriation of profit in the face of the profit and loss account.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, an appropriation of profit should be disclosed on the face of profit and loss account.

There is no financial impact for this departure during the year.

2.02.11 Other comprehensive income**IFRS:**

As per IAS 1 'Presentation of Financial Statements', other comprehensive income is a component of financial statements or the elements of other comprehensive income are to be included in a single Comprehensive Income (CI) Statement.

Bangladesh Bank:

Bangladesh Bank has issued templates for financial statements which will strictly be followed by all financial institutions. The templates of financial statements issued by Bangladesh Bank do not include other comprehensive income; and the elements of other comprehensive income are also not allowed to be included in a single Other Comprehensive Income (OCI) Statement. As such the company does not prepare the other statement of comprehensive income. However elements of OCI, if any, are shown in the Statement of Changes in Equity.

There is no financial impact for this departure during the year.

2.02.12 Loans and advances net of provision**IFRS:**

As per IFRS 9, Loans and advances should be presented as net of provision.

Bangladesh Bank:

As per the requirements of DFIM circular no. 11 dated 23 December 2009, provision on loans and advances are presented separately as liability and cannot be netted off against loans and advances.

There is no financial impact for this departure during the year.

2.02.13 Recognition of interest in suspense**IFRS:**

Loans and advances to customers are generally classified at amortised cost as per IFRS 9 and interest income is recognised in profit and loss account by using the effective interest rate method to the gross carrying amount over the term of the loan. Once a loan subsequently become credit-impaired, the entity shall apply the effective interest rate to the amortised cost of these loans and advances.

Bangladesh Bank:

As per FID circular no. 8 dated 3 August 2002, once a loan is classified as impaired, interest on such loans are not allowed to be recognised as income, rather the corresponding amount needs to be credited to an interest in suspense account, which is presented as liability in the balance sheet.

Charging of interest on impaired assets is not fully aligned with IAS/IFRS.

2.03 Components of the financial statements

The financial statements comprise of (As per DFIM circular No. 11, Dated 23 December 2009):

- a) Balance Sheet as at 31 December 2021;
- b) Profit and Loss Account for the year ended 31 December 2021;
- c) Statement of Cash Flows for the year ended 31 December 2021;
- d) Statement of Changes in Equity for the year ended 31 December 2021;
- e) Liquidity Statement as at 31 December 2021 and
- f) Notes to the Financial Statements for the year ended 31 December 2021.

2.04 Use of estimates & judgments

The preparation of the financial statements of the company in conformity with Bangladesh Bank Circulars and IFRSs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual result may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future period affected.

Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have most significant effect for the year ended 31 December 2021 is included in the following notes:

- a) Note 9.2 Deferred tax assets;
- b) Note 13.1 Provision for Income tax;
- c) Note 13.3 Deferred tax liabilities;
- d) Note 13.4 Employee benefit liabilities (provision for gratuity);
- e) Note 13.5 Provision for lease, loans, advances, investment, and others;
- f) Note 18.1 Letter of guarantee (contingent liabilities);
- g) Note 32 Depreciation and repairs of company's assets.

2.05 Going Concern

The Company has adequate resources to continue its operation for the foreseeable future. For this reason, the directors continue to adopt a going concern basis in preparing the financial statements. The Company's current credit facilities and resources provide sufficient funds to meet the current requirements of its existing businesses and operations.

The outbreak of Covid-19 across the world has resulted in disruptions in business activities everywhere. Covid-19 poses existential threats to a business's ability to survive, which in turn have significant financial reporting impacts from going concerned and liquidity to recoverability and valuation of assets.

However, the Covid-19 virus can evolve in various directions. If society, and as a consequence business, is exposed to Covid-19 for a longer period, this may result in prolonged negative results and pressure on our liquidity and profitability. However, the Company has taken and will take various measures to keep the Company's going concern status.

Response to address the Covid-19 effects:

- a) This includes ensuring adequate safety and health measures for the employees like social distancing and working from home to ensure the safety of the employees;
- b) Prudent balance sheet and cash management to ensure enough liquidity to manage all obligations;
- c) Introducing and implementing contingency plans for liquidity and putting into controls for regular monitoring;
- d) Effective cost control measures are already in place to combat the unprecedented situation;

Furthermore, the management continuously monitors the Company's key ratios and is confident enough to undertake all crisis management and business continuity measures. The Company's management has performed an extensive analysis on the possible impact and has responded through adequate measures mitigating possible impacts. By conducting a stringent review and assessing the levels of facilities expected to be available to the Company, the management strongly believes that the BIFFL has adequate resources for at least 12 months from the date of authorized for issue of the financial statements.

So, based on the facts and circumstances known at this moment, the management believes there is no material uncertainty that may cast any doubt upon the Company's ability to continue as a going concern.

2.06 Materiality and aggregation

Each material item considered by management as significant has been presented separately in the financial statements. No amount has been set off unless the Company has a legal right to set off the amounts and intends to settle on net basis. Income and expenses are presented on a net basis only when permitted by the relevant accounting standards.

2.07 Consistency

In accordance with the IFRS framework for the presentation of Financial Statements together with IAS 1 'Presentation of Financial Statements' and IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors', BIFFL applies the accounting disclosures and principles consistently from one period to the next. Where selecting and applying new accounting policies, changes in accounting policies applied, correction of errors, the amounts involved are accounted for and disclosed in accordance with the requirement of IAS 8.

2.08 Reporting period

The financial period of the Company was determined from 1 January to 31 December and followed consistently. These financial statements cover one year starting from 1 January 2021 to 31 December 2021.

2.09 Functional and presentation currency

The figures of the Financial Statements are presented in Bangladesh Taka (BDT/Taka/Tk.) which is Company's functional currency. All financial Information presented in Taka has been rounded off to the nearest integer except otherwise indicated.

2.10 Assets and basis of their valuation**2.10.01 Cash and cash equivalents**

Cash and cash equivalents comprises cash in hand, balance with Bangladesh Bank, cash at bank, term deposits, money at call and short notice that are readily convertible to a known amount of cash and that are subject to an insignificant risk of change in value. Cash and cash equivalents are shown as per DFIM circular no. 11 dated 23 December 2009.

2.10.02 Investment in securities

Investment in non-marketable shares have been shown at cost. The Company has no investment in marketable securities.

Provision for investment

BIFFL maintains provision on the outstanding balance of investment following the classification as reported in FICL submitted to Bangladesh Bank on quarterly basis.

2.10.03 Loans, advances and provisions

Loans and advances are stated at gross amount. General provisions on unclassified loans, specific provisions for classified loans and interest suspense account thereon are shown under other liabilities. Provision is made on the basis of quarter end against classified loans and advances reviewed by the management and instructions given in FID circular no. 08 dated 3 August 2002 and FID circular no. 03 dated 03 May 2006.

Interest on loans and advances

Interest is calculated on a daily product basis and is recognized as revenue on accrual basis. However, interest income under category of classified and Special Mention Account (SMA) account is not recognised as income but credited to interest suspense account as per Bangladesh Bank circulars and directives. In addition to above interest due on standard loans are also transferred to suspense accounts on judgmental basis. No interest is charged on bad and loss loans as per guidelines of Bangladesh Bank.

Provision for loans and advances

Provision for loans, advances and investments is an estimate of the losses that may be sustained in the investment portfolio. The methodology for measuring the appropriate level of the provision relies on several key elements, which include both quantitative and qualitative factors as set forth in the Bangladesh Bank guidelines. Provision for loans and advances are made on quarter basis as per the instructions given in FID circular no. 08 dated 03 August 2002, FID circular no. 03 dated 03 May 2006, FID circular no. 03 dated 29 April 2013, DFIM circular no. 04 dated 26 July 2021 and DFIM Circular no. 33 dated 19 December 2021 of Bangladesh Bank.

Rate of provision

General Provision on unclassified loans and advances and specific provision on classified loans & advances are made as per below rate:

Particulars	Rate
Standard-other than SME	1%
Standard-SME	0.25%
Special mention account (SMA)	5%
Sub-standard (SS)	20%
Doubtful (DF)	50%
Bad/loss (BL)	100%

Presentation of loans and advances

Loans and advances are shown at gross amount as assets while interest suspense and loan loss provision against classified advances are shown as liabilities in the Balance Sheet.

Write off loans and advances

Loans and advances/investments are written off as per guidelines of Bangladesh Bank. Those written off however will not undermine/affect the claim amount against the borrower. Detailed memorandum records for all such written off accounts are meticulously maintained and followed up.

2.10.04 Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation. The cost of an asset comprises its purchase price and any directly attributable costs associated with bringing the assets to its working condition for its intended use as per IAS 16 'Property, Plant and Equipment'.

Subsequent expenditure on property, plant and equipment

Subsequent expenditure is capitalized only when it increases the future economic benefits from the assets. All other expenditures are recognized as an expense as and when they are incurred.

Depreciation on property, plant & equipment

Depreciation on fixed assets is charged consistently on straight-line method at following rates throughout the estimated useful life of the assets. Depreciation method, useful lives and residual values are reviewed at each reporting date. The depreciation on newly acquired assets is charged from the date of acquisition.

Category of Fixed assets	Rate of Depreciation
Land & land development	0%
Computer & IT equipment	33%
Office equipment	20%
Furniture & fixtures	10%
Motor vehicles	20%
Building*	2.5%
Electronics	12.5%
Civil construction	50%
Websites & software	50%

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sale proceeds and the carrying amount of the concerned asset and is recognised accordingly in the Profit or Loss Account.

*Up to 2020, the Company has considered depreciation @10% per year in the case of Building. As expectations differ from previous estimates regarding the useful life of the Building (Floor Space), the Company has taken an opinion from an external expert regarding changing the estimate relating to depreciation. The external expert suggested considering the useful life of the Building between 40 to 50 years. Accordingly, the Board of Directors approved the useful life of the Building as 45 years (from 2016). The Company is considering the depreciation of @2.5% for the remaining 40 years on the WDV of 31 December 2020, amounting to BDT 164,154,821 (BDT 291,527,555 – BDT 127,372,734). Due to this change in estimation of useful life depreciation charge in 2021 for building was decreased by BDT 21,864,567 compared to previous year (2020).

Impairment

The carrying amount of the entity's non financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. However, no such conditions that might be suggestive of a heightened risk of impairment existed at the reporting date.

2.10.05 Intangible assets

An intangible asset is recognised if it is probable that future economic benefits that are attributable to the asset will flow to the Company over a period of time and the cost of the asset can be measured reliably as per IAS 38 'Intangible Assets'. Intangible assets acquired separately are recorded on initial recognition at costs and are carried at cost less accumulated amortisation and accumulated impairment losses, if any.

Subsequent expenditure on intangible assets

Subsequent expenditure on intangible asset is capitalised only when it increases the future economic benefit from the assets. All other expenditures are recognised as expense as and when they are incurred.

Amortisation of intangible assets

Intangible assets are amortized on straight line basis to the profit and loss account from the date when the asset is available for use over its estimated useful life as follows:

Items of intangible Assets	Estimate useful life
Computer software	2 years

2.10.06 Other assets

Other assets include all other financial assets and fees and unrealised income receivable, advance for operating and capital expenditure and stocks of stationery and stamps. Details are shown in Note-9. Receivables are recognised when there is a contractual right to receive cash or another financial assets from another entity.

2.10.07 Non-banking assets

Non-banking assets are acquired on account of the failure of a borrower to repay the loan in time after receiving the decree from the court regarding the right and title of the mortgage property. There are no assets acquired in exchange for loan during the period of financial statements.

2.11 Basis for valuation of liabilities and provisions**2.11.01 Provision for tax****a. Current tax**

Provision for current tax has been made on the basis of the profit of the year as adjusted for taxation purpose in accordance with the provisions of Income Tax Ordinance, 1984 and amendments made thereto from time to time. The Company's current tax liability is calculated using applicable tax rate on the reporting date, and any adjustments to tax payable in respect of previous years.

b. Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for:

- Temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- Temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and
- Taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Unrecognised deferred tax assets are reassessed at each reporting date and recognised to the extent that it has become probable that future taxable profits will be available against which they can be used.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date. The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities. For this purpose, the carrying amount of investment property measured at fair value is presumed to be recovered through sale, and the Company has not rebutted this presumption.

2.11.02 Employees' benefit obligation**Defined contribution plan**

The Company operates a contributory provident fund scheme for its permanent employees. Provident Fund is administered by a Board of Trustees and is funded by contributions equally from the permanent employees and from the Company @ 10% of basic salary of the employees. The contributions are invested to ensure optimum return to the employees.

Defined benefit plan

The Company operates a funded gratuity scheme for its permanent employees.

Short term benefit

Short-term employee benefit (salary, bonus etc.) obligations are measured on an undiscounted basis and are expensed as the related service is provided.

Other employee benefit obligation

The Company operates a group life insurance and hospitalisation insurance schemes for its permanent employees.

Workers profit participation and welfare fund (WPPF)

Establishment of Workers' Profit Participation and Welfare Fund (WPPF) is a matter of Banking and Financial Institutions Sector as a whole. Ministry of Finance through its letters no. 53.00.0000.311.22.002.17-130 dated February 14, 2017 and no. 53.00.0000.311.22.002.17-140 dated February 25, 2018 expressed its opinion that Chapter 15 on "Participation in Company Profits by Workers" in the Bangladesh Labor Act 2006 and amendments made therein on July 22, 2013 should not be applicable for Banks and Financial Institutions and requested to the Ministry of Labor and Employment to take necessary steps in this regard as well as not to apply the said chapter of Labor Act 2006 for Banks and Financial Institutions. Therefore, like other Banks and Financial Institutions, BIFFL did not recognize the WPPF.

2.11.03 Accrued expenses, provisions and payables

Liabilities are recognised for goods and services received, whether paid or not, for those goods and services. Payables are not interest bearing and are stated at their actual value.

Provisions and accrued expenses are recognised in the financial statements when the Company has a legal or constructive obligation as a result of past event and it is probable that an outflow of economic benefit will be probable to settle the obligation and a reliable estimate can be made of the amount of the obligation.

2.12 Capital and shareholders' equity**2.12.01 Capital management**

The Company has a capital management process for measuring, deploying and monitoring its available capital and assessing its adequacy. This capital management process aims to achieve four major objectives; exceed regulatory thresholds and meet long-term internal capital targets, maintain strong credit rating, manage capital levels commensurate with the risk profile of the Company and provide the Company's shareholders with acceptable returns.

Capital is managed in accordance with the board approved capital management planning from time to time. Senior management develops the capital strategy and oversees the capital management planning of the Company. The company's finance and risk management department are key to implementing the Company's capital strategy and managing capital. Capital is managed using both regulatory control measures and internal matrices.

2.12.02 Paid up capital

Paid up share capital represents total amount of shareholder capital that has been paid in full by the Government of Bangladesh i.e. ordinary shareholder. In the event of winding-up of the company ordinary shareholder(s) rank after all other shareholders and creditors are fully entitled to any residual proceeds of liquidation.

2.12.03 Statutory reserve

As per Financial Institution Regulations, 1994, Non-Bank Financial Institutions (NBFIs) are required to transfer 20% of its post tax profit to statutory reserve before declaration of dividend. This requirement has been properly complied with.

2.12.04 Dividends payment

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders.

2.13 Earnings per share

The Company presents basic and diluted EPS data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss that is attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss that is attributable to ordinary shareholders and the weighted-average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, if any.

2.14 Contingent assets & liabilities

Any possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or Any present obligation that arises from past events but is not recognised because:

- a) it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
- b) the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised but disclosed in the financial statements unless the possibility of an outflow of resources embodying economic benefits can reliably be estimated.

Contingent assets are not recognised in the financial statements as this may result in the recognition of income which may never be realised.

2.15 Director's responsibility statement

The Board of Directors is responsible for the presentation of the financial statements under section 183 of the Companies Act, 1994 and as per the provision of 'The Framework for the Preparation and Presentation of Financial Statements'.

2.16 Related party disclosure

As per IAS 24 Related Party Disclosures, parties are considered to be related if one of the parties has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions. The Company carried out transactions in the ordinary course of business on an arm's length basis at commercial rates with related parties.

2.17 Litigation

The Company is not a party to any material law suits except those arising in the normal course of business. The Company has filed necessary law suits against some of the default clients for non-performance in repayment of investment. The Company, however, has made adequate provision against such doubtful finances.

2.18 Borrowings from other banks, financial institutions and agents

Borrowings include short term and long term borrowings from banks and non-bank financial institutions. These are stated at amounts outstanding on the reporting date. Interest expense on these borrowings is charged to the profit and loss account on accrual basis.

2.19 Liquidity statement

The liquidity statement has been prepared in accordance with remaining maturity grouping of assets and liabilities as of the close of the reporting period as per following bases:

- Balance with other Company's and financial institutions are on the basis of their maturity term;
- Investments are on the basis of their residual maturity term;
- Loans and advances are on the basis of their repayment /maturity schedule;
- Property, plant and equipment are on the basis of their useful lives;
- Other assets are on the basis of their adjustments terms;
- Borrowings from other Companies and financial institutions are on the basis of their maturity/repayment schedule;
- Deposits and other accounts are on the basis of their maturity terms and past behavioral trends;
- Other liabilities are on the basis of their settlement terms.

2.20 Events after the reporting period

Events after the reporting period that provide additional information about the Company's position at the statement of financial position date are reflected in the financial statements in Note no. 47 as per IAS 10 'Events after the reporting period'.

2.21 Comparatives and reclassification

Comparative information have been disclosed in respect of 2020 for all numerical information in the financial statements and also the narrative and descriptive information when it is relevant for understanding of the current period's financial statements. To facilitate comparison, certain relevant balances pertaining to the comparatives have been rearranged /restated /reclassified whenever considered necessary to conform to current period's presentation.

2.22 Compliance Report on International Accounting Standards (IASs) and International Financial Reporting Standards (IFRSs)

Sl. No.	IFRS/ IAS No.	Name of the IFRS/IAS	Status
1	IFRS-1	First Time adoption of IFRS	Not Applicable
2	IFRS-2	Share based payment	Not Applicable
3	IFRS-3	Business combinations	Not Applicable
4	IFRS-4	Insurance contracts	Not Applicable
5	IFRS-5	Non-current assets held for sales and discontinued operations	Not Applied**
6	IFRS-6	Exploration for and evaluation of mineral resources	Not Applicable
7	IFRS-7	Financial instruments disclosures	Applied*
8	IFRS-8	Operating segments	Not Applicable
9	IFRS-9	Financial instruments	Applied*
10	IFRS-10	Consolidated financial statements	Not Applicable
11	IFRS-11	Joint arrangements	Not Applicable
12	IFRS-12	Disclosure of interest in other entities	Not Applicable
13	IFRS-13	Fair value measurement	Applied

Sl. No.	IFRS/ IAS No.	Name of the IFRS/IAS	Status
14	IFRS-14	Regulatory Deferral Accounts	Not Applicable
15	IFRS-15	Revenue from contracts with customers	Applied*
16	IFSR-16	Leases	Not Applicable
17	IFSR-17	Insurance Contracts	Not applicable
18	IAS-1	Presentation of financial statements	Applied*
19	IAS-2	Inventories	Not Applicable
20	IAS-7	Cash flow statements	Applied*
21	IAS-8	Accounting policies, changes in accounting estimates and errors	Not Applied**
22	IAS-10	Events after the reporting period	Applied
23	IAS-12	Income taxes	Applied
24	IAS-16	Property, plant and equipment	Applied
25	IAS-19	Employee benefits	Applied
26	IAS-20	Accounting for government grants and disclosure of government assistance	Not Applicable**
27	IAS-21	The effects of changes in foreign exchange rates	Not Applicable**
28	IAS-23	Borrowing costs	Not Applicable**
29	IAS-24	Related party disclosures	Applied
30	IAS-26	Accounting and reporting by retirement benefit plans	Not Applicable
31	IAS-27	Consolidated and separate financial statements	Not Applicable
32	IAS-28	Investments in associates	Not Applicable
33	IAS-31	Interest in joint ventures	Not Applicable
34	IAS-32	Financial instruments: presentation	Applied*
35	IAS-33	Earnings per share	Applied
36	IAS-34	Interim financial reporting	Applied
37	IAS-36	Impairment of assets	Applied*
38	IAS-37	Provision, contingent liabilities and contingent assets	Applied*
39	IAS-38	Intangible assets	Applied
40	IAS-40	Investment property	Not Applicable
41	IAS-41	Agriculture	Not Applicable

* As the regulatory requirements differ with the standards, relevant disclosures have been made in accordance with Bangladesh Bank's requirements.

** Applicable but not applied in the reporting period as no relevant transactions were available.

2.23 Capital adequacy and market discipline

To cope with the international best practices and to make up the capital more risk sensitive as well as more shock resilient, a road map was issued in August 2010 on implementation of Basel Accord in the FIs. Being well pursuant with the road map, prudential guidelines namely 'Capital Adequacy and Market Discipline for Financial Institutions' had been introduced by Bangladesh Bank from December 2011. The guidelines came into force from 1 January 2012 with necessary supplements/revisions. Instructions in respect of Minimum Capital Requirement, Adequate Capital and Disclosures requirement as stated in the guidelines have been followed for the purpose of statutory compliance.

As per prudential guideline, BIFFL calculated Minimum Capital Requirement (MCR) by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I.

Pillar- 1: Minimum capital requirement

Credit Risk

The calculation of capital requirement against credit risk is more elaborate and risk sensitive. The accord gives a choice of some sophisticated approaches to address risks, and adoption of a particular approach depends on the risk measurement capabilities and robustness of the systems in place in a financial institution. A standardized approach has been the preliminary choice of FIs for the credit risk calculation.

Market risk

Market risk is defined as the risk of losses in on and off-balance-sheet positions arising from movements in market prices. The risks subject to this requirement are:

- the risks pertaining to interest rate related instruments and equities in the trading book;
- foreign exchange risk and commodities risk throughout the FI.

The capital charges for interest rate related instruments and equities applied to the current trading book items prudently valued by BIFFL. The capital charges for foreign exchange risk and for commodities risk applied to BIFFL's total currency and commodity positions, subject to some discretion to exclude structural foreign exchange positions.

Operational risk

The accord introduces for the first time a capital charge for operational risk. The framework presents three methods for calculating operational risk capital charges in a continuum of increasing complexity and risk sensitivity. These methods are the Basic Indicator Approach (a fixed percentage of gross income amount), Standardized Approach (sum of a certain percentage of FI's income in each business line) and Internal Measurement Approach (statistical measure of FI's operational loss based on its historical loss data). But initially, Basic Indicator Approach has been applied for calculating the capital charge against operational risk.

2.24 Stress testing

Stress Testing is an important risk management tool that is used by the financial institutions as part of internal risk management and through the Basel II capital adequacy framework, is promoted by Bangladesh Bank. Stress Testing alerts Financial Institutions management to adverse unexpected outcomes related to a variety of risks and provides an indication of how much capital might be needed to absorb losses should large shock occur. Stress Testing supplements other risk management approaches and measures playing particularly important role in:

- Providing forward-looking assessment of risk;
- Overcoming limitations of models and historical data;
- Supporting external and internal communication;
- Feeding into capital and liquidity planning procedures;
- Informing the setting of an FI's risk tolerance; and
- Facilitating the development of risk mitigation or contingency plans across a range of stressed conditions.

Stress Testing guidelines have been issued by Bangladesh Bank to provide a structured way of assessing the vulnerability of financial institutions to extreme but plausible market conditions. The guidelines enable institutions to accurately assess risk and define the "risk appetite" of the organization and also provide critical information to senior management for decision around capital allocation and contingency planning.

BIFFL exercise stress testing on its portfolio on quarterly basis and submit its stress testing report as per format prescribed by Bangladesh Bank on regular basis.

2.25 IT systems and control

Information Technology forms an integral part of the NBFIs Corporate Governance. It deals primarily with optimizing the linkage between Strategic Direction and Information Systems Management of the Company. In this regard, implementation of the organizational structure with well-defined roles for the responsibility of information, business processes, applications, infrastructure, etc. generates value for our stakeholders while mitigating the risks associated with incorrect deployment and use of Information Technology. IT and MIS department constantly working towards the development and implementation of new technologies to enable the organization to meet future market demand.

2.26 Prevention of money laundering

In recognition of the fact that financial institutions are particularly vulnerable to money laundering, BIFFL has established an Anti Money Laundering Policy. The purpose of this policy is to provide a guideline to comply with all laws and regulations regarding money laundering, both at country and international levels, to safeguard the Company from potential compliance, financial and reputational risks. Further, Know Your Customer (KYC) procedures have been set up for the borrowers. Training is also given as a continuous process for creating/developing awareness among the relevant officers. As per the regulatory obligation, the Chief Executive Officer (CEO) of the Company clearly and effectively declares BIFFL's stance to prohibit anti money laundering and financing for terrorism each year. The declaration of CEO also includes necessary operational guidelines to implement the same.

2.27 Legal & regulatory compliance

The Company's procedures are in place to ensure compliance with mandatory Bangladesh Bank's instructions and the statutory requirements are under close scrutiny. The Company monitors due compliance with all relevant laws & regulations. The system of internal controls, including financial, operational and compliance controls and risk management systems, are maintained by the Company's management and that was in place throughout the financial year and up to and as of the date of this report, is adequate to meet the needs of current business environment and to comply with the legal & regulatory requirements.

3 Cash

Cash in hand (Note- 3.1)
Balance with Bangladesh Bank and its agent bank(s) (Note- 3.2)

Amount in Taka	
31-Dec-21	31-Dec-20
94,713	89,501
15,198,767	1,597,259
15,293,480	1,686,760
94,713	89,501
-	-
94,713	89,501
15,198,767	1,597,259
-	-
15,198,767	1,597,259

3.1 Cash in hand

In local currency
In foreign currency

3.2 Balance with Bangladesh Bank and its agent bank(s)

Balance with Bangladesh Bank
In foreign currency

3.3 Balance with Bangladesh Bank

Balance with Bangladesh Bank is non-interest bearing and maintained to meet the Cash Reserve Requirement (CRR). CRR (note- 3.4) and Statutory Liquidity Reserve (note- 3.5) which have been calculated and maintained in accordance with Financial Regulations 1994 and FID circular no. 06 dated 6 November 2003 and FID circular no. 02 dated 10 November 2004.

3.4 Cash Reserve Requirement (CRR)

CRR is calculated at the rate of 1.5% on total term deposits which is preserved in current account maintained with Bangladesh Bank in compliance with FID circular no. 6 dated 6 November 2003, FID circular no. 02 dated 10 November 2004 and DFIM circular no. 03 dated 21 June 2020. Total term deposits mean term or fixed deposits, security deposit against lease/loan and other term deposits received from individuals and institutions (except banks and financial institutions).

Required reserve	-	-
Actual reserve held (Balance with BB)	15,198,767	1,597,259
Surplus/(Deficit)	15,198,767	1,597,259

3.5 Statutory Liquidity Reserve (SLR)

SLR has been calculated at the rate of 2.5% of total liabilities less borrowing from other banks & FIs and Bangladesh Bank. SLR is maintained in liquid assets in the form of cash in hand, balance with Bangladesh Bank, balance with other banks & financial institutions, investment at call, unencumbered treasury bills, prize bond, savings certificates & any other assets approved by Bangladesh Bank.

Required reserve	408,889,783	306,395,858
Actual reserve held	18,851,864,183	12,513,770,953
Surplus/(Deficit)	18,442,974,400	12,207,375,095

4 Balance with other banks and financial institutions

Inside Bangladesh

Current accounts (Note- 4.1)

Short noticed deposit accounts (Note- 4.2)

Fixed deposit accounts (Note- 4.3)

Outside Bangladesh

The company does not maintain any account outside Bangladesh.

4.1 Current account

Dutch Bangla Bank Ltd.
Uttara Bank Ltd.

4,901	2,281
12,606,935,978	6,147,232,696
6,229,629,824	6,364,849,216
18,836,570,703	12,512,084,193
-	-
18,836,570,703	12,512,084,193
3,735	425
1,166	1,856
4,901	2,281

		Amount in Taka	
		31-Dec-21	31-Dec-20
4.2	Short noticed deposit account		
	United Commercial Bank Ltd.	2,104	769
	Sonali Bank Ltd.	920,926	1,081,076,702
	Agrani Bank Ltd.	12,606,012,948	5,066,155,225
		12,606,935,978	6,147,232,696
4.3	Fixed deposit accounts		
	BD Finance and Investment Ltd.	-	48,400,000
	Bangladesh Industrial Finance Company (BIFC) Ltd.	680,574,517	637,644,021
	Fareast Finance and Investment Ltd.	386,170,121	368,055,311
	Padma Bank Ltd.	1,020,000,000	1,090,395,157
	FAS Finance and Investment Ltd.	698,864,573	659,149,870
	First Finance Ltd.	217,000,000	217,842,133
	ICB Islamic Bank Ltd.	302,780,072	402,753,072
	International Leasing and Financial Services Ltd.	917,832,456	864,973,478
	Meridian Finance and Investment Ltd.	325,000,000	350,000,000
	Peoples Leasing and Financial Services Ltd.	607,090,552	607,090,552
	Premier Leasing and Finance Ltd.	318,663,149	305,891,995
	Prime Finance and Investment Ltd.	248,000,000	253,375,000
	Aviva Finance Ltd. (Reliance Finance Ltd.)	70,000,000	145,000,000
	Union Capital Ltd.	437,654,385	414,278,627
		6,229,629,824	6,364,849,216
BIFFL maintained FDR accounts with different Banks and NBFIs licensed by Bangladesh Bank. However, due to the current market liquidity position and covid pandemic situation, some NBFIs have been facing difficulties to pay back the due amount on maturity. Nonetheless, BIFFL is pursuing the recovery drive continuously and has recovered significant amount from different Banks and NBFIs, and strong persuasion to recover the total fund is still continued. As BIFFL is wholly owned by the GoB, there is minimum chance of not being able to recover against this investments. The Board of Directors of BIFFL is also monitoring this issue from their position to recover the whole FDR amount. Besides that to build resilience against the economy and market shock, BIFFL has decided to build some provision against these FDRs. In addition, Bangladesh Bank vide letter no. FIID(I-6/02)/2022-195 dated 24 February 2022 has given their consent to finalize the financial statements of BIFFL with the present provision status against FDR accounts and advised to build up the provision gradually.			
4.4	Maturity grouping of balance with banks and other financial institutions		
	On demand	4,901	2,281
	Up to 1 month	12,991,935,978	6,849,142,317
	Over 1 month but not more than 3 months	1,580,780,073	2,588,189,679
	Over 3 months but not more than 1 year	973,317,534	-
	Over 1 year but not more than 5 years	3,290,532,217	3,074,749,917
	Over 5 years	-	-
		18,836,570,703	12,512,084,193
5	Money at call and short notice		
	FAS Finance & Investment Ltd.	26,900,000	26,900,000
		26,900,000	26,900,000
6	Investments		
	Investment classified as per nature:		
	Government bond (Note- 6.1)	-	-
	Other investments (Note- 6.2)	2,591,151,513	3,169,028,755
		2,591,151,513	3,169,028,755

		Amount in Taka	
		31-Dec-21	31-Dec-20
6.1	Government bond		
	Treasury bills	-	-
	National investment bonds	-	-
	Bangladesh Bank bills	-	-
	Government notes/bonds	-	-
	Others	-	-
	BIFFL has no investment in government bond.		
6.2	Other investments		
	Investment in preference share (Note- 6.2.1)	1,341,151,513	1,850,121,210
	Investment in commercial paper (Note- 6.2.2)	250,000,000	250,000,000
	Investment in bond (Note- 6.2.3)	1,000,000,000	1,068,907,546
		2,591,151,513	3,169,028,755
6.2.1	Investment in preference Share		
	Rajlanka Power Company Ltd.	48,484,847	145,454,543
	Doreen Power House & Technologies Ltd.	320,000,000	400,000,000
	Ace Alliance Power Ltd.	233,333,333	291,666,667
	Kushiara Power Company Ltd.	456,000,000	513,000,000
	Bhairab Power Ltd.	200,000,000	200,000,000
	Zodiac Power Chittagong Ltd.	-	200,000,000
	Summit Gazipur II Power Ltd.	83,333,333	100,000,000
		1,341,151,513	1,850,121,210
6.2.2	Investment in commercial paper		
	Computer Source Ltd.	250,000,000	250,000,000
		250,000,000	250,000,000
6.2.3	Investment in bond		
	IDLC zero coupon bond	-	68,907,546
	Ashuganj Power Station Company Ltd.	1,000,000,000	1,000,000,000
		1,000,000,000	1,068,907,546
6.2.4	Residual maturity grouping of investments		
	Up to 1 month	-	20,000,000
	Over 1 month but not more than 3 months	47,989,041	79,371,761
	Over 3 months but not more than 1 year	558,056,880	368,505,480
	Over 1 year but not more than 5 years	1,650,000,000	2,406,484,847
	Over 5 years	335,105,593	294,666,667
		2,591,151,513	3,169,028,755
7	Leases, loans and advances		
	a) Inside Bangladesh		
	Leases (Note- 7.1)	-	-
	Loans	16,394,424,310	18,363,380,418
	Cash credits	-	-
	Overdrafts	-	-
	Sub-total	16,394,424,310	18,363,380,418
	b) Outside Bangladesh	-	-
	Total	16,394,424,310	18,363,380,418

		Amount in Taka	
		31-Dec-21	31-Dec-20
7.1	Leases	-	-
7.2	Sector wise leases, loans and advances		
	Public sector	3,024,161,916	3,967,651,794
	Co-operative sector	-	-
	Private sector	13,370,262,394	14,395,728,624
		16,394,424,310	18,363,380,418
7.3	Residual maturity grouping of leases, loans and advances		
	On demand	-	-
	Up to 1 month	35,794,301	224,958,511
	Over 1 month but not more than 3 months	1,206,066,934	1,290,988,000
	Over 3 months but not more than 1 year	3,348,214,077	2,523,601,718
	Over 1 year but not more than 5 years	9,801,687,724	8,921,766,637
	Over 5 years	2,002,661,274	5,402,065,552
		16,394,424,310	18,363,380,418
7.4	Leases, loans and advances on the basis of significant concentration		
	a. Leases, loans and advances to Directors and organizations related to Directors (fully secured)	-	-
	b. Leases, loans and advances to Chief Executive Officer and other senior executives	15,855,757	17,562,772
	c. Leases, loans and advances to customer groups	-	-
	Large infrastructure projects	10,100,306,179	12,015,181,175
	Sustainable and eco-friendly projects	6,254,742,954	6,297,549,198
	SME- Women entrepreneurs	23,519,419	33,087,274
		16,394,424,310	18,363,380,418
	d. Leases, loans and advances on sector basis:		
	i) Textiles	991,151,874	14,878,345
	ii) Garments and accessories	1,658,973,560	3,042,960,097
	iii) Transport (including marine transport)	2,291,673,419	2,573,528,755
	iv) Chemicals and pharmaceuticals	-	-
	v) Iron, steel and engineering	1,394,938,046	1,561,468,924
	vi) Agricultural equipment and agro industries	2,618,016	-
	vii) Power and energy	2,515,789,558	3,132,893,944
	viii) Electronics and electrical	207,100,196	255,814,404
	ix) Information technology (IT)	301,898,691	192,731
	x) Paper printing and packaging	-	-
	xi) Plastic	250,593,226	125,472,391
	xii) Real estate and housing	-	-
	xiii) Food and beverage	329,869	4,128,167
	xiv) Glass and ceramics	2,399,455,307	2,168,226,739
	xv) Services	1,194,151,262	1,206,784,552
	xvi) Others	3,185,751,286	4,277,031,369
		16,394,424,310	18,363,380,418

7.5 Leases, loans and advances on geographical basis**Inside Bangladesh****Urban**

Dhaka Division

Chattogram Division

Khulna Division

Rajshahi Division

Barisal Division

Sylhet Division

Rangpur Division

Mymensingh Division

Sub-total

Rural

Dhaka Division

Chattogram Division

Khulna Division

Rajshahi Division

Barisal Division

Sylhet Division

Rangpur Division

Mymensingh Division

Sub-total

Outside Bangladesh**Total****7.6 Classification of leases, loans and advances**

Unclassified

Standard (STD)

Special mention account (SMA)

Sub-total

Classified

Sub-standard (SS)

Doubtful (DF)

Bad/Loss (BL)

Sub-total

Total**7.7 Particulars of loans, advances and leases**

i) Loan considered good in respect of which the FI is fully secured

ii) Loan considered good for which the FI holds no other security than the debtor's personal security

iii) Loan considered good and secured by the personal security of one or more parties in addition to the personal security of the debtors

iv) Loan adversely classified; for which no provision is created

Total

v) Loan due by directors or officers of the FI or any of them either jointly or separately with any other persons

vi) Loan due by companies and firms in which the directors of the FI have interests as directors, partners or managing agent or in case of private companies as members

Amount in Taka	
31-Dec-21	31-Dec-20
3,091,565,065	2,977,297,664
300,343,854	273,673,229
-	-
-	-
-	-
-	-
-	-
-	-
3,391,908,919	3,250,970,893
5,024,617,122	4,549,563,143
5,842,735,123	7,974,033,225
2,451,921	3,485,836
143,873,561	170,347,466
111,325,962	52,954,396
1,593,238,672	2,202,093,165
36,184,127	38,886,469
248,088,903	121,045,825
13,002,515,392	15,112,409,525
-	-
16,394,424,310	18,363,380,418
12,601,360,325	17,815,082,370
1,334,328,708	262,556,538
13,935,689,034	18,077,638,908
1,696,942,954	285,741,510
595,323,463	-
166,468,860	-
2,458,735,277	285,741,510
16,394,424,310	18,363,380,418
13,073,981,754	7,672,751,695
526,479,434	3,404,303,899
2,793,963,122	7,286,324,824
-	-
16,394,424,310	18,363,380,418
15,855,759	15,328,299
-	-

		Amount in Taka	
		31-Dec-21	31-Dec-20
vii) Maximum total amount of advances, including temporary advances made at any time during the period to directors and managers or officers of the FI or any of them either severally or jointly with any other persons		-	-
viii) Maximum total amount of advances, including temporary advances granted during the period to the companies or firms in which the directors of the FI have interests as directors, partners or managing agents or, in case of private companies as members		-	-
ix) Due from other bank/FI companies		-	-
x) Information in respect of classified loans and advances:			
a) Classified loans for which interest/ profit not credited to income		2,458,735,277	285,741,510
b) Amount of provision kept against loans classified as bad/loss as at the balance sheet date			-
c) Amount of interest credited to the interest suspense account		748,301,939	690,340,593
xi) Cumulative amount of written off loans:			
Opening balance		-	-
Amount written off during the period		-	-
Amount received from written off during the period		-	-
Balance of written off loans and advances yet to be recovered		-	-
The amount of written off loans for which law suits have been filed.		-	-
		-	-
7.8 Bills purchased and discounted			
Payable inside Bangladesh		-	-
Payable outside Bangladesh		-	-
		-	-
BIFFL has no bills purchased and discounted.			
7.9 Disclosures on collection of audited financial statements as per FRC circular			
With reference to DFIM Circular no:-08 dated 17 August 2021 and FRC letter Ref. no-178/FRC/APR/2021/28(4) dated 22 December 2021, Bangladesh Infrastructure Finance Fund Limited obtained audited financial statements for 100% of loans and advances disbursed/sanctioned to public interest entity on or after 17 August 2021 to 31 December 2021.			
8 Fixed Assets			
Fixed assets including premises, furniture and fixtures (Note- 8.1)		194,847,232	214,292,676
Capital work in progress (Note- 8.2)		8,800,000	8,800,000
		203,647,232	223,092,676
8.1 Fixed assets including premises, furniture and fixtures			
Cost			
Opening balance		402,710,584	402,377,600
Addition during the period (Annexure-A)		177,154	351,408
		402,887,738	402,729,008
Disposal/Adjustment during the period		2,746,128	18,424
Closing balance (A)		400,141,610	402,710,584
Accumulated Depreciation			
Opening balance		188,417,908	143,854,557
Charged during the period		19,622,597	44,570,022
		208,040,505	188,424,579
Adjustment for disposal during the period		2,746,127	6,671
Closing balance (B)		205,294,378	188,417,908
Written down value (A-B)		194,847,232	214,292,676
Details are in (Annexure -A)			

8.2 Capital work in progress

Opening balance

Addition during the year

Closing balance

9 Other assets

Advance income tax (Note- 9.1)

Interest receivables on FDR

Interest receivables on STL

Security deposit

Advance to suppliers

Deferred tax assets (Note- 9.2 and 13.3)

Advance to employees (Note:9.4)

Receivables against investment (Note- 9.3)

9.1 Advance income tax

Opening balance

Income tax deducted at sources

Paid during the period

Closing balance**9.1.1 Year to year breakdown of advance income tax payment**

2014

2015

2016

2017

2018

2019

2020

2021

Adjustment in 2015

9.2 Deferred tax assets

Opening balance

Deferred tax income /(expense) during the period

Tax deductible temporary difference

Gratuity payable

Applicable tax rate

Closing deferred tax assets**9.3 Receivables against investment**

Dividend receivable (Note- 9.3.1)

Interest receivable on commercial paper (Note- 9.3.2)

Interest receivable on zero coupon bond (Note- 9.3.3)

Amount in Taka	
31-Dec-21	31-Dec-20
8,800,000	8,800,000
-	-
8,800,000	8,800,000
5,311,358,631	4,625,712,118
41,339,063	49,597,026
29,479	22,417
309,975	303,975
548,508	550,563
7,938,121	7,200,926
-	-
91,691,470	123,157,352
5,453,215,247	4,806,544,377
4,625,712,118	3,844,024,544
145,178,914	98,133,200
540,467,600	683,554,373
5,311,358,631	4,625,712,118
1,137,841,620	1,137,841,620
1,468,902,697	1,468,902,697
816,773,044	816,773,044
397,143,090	397,143,090
619,980,669	619,980,669
561,655,414	561,655,414
781,687,573	781,687,573
685,646,513	-
(1,158,271,990)	(1,158,271,990)
5,311,358,631	4,625,712,118
1,155,212	443,512
2,625,600	711,700
3,780,812	1,155,212
9,452,030	2,888,030
40%	40%
3,780,812	1,155,212
34,167,885	55,969,732
33,887,233	33,887,233
23,636,353	33,300,388
91,691,470	123,157,352

		Amount in Taka	
		31-Dec-21	31-Dec-20
9.3.1	Receivables on preference share		
	Rajlanka Power Company Ltd.	1,741,471	4,063,429
	Doreen Power House & Technologies Ltd.	11,246,918	7,333,333
	Ace Alliance Power Ltd.	1,063,210	1,598,173
	Kushiara Power Company Ltd.	13,242,740	14,898,082
	Bhairab Power Ltd.	4,790,213	3,956,166
	Zodiac Power Chittagong Ltd.	-	21,600,000
	Summit Gazipur II Power Ltd.	2,083,333	2,520,548
		34,167,885	55,969,732
9.3.2	Receivables on commercial paper		
	Computer Source Ltd.	33,887,233	33,887,233
		33,887,233	33,887,233
9.3.3	Receivables on bond		
	IDLC Zero Coupon Bond	-	9,913,775
	Ashuganj Power Station Company Ltd.	23,636,353	23,386,612
		23,636,353	33,300,388
9.4	Re-arrangement of advance to employees		
	Balance before re-arrangement	-	2,234,555
	Transfer to Leases, loans and advances	-	(2,234,555)
	Closing balance	-	-
*Previously the Company has shown the advance to the employees against salary amounting 2,234,555 under Other Assets. However, this year advances to employees against salary is added with loans, leases and advances in notes #07 as per the direction of Bangladesh Bank (Ref.: FIID(I-6/02)/2022-195)			
10	Non banking assets	-	-
11	Borrowings from banks, other financial institutions and agents		
	Inside Bangladesh (Note- 11.1)	634,040,160	711,076,787
	Outside Bangladesh (Note- 11.2)	6,499,246,513	4,133,237,119
		7,133,286,673	4,844,313,906
11.1	Inside Bangladesh		
	Advance from BB Refinance Scheme	634,040,160	711,076,787
		634,040,160	711,076,787
11.2	Outside Bangladesh		
	Borrowing from EECPPF JICA Loan No. BD-P90 & BD-P109	5,897,934,590	3,728,001,236
	Borrowing from IPFF II of World Bank	601,311,923	405,235,883
		6,499,246,513	4,133,237,119
11.2.1	Borrowing from EECPPF JICA Loan No. BD-P90 & BD-P109		
	Principal borrowing	5,747,613,792	3,648,926,951
	Interest due	150,320,798	79,074,284
		5,897,934,590	3,728,001,236
11.2.2	Borrowing from IPFF II of World Bank		
	Principal borrowing	557,463,514	378,843,514
	Interest due	43,848,409	26,392,369
		601,311,923	405,235,883

12 Deposits and other accounts

Current deposits and other accounts
 Bills payable
 Savings deposits
 Term deposits
 Bearer certificate of deposit
 Other deposits

Amount in Taka	
31-Dec-21	31-Dec-20
-	-
-	-
-	-
-	-
-	-
-	-
-	-

13 Other liabilities

Provision for income tax (Note- 13.1)
 Account payables (Note- 13.2)
 Advance income
 Provision for leases, loans, advances and others (Note- 13.5)
 Deferred tax liabilities (Note- 13.3)
 Employee benefit liabilities (Note- 13.4)
 Audit fees payable
 Security deposit payable
 Interest suspense account (Note- 13.6)
 Interest payable

5,932,297,580	5,120,425,388
12,155,312	10,533,441
-	5,202,624
2,357,837,443	1,671,846,464
-	-
9,786,615	3,222,615
542,600	386,750
109,418	109,418
1,532,517,776	1,277,763,809
11,098,048	33,106,681
9,856,344,792	8,122,597,188

13.1 Provision for income tax

Opening balance
 Addition during this period
 Closing balance

5,120,425,388	4,481,795,907
811,872,192	638,629,481
5,932,297,580	5,120,425,388

13.2 Account payables

Withholding and payroll tax
 Withholding VAT
 Bill payables
 Provision for incentive bonus
 Honorarium payable
 Salary payable

411,987	326,413
226,725	245,134
3,198,462	1,591,118
8,308,539	8,272,222
-	85,554
9,599	13,000
12,155,312	10,533,441

13.3 Deferred tax liabilities (Assets)

Opening balance
 Deferred tax expense/(income) during the period

(6,045,714)	973,401
1,888,405	(7,019,115)
(4,157,309)	(6,045,714)

Taxable temporary difference

Carrying amount of fixed assets as per accounting base
 Carrying amount of fixed assets as per tax base
 Taxable temporary difference on fixed assets
 Applicable tax rate
 Closing deferred tax liabilities (Assets)
 Deferred tax liabilities (assets) at the beginning of the period
Deferred tax expense/(income) during the period

194,847,232	214,292,676
205,240,505	229,406,962
(10,393,274)	(15,114,286)
40.00%	40.00%
(4,157,309)	(6,045,714)
(6,045,714)	973,401
1,888,405	(7,019,115)

13.4 Employee benefit liabilities**Gratuity Fund (GF) payable**

Opening Balance

Addition during the period

Amount transferred during the period

Closing Balance (A)

Contributory Provident Fund (CPF) payable

Opening Balance

Addition during the period

Amount transferred during the period

Closing Balance (B)

Total (A+B)**13.5 Provision for leases, loans, advances, investment, and others****General provision***Leases, loans and advances:*

Opening balance

Addition during the period

Closing balance (i)*Investment:*

Opening balance

Addition/(deduction) during the period

Closing balance (ii)*Off-balance sheet item:*

Opening balance

Addition during the period

Closing balance (iii)**Closing balance of total general provision i+ii+iii (A)****Specific provision***Leases, loans and advances:*

Opening balance

Addition during the period

Closing balance (i)*Investment:*

Opening balance

Addition during the period

Closing balance (ii)**Closing balance of total specific provision i+ii (B)****Covid-19 special provision for leases, loans and advances**

Opening balance

Addition during the period

Closing balance (C)**Other provision***Fixed Deposit Receipts (FDRs)*

Opening balance

Addition during the period

Closing balance (i)**Provision for other assets**

Opening balance

Addition during the period

Closing balance (ii)**Closing balance of total other provision i+ii (D)****Closing balance of total provision maintained (A+B+C+D)**

Amount in Taka	
31-Dec-21	31-Dec-20
2,888,030	1,108,780
6,564,000	1,779,250
-	-
9,452,030	2,888,030
334,585	674,598
4,588,346	4,539,775
(4,588,346)	(4,879,788)
334,585	334,585
9,786,615	3,222,615
205,123,298	205,123,298
(18,917,708)	-
186,205,590	205,123,298
31,540,503	31,540,503
(8,128,988)	-
23,411,515	31,540,503
-	-
2,471,581	-
2,471,581	-
212,088,686	236,663,801
29,883,945	29,883,945
459,752,507	-
489,636,452	29,883,945
250,000,000	250,000,000
-	-
250,000,000	250,000,000
739,636,452	279,883,945
-	-
218,367	-
218,367	-
1,154,938,717	654,938,717
250,595,221	500,000,000
1,405,533,938	1,154,938,717
360,000	360,000
-	-
360,000	360,000
1,405,893,938	1,155,298,717
2,357,837,443	1,671,846,464

BIFFL maintained FDR accounts with different Banks and NBFIs licensed by Bangladesh Bank. However, due to the current market liquidity position and covid pandemic situation, some NBFIs have been facing difficulties to pay back the due amount on maturity. Nonetheless, BIFFL is pursuing the recovery drive continuously and has recovered significant amount from different Banks and NBFIs, and strong persuasion to recover the total fund is still continued. As BIFFL is wholly owned by the GoB, there is minimum chance of not being able to recover against this investments. The Board of Directors of BIFFL is also monitoring this issue from their position to recover the whole FDR amount. Besides that to build resilience against the economy and market shock, BIFFL has decided to build some provision against these FDRs.

13.5.1 Provision for loans, advances and investments

Amount in Taka		
	31-Dec-21	31-Dec-20
General provision	212,088,686	236,663,801
Statutory requirement	212,088,686	218,496,905
Voluntary provision	-	18,166,896
Specific provision	739,854,819	279,883,946
Statutory requirement	739,854,819	279,883,946
Voluntary provision	-	-
	951,943,505	516,547,747

13.5.2 Other provision

Statutory requirement	575,298,717	575,298,717
Voluntary provision	830,595,221	580,000,000
	1,405,893,938	1,155,298,717

13.5.3 Total provision

Statutory requirement	1,527,242,222	1,073,679,568
Voluntary provision	830,595,221	598,166,896
	2,357,837,443	1,671,846,464

13.6 Interest suspense account

On leases, loans and advances:

Opening balance	690,340,593	41,768,560
Addition during the period	752,755,917	652,968,679
Transferred to interest income	(694,794,571)	(4,396,646)

Closing balance (i)	748,301,939	690,340,593
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On Investment

Opening balance	33,887,233	34,187,233
Addition during the period	-	-
Transferred to interest income	-	(300,000)

Closing balance (ii)	33,887,233	33,887,233
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On Fixed Deposit Receipts (FDRs)

Opening balance	553,535,983	358,400,474
Addition during the period	405,121,847	460,806,646
Transferred to interest income	(208,329,226)	(265,671,137)

Closing balance (iii)	750,328,604	553,535,983
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Closing balance of interest suspense account (i+ii+iii)	1,532,517,776	1,277,763,809
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Amid the covid-19 pandemic, some projects whose installments were not due and remain standard in the reporting period were adversely affected, and project operation was stagnant. Considering the potential adverse impact of the Covid-19 pandemic and advice of Board, out of the interest on loans and advances BDT19,72,40,175.60 interest accrued on loans and advances with standard classification status set aside from the interest income and BDT16,86,64,127.50 net of recovered amount kept in the interest suspense account. This amount will be eventually recognized as interest income depending on the recovery. Besides, BIFFL made the short-term investment (FDRs) to different banks and Financial Institutes (FIs) based on satisfactory performance and ratings. However, due to vulnerable conditions in the money markets and liquidity crises, some banks and FIs struggle to pay back the due amount on maturity dates. Therefore, considering the ongoing liquidity crisis and vulnerable conditions in the money market, interest accrued on FDRs has been transferred to the interest suspense account.

13.6.1 Interest Suspense on FDR

Bangladesh Industrial Finance Company (BIFC) Ltd.
 First Finance Ltd.
 FAS Finance and Investment Ltd.
 Padma Bank Ltd.
 International Leasing and Financial Services Ltd.
 Peoples Leasing and Financial Services Ltd.
 Union Capital Ltd.
 Prime Finance and Investment Ltd.
 Fareast Finance and Investment Ltd.
 Premier Leasing and Finance Ltd.
 Interest Suspense A/C FDRs- Accrual

Total**14 Share capital****14.1 Authorized capital**

1,000,000,000 ordinary shares of Tk.100 each

14.2 Issued, subscribed & paid up capital

23,08,00,000 ordinary shares of Tk.100 each

14.3 Capital adequacy and market discipline

As per Capital Adequacy and Market Discipline for Financial Institutions guideline of Bangladesh Bank, BIFFL calculated minimum capital requirement by dividing the total capital by the sum of risk weighted assets against credit risk, market risk, and operational risk under pillar-I. BIFFL maintain Capital Adequacy Ratio (CAR) of minimum 10%.

Tier-1 (Core capital)

Fully paid-up capital/ capital lien with BB

Statutory reserve

Non-repayable share premium account

General reserve

Retained earnings

Minority interest in subsidiaries

Non- cumulative irredeemable preference shares

Dividend equalization account

Others (any item approved by Bangladesh Bank)

Sub-Total

Deductions from tier-1 (Core capital)

Book value of goodwill and value of any contingent assets which are shown as assets

Shortfall in provisions required against classified assets

Shortfall in provisions required against investment in share

Remaining deficit on account of revaluation of investments in securities after netting off any other surplus on the securities

Any investment exceeding the approved limit

Investments in subsidiaries which are not consolidated

Others (if any)

Sub-Total

Total eligible Tier-1 capital

Amount in Taka	
31-Dec-21	31-Dec-20
134,715,145	86,167,928
15,919,031	16,691,061
143,260,485	98,911,315
-	1,688
202,794,824	143,795,960
32,151,835	32,151,835
89,221,607	68,334,187
-	3,750,000
42,724,028	20,194,790
48,202,586	33,940,193
41,339,064	49,597,026
750,328,604	553,535,983
100,000,000,000	100,000,000,000
23,080,000,000	23,080,000,000
23,080,000,000	23,080,000,000
23,080,000,000	23,080,000,000
23,080,000,000	23,080,000,000
1,889,879,355	1,767,400,439
-	-
150,000,000	100,000,000
1,411,691,666	1,188,405,645
-	-
-	-
-	-
-	-
26,531,571,021	26,135,806,084
-	-
-	-
-	-
-	-
-	-
-	-
-	-
26,531,571,021	26,135,806,084

		Amount in Taka	
		31-Dec-21	31-Dec-20
Tier-2 (Supplementary capital)			
General provision (Unclassified up to specified limit+ SMA+ off balance sheet exposure)		195,202,038	236,663,801
Assets revaluation reserves upto 50%		-	-
Revaluation reserve for securities up to 45%		-	-
All other preference shares		-	-
Others (any item approved by Bangladesh Bank)		-	-
Sub-Total		195,202,038	236,663,801
Deductions, if any		-	-
Total eligible Tier-2 capital		195,202,038	236,663,801
Total capital		26,726,773,059	26,372,469,885
Total risk weighted asset		20,290,829,741	21,845,951,870
Required capital		2,029,082,974	2,184,595,187
Surplus/(deficit)		24,697,690,085	24,187,874,699
Capital Adequacy Ratio (CAR)		132%	121%
On core capital (Tier-1)		131%	120%
On supplementary capital (Tier-2)		1%	1%
15 Statutory reserve			
Opening balance		1,767,400,439	1,659,085,617
Add: Transferred from profit during the year		122,478,916	108,314,822
Closing balance		1,889,879,355	1,767,400,439
In compliance with the Rule 6 of The Financial Institutions Regulations 1994, the company transfers 20% of its net profit after tax to statutory reserve for the respective period.			
16 General reserve			
Opening balance		100,000,000	50,000,000
Addition during the period		50,000,000	50,000,000
		150,000,000	100,000,000
17 Retained earnings			
Opening balance		1,188,405,645	986,342,467
Add: Net profit for the period		612,394,582	541,574,113
		1,800,800,227	1,527,916,580
Less:			
Transferred to statutory reserve for the period		122,478,916	108,314,823
Transferred to general reserve for the period		50,000,000	50,000,000
Stock dividend		-	-
Cash dividend		216,629,645	181,196,112
		389,108,561	339,510,935
Closing balance		1,411,691,666	1,188,405,645
18 Contingent liabilities			
In the normal course of business, the Company makes certain commitments in favor of clients and incurs some contingent liabilities. No material losses are anticipated as a result of these transactions. These contingent liabilities and commitments are quantified below.			
Acceptances and endorsements		-	-
Letter of comfort (Note- 18.1)		247,158,051	454,800,000
Irrevocable letters of credit		-	-
Bills for collection		-	-
Indemnity bond		-	-
Corporate guarantee		-	-
		247,158,051	454,800,000

18.1 Letter of comfort (Note- 18.1)

The Company gives the comforts to third parties on behalf of clients. Letter of comfort represents an undertaking that the Company will pay to third parties and it converts into loans or lease on the basis of the agreement with the clients. The maximum amount that the Company could be required to pay under the comforts is its principal amount.

Amount in Taka	
31-Dec-21	31-Dec-20
Directors or officers	-
Government	-
Banks and other financial institutions	-
Customers	454,800,000
247,158,051	454,800,000

19 Income statement**19.1 Income**

Amount in Taka	
Jan-Dec'2021	Jan-Dec'2020
Interest, discount and similar income	-
Interest income on leases, loans and advances (Note- 20)	1,120,550,039
Investment income (Note- 22)	325,936,996
Other operating income (Note- 23)	453,952,651
2,351,251,794	1,900,439,685

19.2 Expenses

Interest expenses on deposits, borrowings etc. (Notes- 21)	119,530,730	90,286,117
Salary and allowances (Note- 24)	65,342,353	61,387,080
Rent, taxes, insurance, electricity etc. (Note-25)	2,101,236	1,714,828
Legal expenses (Note- 26)	351,094	195,188
Postage, stamp, telecommunication etc. (Note- 27)	2,323,655	1,666,318
Stationery, printing, advertisement etc. (Note- 28)	1,846,658	1,866,053
Managing Director's salary and allowances (Note- 29)	9,236,712	6,983,548
Directors' fees (Note- 30)	953,316	909,318
Auditors' fees (Note- 31)	410,350	404,000
Charges on loan losses	-	-
Depreciation and repairs of company's assets (Note- 32)	20,605,411	45,523,680
Other operating expenses (Note- 33)	19,029,721	17,030,777
	241,731,236	227,966,907

20 Interest income on leases, loans and advances

Interest income from term loan (Note- 20.1)	1,120,550,039
1,370,359,895	1,120,550,039

20.1 Interest income from term loan

Interest income from loan to large infrastructure projects	1,081,998,963	935,564,419
Interest income from loan to sustainable and eco-friendly projects	286,099,470	181,122,302
Interest income from loan to women entrepreneurs	1,715,285	3,198,615
Interest income from staff loan	546,177	664,703
	1,370,359,895	1,120,550,039

21 Interest expenses on deposits, borrowings etc.

Interest expense on BB refinance scheme	30,828,177	37,274,931
Interest expense on borrowing in the form of Term Deposits	-	1,715,278
Interest expense on borrowing from IPFF II of World Bank	17,456,040	19,478,221
Interest expense on borrowing from JICA	71,246,513	31,817,687
	119,530,730	90,286,117

		Amount in Taka	
		Jan-Dec'2021	Jan-Dec'2020
22	Investment income		
	Interest income from commercial paper (Note- 22.1)	-	300,000
	Interest income from bond (Note- 22.2)	106,336,046	118,386,965
	Dividend income from preference share (Note- 22.3)	184,556,279	207,250,031
		290,892,324	325,936,996
22.1	Interest income from Commercial Paper		
	Computer Source Ltd.	-	300,000
		-	300,000
22.2	Interest income from Bond		
	IDLC Zero Coupon Bond	21,178,680	27,380,635
	Ashuganj Power Station Company Ltd.	85,157,366	91,006,330
		106,336,046	118,386,965
22.3	Dividend income from Preference Share		
	Kushiara Power Company Ltd.	49,644,658	58,304,493
	Summit Gazipur II Power Ltd.	9,562,785	10,000,000
	Bhairab Power Ltd.	19,834,049	18,947,945
	Doreen Power House & Technologies Ltd.	47,913,585	44,100,457
	Rajlanka Power Company Ltd.	10,341,554	19,616,771
	Zodiac Power Chitttagong Ltd.	18,627,945	21,600,000
	Ace Alliance Power Ltd.	28,631,703	34,680,365
		184,556,279	207,250,031
23	Other operating income		
	Interest income (FDRs)	163,670,359	240,794,887
	Interest on short term loan (STL)	2,726,951	2,766,221
	Interest on SND	518,264,486	195,464,647
	Fees income (Note- 23.1)	4,300,508	14,920,148
	Gain on disposal of assets	435,999	6,747
	Non eligible portion of CPF	601,270	-
		689,999,574	453,952,651
23.1	Revenue from fees		
	Other fees	4,300,508	14,920,148
		4,300,508	14,920,148
24	Salary and allowances		
	Salary and allowances	50,513,304	45,418,255
	Bonus	8,265,049	14,189,575
	Gratuity expenses	6,564,000	1,779,250
		65,342,353	61,387,080
25	Rent, taxes, insurance, electricity etc.		
	Rent and taxes	3,632	-
	Utility bills	1,373,604	1,164,554
	Health insurance premium	724,000	543,606
	Vehicle insurance premium	-	6,668
		2,101,236	1,714,828

		Amount in Taka	
		Jan-Dec'2021	Jan-Dec'2020
26	Legal expenses		
	Legal expense	139,500	1,603
	Renewal & registration	186,316	173,990
	Stamp cost	25,278	19,595
		351,094	195,188
27	Postage, stamp, telecommunication etc.		
	Postage and courier	372	2,500
	Telephone, telex, fax and mobile	491,148	431,568
	Networking expense	672,000	672,000
	Internet bandwidth charge	1,160,135	560,250
		2,323,655	1,666,318
28	Stationery, printing, advertisement etc.		
	Stationery and printing	1,582,087	1,079,615
	Advertisement and publicity	244,734	179,627
	Books and periodicals	19,026	14,987
	Business development expenses	-	589,685
	Binding and spiral	810	2,140
		1,846,658	1,866,053
29	Managing Director's salary and allowances		
	Basic pay and allowances	7,920,000	5,263,548
	Bonus	1,316,712	1,720,000
	Gratuity expenses	-	-
		9,236,712	6,983,548
30	Directors' fees		
	Honorarium for attending meeting	953,316	909,318
		953,316	909,318
31	Auditors' fees		
	Annual statutory audit fees	232,100	220,000
	Other audit fees	178,250	184,000
		410,350	404,000
32	Depreciation and repairs of company's assets		
	Repair & maintenance	982,813	953,658
	Depreciation on company's fixed assets (Annexure-A)	19,622,597	44,570,022
	Loss on disposal of assets	1	-
		20,605,411	45,523,680
33	Other operating expenses		
	Office maintenance	6,344,760	4,727,648
	Training expenses	3,833	71,775
	Bank charges & commission	2,864,640	1,670,418
	Entertainment expenses	2,520,161	2,091,923
	Promotional expenses	-	100,000

		Amount in Taka	
		Jan-Dec'2021	Jan-Dec'2020
	Consultancy and professional Fees	1,720,278	1,056,388
	Project site supervision, travelling and conveyance expenses	2,219,147	2,058,725
	Recruitment expenses	-	224,887
	CIB service charges	26,661	221,552
	CSR expenses	1,805,000	2,450,000
	IT maintenance	1,525,242	2,196,346
	Anti money laundering and national integrity strategy related expenses	-	161,115
		19,029,721	17,030,777
34	Provision for investment, leases, loans and advances		
	General provision	(24,575,115)	-
	Specific provision	459,752,507	-
	Covid-19 special provision	218,367	-
		435,395,758	-
35	Other provision		
	Provision on FDR	250,595,221	500,000,000
	Provision on other assets	-	-
		250,595,221	500,000,000
35.1	Provision on FDR		
	On FDR with other financial institutes	250,595,221	500,000,000
		250,595,221	500,000,000
36	Provision for income tax		
	Current tax (Note- 36.1)	811,872,192	638,629,481
	Deferred tax (income)/expense during the period	(737,195)	(7,730,816)
		811,134,997	630,898,665
36.1	Current tax expense		
	Income tax expense during the period	811,872,192	638,629,481
	Previous year shortage of tax provision	-	-
		811,872,192	638,629,481
36.2	Effective tax rate		
	Income tax expense (A)	811,134,997	630,898,665
	Profit before income tax (B)	1,423,529,579	1,172,472,778
	Effective tax rate (A/B)	56.98%	53.81%
		2021	2020
		% Taka	% Taka
36.3	Reconciliation of effective tax rate		
	Profit before income tax	1,423,529,579	1,172,472,778
	Applicable tax rates	40%	40%
	Income tax	40%	40%
	Income tax on net inadmissible expenses and provision	19.63% 279,371,616	18.00% 211,090,376
	Tax savings from tax rates lower than applicable rate	-2.59% (36,911,256)	-3.54% (41,450,006)
	Effect of deferred tax	-0.05% (737,195)	-0.66% (7,730,816)
	Income tax expenses	56.98% 811,134,997	53.81% 630,898,665
	Effective tax rate	56.98%	53.81%

37 Earning per share

Earnings Per Share (EPS) has been computed by dividing the basic earning by the weighted average number of ordinary shares outstanding at the end of the year as per IAS 33 'Earnings Per Share'. EPS has been calculated as follows:

Net profit after tax	612,394,582	541,574,113
Weighted average number of ordinary shares outstanding	230,800,000	230,800,000
Earning Per Share (EPS) restated	2.65	2.35

37.1 Weighted average number of ordinary number of shares outstanding for the year ended on 31 December 2021

Particulars	Shares	Weighted average numbers of ordinary shares
1-Jan-21	230,800,000	230,800,000
	230,800,000	230,800,000

38 Net Asset Value per share

Net assets (total assets less total liabilities)	26,531,571,021	26,135,806,084
Weighted average number of ordinary shares outstanding	230,800,000	230,800,000
Net Asset Value (NAV) per share	114.95	113.24

39 Net operating cash flow per share

Net cash flow from operating activities	5,976,586,789	2,611,631,723
Weighted average number of ordinary shares outstanding	230,800,000	230,800,000
Net operating cash flow per share	25.90	11.32

40 Related party disclosures

BIFFL entered into a number of transactions with related parties in the normal course of business. The name of the significant related parties, nature of these transactions and amounts are set out below according to the provisions of IAS 24, 'Related Party Disclosures'. Transactions with related parties are executed on the same terms, including interest rate and collateral, as those prevailing at the time for comparable transactions with other customers of similar credentials and do not involve more than a normal risk.

40.1 Particulars of the directors and the transactions with them

a. Name of the directors	Position in BIFFL	Date of Appointment
Mr. Abdur Rouf Talukder Senior Secretary, Finance Division, MoF	Chairmen	08.08.2018
Mr. Md. Anisur Rahman Senior Secretary, E&MR Division, MoPE&MR	Director	27.02.2020
Mr. Md. Nazrul Islam Secretary, Road Transport & Highways Division, MoRT&B	Director	07.11.2017
Mr. Md. Abu Bakr Siddique Secretary, Bridges Division, MoRT&B	Director	17.07.2021
Mr. M. Tofazzel Hossain Miah Senior Secretary, Prime Minister's Office	Director	27.02.2020
Ms. Fatima Yasmin Secretary, Economic Relations Division, MoF	Director	04.06.2020
Mr. Md. Habibur Rahman Secretary, Power Division, MoPE&MR	Director	31.12.2020
Mr. Hasan Khaled Foisal Joint Secretary, Finance Division, MoF	Director	18.11.2021
b. Transactions with the directors	Nature of transactions	Transaction amount (Tk.)
Mr. Abdur Rouf Talukder (Chairman)	Meeting Remuneration	97,776
Mr. Md. Anisur Rahman (Director)	Meeting Remuneration	134,442
Mr. Md. Nazrul Islam (Director)	Meeting Remuneration	97,776
Mr. Mohammed Belayet Hossain (Director)	Meeting Remuneration	48,888
Mr. M. Tofazzel Hossain Miah (Director)	Meeting Remuneration	122,220
Ms. Fatima Yasmin (Director)	Meeting Remuneration	134,442
Mr. Md. Habibur Rahman (Director)	Meeting Remuneration	122,220
Mr. Md. Ekhlaur Rahman (Director)	Meeting Remuneration	97,776
Mr. Hasan Khaled Foisal	Meeting Remuneration	24,444
Mr. Md. Abu Bakr Siddique	Meeting Remuneration	73,332
Total		953,316

40.2 Details of transactions (excluding salary and employment benefits) with key management personnels:

Name of the personnel	Types of transactions	Outstanding Balances as on 31 December 2021
Mohammad Sagir Hossain Khan (Chief Operating Officer)	Car loan	1,547,126
Mohammad Monirul Islam Khan FCS (Company Secretary)	Home loan	8,182,576
Sk Anower Sadat (Head of CID)	Car loan	1,291,970
Md. Tanvir Warsi (Head of CRMD)	Car loan	1,482,096
		12,503,768
Car loan:		
Balance at 01 January	6,342,639	8,198,502
Disbursements made during the period	-	-
Interest charged during the period	149,261	213,404
Loans adjusted during the period	(2,170,708)	(2,069,268)
Balance at 31 December	4,321,192	6,342,639
Home loan:		
Balance at 01 January	8,985,660	6,384,361
Disbursements made during the period	-	3,350,000
Interest charged during the period	396,917	451,299
Loans adjusted during the period	(1,200,000)	(1,200,000)
Balance at 31 December	8,182,576	8,985,660

41 Claim not acknowledged as Debt

There was no claim against the financial institution unacknowledged as debt as on 31 December 2021.

42 Receivable from directors

No amount is due from any of the directors of the Company.

43 Disclosure regarding branch

As at 31 December 2021, the Company has no branch in or outside Bangladesh.

44 Executive Committee and Audit Committee

To conform with the Bangladesh Bank guidelines, the Board of Directors of BIFFL constituted the Executive Committee (EC) and Audit Committee (AC) as a sub committee of the Board and the committee met several times during the year 2021.

45 Rounding off

Monetary figures in the financial statements have been rounded off to the nearest Taka.

46 Approval of the financial statements and declaration of dividend.

The Board of Directors in its 103rd meeting held on 30 May 2022 approved the financial statements and recommended BDT 244,957,832.81 as cash dividend for the year ended on 31 December 2021 for onward approval by shareholders of the Company at 11th Annual General Meeting (AGM).

47 Events after the reporting period

As per IAS 10 'Events after the Reporting Period' events after the reporting period are those events, favorable and unfavorable, that occur between the end of the reporting period and the date when the financial statements are authorized for issue. Two types of event can be identified:

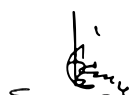
- (a) Adjusting events after the reporting period which provide evidence of conditions which existed at the end of the reporting period; and
- (b) Non adjusting events after the reporting period, are those that are indicative of conditions that arose after the reporting period.

The details about the events after reporting period are as follows:

- (i) On 12 May 2022 BIFFL received BDT222,451 from staff contributory provident fund account against the forfeited amount from outgoing employees for the year ended on 31 December 2021 and recorded the amount under other income on the same date.
- (ii) On 11 March 2020, Covid-19 has been declared a pandemic by the World Health Organisation, and Bangladesh Government has taken restrictive measures including declared general public holidays to contain its further spread affecting free movement of people and goods. As a consequence, the Covid-19 outbreak has brought about additional challenges in the Company's operating environment and has impacted its operations. Essentially Bangladesh Bank is governing the operational model which is a limited scale operation. BIFFL is closely monitoring the impact of the developments on the Company's businesses. As the situation is fast evolving, the effect of the outbreak is subject to significant levels of uncertainty, with the full range of possible effects unknown.

There is no other material adjusting or non adjusting events after the reporting period.

For Bangladesh Infrastructure Finance Fund Limited



Company Secretary



Chief Executive Officer



Director



Chairman

Dated, Dhaka
30 May 2022

Bangladesh Infrastructure Finance Fund Limited

Schedule of Fixed Assets & Intangible Assets

As at 31 December 2021

Particulars	Cost			Depreciation				Amount in Taka			
	Balance as at 01.01.21	Addition during the year	Disposal/ adjustment during the year	Balance as at 31.12.21	Rate	Balance as at 01.01.21	Charged during the year	Disposal/ adjustment during the year	Balance as at 31.12.21	As at 31.12.21	As at 31.12.20
Computer & IT Equipment											
Scanner & Printer	871,968		-	871,968	33.33%	766,433	87,533	-	853,965	18,003	105,535
Desktop & Laptop	6,186,727	166,010	103,805	6,248,932	33.33%	5,480,594	560,908	103,804	5,937,698	311,233	706,133
LT Pannel & PFI Plant & PABX & Others	9,139,468	-	-	9,139,468	33.33%	7,979,032	1,157,051	-	9,136,083	3,385	1,160,436
Multimedia Projector	541,200	-	-	541,200	33.33%	473,262	67,932	-	541,194	6	67,938
Projector Screen	20,000	-	-	20,000	33.33%	19,999	-	-	19,999	1	1
Wifi System	432,000	-	-	432,000	33.33%	432,000	-	-	432,000	-	-
Office Equipment											
Office Equipment	10,093,010	-	-	10,093,010	20%	5,876,112	1,699,933	-	7,576,045	2,516,965	4,216,898
HVAC	9,461,619	-	-	9,461,619	10%	2,029,327	946,162	-	2,975,489	6,486,130	7,432,292
Refrigerator	187,881	-	-	187,881	12.5%	50,509	23,485	-	73,994	113,887	137,372
Electric Meter	9,400	-	-	9,400	10%	7,520	940	-	8,460	940	1,880
Wasa Meter	5,980	-	-	5,980	10%	5,381	598	-	5,979	1	599
Civil Construction	1,536,612	-	-	1,536,612	50%	1,536,611	-	-	1,536,611	1	1
Building	291,527,555	-	-	291,527,555	2.50%	127,372,734	7,288,189	-	134,660,923	156,866,632	164,154,821
Furnitures & Fittings	37,134,860	11,144	-	37,146,004	10%	8,620,698	3,709,420	-	12,330,118	24,815,885	28,514,162
Vehicle	35,276,946	-	2,642,323	32,634,623	20%	27,482,334	4,080,447	2,642,322	28,920,459	3,714,164	7,794,612
Sub total	402,425,225	177,154	2,746,128	399,856,251		188,132,546	19,622,598	2,746,126	205,009,018	194,847,233	214,292,679
Intangible assets											
Website	172,500	-	-	172,500	50%	172,500	-	-	172,500	-	-
Accounting Software	112,860	-	-	112,860	50%	112,860	-	-	112,860	-	-
Capital Work in Progress (Software)	8,800,000	-	-	8,800,000	N/A	-	-	-	-	8,800,000	8,800,000
Sub total	9,085,360	-	-	9,085,360		285,360	-	-	285,360	8,800,000	8,800,000
Total	411,510,585	177,154	2,746,128	408,941,611		188,417,906	19,622,598	2,746,126	205,294,378	203,647,232	223,092,679



DISCLOSURES, CHECKLISTS & OTHER PERTINENT INFORMATION

GLOSSARY

Terms	Meaning
Accrual Basis	Recognizing the revenue when earned and expenses when incurred.
Amortization	Amortization is the systematic allocation of the depreciable amount of an intangible asset over its useful life.
Cash Basis	Recognizing the effects of transactions and events when receipt or payment of cash or cash equivalent occurs.
Depreciation	Depreciation is the allocation of the depreciable amount of an asset over its estimated useful life.
Dividend	The proportion of profit distributed to shareholders.
Gross Portfolio	Leases, Loans & Advances and investments granted to clients under loan and quasi equity facilities.
Intangible Asset	An intangible asset is an identifiable non-monetary asset without physical substance held for use.
Shareholders' Equity	Total of issued and fully paid ordinary share capital and reserves.

Ratios

Ratio	Method of computation	Indication
Cost to Income Ratio	Operating expenses excluding provision for bad and doubtful debts as a percentage of total income.	Efficiency of cost management in generating operating income, net of interest cost.
Earnings Per Share (EPS)	Profit attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.	Share of current year's earnings attributable to an ordinary share in issue.
Net Asset Value per Ordinary Share	Ordinary shareholders' funds divided by the number of ordinary shares in issue.	Book value of ordinary shares.
Return on Assets (ROA)	Net profits expressed as a percentage of average total assets.	Overall effectiveness in generating profits with available assets; earning power of invested total capital.
Return on Equity (ROE)	Net profit, less preference shares dividends if any, expressed as a percentage of average ordinary investment (equity).	Earning power on shareholders' book value of shareholders' funds.

ABBREVIATIONS

AC	Audit Committee
ADB	Asian Development Bank
AFD	Agence Française de Développement (French Development Agency)
AGM	Annual General Meeting
AIT	Asian Institute of Technology
ALCO	Asset Liability Management Committee
ALM	Asset Liability Management
ANSI	American National Standards Institute
AoA	Articles of Association
ASHRAE	American Society of Heating, Refrigerating and Air-Conditioning Engineers
ASTM	American Society for Testing and Materials
BACS	Budget and Accounting Classification System
BAPA	Bangladesh Agro Processors Association
BASs	Bangladesh Accounting Standards
BAU	Bangladesh Agriculture University
BB	Bangladesh Bank
BB ESRM	Bangladesh Bank Environment and Social Risk Management
BBS	Bangladesh Bureau of Statistic
BCBL	Bangladesh Commerce Bank Limited
BDBL	Bangladesh Development Bank Ltd
BDT	Bangladesh Taka
BGMEA	Bangladesh Garments Manufacturers and Exporters Association
BICC	Bangabandhu International Convention Centre
BIFFL	Bangladesh Infrastructure Finance Fund Limited
BIID	Bangladesh Industrial Innovation and Development
BKMEA	Bangladesh Knitwear Manufacturers and Exporters Association
BLFCA	Bangladesh Leasing and Finance Companies Association
BoD	Board of Directors
BPATC	Bangladesh Public Administration Training Centre
BRsMA	Bangladesh Auto Re-rolling and Steel Mills Association
BRTA	Bangladesh Road Transport Authority
BSc	Bachelor of Science
BSEC	Bangladesh Securities and Exchange Commission
BSS	Bachelor of Social Sciences
BSSF	Bangladesh Shooting Sport Foundation
BTMA	Bangladesh Textile Mills Association
CAGR	Cumulative Average Growth Rate
CAMLCO	Chief Anti-Money Laundering Compliance Officer
CAR	Capital Adequacy Ratio
CCCI	Chittagong Chamber of Commerce and Industry
CCU	Central Compliance Unit
CEO	Chief Executive Officer
CFO	Chief Financial Officer
CFS	Core Financial Solutions
CFT	Combating the Financing of Terrorism

CGC	Corporate Governance Code
CIDA	Canadian International Development Agency
COO	Chief Operating Officer
CRAB	Credit Rating Agency of Bangladesh Ltd.
CRISL	Credit Rating Information & Services Limited
CS	Company Secretary
CSF	Critical Success Factor
CSR	Corporate Social Responsibility
DAC	Development Assistance Committee
DFIM	Department of Financial Institutions and Markets
DGIS	Directorate-General for International Cooperation
DNCC	Dhaka North City Corporation
DSCC	Dhaka South City Corporation
E&S	Environmental & Social
EBITDA	Earnings Before Interest, Tax, Depreciation and Amortization
EBRD	European Bank for Reconstruction and Development
EC	Executive Committee
EE	Energy Efficiency
EE&C	Energy Efficiency & Conservation
EECM	Energy Efficient Construction Material
EECPFP	Energy Efficiency & Conservation Promotion Financing Project
EEREWE	Energy Efficiency Renewable Energy & Women Entrepreneurship Financing
EFT	Electronic Fund Transfer
EIHP	Energy Institute Hrvoje Pozar
EIU	Economist Intelligent Unit
EPA	Environmental Protection Agency
EPACT	Energy Policy ACT
EPC	Engineering Procurement and Construction
EPRC	Energy and Power Research Council
EPS	Earnings per Share
EPZ	Export Processing Zone
ERD	Economic Relations Division, Ministry of Finance, Government of Bangladesh
ESMF	Environmental and Social Management Framework
ETP	Effluent Treatment Plant
FEEM	Fiscal Economics and Economic Management
FI	Financial Institution
FICL	Classification of Loans of Financial Institutions
FIMA	Financial Management Academy
FMO	Netherlands Development Finance Company/ Nederlandse Financierings-Maatschappij voor Ontwikkelingslanden
FPP	Financial Programming and Policies
FRC	Financial Reporting Council
FX	Foreign Exchange
FY	Financial Year
FZOEU	Environmental Protection and Energy Efficiency Fund/Fond za zaštitu okoliša i energetske učinkovitost (Croatia)
GBCM	Green Bricks and Construction Materials
GCMU	Green Construction Materials Unit
GDP	Gross Domestic Product

GNI	Gross National Income
GPEDC	Global Partnership for Effective Development Cooperation
GoB	Government of Bangladesh
GrACe	Green Architecture Cell
GRI	Global Reporting Initiative
HRD	Human Resource Development
IAS	International Accounting Standards
IATI	International Aid Transparency Initiative
IBA	Institute of Business Administration
ICAB	Institute of Chartered Accountants of Bangladesh
ICC	Internal Control and Compliance
ICSB	Institute of Chartered Secretaries of Bangladesh
ICT	Information and Communication Technology
IESNA	Illuminating Engineering Society of North America
IFRSs	International Financial Reporting Standards
IGCC	International Green Construction Code
IIRC	International Integrated Reporting Council
ILO	International Labor Organization
IPFF	Investment Promotion and Financing Facility
IPO	Initial Public Offering
IPoA	Istanbul Program of Action
ISS	Institute of Social Studies
IT	Information Technology
JDI	Japan Development Institute
JICA	Japan International Cooperation Agency
KfW	Kreditanstalt für Wiederaufbau
LCR	Liquidity Coverage Ratio
LDC	Least Developed Country
LED	Light Emitting Diode
LEED	Leadership in Energy and Environmental Design
LL.B	Bachelor of Laws
LL.M	Master of Laws
LPD	Lighting Power Density
MANCOM	Management Committee
MCCI	Metropolitan Chamber of Commerce and Industry
MDGs	Millennium Development Goals
MIS	Management Information System
MoA	Memorandum of Association
MoF	Ministry of Finance
MoU	Memorandum of Understanding
MSc	Master of Science
MSM	Maastricht School of Management
MSS	Master of Social Sciences
MTBF	Medium Term Budget Framework
NBFI	Non-Bank Financial Institution
NBR	National Board of Revenue
NII	Net Interest Income
NOC	No Objection Certificate

NSFR	Net Stable Funding Ratio
OECD	Organization for Economic Co-operation and Development
p.a.	per annum
PBIG	Post-Busan Interim Group
PET	Polyethylene Terephthalate
PFI	Participating Financial Institution
PFM	Public Financial Management
PPP	Public Private Partnership
RE	Renewable Energy
RJSC	Registrar of Joint Stock Companies
RJSC&F	Registrar of Joint Stock Companies and Firms
RMF	Risk Management Forum
ROA	Return on Assets
ROE	Return on Equity
ROI	Return on Investment
SAARC	South Asian Association for Regional Cooperation
SAFA	South Asian Federation of Accountants
SCAQMD	South Coast Air Quality Management District
SDF	SAARC Development Fund
SDGs	Sustainable Development Goals
SFU	Sustainable Finance Unit
SLR	Statutory Liquidity Ratio
SME	Small and Medium-Sized Enterprise
SREDA	Sustainable and Renewable Energy Development Authority
SWOT	Strengths Weaknesses Opportunities Threats
TA	Technical Assistance
TAT	Turnaround Time
UNDP	United Nations Development Program
UNFPA	United Nations Population Fund
UNO	Upazila Nirbahi Officer
USD	United States Dollar
USGBC	United States Green Building Council
VAT	Value Added Tax
VGF	Variability Gap Funding
VOC	Volatile Organic Compounds
VRF	Variable Refrigerant Flow
WB	World Bank
WEDU	Women Entrepreneurship Development Unit
WESP	World Economic Situation and Prospects
WTP	Waste Treatment Plant
YC	Young Consultants
Y-Y	Year-to-year

Notes

[illegible]



Bangladesh Infrastructure Finance Fund Ltd.

(A company owned by the Government of Bangladesh and represented by the Finance Division, Ministry of Finance)

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